

Suzlon Energy Ltd. (SUZLON)

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Call: Nov 2022

16th November 2022.

National Stock Exchange of India Limited,
"Exchange Plaza",
Bandra-Kurla Complex, Bandra (East),
Mumbai-400051. BSE Limited,
P.J. Towers,
Dalal Street,
Mumbai-400001.
Dear Sirs,

Sub.: Call on Q2 Results.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you,

Yours faithfully,
For Suzlon Energy Limited

Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited
Q2 FY '23 Earnings Conference Call"
November 11, 2022

MANAGEMENT : M R. ASHWANI KUMAR – CHIEF EXECUTIVE
OFFICER – SUZLON ENERGY LIMITED
M R. HIMANSHU MODY - CHIEF FINANCIAL OFFICER
– SUZLON ENERGY LIMITED

MODERATOR : M R. RAHUL MODI – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Suzlon Energy Limited Q2 FY '23 Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rahul Modi. Thank you, and over to you.

Rahul Modi: Good morning, friends. On behalf of ICICI Securities, I would like to welcome you all for the Q2 FY '23 Conference Call of Suzlon Energy Limited. From the management, we have with us Mr. Ashwani Kumar, CEO; Mr. Himanshu Mody, CFO. We will begin with the opening remarks and a brief presentation by the management, followed by a Q&A session. Over to you, Mr. Kumar and Mr. Mody. Thank you.

Himanshu Mody: Thank you, Rahul. Good morning, good afternoon, ladies and gentlemen. This is Himanshu Mody, CFO of the company. During this call, we may make certain statements which reflect our outlook for the future, or which could be construed as forward-looking statements. These statements are based on management's current expectations and are associated with uncertainties and risks under a fully detailed in our annual report, which may cause the actual results to differ. And these statements must be reviewed in conjunction with the risks that the company faces. With that, I'd just like to hand over to my colleague, Mr. Ashwani Kumar to make a brief presentation about the industry and the company.

Ashwani Kumar: Good morning, everyone. Renewable energy has been the focus of the government for last few years. And it's been a great success by government policies and the players within the industry. The five-point agenda, the government has put for all of us is a target of 500 gigawatts of renewable energy by 2030, reduction in carbon, net zero target of 2070 and in the energy mix, making it 50% by 2030.

Having said those targets and actually committed it openly to the world. the opportunities which happened for the -- or which come out for the wind sector is that there is a specific now target for wind, which is 140 gigawatt -- not only that, I think so in the subsequent circulars and the policies the government has put, they have actually put a specific wind RPO, which is the wind Renewable Purchase Obligations going forward.

MNRE is also working towards sorting out other issues like repowering potential, like get doing away with e-reverse auction -- and also, if you see the focus has shifted over the last 12 months, though it was not publicly announced by anybody. So, over the last 12 months, the pure solar bids of SECI, which used to be done and on the base of SECI bids have not come out. So, government has realized that the future is hybrid, round the clock and peak power.

So, all the bids that have come out over the last 12 months from SECI from Government of India for purchase of renewable energy or wind or hybrid or RTC, which all of these 3 give enough opportunity for all the wind players to set up capacity. In addition to that,

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Government of India announced green energy open access rules a few months back. What that does is that it allows the interstate transmission of green power from one state to another. One of the, I would say, one of the fair highlights are one of the features of wind energy is, whether we like it or not, that it is only in 8 states in India.

So, the other states were not getting advantage of wind energy, except for the utilities who could buy it through SECI bids. Now with this opening up of green access and the rules coming out, most of the industrial customers across India

can take advantage of wind

energy and purchase wind energy no matter where the projects are installed. And given this favorable market scenario and opportunities, let me talk about what Suzlon's strengths are.

Suzlon, as many of you are aware, is over a 25-year-old company. It has been a market leader in the wind energy capacity. So, we have now close to 19,500 megawatts of installed

wind energy capacity. We are not only active in India. We have presence in 17 countries.

We have around 5,500 people, and our market share in India on a cumulative basis is 33%, which means one out of three turbines in India are Suzlon turbines. -- where we achieve this strength is very simple. One, we are end-to-end service providers.

We have a technology leadership, and the technology leadership comes not only because of the competence of our technology team, but also because we are focused India company. So, unlike some of our competition, who make turbine for the entire world and therefore, different wind regimes, our turbines are designed for Indian wind conditions. And as some of you are aware, the wind conditions differ from country to country and for various geographies.

Our technical design is designed for Indian conditions, and therefore, in terms of efficiencies and outputs, Indian Suzlon wind turbines have the technology leadership. In addition to that, we also have very, very strong customer relationships. If you see almost all the customers that have

put wind projects over the last 25 years have been our customers and have been our repeat customers. This includes global utilities like Enel and Sembcorp, they include the newer setup platform like Renew. They include the domestic players like Adani, they include other corporates like Aditya Birla, Bajaj, ONGC, Shree Cement, Torrent and of course, Indian utilities like Tata Power, Torrent Power, and others.

This set of customers who have been our customers and have given us repeat order gives us the confidence that we have a good relationship with them. In addition to that, we have a very, very strong service base. Over 13,000 megawatts of wind turbines in India are operated by us. This makes us -- if you take it as an operator almost in the top five, maybe third most biggest operator in India after NTPC and one more.

What that does is that our relationship with the grid our understanding of the grid, our understanding of the requirement of Indian power systems is much beyond everybody else. Which also gives us a very, very important insights into our customers because most of these customers of 13,500 megawatts are all existing customers who have future plans. And it also gives us knowledge about what has been the wind records all over India and all the good wind sites over the last 20, 25 years.

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So, it's not only a small wind mast data that we talk about, which most can measure, but also, record data over the last 20 years. In terms of our manufacturing base, we have our plants in Daman which is our main nacelle plant. In addition to that, we have blade plants in different geographies, minimizing the need of transport. We have tower plants, both in the West where the maximum thing is. And our capacities, including our subsidiaries, capacities to produce is over 3,000 megawatts. So, we are well geared without much capex to take advantage of the opportunity that India offers in the wind turbines.

In terms of our product, we have been consistently developing our product. Our current largest selling product is S120, which is 120 meters rotor and 2.1 megawatt output -- and we are now commercializing our next product, which is 3 to 3.15 megawatt 144-meter dia and 160 meters height of product. In terms of our order book as on 30th September was 759.2 megawatts. And subsequently, we have announced to the stock exchange another 193 megawatts of orders. So, we have a very strong

order pipeline existing as well as under discussions going forward. Given this background of the company and the macroeconomic scenarios of renewable industry, I now

hand it over to Himanshu to take us through the financial journey over the past few quarters as well as the current scenario.

Himanshu Mody:: Thank you, Ashwani. Again, good morning, good afternoon, ladies and gentlemen. I would be using Slide #17 of our investor presentation, which has been uploaded on our website as the reference point for my discussion during this presentation. As you can see, this is what we like to title transformation over the last 30 months since March 2020 until September 2022. And this is, of course, this transformation has been a very well laid out plan and thought process of our late founder, Chairman, Shri. Tulsi Tanti. If you can see the numbers on the volume side in March 2020, FY '20, rather, we did 59 megawatts of revenue recognition on the manufacturing side, which in FY '22 has grown to 808 megawatts in terms of the manufacturing. H1 of FY '23 has been higher than H1 of FY '22. So, the FY '22 momentum that we had caught is fairly on track for this financial year as well.

In terms of the revenue numbers, a similar story, approximately INR 2,933 crores consolidated revenue in FY '20 has grown to more than 2.5x to about 6,520 in FY '22. And we are trending along very well in the first half of FY '23 as well with growth of about 15% to 20% over FY '22 H1. On the EBITDA side, what used to be a negative EBITDA company in FY '20 and a significantly negative EBITDA company of negative INR 423 crores. We have been able to deliver a positive EBITDA of INR 828 crores in FY '22. And in this year, first half of this year, is also trending along the similar lines of the previous year.

On the debt side, which has been the large transformation story for the company, the company has been through a few cycles of restructuring with its lenders due to the large debt pile up that had accumulated in FY '19, FY '20, but that has now significantly been reduced from INR 13,000 crores to INR 2,700 crores in H1 of FY '23. Of course, after the successful rights issuance, which was post 30th September 2022 event, another close to INR 600 crores of debt has been reduced as of 4th November and the debt post rights is now stands at INR 2,139 crores. This, of course, brings down the interest costs or the finance costs also significantly down for the company. And I'm happy to report that after a period of five years, Q2 of this financial year FY '23 is the first

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quarter wherein the company has been able to report a positive PAT on a purely operational basis.

So, we are well on our way to capitalize further on this transformation. As Ashwani said, the industry outlook looks fairly bright. And from a financial prudence perspective, the balance sheet, P&L and the management are all geared up to participate in the growth story here on. With that, I'd like to conclude my presentation, and we can open the floor for any Q&A that the callers may have. Thank you.

Moderator: Thank you, we will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on your touchtone telephone. If you wish to remove your cell

from the question queue, you may press star and two. Participants are requested to use handset while asking their question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have the first question from the line of Chetan Shah from Jeet Capital, please go ahead.

Chetan Shah: Just two quick questions. One, in terms of our -- if I go back to our slide where you mentioned about our installed capacity, could you actually tell us in terms of the operational capacity, how much exactly is this, I believe, and pardon my numbers, I will check it if I have wrong information but some

portion of our capacity because we're not utilized for last three, four years, it needs to do some kind of a tweaking to make it fully operational? And if that is true, then what is the kind of money required to do so? That's my first question.

And second, in terms of the order book mix, which you showed in the slide number 12, there are three part of the order. If you can give us some flavor of the working capital requirement, both in terms of bank guarantee and also the operational working capital, how does that back work as of now? These are the two basic questions I have, sir.

Ashwani Kumar: Yes, thank you. Let me try to answer the first one, and then I'll -- then Himanshu can answer the working capital part. So, all of our capacity that we have installed, most of it is operational.

Many of them have done 20 years operational life. What we are doing with those customers is offering them a solution by which we enhance their life by another five years. Most of our customers have agreed to it.

And some of them which have not agreed, we have handed it over to them. So those are more than 20-year-old turbines. Some of these will be used for repowering as the government of India has announced repowering policy. In terms of your other questions in terms of which I thought

is more on manufacturing capabilities I think -- yes, so we have manufacturing capacities, which will not require capex or a lot of capex for even our next series of turbines.

So, our 3,150 megawatt of capacity, which is based on 2.1-megawatt model will require very little capex to increase this capacity. Presently, we are fully geared up in terms of preparedness, both in terms of our suppliers, our designing our prototyping of our three megawatt turbines without any capex requirement. On order book working capital, Himanshu, you can trust...

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Chetan Shah: Just want one small clarification. This new turbine of 3-plus megawatt, is there any time line in terms of our first prototype will come and how the order flow will happen over there? Apologies to cut you in between.

Ashwani Kumar: Yes. So, as I said, the way we -- any new turbine is launched is we start taking smaller orders first rather than a large order for a utility. The smaller orders have already flown in, in terms of those are part of the order book that we have disclosed. And the prototype is, as I said, will be installed in the next couple of months. And the results of that would be -- and as I said, commercialization in terms of we are already offering it for sale. And in the next calendar year, they'll be up and running, the 3.x megawatts of turbine.

Himanshu Mody: So, on the working capital for our ability to be able to deliver this order book after the significant debt reduction, as I presented a few minutes back, we are very well placed. We have been in active discussions with a few bankers to provide the working capital facility, and we made significant progress and certain in-principle sanctions also have been received for the same. Additionally, our existing lenders also they have a project-specific funding policy under which they are permitted to provide working capital support for projects such as manufacturing activity such as ourselves. So, we are fairly well placed to be able to deliver these orders in a timely manner from a working capital perspective.

Moderator: We have the next question on the line of Yash Agarwal from JM Financial.

Yash Agarwal: So, my first question is on the order execution. So last year, second half, I think we did about 520 - 530 megawatts sitting at nearly 1,000-megawatt order book at the moment, what is your assessment? Or what sort of growth could we see in the second half in terms of order execution?

Ashwani Kumar: Yes. So, I think you're right on both the numbers in terms of we have a very healthy order book. And last year, we did 450, 5

00-plus megawatt over the second quarter. This year also, our execution team is confident that they will be able to deliver good results in the next two quarters.

So, I didn't want to put a number on it, but I think so, overall, since we have performed better in first half since last year, we expect a healthy performance in the next two quarters also.

Yash Agarwal: My second question is, again, on the WTG and the EPC side, which is a standalone entity. So, I think the first half also, the EBITDA margin on the business is hardly 2% to 3%. So, at the moment, whatever we are earning EBITDA, so my assessment is on the O&M subsidiary. So where should this -- what is the target to take it to the EBITDA margin on the execution business? That is the WTG and the

EPC part of it.

Ashwani Kumar: I think so, given the last few quarters, given the commodity prices variation, EBITDA margins for most OEMs worldwide have taken a hit. -- or in our own case, it was also limited by the volumes that we could do. As you could understand that if you are close to breakeven volume, the EBITDA will be low. As the volumes increase, our EBITDA margin goes up because all your fixed cost is covered by the breakeven volume. So, we expect this EBITDA margin to grow in the forthcoming quarters going forward.

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Yash Agarwal: Is there any breakeven EBITDA number beyond which our margin -- sorry, a volume number beyond which our margin is in higher single digits.

Ashwani Kumar: You are all financial analysts; you can calculate that given our numbers so far over the past quarter.

Yash Agarwal: I had a few, again, bookkeeping questions. In the annual report, there's the subsidiary called Suzlon Gujarat Wind Power Park or something, which is actually leaking INR 300 crores for you. What exactly are the operations done in this? And is this expected to continue -- the sort of losses that we're seeing there?

Himanshu Mody: Yes. So that is -- the interest is due to certain intercompany transactions. We obviously going forward due to implementation of certain merger schemes, you'll see a much more streamlined balance sheet on a consol and a standalone of SGWPL as well -- and of course, at a consol level, it has no impact due to it being intercompany.

Yash Agarwal: And the interest cost for the last.

Himanshu Mody: Yash, with due respect, I think we have a -- if you have any questions, please write to us off-line because we do -- to be fair to others in the queue. I request all callers to limit their questions to two or three, please, so that we do justice to all the other questions. Yash, we can take your follow-up questions off-line, please.

Moderator: We have the next question of the line of Gautam C Jain from GCJ Financial Advisors.

Gautam Jain: My question pertains to your wind turbine revenue. That is highly inconsistent quarter-on-quarter. And you said in the presentation that the current capacity of India is 40 gigawatt, it go to 140 next eight, nine years. So what order book we are looking at every year from now to next six, seven years?

Ashwani Kumar: So what has happened, as I described in the macroeconomic scenario, there were pre-2017, it was only state-wise wind capacity addition based on the tariffs given by each of the states. What changed from 2018-19, a bidding wind regime came, initially as was expected because solar was very low volume, the most of the bids were solar bids. That has changed over the last one year, where the solar pure solar bids have stopped and hybrid and wind bids have come.

We expect hybrid and wind bids capacity in terms of opportunity will be close to 3 to 4000 megawatts every year. In addition to that, what has also happened recently is many of the industries including the PSUs have started putting up wind power projects because of the interstate transmission that has been allowed. If you see our

order book, there is a significant portion

of captive retail PSUs of almost 285 megawatts.

This number used to be very-very low if you take even two years to three years back. So we would expect this market segment also to be a very large market segment going forward.

Government in fact, is announcing both for energy consumers, which is the large steel things having their RPO obligation, including a specific wind obligations.

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Two, government is also saying that many of the existing coal generators by name has to also generate renewable energy going forward. Having said both of these, we expect this market size to grow. We are still awaiting the things, but we are under active discussion with many of the industrial customers in India for these orders. So 140 gigawatt government target is, I would say, government has put a lot of mind into it. And the wind sector in terms of production capacity, in terms of the site and execution capabilities is capable of delivering that. It will happen, I would say, not in a bulk chunk starting immediately, but it will have a steady growth over the next two, three, four years.

Gautam Jain: What is our executable capacity, every year or per year?

Ashwani Kumar: Yes. So presently, given 2.1 megawatt turbine, we can make around 3,000 megawatts we can supply. This will increase as we increase the turbine size because, as you know, the capacities is in terms of the nacelle, the big unit. So we produced let's say, 50 to 60 units per month. And that can go up, the moment the megawatt size has increased, this capacity will increase automatically.

Gautam Jain: And my second question pertains to your AMC business, which is quite stagnant for many years. So how do you see that business stepping up in the future?

Ashwani Kumar: So the AMC business is stagnant in terms of the increase in megawatt is reflective since the parent company did not supply much turbines, there was not much turbines added in the AMC business. Now that the turbine supplies last year was 800-plus megawatt. This year continues to be a good performance and going forward much more that automatically adds to the growth of the AMC business. One of the things that we do because we are end-to-end service provider is that when we supply the turbine, we ensure that the AMC business remains with us. So automatically, as our turbine sales grow, AMC growth is also there. However, if you take actually the five year scenario in pure AMC business, while the top line may not have changed much, the efficiencies and our work on it ensure that the EBITDA has gone up substantially over the last few years on the AMC side.

Gautam Jain: Yea, that's true. Thank you so much

Moderator: We have the next question from the line of Piyush Thakkar from Autus.

Piyush Thakkar: Yes. First of all, I congratulate for a very good results this quarter, we come in profit actually.

So my question is what is the reasonable amount of debt you see if you sit in the balance sheet can be serviced without any challenge, number one? And how and when we can target to achieve that actually? My second question is when we are thinking to free our pledged shares actually is 100%, right now?

Ashwani Kumar: So let me answer the first question, Piyush. I got that. So essentially, if you see our consolidated debt, as I presented to you earlier, is close to about INR 2,139 crores after the rights issue. And if you look at the consolidated EBITDA, if you even annualize the EBITDA and you look at the FY '22 last year, we are sort of close to about a little over 2x debt-to-EBITDA in terms of ratio.

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So I think these debt levels is something that we can more than comfortably service through the free cash flow that is available with the company. Having said that, of course, we are working on further optimization

plans to see how we can further bring the debt down. And the rights issue was, of course, the first step in that right direction.

Himanshu Mody: To answer your second question, the pledge of the shares of the promoters, Lion's share of that pledge has been done to the lenders of the company, which is REC and IREDA for the facilities that have been borrowed by the company. So it is the Lion's share of the pledge is for the INR 2,200 crores of borrowing that the company has.

Moderator: We have the next question from the line of Aman Sonthalia from Mugi Constructions Private Limited.

Aman Sonthalia: Sir, what are the noncore assets, which can be monetized?

Himanshu Mody: So Aman, there are two noncore assets, which we have identified for monetization. One is, of course, the real estate, which sits on the stand-alone books of the company, which is our corporate office in Pune, that's an 11-acre campus. Of course, due to COVID and all of these reasons over the last two or three years, commercial real estate has been slow, but that is an asset which has been identified for monetization.

And the other, of course, is we've been talking about is SE Forge, which is a 100% subsidiary of the company. So that is some thing that we will look. Of course, the timing of monetization of these assets, we'll have to be tactical about. But those are essentially noncore to the business. SE Forge can say it's a backward integration for the company's manufacturing facilities. So we will keep our eye on the ball to see and capture the right timing for monetization of these assets.

Aman Sonthalia: Sir, one more question that, we are expecting that the market of wind power will be increased from 40,000 megawatts to 1,40,000 megawatts by 2030. How realistic is the target, sir?

Ashwani Kumar: From whatever I expect the government to perform. So like government, if you remember, had given a target of 175 gigawatts by 2022. As of 30th September, as of their own performance, it's already achieved 166. So, government does plan properly is our view. We, as an industry, will keep supporting government's vision and ensure these targets are achieved. In terms of the wind potential of the country, it is definitely much more than 140 gigawatts, if you include all the wind potential of the country.

So we do not expect either in terms of the availability of sites and wind sites in India. There is a problem. We do not expect that we, as an industry player and along with our friendly competitors are geared up to do it. And the third, which is very important, which people tend to forget is that the ecosystem of wind projects has been developed over years. And unlike some of the other industries, almost 80% to 90% of the components for wind industries are produced in India. So in both in terms of our readiness, our self-sufficiency and availability of sites, I think so all of that is there in India. So that's all, I think, I have to say in terms of now and I've been an optimistic positive person, we would definitely support government to achieve these targets.

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Aman Sonthalia: And sir, one last question. What is the margin in AMC business?

Ashwani Kumar: So margin in AMC business, if you take the EBITDA, et cetera, has been over 40% over the last many quarters in the last few years.

Moderator: We have the next question from the line of Ketan Karani from Ketan Karani Global Research.

Ketan Karani: This is Ketan over here, congratulations for the good result. And certainly, we share the pain of demise of Tulsibhai. Coming to the results, I just want to know the noncore asset, as you said, there are two real estate and SE Forge. Can we just have a ballpark figure of what kind of amount of money we are looking at? That's the first question. And the one question was what are the targets of production for the year 2023, '24 and '25, if

there has to be internal target? And what are we looking at if we can be either megawatt or rupees whatever, please think you can clarify on those lines.

Ashwani Kumar: So on the first question, why do you want us to go public with our expectations and tell all the prospective bidders on what our targets of achieving those numbers.

Ketan Karani: You can be over optimistic also.

Ashwani Kumar: If I'm over-optimistic, you will say you did not achieve the target you said...

Ketan Karani: I just want a ballpark figure, if you are looking at INR 1,000 crores or INR 1,500 crores, we also if you give a range, we know what kind of debt reduction we are looking at. That's the only reason I'm asking...

Ashwani Kumar: Let me answer that. I think that part I can answer. It will take care of a significant portion of our debt current debt today, both these assets combined.

Ketan Karani: What will be the production targets for -- or maybe the sales targets?

Ashwani Kumar: In terms of production target, I think so it would be fair to say that whatever the country installs over the next three years, we will try to achieve our market share of 30-plus percentage in each of those years, etcetera. Our targets, internal targets are pretty strong. As of now, we have decided not to give these guidance numbers. But I'm sure, going forward, we will start sharing this with analysts.

Ketan Karani: That would be very nice and I certainly would like to end with congratulation for the great turnaround and hoping for the good days back, which was there 10, 15 years ago. Thank you.

Moderator: We have the next question from the line of Abhinav an Individual Investor.

Abhinav: My congratulations as well for a good turnaround in this quarter. I have two questions, probably both of you for Ashwani. One is our current manufacturing capacity utilization is around 800 megawatt per year against the capacity of 3.1 gigawatt per year. Are we looking to continue with the current utilization or looking to increase the utilization and deliver on order book faster. And Suzlon Energy Limited

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the second question is with our debt now coming to sustainable levels. What do we think will increase profitability from here on?

Ashwani Kumar: So on the first question, what we did was, while our capacity capabilities remained over 3 gigawatt, we ensured over the last few years that we cut down on our costs to make sure our breakeven point reduces to a much lower level. So having achieved that, we will grow as the market grows in India. So far, last year and last to last year and even the last for last two, three years, Indian wind market has not been much, but that has changed given the number of bids that have come out in recent months. So we will achieve a much better capacity utilization going forward. In terms of the...

Abhinav: Ashwani the second question was with our debt coming to sustainable levels. What do you see will increase our profitability going forward?

Himanshu Mody: This is Himanshu here. In terms of debt, as I said, coming to sustainable levels are, as I said, the first quarter in Q2 is PAT positive after many years, and we expect this trend to continue or even further better from here.

Ashwani Kumar: I mean, again, you guys are analysts. You can see, if you take the same Slide 17, our FY '20 debt of INR 13,000 crores, what is the finance cost of debt versus what will be the finance cost of INR 2,139 or, whatever interest rates you may choose to keep. And that is definitely the savings and that is directly to the shareholders.

Abhinav: I meant that we might not achieve much further savings through debt reduction because it's coming down to optimal levels now, and I think there would be other avenues to now increase profitability. That's what I am trying to understand.

Himanshu Mody: I agree with you there a bit, in fact, as we also look at further increa

sing our order book, there

would be an increased uptake on our working capital side also, which may add to the overall finance cost. But for only that is -- that increase in finance costs would only be linked to the increased volumes that we may generate. Your understanding is right that further optimization in the P&L through interest cost may be minimal.

Moderator: We have the next question from the line of Chetan Shah from Jeet Capital.

Chetan Shah: Just one small question, in your opening remark, you kind of explained us about the government opening up of power intrastate from one corner to another corner, and I believe we have some time line restricted by government up to 26 or some thing, is that true or this is like can keep renewing? Just wanted to get a sense on that.

Ashwani Kumar: So there are two portions of it. One is there is something called green energy open access rules. These rules basically say that if you put green energy, solar, wind at one corner of India and take it down on the other corner, you are allowed to do so, and Power Grid and others are making rules regarding how to apply what to do, etcetera, for doing that. That is allowed now. That is, doesn't have any time line associated with it. What government is doing in addition to this is for

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the projects that come till 2025, there is a 100% waiver of transmission charges to encourage green energy and the green energy user usage by industries all over India.

They have given 100% waiver till June 2025, and that waiver will keep reducing every year. So what they are saying is, please put your green energy now. So I'm just, again, theoretically, if there is a, I would say, there's an aluminum or steel plant in Jharkhand, which was not a windy-state, they want to purchase power from a project which is in Gujarat or Tamil Nadu or

Karnataka, they can do so now under the new rules. And as if they set up the capacity before June 25, they do not have to pay any money to power grid for transmission charges. So it is encouraging them to set it up before a certain time line. That is what the time line is about.

Chetan Shah: Sir, just a small clarification, these waiver of charges are perpetual, if I put up a capacity before 2025. Is that the right understanding?

Ashwani Kumar: Yes. So once you set it up, and most of them like SECI bids, etcetera, once you sign a contract, then it will remain for the life of that contract. These charges will remain zero.

Moderator: We have the next question from the line of Sushithal from Samatva Investments.

Sushithal: I just add some couple of book-keeping question. I just wanted to understand what is the right now, current order book we have, are you taking this...

Moderator: Sir, your audio is not very clear. Could you come closer to the mic or go off the speaker phone?

Sushithal: Okay. Sir, I just wanted a couple of book-keeping questions. I wanted to understand what is the current O&M gigawatts and turbines which we have right now? And what is the value of the current order book?

Himanshu Mody: So we have close to about 12 gigawatts of turbines under our active maintenance. And the sort of contract validity of those is over five years for most of these. And the average life of these turbines would be close to about 13 years. So that's the overview on the O&M business in terms of when assets under maintenance with us.

Sushithal: And once we receive any new orders, when does the actual O&M kick in? And like when does the money actually come from this O&M? Like, do you have any grace period so far before which we start receiving money from the O&M business?

Ashwani Kumar: Yes. So during the warranty period, we what, we supply, OMS is free for the customer. We build it in our sales price initially itself. And after two years, for majority of contracts and in some contracts, it

may vary that term. It will then go into full revenue earnings to our OMS business.

Sushithal: Sir, how do you see the business of O&M like in the last three, four years, a lot of individual contractors have actually started taking this business. So do you see like Suzlon actually taking over this business from your erstwhile clients? What does the general landscape look like?

Ashwani Kumar: So presently, I think we are proud to have that most of Suzlon's customers continue to remain with us, given our technical expertise and our size of operations. None of the individual operators

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of OMS are not even one-tenth of the size of us. So while they have just come up recently, but I think we remain the largest of OMS provider for wind turbines, in terms of, in India. Two things why we are doing that. One is the, given our experience, our performance in terms of the machine availability, the energy availability to the customer remains better than most things. And second thing is we are one of the few which provide comprehensive OMS. So what we call retailer customers, the headache has now shifted from you to us. And that comprehensive OMS service is what we provide to all our

customers. So given these two of our OMS strengths, most of the customers remain with us. And while some of the new players have come up, which have started doing OMS, I think so those are much smaller compared to what we do.

Sushithal: But as an organization, are we strategically looking at acquiring, entering that space aggressively as well?

Ashwani Kumar: So in terms of, if you're asking, if we want to operate turbines of other manufacturers, we have already started doing that at a very small scale. And as that business grows, we will continue to look for that business also. We have the technical capabilities, having been in the wind turbine business for over 25 years to operate all the turbines that are currently available. And as and when we get these opportunities of people wanting to shift their operators, we will look at those opportunities.

Moderator: We have the next question from the line of Sudhakar Prabhu from Netesoft.

Sudhakar Prabhu: I have three questions. So my first question is can you give us some sense on the industry? I mean, what is the total industry capacity some sense on pricing? Because earlier, I believe to install 1 megawatt, it used to cost INR 5 crores to INR 6 crores. So how has been the pricing for the last three, four years, some sense on that?

Ashwani Kumar: Yes. So the industry's capacity, as I said, the manufacturing capacity remains in India is over 10 gigawatts to 15 gigawatts, all the OEMs put together. The cost of wind turbines have not gone up from the numbers that you talked about, INR 5 crores to INR 6 crores per megawatt, why, that is because of the efficiencies done by most OEMs. So, once you have a larger size turbine, which means only 1 tower producing instead of 1.5 megawatt, which used to be the norm, close to 3 megawatt, the overall cost per megawatt does not increase too much. Yes, some of the commodity cycle in terms of steel and other pricing as did go up in the recent past, but those are starting to look better. The numbers, of course, what you are talking about, what I'm talking about are excluding tax as well as excluding many of the installation costs, which will vary from the various sites and other things.

Sudhakar Prabhu: And sir, in terms of PLF, wind used to do around 20%, 25% PLF, how are the PLF? I mean with the new generation turbines coming up, do you see the PLF can go up to 30%, 40%?

Ashwani Kumar: Most of our new generation turbines are between 35% to 40% given the sites.

Sudhakar Prabhu: And secondly, sir, I believe previously, Suzlon had all the land available, but I think the grid connectivity was real issue, so how is Suzlon faced right now in terms of grid connectivity? And

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with your existing land bank, what kind of total capacity can Suzlon execute over a period of years?

Ashwani Kumar: As I said, one of the Suzlon's strength has been we are end-to-end service provider. So, we have access to land. We have access to connectivity. What has happened over the last few years is that the government on their own is setting up all this power evacuation infrastructure. And that will give us and the industry overall, a much better connectivity situation than it has been over the past few years. So why the people come to us. One of them is, again, they don't have to go to a land person separately, an evacuation person separately and installation person separately and an OMS person separately and buy only turbine from a manufacturer. We are the one which do end-to-end service, and we continue to have, I would say, the best access to the wind sites in terms of whether it is in terms of data, land, connectivity, all the things put together than any other player in the country.

Sudhakar Prabhu: So, you are saying that your existing land bank is already well connected with the grid capacity is my understanding right?

Ashwani Kumar: I think so there is a whole development cycle in any project. It starts off with setting up of a wind mast. So, while we know that this is a windy site. What we do in terms of we set up a wind mast first. Suzlon has been a leader in wind mast in India by far. Once the wind mast starts giving data, that gives us and therefore, any investor, which comes into the wind industry, enough data on what the likely generation from that site is going to be.

After having the years of wind data, we start acquiring land. The land could be private land, revenue land or any other land that we start acquiring each one of them have their own processes. Once we have a good visibility of the land in that area where the wind has been there. We start applying for connectivity. The connectivity approvals have now been streamlined by power grid as well as by state transmission companies.

Some of the work they have to do in case they have to upgrade the transmission infrastructure, which might take 12 to 18 months. So, what this does is that there is no number as such. So, the number at the initial level of the windy side looks a very, very high number. But it's a rolling basis pipeline that we keep building. And that has been our strength over the last many years that the rolling basis pipeline that we keep building, we keep putting new mast, we keep acquiring new land, we keep acquiring new connectivity and keeping the areas and sites ready

for our customers. I hope that gives you a better understanding of the process.

Sudhakar Prabhu: It's very clear, sir. And my last question is, sir, on your rights issue. You have -- I mean you have only made a partial recall of the first right first call. And I believe another INR 600 crores is due.

So, when do you stand to raise this money...

Himanshu Mody: So difficult for us to commit a timeline. But obviously, as per the prevalent norms, the Board can give the shareholders a 14 days' notice to call the subsequent call or calls at any point in

time. So, as we get close to the new financial year in the next few months in FY '24, we are also

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getting into our budgeting planning exercises. So as part of that, we will, as management discuss this with the board and decide at the appropriate time.

Moderator: We have the next question from the line of Ketan Karani from Ketan Karani Global Research.

Ketan Karani: Just wanted to know one more thing as the government has already planned for 140 gigawatts of power from wind power, and that is one of the highest addition among the new alternative power arrangements. We would be, as you said, to earlier questions, over 30% is our thin

g was

we are planning to achieve out of that. So that's a huge output, which will be generated by Suzlon.

And there is a possibility that the 140 gigawatt 30% share will increase to 40%, 42% or maybe 45% also, as you are becoming much more stronger with time.

So, what we are seeing is the turnaround already started, will it become a pronounced one though

it's a forward-looking question. I just want to know from a 4- to 5-year perspective only, and that's nothing to know with next quarter. We are on the right path to becoming one of the best companies in the world again. Hopefully, we will not commit the same mistakes like what we

want to commit everything. But I believe that this is a possibility. Just wanted to know your feeling and understanding as you are running the company, what kind of future you visualize for shareholder wealth creation.

Ashwani Kumar: Thank you for your kind words, Ketan. The only thing I would say is that there is no better time to be a renewable energy company in India than now. And we, as management, are fully committed to utilize this opportunity for the benefit of all our stakeholders and shareholders, I would say, shareholders' wealth and shareholders' opinions are very dear to us. Thank you very much.

Ketan Karani: Just I would like to conclude by requesting that we let the shareholders also be aware of the planning, which we are going to undertake whenever it become feasible to you talk about it?

Because I think one of the concerns everybody would be having as a shareholder, as a future shareholder is. The promoters take it very low and if I just take into account Sun Pharma family

together, then it's okay, but otherwise, I think in the future, if we are -- it will be more happier to see the promoter work creating wealth for all of us create wealth for themselves also, so by increasing the stake from 15%, 16% to 26% or maybe 30%. I am a person who will be very, very happy if the promoters do that.

Himanshu Mody: That's well noted, Ketan bhai and we will be working on all sorts of strategic initiatives. On part of the management, I can assure you that there has been a quiet period for Suzlon for the last few years. But now we will engage actively with all our investors and shareholders. We now have an active investor relations team that we've put in place who will be in touch with you even despite outside the quarterly results. And of course, both Ashwani and I remain available to meet with the analysts, shareholders and investors, not only during the quarterly calls, but even during the year at any point in time.

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Ketan Karani: My best of luck to Suzlon. And with the confidence not from my side and hoping to achieve overachieving what I'm saying, let it be another, again, blue-chip what it was 15, 20 years ago, all the best to you, all of us, and all the best to all of us and good luck to all of us.

Moderator: We have the next question from the line of Anshuman.

Anshuman: Sir, the first question is what is the current cost of borrowing? And given that now we have become operationally profitable at the bottom line as well. So, what the trajectory that you see for the cost of borrowing, what you said exactly?

Himanshu Mody: So Anshuman, currently, the cost of borrowing is approximately about 10%. Of course, this was the deal which was refinancing that was done in May 2022. Subsequent to that, the interest rates, as we all know, have increased. And I think we might also face the brunt of that in the short to medium term. So that's where we are. Of course, this is other than the working capital or the enhanced working capital costs that also brings certain finance costs into the finance line. Of course, those would be only as

a result of any confirmed order book visibility that we have.

Anshuman: Sir, do we have any accumulated losses on our books currently? Could you quantify

that
number?

Himanshu Mody: So, there are certain accumulated losses, of course, as a result of the several previous year's operations. So, it's difficult for me to quantify, but I would say that tax shield is available to the company for anywhere between two to three year period.

Anshuman: So, he was trying to understand on that perspective. Sir, one final question. So, sir, given the thrust on offshore wind and repowering policy also which has recently come up, what is the opportunity size which you foresee over the next six months to one year, which we are also targeting?

Ashwani Kumar: So, the offshore in India is still at a very nascent stage because even the onshore potential is not being fully utilized in the country. So offshore, I won't say anything will come up in the next six months to one year. However, government has given a specific offshore target, which is a 2030 target as part of their 140 gigawatts. In terms of the repowering, there was a huge activity in 1999, 2000, 2001, of setting up wind capacities. Those are all, I would say, completing 20 years. So government has come out, as you may be aware of draft repowering policy last month and asked for the views once the draft repowering policies become established, each of the states will start selecting sites for repowering and that will be a good opportunity for us as being the largest player in the market and especially during the time when these projects were set up, we inherently have a better sense of what these repowering of 20, 25 gigawatt where and what it is going to be.

Anshuman: Sir, do we have the capacity to install offshore. Do you have that capability? And have we ever done offshore installations?

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Ashwani Kumar: So Suzlon in its previous history used to own companies and our design and technology team did contribute to installation of offshore turbines outside of India. We will use that design and technological expertise as and when the offshore market opens up in India.

Moderator: Thank you. That was the last question. I would now like to hand it over to the management for closing comments.

Himanshu Mody: Thank you, everyone, for the participation and joining the call at a little bit of a short notice. As I said, going forward, we will be now starting an active IR program. We have now a dedicated team available. And we will now take the opportunity to speak with all of you on a quarter-on-quarter basis. And in the interim, if there are any questions, please reach out to us through the e-mail ID available on our website, and we'll make sure we'll be swift to respond. With that, thank you very much, and have a good weekend.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

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13th February 2023.

National Stock Exchange of India Limited,
"Exchange Plaza",
Bandra-Kurla Complex, Bandra (East), Mumbai-400051. BSE Limited,
P.J. Towers,
Dalal Street, Mumbai-400001.

Dear Sirs, Sub.: Call on Q3 Results.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.
Thanking you, Yours faithfully, For Suzlon Energy Limited Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited
. Q3 FY '23 Earnings Conference Call"
February 10, 2023

MANAGEMENT : M R. ASHWANI KUMAR – GROUP CHIEF EXECUTIVE
OFFICER – SUZLON ENERGY LIMITED
MR. HIMANSHU MODY – GROUP CHIEF FINANCIAL
OFFICER – SUZLON ENERGY LIMITED

MODERATOR : M R. ANSHUMAN ASHIT – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Suzlon Energy Limited Q3 FY '23 Post-Results Call, hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

During this call, the company management may make certain statements which reflect their outlook for the future, or which could be construed as forward-looking statements. These statements are based on the management's current expectations and are associated with uncertainties and risks as fully detailed in the company's annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with the risks that the company faces. I now hand the conference over to Mr. Anshuman Ashit from ICICI Securities. Thank you. Over to you, sir.

Anshuman Ashit: Thank you. Good day, everyone. On behalf of ICICI Securities, I welcome you all to the Q3 FY '23 Post-Results Conference Call of Suzlon Energy Limited. Today, we are pleased to host the management of the company represented by Mr. Ashwani Kumar, Group CEO, and Mr. Himanshu Mody, Group CFO. We will begin the call with the opening remarks from the management followed by the Q&A session.

I would now like to hand over the call to Mr. Kumar and Mr. Mody for their opening remarks.

Thank you, and over to you, sir.

Ashwani Kumar: Thank you, Anshuman. Greetings to everyone, and thank you for joining us for our Q3 earnings

call. I hope you had an opportunity to review our results and investor presentation. I'll share with you an overview of the industry, and we'll walk you through our Q3 FY '23 and nine months FY '23 performance. We will then take your questions.

As we all know, the Indian government is committed to its 2030 target of 500 gigawatts of non-fossil fuel-based capacity. The target for wind out of this is 140 gigawatts. With current installed capacity of 42 gigawatt, it's clearly that over the next seven to eight years, we need installation of more than 10 gigawatts per year. There was a crucial announcement last quarter by the government of India of inviting bids for 8 gigawatts per year annually from 2023 to 2030. This is, of course, will be in addition to the private sector initiatives in the commercial and industrial sector that we are seeing a good tailwind with.

Government has also taken out policies related to ISTS waivers for green plants, discontinuation of e-reverse bidding. And all of these will boost the Indian power sector as we go forward. There are two important parts of this 8 gigawatt per annum announcement by the government. One, it will ensure participation of all the eight windy states in the development. Earlier, as was expected, what used to happen was that only where the wind is the best, those states were being crowded in the development cycle. Now the government has clearly outlined that not more than 2 gigawatt per year will be installed in any one state. So clearly, the development of wind will be now across all the eight windy states, which starts from Rajasthan in the North region to

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Tamil Nadu in the South. In addition to this, there is a draft repowering policy also government has come out, which shows a potential of 25.4 gigawatts. Being the oldest player in the industries, we definitely have our plus point when it comes to repowering opportunities in India. On the business and performance front, Q3 has been a stable quarter for us, in line with our plan. In terms of going forward, we are

seeing a major milestones within the company, too, when we installed the first machine of our S144 3. x megawatt at Tamil Nadu. 144 actually means the rotor diameter, so 144 meters is a rotor diameter of the blades of this turbine.

Our early performance reports that we are getting from the first machine is very-very encouraging. In terms of our priority because we cannot control the tariffs in which various bidders bid their things. Our priority is only to pursue quality orders with higher value and better margins because for us, it's not only about the top line, but also about the bottom line going forward.

We continue to build our order book. We continue to execute to our book as we go forward. In addition to the manufacturing, our OMS business that continues to perform as well as it's always been. We have over 16 gigawatts of capacity around the world, out of which 13.8 gigawatts are in India. With good support from the government, including the higher allocation in union budget, a strong sector outlook and with consistent strengthening of our fundamentals, we think your company is now equipped to leverage tailwinds of the sector from the position of strength. And that is demonstrated by our consistently improving performance.

I would like to invite Himanshu now, our CFO, to take you through our financial performance.

Himanshu Mody: Thank you, Ashwani, and very good evening to you, ladies and gentlemen. I hope you've had a chance to browse through our investor deck, which has been uploaded on our website. I would be using Slide Number 18 to 22 of our investor presentation that's on the website as a reference point for the discussion during this presentation.

Q3 of FY '23 has seen us register consistent improvement on all our key parameters. Our balance sheet is stronger as a result of significant debt reduction post the rights issue. It will be further strengthened with the receipt of INR 600 crores of balance call money on the rights, which is still pending for us to be called. We are pleased to report that the consolidated net worth of the company has turned positive after a period of nine long years.

Our consolidated Q3 FY '23 PAT before exceptional items is INR 78 crores for the quarter, and this is the highest PAT in over five years that the company has been able to achieve purely based on the operational parameters. This is against a Q3 FY '22 PAT of INR 37 crores for the corresponding quarter last year, registering an increase of more than 100%. We did a delivery volume in the nine-month FY '23 of 482 megawatts with a revenue of INR 4,257 crores as against the nine months in the previous financial year, where we did a delivery of 471 megawatts with a revenue of INR 4,078 crores, respectively.

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We continue to maintain a tight control on our costs as is reflected in our profit margins. As

commodity prices and supply chain issues stabilize, the positive impact of the same will be more-and-more apparent in the coming quarters in our profit and loss statement.

With continuous focus on deleveraging of our balance sheet, we have achieved substantial reduction in our net finance costs, which for the Q3 FY '23 stands at INR 80 crores vis-a-vis INR 181 crores for the same quarter last year, which is a reduction of INR 101 crores, which is more than 56%.

For the nine-month FY '23, our interest cost stands at INR 321 crores vis-a-vis interest cost of INR 540 crores for the same period last year, which is a reduction of more than 41% in the finance costs. Hence, there is a marked improvement in our financial parameters like net debt to EBITDA stands at 2.6x on a trailing 12-month basis for December '22, whereas our net interest coverage ratio is at 1.9x for this year, which are very healthy parameters.

I am happy with the way we are progressing

on all our initiatives to further strengthen the fundamentals of our company on the P&L and balance sheet side, both whilst keeping a very-very strong focus on the bottom line. On the overall economy, of course, as you know, inflation is under control and the economy is showing great resilience going forward. And as Ashwani mentioned, with great sectorial tailwinds, this will augur well with the sector and encourage investor sentiment over the next several years.

With that, I'd like to conclude my presentation, and we can open the floor for any Q&A that the callers may have. Thank you.

Moderator: Thank you very much, we will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handset while asking their question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Shubham Shukla from Voyager Capital.

Shubham Shukla: Yes. So, my question is like around the order book. It's in the capacity and megawatts. Can I get like monetary value of it, like how much is it going to be some thing?

Ashwani Kumar: Yes. So as of now, we do not declare the order book in monetary terms because there is, of course, a turbine order book, which one can safely guess by multiplying the megawatt by whatever is cost per megawatt that is installed from our revenue. There is equivalent amount of order book, if I want to call it an order book is in our services business, where we have these contracts going forward, which will remain with us over the next many years. So, because of the two different aspects of the business, we tend to not describe the order book in monetary terms. In terms of megawatts, I think it's already there on slide side 15 that it is 782 megawatts, right? That's only, as I said, manufacturing order book.

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Shubham Shukla: And about the debt, as we have seen the significant decrease in our debt levels and that also we have seen finance cost, do you see any more reduction or like total net debt to be like in a couple of quarters or years? Like just a rough idea about it?

Himanshu Mody: So whilst our scheduled repayments on the debt continues, Shubham, as I mentioned, there is about another INR 300 crores from subsequent tranches on the rights that has clearly been identified from the end use of the rights issue towards repayment of that debt. So in addition to the repayments that are scheduled, another INR 300-odd crores will go towards debt reduction. So to that extent, it will be expeditious reduction on the debt here also in the coming few quarters.

Shubham Shukla: But this is in for like coming quarters, but like do we see in like debt-free condition like maybe like two, three years down the line or like any plan to have it?

Himanshu Mody: So a bit too early for me to give you such a forward-looking guidance. But yes, we are maintaining the financial discipline of ensuring that the leverage keeps reducing on a significant basis and hope to see us a day soon where the balance sheet would be that net debt positive.

Moderator: We have the next question from the line of Sumit Kishore from Axis Capital.

Sumit Kishore: My first question is, in your third quarter and nine months revenue, what is the operations and maintenance services income? And what is the margin contribution of that income?

Himanshu Mody: So, we'll give that to you, Sumit. You want just for the O&M for the Q3 or you're talking for the nine-month period?

Sumit Kishore: Both.

Himanshu Mody: Of course, it is a part of the segmental revenue that we have given on a -- so I'll just give you the

numbers. So it is a total of -- for the December ended quarter, it is INR 476 crores in revenue and for the nine-month period is INR 1,386 crores.

Sumit Kishore: And if you could give us a flavor of the kind of margins for this business would be making at

EBITDA level?

Himanshu Mody: So at the EBITDA level, this business would be roughly about in the vicinity of 44% to 45%.

Sumit Kishore: And I'm assuming it will be, I mean, there is this large portion of this will flow down to PBT?

Himanshu Mody: That's right. I mean, on a standalone basis, but of course, on a consolidated basis, you'll have to adjust it for the interest outgo that we have towards the debt on the balance sheet.

Sumit Kishore: My second question is development around India inviting 8 gigawatt wind projects annually is very good. But what is the traction that we are seeing after this announcement? Is there any visibility on which state is going to start?

Ashwani Kumar: So from what we hear from the market is that they have been after the announcement, there have been a series of meetings between the ministry and the nodal agency, which is SECI. And I think

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so we should expect the first big announcement as part of this in the coming few weeks, if not maybe a couple of months.

This is the first time, and this has been our industry request from the Government, please announce policies till 2030 because you have a target of 2030. And this is the first policy which they have announced, which will last till 2030.

Sumit Kishore: So how exactly is the tariff going to be discovered for the bidding, if you could just explain us?

Ashwani Kumar: So it will still be a bidding process, but it will be one-time big single stage bid rather than, usually what used to happen was that everybody used to submit bids and suppose I put it at INR 3 and on. After everybody's bids were received they would start doing what is called a reverse auction and give you a chance to improve your bids. Now what was that time happening was that a lot of people would reduce their bids just for the competition sake or whatever in their own judgment. And many of the projects did not happen because the bid got awarded at unviable tariffs.

So basically, everybody welcomed the idea that everybody does their own calculation, submits a bid on which they believe that wind power can be supplied and the lowest person actually gets awarded the contract. The details of this, how this whole scheme will work, as I said, is being worked out by the Ministry and the Nodal agency, which is SECI for Government of India, and they will come out soon with their first bids.

Sumit Kishore: And this would get classified under central auctions in your order backlog, with SECI?

Ashwani Kumar: Yes, definitely. These are all central auctions, yes. And they will pull the power from multiple states and then sell it to the distribution company.

Sumit Kishore: What is the additional promise that you have in state auctions and captive retail PSUs, say, one year forward basis?

Ashwani Kumar: So some of the states have been active in their options, mainly Maharashtra, Gujarat and Madhya Pradesh and Rajasthan. In addition, the corporate market, if you ask me the latest circular, which everybody was waiting from CERC got released only on 7th of February. So we see now a big push in the corporate market, which used to be only within state to interstate transmission, because the government's journey on the interstate transmission for the corporate market is now clear, so it up to June'25 there is no transmission charges. And there have been a lot of inquiries by the corporates from with us and with other equipment suppliers on setting up wind and solar and hybrid projects for supplying to their manufacturing works or their steel plants or their aluminum plants,

which are not in the windy states.

Sumit Kishore: And I'm assuming that in terms of capex, because you have significantly higher manufacturing capacity, there is no significant capex for the company in the next one year?

Ashwani Kumar: Yes, I don't think so there will be any major significant capex in the next few years.

Sumit Kishore: What is the additional cash pending to be received on the right side...

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Himanshu Mody: Another INR 600 crores is what's spending.

Sumit Kishore: And this will come over what time frame?

Himanshu Mody: So that's something we are just in the midst of our budgeting process for next financial year. So whilst I may not be able to give you a precise answer, but as part of the budgeting process, we will factor that in, and I'm sure the Board will decide on the same soon.

Moderator: The next question is from the line of Mohit Kumar from DAM Capital.

Mohit Kumar: Congratulations on a good turnaround. So, my first question is the backlog. So of course, we are looking at the central auction which is going to happen maybe next three months down the line. But are there a backlog from the bids which were closed in this fiscal, which are available for us

to tie up? And is the -- can you quantify the quantum which is still not tied up as of now?

Ashwani Kumar: So if you ask me, and that again is the best of our information, there's no published data on that, but from SECI 8, 9, 10, 11, 12, the 13 is just concluded. They would be, I would say, more than 3 gigawatts of bids which are not tied up with any equipment supplier. How much of these bids which will actually go ahead and how much will get tied up with us and other equipment suppliers, I don't want to guess. Clearly, with our turnaround, we are a party, which most people will have their discussions with.

Mohit Kumar: So we are in discussion with most of them, and there could be some wins, right?

Ashwani Kumar: But I'm saying whether they do the project or not on those tariffs is their call, I can't take that decision.

Mohit Kumar: There's a fair chance that the 3 gigawatt. If they do the project, there is a potential for us out there? Is that a right fair assumption? How much is the international megawatt in OMS services and the margins in the international OMS services is significantly different from the domestic?

Himanshu Mody: Yes. So, in the international OMS, we have about 1 gigawatt approximately under a mix of comprehensive maintenance and what we call a technical services agreement, which is why, yes, you're right that the margins would be lower in the international because in India, we also enjoy the benefit of being a scaled-up operation. So the margin -- it's a little more than a breakeven operation. I would say, single-digit percentage margins at the operating level in international OMS.

Mohit Kumar: Thirdly, sir, on the hybrid opportunity, that's a very large opportunity. Are you thinking something to figure out how to get that business, that side of business? I don't think we have got any hybrid wind equipment order for us as of now.

Ashwani Kumar: No. So let me just define it. The hybrid projects have a wind element and a solar element. And then there is an integration of the two. So many of our already orders that we have talked about, and we have received are the wind portion of the hybrid projects. So, if you talk about our order book that we disclosed, then, yes. So I'll just give you one example of the order we disclosed last quarter, I mean, in this quarter, which was the one Aditya Birla. Now most of that 146

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megawatts are part of hybrid projects. Since we don't do solar EPC ourselves, we do the wind portion of hybrid projects and then we help the customer in integration the two sources and

connecting to the grid.

Moderator: The next question is from the line of Dhaval Doshi from Pinpoint Asset Management Company.

Dhaval Doshi: Sir, a couple of questions. First, if you can update us on the status of the non-core asset sales that have been planned, probably I'll continue with the second and close this..

Himanshu Mody: So yes, Dhaval, there were a couple of assets that we've identified, as we mentioned in the last quarter, one of the two assets, I think we should be able to conclude fairly soon in the foreseeable future. So once we conclude on that, then we will take stock of how and when to progress with the divestment of the second non-core asset. So I think in the very near future, we should be able to report concrete progress on the divestment of the first asset.

Dhaval Doshi: That sounds encouraging. So presuming this financial year would have one and the next would have the other?

Himanshu Mody: This financial year has about six weeks to go, so let's see.

Dhaval Doshi: Second question was with regards to the working capital. When do you think we'll be in a position to ease out our overall limits with the banks or ease out the working capital situation and post which we can start bidding aggressively for projects? Right now, we are constrained by working capital in terms of the bidding. So when do you expect this situation to ease out?

Himanshu Mody: So Dhaval, we are in very advanced dialogue with about four to five financial institutions, and I'm really happy with the significant progress that we've made with each one of them. We have an early sanction on a small working capital limit on board as well. I will not be able to disclose the amount or the name of the institution as yet. But it's encouraging signs. And I think by the exit of this quarter or early Q1 of next financial year, we should have had made significant progress for us to deliver on our next year's business plan.

Dhaval Doshi: So is it safe to assume that we could see a material jump in our order book position only once this sanctions from all the four banks that you're mentioning is done and till that time the order book growth will be constrained?

Ashwani Kumar: Not exactly, because I think so our order book, as we have disclosed this quarter, we are going for quality orders and orders that will happen. And so our order book growth will continue to be robust as and when people start awarding and finalizing their OEM suppliers. In terms of working capital, as Himanshu said, we are already on our way and working capital not restricting our order book as of now.

Moderator: The next question is from the line of Prashant Kothari from Picot. Ladies and gentlemen, the

current participant in the queue has dropped from the queue. We will proceed with the next participant. We will take a question from the line of Abhijeet Anand from Emkay Global.
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Abhijeet Anand: Yes. So, I want to understand the present competitive landscape, who are the Top 5 players, because you understand some of the earlier players who used to be in the last cycle do not do much on the domestic side. So, have we seen some new players, Chinese player or something of that sort? So, if you can give a perspective on that side?

Ashwani Kumar: I think so the three largest players in the market today, according to my personal opinion, is Siemens Gamesa, Suzlon and Envision. The other two international players are not that much focused on Indian market. The remaining are quite a small capacity and may not have the best of products for larger orders. So these three, I would say, are the people who will gather the maximum market share in India this year and next year.

Abhijeet Anand: And in terms of capacity, how would that be among these players?

Ashwani Kumar: I think each one of us will have enough

enough manufacturing capacity to satisfy the market.

Abhijeet Anand: Envision, if you can just, how long has been in the Indian market?

Ashwani Kumar: So, Envision came out with the product, I think a couple of years back and only those turbines have been installed. It's newer product. They've got some orders which are under delivery. Again, all of this is, I would say, to the best of my knowledge, and those will be installed going forward.

Moderator: The next question is from the line of Prashant Kothari from Picet.

Prashant Kothari: I'm sorry, my line dropped while I was asking the question. I'm not sure, if you caught the entire question. The question was how much is the O&M fleet today, because you said 16 gigawatt overall, 12.8 GW in domestic, but then you also said 1 gigawatt in international, so I was bit confused.

Himanshu Mody: Sorry, Prashant, your line is very bad. We couldn't really hear your question. I heard something about 1 gigawatt in international, that's about it.

Prashant Kothari: So, the question was on the OEM fleet, how much is it really? Because I heard 16 gigawatts overall and also had 12.8 in domestic and 1 gigawatt in international, somehow it's not adding up for me.

Management: Yes. A part of the O&M fleet, the balance would be under either under warranty period or it may be a fleet that has turned out beyond its life cycle period.

Prashant Kothari: So you're only getting revenues from 12.8-plus 1-plus, 13.8.

Himanshu Mody: That's right.

Ashwani Kumar: No. Sorry, 13.8-plus 1. If you go to Slide 14, the Indian installed base is 13.8 gigawatts, plus 1 overseas, plus some in the T&A-based supply agreement.

Prashant Kothari: And what was our market share in the kind of orders placed in this year, you have some ballpark number to give us?

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Ashwani Kumar: It's very difficult to get the data. So, we don't keep it. We usually go by the government of India numbers on the commission turbines at the end of the year. There's only, I would say, a reasonable number to follow. And there's no database of public information on how much order book people have got. And more importantly, even after they've got it, whether they are proceeding with these orders or not. So that's why we do not try to follow. We know which are the customers we are dealing with. Once we lose a customer also, we know usually, okay, this has been lost to this and the supplier. But I don't think so I'll have a market share number which is any- in any seriousness I can claim to be right.

Prashant Kothari: And in terms of actual installations then, what is our market share in the last year?

Management: 42% yes.

Prashant Kothari: So it's definitely better than our installed market share is it's quite encouraging. And maybe other question was, I mean, looking at your EBITDA in the O&M business, it seems that the manufacturing business is not yet making any EBITDA margins. But I thought that our breakeven sales is roughly around 600 megawatts per year, was my understanding wrong? Or is there some change in the economics of the business?

Himanshu Mody: No. So, we have -- for this nine-month period, the WTG manufacturing business has yielded an operating profit, of course, so as the O&M business. So that continues to be encouraging. And on the WTG side also, we have a modest EBITDA for the nine-month period.

Prashant Kothari: So, you have contribution margins of 30%. That's kind of for the WTG business or for overall business?

Himanshu Mody: No. So, for the OMS business, we have margins which are in the 40%-plus region. And the WTG, of course, we have a certain breakeven threshold, which results into a single-digit operating margin currently. As and when we grow in the volumes that adds to the WTG manufacturing margin.

Prashant Kothari

: So the WTG contribution margin would be about the order of what, how much?

Himanshu Mody: For the current nine-month period, it will be about 16%.

Prashant Kothari: And do you think that will change materially going forward, or there is not much expected in the contribution margins because of competition or whatever?

Himanshu Mody: So it should be similar as we go forward as well.

Prashant Kothari: And there's obviously this issue about a large conglomerate also in the green space who has got into a bit of a financial stress possibly. Just wanted to understand your exposure to them. And could that be sort of any risk in terms of order cancellations or maybe spreads in terms of working capital?

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Ashwani Kumar: I think I will refrain myself to talk about, I would say, other companies on this call. Just to tell you that any such events, if they had a material impact on our current operations or going forward, we will disclose it.

Prashant Kothari: Maybe ask it differently. I mean, how much is our customer concentration really?

Ashwani Kumar: No. I think our customer base is pretty well diversified in current order book. There's no customer concentration at all, actually, if you ask me in the current order book.

Moderator: The next question is from the line of Rohit Bahirwani from Vijit Global Securities Private Limited.

Rohit Bahirwani: As we all know, government will annually invite bids for 8 gigawatt wind projects during 2023 to '30, how much the company is expecting from this and from when we can expect the orders to start coming?

Ashwani Kumar: I think in terms of timeline, I think it's a very positive announcement by the government in two aspects. One, it has given a clear road map for the next seven years of 8 gigawatts per year.

Number two, by reducing the step of e-reverse action, the timeline for conducting the bid itself has been reduced. We are now awaiting the next steps from the ministry and the nodal agency, which is SECI. Both of them should come out, as I said previously, in the next few weeks in the terms of processes. And as and when the bids get awarded, usually, there are two processes in this.

One is before submitting a bid lot of people speak to us, and they become our potential customers, and they bid on the basis of our discussions with them. And two, post winning the bid, of course, they want to place the orders because they have only 24 months usually to set up the projects. So we would expect, as and when, this gets the full traction, which is going to happen over the next few months, everybody's order book and the whole wind sector will improve substantially.

Rohit Bahirwani: So in this wind segment only, if we see the annual capacity, the company has a substantial part, and if I'm not wrong, 33% of the total national capacity, which is in the company. So how much from this total 8 gigawatt plan of the government company is expecting?

Ashwani Kumar: Instead of giving futuristic numbers, let me just tell you that currently, out of the 41,000 megawatts in India, we have installed 14 gigawatts. So that is more than 33% of each installation, which has happened in India in the past. The similar has been our market share in the recent quarters. So I would not give any future guidance of what is the order book expectation, but I would say our performance has been healthy so far.

Rohit Bahirwani: And what is the average time between receiving of orders and commissioning of the project, if you can give some information on that?

Ashwani Kumar: Yes. So, in SECI bid type of order, it is usually, I would say, the supply will happen around 15 months, and the final commissioning happened in 24 months, 18 to 24 months of the order

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because not all turbines are installed on a particular day, they do it one-by-one. And in terms of smaller orders from corporate customers and people who use it for their own purposes, the supply is usually in three to six months' time and the installation in nine to 12 months' time.

Moderator: The next question is from the line of Faisal Hawa from HG Hawa & Company.

Faisal Hawa: So this has been like to my mind 10-11 years that we have spent prior to last year. So what are the two key lessons that we have imbibed from these 10 years and which hopefully, we will not repeat again those mistakes?

Ashwani Kumar: I think so, I mean, not only from this from my previous experience also. The simple, I think, so it is always good to find -- follow the policy of financial prudence and plan according to how the market is going to behave. And of course, keeping to also in terms of transparently and focusing on the corporate governance, do your business.

And I think so that financial discipline is something that, as you can see in the results have been brought about by reducing not only our financial costs, but our operating cost over the last many quarters. And so that's something, I think, which is good for any industry and any company. You will always have some events which will be unexpected. But as long as we have a robust discipline and transparency and governance, you will come through.

Faisal Hawa: And sir, secondly, Mr. Tulsi Tanti was like very legendary entrepreneur. And he is going to be missed like anything by Suzlon. How has the organization now restructured? And what were the key roles that he was playing? And now who is fulfilling those roles, what is also Mr. Girish Tanti's contribution now to the company? And if you could just elaborate on where he may be missed, how we have actually coped up with it?

Ashwani Kumar: Yes. So I think so what has always been the strength of Suzlon in terms of -- even when Tulsi Bhai was around, and we do miss him, of course, on every day, is that it always had a good professional senior management team, which was backed by the rich experience of the Board and the founder. This time, for the first time, we are disclosing this in public domain and if you see Slide 16 of our investor presentation. So Vinod Tanti, his younger brother has taken over, who has always been involved in the technology and service leadership of Suzlon has taken over as Chairman and Managing Director.

And Girish Tanti had earlier worked in Suzlon and then stepped out has come back, and he's earlier led the various functions like IT, HR, CSR, and also establishing global business and corporate development. So that's what his experience is, which is being utilized by the company now.

Of course, I, Himanshu, our Chief Technology Officer, Bernhard; and Mr. Mangal, who heads our OMS business, are the professional faces who have been well experienced in infrastructure and power space and bring that experience for the company. I think so the transition, though personally, I would say, we all personal loss has been fairly smooth in terms of operations. And if I can share one statistics that no one from senior management has put in the papers since that unfortunate episode.

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Moderator: The next question is from the line of Prasad M, an Individual Investor.

Prasad M: First of all, thank you for your honest way of executing the business. I really appreciate on that. And thanks for very good numbers. My first question is, I am looking at the slide and then I see there is a lot of potential for solar as well. Do you have any plans to get into solar energy?

Ashwani Kumar: I think, so there's no current plans to get into solar space. But as I said sometime back, that for hybrid projects, the integration part of it is something that...

Prasad M: Yes, then

at you mentioned, yes, so far, there is no plan. Because there is a lot of scope in that being a big player in wind part, we can get into solar. But my second question is that, sir, we have around nearly 800 megawatts order book value, right now. Why are we not executing aggressively in the existing order book? Is there any restriction for us or limitations in terms of manpower or the technologies like that, we cannot execute in very aggressive like, you mentioned for big institutions, it takes nearly 15 months?

Ashwani Kumar: So in terms of the execution of our orders, some of these orders are, as I said, being executed as and when the customer needs those turbines. Because many of the customers have their own sites, which may not have acquired land or not completed the evacuation. And therefore, they do not want the turbines to be manufactured now and supplied.

So some of the order book will get as and when their sites are ready, will be supplied at that time. Of the size that we have, depending on when the customer is ready to receive turbines, we supply the turbine. So currently, company-wise, whether it is labor, manpower, resources or our manufacturing abilities, I do not see any major impediment to fulfill this order book in a timely fashion.

Prasad M: So what is our capacity to execute max in 1 quarter...

Moderator: Sir, we request you to kindly return to the question queue for further questions.

Ashwani Kumar: Let me just answer this. So as I said, we do have some of the sites which are getting ready from part of this order book, which will be supplied in the next six to nine months' time.

Moderator: The next question is from the line of Jatinder Agarwal, an Individual Investor.

Jatinder Agarwal: I have just one question. So, we have our capacity utilization, which is somewhere in the range of 25% to 30%. Can you explain in two aspects? One, in terms of management or operations? And the second in terms of the financial obligation that you may incur if this capacity utilization was to increase dramatically over the next two to three years?

Ashwani Kumar: So as we all are aware that the Indian wind market, as an overall market did not do too well over the last few years, between '18-'19-'19-'20-2021 and '21-'22. So those four years were not good for Indian wind market. So, our capacity utilization clearly became less. However, going forward, this capacity utilization, as you said, being the pioneer, we have the best of manpower, best of manufacturing facilities, best of OMS operating and management teams. And therefore, we expect the capacity utilization as the Indian wind market grows to become higher. This will,
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of course, reflect in better performance of the company, both in terms of its revenue as well as other financial parameters.

Jatinder Agarwal: No. What I mean to ask is what type of challenges do you see in terms of -- so obviously, at 25%, the employee or the operational staff strength that you would have is very different from what you will hypothetically be doing at 75%. So that is one challenge that I can definitely see. Could you also explain this in terms of whether you need to upgrade your existing facilities in terms of capex and all whatever?

Ashwani Kumar: So I think so our fixed manpower is fixed and it can go up even if the volume increased substantially. What we need to add up is what we call the variable manpower. So of course, I'm just giving an example, we are making x turbines per month. If you have to make two x turbines per month and the labor force and the people we need at that level, what we call the variable manpower that will go up.

And I think so an Indian ecosystem getting those variable manpower, skilling them is something we have done it in the past and we are confident of doing it in future.

Jatinder Agarwal:

And sir, what about monetary cost in terms of redoing those factories or they are fully capacity?

Ashwani Kumar: As I explained in the previous question, we do not envisage any major capex over the next few quarters to do what we plan to do, which is to fulfill our existing order books and any way future order books.

Jatinder Agarwal: No, not the existing order book, but let's hypothetically assume if you're capacity utilization...

Ashwani Kumar: So I understand was to substantially increase to let us say even -- and I'm just giving a number to let us say, 2x number, we do not have to do a substantial capex.

Jatinder Agarwal: So for the next three years, you would say that at least in terms of maintenance capex, that requirement is low, is it?

Ashwani Kumar: Yes. In terms of new capex, the requirement is low, in terms of maintenance capex, each manufacturing works will have its own thing, which is all funded through normal costs.

Moderator: The next question is from the line of Pramod Bai, an Individual Investor.

Pramod Bai: My one question would be like, is there any possibility promote r planning to increase the stake in future?

Ashwani Kumar: So as management, we would not like to comment on our shareholders' shareholding of our company. And so that's where I would leave the answer.

Moderator: The next question is from the line of Sanjay Shah from Sarthak Metals Limited.

Sanjay Shah: Sir, for still many, many congratulations, we are delighted to see the aggressively healthier getting off our very own company Suzlon. So my first question would be, so we're all aware that
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this business requires a lot of free cash flow. So is it safe to assume that out of this policy push of 8 gigawatt of wind energy, is it safe to assume that government would also like to distribute it amongst the top players?

Ashwani Kumar: So the government will conduct bids and depending on the bidders, winning the capacity and their preferred manufacturing suppliers. We would expect this 8 gigawatts to be distributed with the suppliers, who are competitive and have the capacity and intention to take part in India's growth story.

Sanjay Shah: And is it possible that in the near-time future we would be able to see a significant push in the execution of the total megawatts. Like it's been a while since we have we've been noticing that it's been around 150 to 170 megawatts. Is it possible that Suzlon would be executing like higher number of megawatts in the coming future?

Ashwani Kumar: We have a good order book and depending on our customers' requirements. Let's all keep asking

this crossed and hope for better execution.

Moderator: The next question is from the line of Vinay Chaudhary, an Individual Investor.

Vinay Chaudhary: Congratulations on the great numbers. So, my first question is like where do we see with the recent noise from in the market on Adani, Where do we see the orders from them? Do we see any kind of flowing from them? And on the order flow, like around 800 megawatts was the distribution of WTG last year. And in Q4, we see Q4 as a major peak in our business. So, what would be the Q4 and rough FY 24 MW distribution?

Ashwani Kumar: As you are aware, we are not providing any future guidance of what is going to be this quarter or next quarter or next year. But as I said, we are disclosing whatever we know, which is the current order book. And you are right that last Q4 of last year was an exceptional quarter with very high volumes, which is always very difficult to replicate.

Vinay Chaudhary: And what about the orders, any update on the -- do we are in talking terms with the Adani Group for orders?

Ashwani Kumar: So we have supplied turbines to Adani in the past. But as I explained to the previous question, that currently, our order book is well distribute

d and there is no concentration of orders from any single customer.

Vinay Chaudhary: And just one more thing. Like with respect to the non-core assets, especially the Pune office, so that is expected to be closed in next financial year, is it understanding, correct?

Himanshu Mody: So as we said, we are working on one of the two non-core assets and hope to conclude that soon. Of course, at the right time, the company would make the relevant announcements to the exchanges.

Moderator: The next question is from the line of Mohan Kumar, an individual investor.

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Mohan Kumar: So sir, actually, I have gone through that investor presentation you have shared yesterday. So I was observed one thing that, okay, the order book actually, it was reduced compared to the previous quarter. Correct me, sorry if I'm saying wrong? It's a round some 50 megawatts, it is something is reduced. And that is the one question. And mainly, I wanted to understand that, like why the order book has reduced like last time you guys said that there is a chance of strong order book is in pipeline. So by considering that was probably this quarter would have been -- order book could have been increased right sir? So, may I know the reason?

Ashwani Kumar: So as you're aware, that order book requires both sides to finalize, so one is the people who have won the bids, etcetera, they have to finalize their projects and then finalize with us. So they have been -- so depending on what has happened over the quarter, I think so we have done fairly well by keeping our order book almost at the same level. And as I said, we are in decent discussions with many players who are won the bids as well as our planning for their corporate capacities. So, and so that is something which we'll keep sharing with you as and when we receive a large order or on a quarterly basis.

Mohan Kumar: Sir, another question is like last time also, we heard that something strong order book is in pipeline, okay? Currently, it is in advanced stage, okay? Even this quarter also, we have been hearing the same statement. So, I just wanted to understand that how much time would it really take when you say advanced discussion to get it materialize real order?

Ashwani Kumar: Yes. And I think it's a fair question, Mohan ji. And I think so we would expect as the Indian wind market grows overall, the order book of Suzlon will look also healthy. Because the Indian wind market has been muted for last many quarters, the order has been steady rather than in a very growth aspect.

Mohan Kumar: Another question on the trade receivables, like last quarter also, we are almost the same number. And even this quarter also, we are the same number, trade receivables. So, any blocking things for us to get it received these things, sir?

Himanshu Mody: No. So, there is no red flag there. Of course, the sheer sales in terms of rupees crores have increased. So I mean if you look at the receivable, it may be similar, but the number of days outstanding is in that sense, reduced. So, no red flags on any trade receivables.

Moderator: The next question is from the line of Sunil Jain from Nirmal Bang.

Sunil Jain: Sir, my question relates to the recent auction of SECI in the May of around 1,200 megawatt and recent 600 megawatt. So, the ordering for these turbines has already happened? Or is it still on the way?

Ashwani Kumar: No. As I explained in the previous question, there have been outstanding orders to the best of our knowledge, right? So we are talking about SECI 12 and 13. But even SECI 9, 10, 11, there have been some bidders who have not yet placed orders. So some of the bidders would be in discussions with us. But not all orders from SECI, 9, 10, 11, 12 and 13 are closed, which is what I expected, my estimate of the order

s which are yet to be awarded is more than 3 gigawatts,
3,000 megawatts.
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Sunil Jain: But 8, 9, 10, there were some questions like whether that will happen or not. But these 12 and 13, these are in new regime and at a good rate. So that should definitely happen? Am I correct?

Ashwani Kumar: I agree with your assessment, and we would expect some -- the only thing I can share is we are in discussion with some of the winners of SECI 12 and 13.

Sunil Jain: So my question was not like - it was more related to the timeline which generally in the order they get, they need to prepare and then they place the order -- so that's why I was asking that?

Ashwani Kumar: Yes. So let me tell you the timeline. The way timeline works is after e-reverse auction is completed when the people have won the bid, get what is called the letter of award. Post which, once they accept the letter of award, the SECI goes and ties up with power sale to various states.

They would say, okay, these are the bids which have come for this tariff, would you mind purchasing this power. Some of the discussion might have started before the bid, but the actual signing of what is called the power sale agreement, PSA happens between SECI and the DISCOMS of the various states post the award of proposed reverse auction being completed. That process can take two to three months and sometimes may extend to nine months also. Once that is signed, then they tie up with the power purchase agreement with the winning bidder.

Okay. We have signed this now. Your beneficiaries let us say, Uttar Pradesh or some state and please come and sign the power purchase agreement. From the date of signing the power purchase agreement, the bidder is given 24 months to execute the project.

So -- that is the timeline. And he would want to finalize the order close to, I would say, because once he knows that, yes, my power sales agreement has been signed by SECI and I can go ahead and I need to do this. So that's what he does. So, in SECI 12 and 13, as you rightly said, these have been recent awards. And I don't know the exact status of what is the status of SECI signing those PSAs or PPA. But all I can say is that we are in advance in discussions with many of the bidders. But the final order will only be done once they are sure that they have signed a PPA with SECI.

Sunil Jain: And you are confident of maintaining your market share?

Ashwani Kumar: I'm confident of doing well.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Ashwani Kumar: So, we thank everyone on the call for participating. And thanks to ICICI Securities for organizing this call. And we look forward to future calls and our Investor Relations is available for any queries that you may have on the company or in your shareholdings. Thank you so much.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2023

6th June 2023.

National Stock Exchange of India Limited,
"Exchange Plaza",
Bandra-Kurla Complex, Bandra (East), Mumbai-400051. BSE Limited,
P.J. Towers,
Dalal Street, Mumbai-400001.

Dear Sirs, Sub.: Call on Q4 and FY 23 Results.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you, Yours faithfully, For Suzlon Energy Limited Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited
Q4 FY'23 Earnings Conference Call"
June 01, 2023

MANAGEMENT : M R. J. P. CHALASANI – GROUP CHIEF EXECUTIVE
OFFICER – SUZLON ENERGY LIMITED
M R. HIMANSHU MODY – GROUP CHIEF FINANCIAL
OFFICER – SUZLON ENERGY LIMITED

MODERATOR : M R. ABHINEET ANAND – EMKAY GLOBAL FINANCIAL
SERVICES

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Moderator: Ladies and Gentlemen, Welcome to the Q4 and FY '23 Earnings Conference Call of Suzlon Energy Limited hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference, please signal the operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.

During this call, the company's management may make certain statements which reflect the outlook for the future, or which could be construed as forward-looking statement. These statements are based on management expectation and associated with uncertainties and risks as fully detailed in the company's annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with the risk that the company faces.

Thank you. I would now like to hand the conference over to Mr. Abhineet Anand from Emkay Global Financial Services. Thank you, and over to you.

Abhineet Anand: Thanks, Ryan. Good afternoon, everyone. I'd first like to thank the management for giving us this opportunity to host the call. Today, we have with us the top management of Suzlon Energy Limited, being represented by Mr. J. P. Chalasani, Group CEO; and Mr. Himanshu Mody, Group CFO. I will now hand over to the management. Over to you, sir.

J. P. Chalasani: Thank you, Abhineet, and good evening to each one of you, and thank you for joining us on our FY -- quarter 4 FY '23 Earnings Call. At the beginning, let me apologize to you for any inconvenience in the call because both me and Himanshu having sore throat so might hear some coughing, okay? So, it's not because there was a hard question. It's because we were not feeling well.

So, I hope I'm sure you had an opportunity to review our results and investor presentation. We will share with you an overview of the industry, and we will walk you through our quarter 4 FY '23 and full year FY '23 performance. We will then take your questions. As all of us know, that with good policy initiatives from the government of India as well as few state governments, the wind energy sector has got much needed impetus, providing momentum for industries to kick-start the journey to net zero.

The 2030 GOI target of 500 gigawatts of non-fossil fuel-based capacity, which, again, substantiated by the recent CEA report of the generation mix for 2030 demand meeting envisages that 100 gigawatts of wind capacity to be set up. So, with the current capacity of around 43 gigawatts, so we will need wind installations of about roughly 8 gigawatt per annum over the next 7 years.

The current -- recent important announcements of discontinuation of E-reverse bidding and resorting to close bidding, coupled with the state-specific bidding for all 8 states with the Pooled tariff. I think we feel that would actually make us get back to the pre-FY '17 level of capacity additions. FY '24 wind bid plan 2.5 gigawatt each by SECI, NTPC, NHPC and SJVN that is making it to 10 gigawatts. And as you are aware that the first 2.5 gigawatts, the NIT has come out a couple of days back from SECI, which is in line with the -- not eight states, but five states

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it has come out. The initiatives like ISTS waiver, the extension for COD of projects until June 25, will again boost the C&I segment mainly. Wind repowering potential of 25 gigawatts and the Green Hydrogen mission targets, the concepts like RPO and RGO obligations which further boost RE sector in a big way.

We have also responded to the market requirement of our larger wind turbine through our -- the S144 3-megawatt series. Our cumulative orders of 1,542 megawatts are the highest since 2019.

These include the order book as on March 31, 2023, of 652 megawatt plus orders secured subsequently of 890 megawatts.

Out of this, what is more gratifying for us to say is that 780- megawatt is new 3- megawatt series, which clearly demonstrates the immense trust that our clients have on Suzlon's expertise and product technology. Our priority going forward is to pursue quality orders with a higher value and better margins. Our focus remains on execution and building our order book. Our OMS business continues to do well. It has over 16 gigawatts of renewable capacity under maintenance globally, out of which close to 14 gigawatt is in India. With a positive sectoral outlook and strong fundamentals, we at Suzlon are now well equipped to leverage the market opportunity arising from energy transition.

I would now like to invite Himan Shu to take you through our financial performance.

Himanshu Mody: Thank you, J. P. C. sir and good evening, ladies and gentlemen. I will be using slide number 18 to 22 of our investor presentation, which has been uploaded on our website as the reference point for my discussion during this discussion. FY '23 has been a historical year for Suzlon since the company has seen significant improvement in all key financial parameters. Our balance sheet is stronger as a result of a significant debt reduction post the rights issue. Our fundamentals have strengthened with a consistent focus on our bottom line.

We are pleased to report that our consolidated net worth has turned positive after 10 years, and it is at INR1,099 crores for FY '23. Net debt has reduced from INR13,000 crores on 31st March 2020 to INR1,180 crores as of 31st March 2023. This is a reduction of more than 90%.

Our consolidated FY '23 PAT before any exceptional items has turned positive after the period of 6 years and is at INR167 crores for FY '23 on a consolidated basis. This is as compared to FY '22 PAT of negative INR249 crores last year.

With the continuous focus on deleveraging our balance sheet, we have achieved substantial reduction in our net finance costs as well. For FY '23, our net finance cost stands at INR401 crores, which was at INR712 crores for FY '22, yielding into a reduction of close to INR311 crores, which is a reduction of 44% in the finance costs.

Hence, there is a marked improvement on all our financial parameters, like net debt to EBITDA pre-foreign exchange is at 1.4x for FY '23 vis-a-vis 7x for FY '22. And our net interest coverage ratio for FY '23 is 2.1x versus 0.9x for FY '22. Inflation for us is under control as an economy and commodity prices have also stabilized, showing great resilience going forward.

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With that, I'd like to conclude my presentation, and we can open the floor for any question and

answers that the callers may have. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. Our first question comes from Mohit Kumar with ICICI Securities.

Mohit Kumar: Congratulations on a very, very strong order book. First question is, sir, how do you see the execution in FY '24 in megawatt terms? You did mention that it can reach 1.6 gigawatt, I think, which we did in 2017. Is it possible to reach that number in FY '24 based on the order book? Or do you think this number can be achieved in FY '25? That is the first question.

J. P. Chalasani: Yes. Obviously, we've given you our order book position as of today. So, 50% to 60%, maybe almost 60% of that is for the current year and we will book more orders. But as far as whether we will reach 1.6 -- in fact, we did 1780 megawatt in FY '17. But I think I would only say that instead of taking a guess on me, take a guess on the country, and we will maintain 25% to 30% of whatever country adds, our market share will be to that extent. So therefore, I will leave it to you for assuming what number

will be ours.

Mohit Kumar: But projecting a market share decline in FY '23? Is it right, sir?

J. P. Chalasani: That is primarily because more than 50% capacity of what we are supposed to add was not full scope of EPC with us, where we only supply the turbine sent to the commissioning -- erection and commissioning and the rest of BOPs with the clients. So, their turbine supplied even in quarter 2, a significant amount of it has not got commissioned in March 31. We have limited control over that. If we had that, obviously our market share would have been much higher.

Mohit Kumar: Understood, sir. My second question is what are the challenges required to get back to this high level of activity in terms of capital expenditure and working capital funding.

Himanshu Mody: So, from a working capital perspective, we have made a good start in securing working capital facilities for some of the orders that is currently available with us. Of course, this will keep getting built up for to match with the delivery schedules of the orders. So, we don't see any significant challenges on being able to have the working capital ramp up or done in time to be able to deliver on those orders.

Mohit Kumar: Any capex expenditure we need to do, sir?

Himanshu Mody: So capital expenditure, we would not need to do certainly for FY '24 other than the normal maintenance capex that we do, which is close to about INR100 crores. But for FY '25, we may need to start placing certain advances and orders in FY '24. So that may be a delta of another INR100 crores to INR150 crores over and above our maintenance capex that we may need to do to augment certain capacities for FY '25.

J. P. Chalasani: That's mainly for our 3-megawatt platform augmentation.

Moderator: Our next question comes from the line of Gautam C Jain with GCJ Financial Advisors.

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Gautam C Jain: Yes, congratulations for very good set of numbers. My first question pertains to your turbine segment. They're still not making money if I look at your EBIT. So, can you guide us where we are -- we will be able to make money in this line, turbine business?

Himanshu Mody: On the EBIT, you would be right. But at the EBITDA level for FY '23 in the WTG business, we have reported INR96 crores of EBITDA for the full year. Of course, at the EBITDA level, because we have a depreciation of close to INR250 crores, which gets reduced between the EBITDA and EBIT still continues to be negative. But on the EBITDA level also for the WTG business, despite lower volumes in FY '23 as compared to FY '22, we've been able to deliver a healthy EBITDA margin.

Gautam C Jain: So, what maximum margin we can achieve in this in terms of EBIT margin?

Himanshu Mody: So, well, EBIT margin, again, I won't comment on. I will stick to my answer on EBITDA margins. EBITDA margins in this business certainly can go upto single high digits in percentage terms.

Gautam C Jain: Okay. Around 8% to 9%, right?

Himanshu Mody: Single high digits. Yes, I would say.

J. P. Chalasani: 8% to 9% in those categories.

Gautam C Jain: And the second question pertains to your execution capability. You have written in the presentation that you have capacity to, I think, execute more than 2,000 megawatts, right?

J. P. Chalasani: Yes, that's what we established earlier in FY '17, the...

Gautam C Jain: You also said that 8 to 10 gigawatts orders need to be placed by different companies in wind energy, wind power energy. So how much do we expect to get from those orders in the next 3 years or 4 years? Can you guide us on that?

J. P. Chalasani: It's like -- as we said that our aim is always to be #1 and #2 in the country in terms of market share. And more important than that is that we will be plus 25% let's say, around 30% is the market share, what we're aiming. So, this is -- you can't really take the 10-gigawa

tt bidding

because they'll get bid at different times and COD is coming in different years. So, the year of bidding is not the indication of when the actual COD would happen.

Gautam C Jain: Okay. So, we'll try to maintain 30% market share? Okay. And my last question is, so we will have a good amount of cash generation in 2024 as well. So can further reduction in net debt will be seen in 2024?

Himanshu Mody: So certainly, there will be a reduction in the net debt in 2024. It may not be at the same pace as what the company has seen in the last few years. But I think through whatever cash flow generation as per the amortization schedule of our loan, yes, we will continue to see the debt reduction.

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Gautam C Jain: Okay. Any guidance on your AMC business. So, growth in the future, because that's also stagnant for the last 6, 7 years.

J. P. Chalasani: See, OMS is -- there are 2 ways of business growth. One is the turbine business what we do. Obviously, as our -- the turbine sales keep increasing in 2 years, to the extent the growth would happen. Obviously, you know that -- as a country itself, there's a subdued numbers in the last 5 years.

Post FY '17, if you see last 5 years, as a country we did anywhere between 1,800 megawatts minimum levels to maximum of 2,200 megawatts. Okay -- it's not just us, as a country we have not been growing, whatever the reason. So, whatever has been share, that growth has been there. So therefore, it is not something different in the sector.

We have been growing as per the sector. In the future as we keep growing, that will grow. And obviously, we would also look at growing by the multi-brand in the turbines.

Moderator: Our next question comes from the line of Vivek Ganguly with Nine Rivers Capital.

Vivek Ganguly: I have two questions. One, regarding you recently won a 300-megawatt supply order, like Torrent. Now would it be fair to assume that it is a multiyear contract -- and if that is the case, then how do you all manage the raw material volatility risk associated with such projects?

J. P. Chalasani: Some of the basic things is we are hedging in the contract as the commodity pricing with the steel and maybe even foreign exchange. So that is one way of hedging in the contract as first one. Second way is that we do have long-term relationship with our suppliers. So therefore, we give them an upfront indication of what we want, and we are locking the price evenly. So, these are 2 ways we try to see that we don't go beyond our estimates.

Vivek Ganguly: Okay. My second question is regarding the performance of the Chinese companies in the domestic market. So, there are -- Goldwind is a very large company. We don't -- I don't know whether they are in India, but envision it currently is -- so if -- how are they performing? And are there any regulatory steps being taken by the government? Or are they free to operate in the industry? If you can give some shed some light on that, then that would be very helpful.

J. P. Chalasani: Obviously, we are hands full with our own affairs. So therefore, I don't want to get into whether they have a regulatory hurdle. But only thing I want to say is that the market is going to be what we're envisaging i.e., a 10 GW bidding every year, I think there is a pie for everyone. So, I don't think that will be an issue. Whether they will have the hurdles or not, I don't think it's right for us to comment upon.

Vivek Ganguly: Great. And what is their market share right now?

J. P. Chalasani: Their market share?

Vivek Ganguly: Yes. In the domestic -- in the Indian scenario.

J. P. Chalasani: It's not right for me to comment about others market share, Vivek, but we can talk only about our market share.

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Moderator: Our next question comes from

the line of Rohit Bahirwani, an Investor.

Rohit Bahirwani: I had a couple of questions. My first question is how much are the carry forward losses at consolidated level? And related to it, what is the expected tax rate for FY '24?

Himanshu Mody: So, for FY '24, I can confirm that the consolidated level, there will be no tax outgo because we would be utilizing our carry forward losses. And the total carry forward losses -- on the balance sheet as of today is exceeding INR 2,000 crores.

Rohit Bahirwani: Okay. My next question is realization has gone up if we see on quarter-on-quarter basis in wind turbine business, it is around INR 6.10 crores per MW. So, can we expect this to continue in this financial year?

Himanshu Mody: So I think the margins that we've been able to report in H2 of FY '23, we should be able to

maintain those margins going forward for this financial year.

Rohit Bahirwani: If we look at quarter 3, the per megawatt realization was Rs 5.65 Cr. And in this quarter, it has come around 6.10. So, you are saying we will maintain the margins of H2, which will be around 5.8 to 6 Cr per megawatts. Is that right?

Himanshu Mody: So, at the contribution level, we should be able to maintain our margins at mid-teens as we go along. So, I don't want to comment on specific crores, but mid-teens are what we would be able to do.

Moderator: Our next question comes from the line of Himaanshu Kansal with Vijit Global Securities Private Limited.

Himaanshu Kansal: Yes. Congratulations for the good set of numbers. I just wanted to understand that as far as the offshore installations are concerned, you can correct me if I'm wrong. It is the bigger turbines that are needed, and they are visible so it's like 15-megawatt kind of turbines. I just wanted to understand that government has also started pushing for the offshore in the recent few months. So how ready we are for taking on the offshore project?

J. P. Chalasani: We are aware of that, and we are aware of the program when the offshore turbines requirement is coming to India and we are getting prepared to be ready by the time that demand is there in India. We would be ready, matching the demand schedule.

Himaanshu Kansal: Okay. Just one more question. In terms of reduction from the interest cost, if you can just give us some idea as to how much more interest cost can go down this year?

Himanshu Mody: So, this year, of course, difficult for me to give you a number, but -- as I said earlier, compared between FY '22 to FY '23, the interest cost reduction is about 44%. It certainly won't be to that extent because there may be working capital facilities, which is by way of nonfund-based limits, which we will be ramping up for execution of these orders.

So, whilst our term loan from gross debt of INR1,900 crores will keep reducing based on the cash flows, but at the same time, our LC and bank guarantee commissions that we need to incur for working capital will also be comprising a part of the interest cost. So yes, whilst there may

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be a reduction on the INR401 crores, but certainly not as high reduction as we've seen in the last few years.

Moderator: Our next question comes from the line of Eshan Bhargava with Emkay Global Financial Service.

Eshan Bhargava: So, you mentioned that there are no current challenges on the working capital, but just checking on another aspect. Last quarter, you mentioned that we were in advanced discussions with 4 to 5 institutions for working capital. So how have those discussions progressed? Could you give a flavor of that?

Himanshu Mody: So, without giving names or specific institutions, I can confirm to you that as we speak today, we are sitting on close to INR1,000 crores of sanctioned working capital limits available with the company from those institutions. And we are, of course, constantly in discussions with the

same institutions to ramp up the working capital or the project-specific funding to deliver on those orders. So certainly, it's a marked improvement over the last quarter, and we see this continuing from quarter-to-quarter.

Moderator: Our next question comes from the line of Ritesh Poladia with Girik Capital.

Ritesh Poladia: Sir, just to continue on the previous question on working capital. Sir, yesterday, there is an announcement of enabling resolution for working capital conversion into equity. So, will you have not significant challenges and why did you pass such a resolution? And what's the quantum of this retention?

Himanshu Mody: So, this was a CP of one of the working capital lenders without taking the name. That in case that there is a default on the working capital facilities that have been sanctioned by them and as and when we draw down those working capital, in case there is a default, then the lender has a right to convert the outstanding loan into equity shares of the company. This is a fairly standard enabling resolutions for the most kind of indebtedness that companies take.

So even when we refinanced our facilities last year, a similar enabling resolution under what's called 62(3) of the Company's Act was obtained. So, it is in line with that -- so it is -- while of course, this resolution has been passed by the Board and it will be tabled before the shareholders, but it is more a CP compliance than in actual -- the chances of it being implemented in actuality, given our current financial status is very remote.

Ritesh Poladia: So, this enabling resolution come into effect only in the case of default and not otherwise? Is that understanding, right?

Himanshu Mody: That's right. So, the lender needs the comfort that in case of a default, the shareholders have approved a resolution so that there are no hurdles for them to convert the outstanding loan into equity shares should the situation arise.

Ritesh Poladia: And sir, what's the interest rate currently going on -- for the working capital for you?

Himanshu Mody: So, working capital, in our case, is all non-fund-based facilities -- so we typically pay a LC or a

that range is anywhere between 2% to 3% of the LC or BG commission that we get issued from them. So, it's not a term loan facility where we pay sort of close to 10% on our existing borrowings, it's a little different construct.

Ritesh Poladia: Sure. And any advance available for -- from this PSU or the government companies? And is there an interest component in it?

Himanshu Mody: So, we don't get advances. Of course, when we issue bank guarantees to our customers, who we have taken orders from, so what we give as an advanced bank guarantee and against the advanced bank guarantees when our customers release the advance to us against the orders. So, to that extent, it is cash neutral, and which is by all our working capital is non-fund based and not fund based.

Moderator: Our next question comes from CA Arun Maruti with Shubhlabh Resarch.

CA Arun Maruti: Congratulations for a good result for this time. Sir, my question is with regard to the facility of other -- some inactive players whose O&M activity is not being done by them. So, are we envisaging any opportunity in that particular activity?

J. P. Chalasani: As I said some time back on the service business, looking from our turbines. We're also looking at the growth in terms of multi-brand turbines, that means which are not our turbines. So therefore, we would keep exploring the opportunities. Then we need to be sure that we'll be able to deliver the same level of service what we provide to our turbines because we have set standard with our clients.

There's a set of expectations when it is Suzlon turbines and the moment we

are confident we can

provide that service and making the reasonable margins and we are in the market. We keep doing it. Already we had done some turbines, and we will continue to keep doing that.

CA Arun Maruti: Okay, sir. And on the casting and forging activities, would you like to say something on that, that will be helpful.

J. P. Chalasani: See, the way the demand for wind turbines is increasing, so then obviously, the demand for the components is increasing. So therefore, the -- our foundry division is seeing a significant order inputs. And they're also working towards the improvement in productivity by doing some debottlenecks so that we can increase our capacity for this year and next year and subsequent years. And even in Forging, we are finding the order intake increase this year. So, we are seeing a growth there along with the parent company.

So -- and also there, they just don't do with Suzlon, they do non-Suzlon as well. In fact, with non-Suzlon customers, they are all our competitors, okay, that every single competitor of ours in the wind sector are the customers or the clients for SE forge. So everybody goes to them. Therefore, in fact their non-Suzlon business is, let's say this, Suzlon business is 30-40% and non-Suzlon business is 60-70%. And also, they have an export business, and we see a good growth potential there.

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CA Arun Maruti: So, can you share to any ballpark number for the guidance that will be helpful; what kind of growth we are looking in that particular business?

J. P. Chalasani: It is such a growth, what happened in the wind sector is what you can expect the growth there.

Moderator: Our next question comes from the line of Faisal Hawa with HG Hawa.

Faisal Hawa: With the massive shift to renewable energy in the future, would it be -- like too optimistic to believe that we could have -- at more like a INR100,000 crores order book with something very similar to what happened to us in the early 2,000 where we were like continuously over booked with orders. Do you see that kind of a situation coming back any time soon. As most of the players who are very much adapted, recognizing this oncoming slew of orders are not as well prepared as they used to be?

J. P. Chalasani: Obviously, I don't want to put a number to it, but I can say, yes as the policy is talking about. And I'd say there are two growth that are happening now in the wind sector. Earlier, we used to mainly depend upon the utility sector where in backed by PPAs used to be significant and retail segment used to be small.

But now with the C&I segment growing significantly, so there is order book coming from there as well. We don't need to depend just upon the bid. What I can only say is that we will be pick and choose now on the orders of which would give us, one is good margins. And the second thing is easy to execute and the third is who is the client, so that we can have a long-term

relationship in terms of OMS.

So, I don't -- in my opinion, the order -- at least for the next few quarters, orders would not be a constraint. It's a question of how much can we pick up in terms of our ability to execute and also the good quality order as well as quality clients. That's what I would put it as. But directionally, you are right, there will be more orders in the sector.

Faisal Hawa: And sir, can you just tell us of 2 or 3 shop floor improvement that we have made to really cut down on the order execution time and to increase margins for our company?

J. P. Chalasani: Earlier what used to happen, as I said, sometime back, if you look at even let's say, the highest we did in FY '17. The entire 1,800 megawatt was done by us on EPC basis, mostly completed on a turnkey basis end-to-end by us, okay?

That stretches us in terms of acquisition of land and the number of cranes and our people, ability and project

management but now what is happening is that because we're having a mix of orders, where some part of it is EPC, some part of it, we call it as SIC, which is Supply, Installation and Commissioning where the clients are doing and some people, in fact, just taking the turbines. They are doing erection under our supervision. So, with that, our capability to execute more orders in terms of execution part of it is increasing because there are supplementary efforts from the clients as well, compared to what we did in FY '17. So actually speaking, our ability to execute projects today on the capacity wise is much higher than FY '17 because we have supplemented by clients as well.

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Faisal Hawa: And sir, how are we viewing the whole offshore wind power? Will it finally come into any kind of a majority or it's still time to go?

J. P. Chalasani: I'm sure that you know more than me because you people keep tracking the sector much more than us. The offshore is aspiration of the country. Obviously, that we need to build the ability, there is an aspiration there at specific level. So, we need to build that ability and how long it takes for the ability to build and when the first project comes it is anybody's guess work. But what we are doing internally is that we don't miss the bus. We are preparing ourselves as and when that opportunity arises, we will be there in the market.

Faisal Hawa: And any orders coming from overseas to us or are we not even looking at that?

J. P. Chalasani: Right now, no. There's enough in India for us. So, we don't want to take our eye out of India.

Moderator: Our next question comes from the line of Himaanshu Kansal with Vijit Global Securities Private Limited.

Himaanshu Kansal: Just wanted to understand how much can we expect from the sale of the noncore assets this year?

Himanshu Mody: So again, we don't want to quantify a number here. But certainly, this financial year as in FY '24, we would see sale of one of our substantial noncore assets, but difficult for me to give you a number on any indications on the same.

Moderator: Our next question comes from the line of Uttam Kumar Srimal with Axis Securities Limited.

Uttam Kumar Srimal: Sir, what would be our revenue guidance and EBITDA margin guidance for FY '24?

Himanshu Mody: So, as I said, EBITDA margin guidance remains the same that we saw in the H2 of FY '23, which would be similar for the group. Revenue guidance -- would let you draw your own conclusion.

We said that we have close to 1,500 megawatts of confirmed order book, of which close to more than 50%, about 55% of that is for FY '24. And in FY '23, we did 664 megawatts, you know the revenue was close to INR 6,000 crores for the same -- so if we draw even 60% of 1,500 megawatts in order book, that's close to about 850 to 900 megawatts in orders for FY '24 on hand. So that is on hand, which is close to a 30% plus increase in order book. So, you can extrapolate the revenue increase from that.

Moderator: Our next question comes from the line of Rohit Bahirwani an Investor.

Rohit Bahirwani: Yes, just one final question. As per my understanding, 3-megawatt series have higher margins as compared to traditional wind projects. So, can you provide some sense as to how much variation is there between the two?

J. P. Chalasani: It's not really the higher margins for the turbine, but basically, when you go to the higher capacity of the turbines, the BoP cost comes down, the balance of plant cost, okay? So overall margins for the clients would increase at the project level. The margins at the turbine level would more or less remain the same. And second thing is the margins also will keep improving as we keep supplying more and more.

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There is a cost out and you establish you

r product cycle and things like that. But the -- but fundamentally, you increase the size of the turbine, it is the project level cost comes down. I hope it clarified it.

Moderator: Our next question comes from the line of Ritesh Poladia with GRI Capital. Ritesh, your line is unmuted, please ask your question.

Ritesh Poladia: On 3-megawatt series, how economically it is different from this 2 megawatts, if you can give us some idea because I believe -- definitely, our efficiency is much higher, but so is the cost. So, what's the net gain or is it the economical gain?

J. P. Chalasani: No. I think the previous question I answered with respect to the turbines. When you keep increasing the size, so it's not necessarily the cost per megawatt of turbine comes down, but cost per megawatt of the project comes down because if you say that we are doing a 300-megawatt project, we are putting 2-megawatt turbine, you need 150 footprints which are spread in much more area.

One is land cost increases, the second thing is your entire BoP cost or evacuation cost, everything goes up. But the moment you make that a 3-megawatt, only 100 footprints. So, your BoP cost comes down. The cost of the project comes down but not the cost of the turbine.

Ritesh Poladia: So, the economics like the IRR for the developer goes up?

J. P. Chalasani: Yes. More than that is, I think I look at higher capacity even though all the work is done because you keep increasing the capacity when we want to go from 40-gigawatt to 100-gigawatt, your availability of land keeps coming down, okay? So therefore, the 2 things would happen with this. The requirement of land comes down significantly.

And the second issue is that in wind projects, major issue is that keep getting issue of pathways i.e., your right of ways (ROW) not just during the period of execution, even during the period of operations because they are in open area. Those troubles keep coming down in addition to the project level cost coming down.

But significant thing is the main reason for the turbines size going up is that your land area required and your constraints in terms of operating comes down in addition to, to some extent, the BoP cost comes down.

Ritesh Poladia: Sure, sir. That explains. And sir, what's the replacement demand scenario looks like for next 2 years?

J. P. Chalasani: It is like in the repowering?

Ritesh Poladia: Yes, because those which are like 20, 25 years old need replacement. So, what the scenario looks like in next 2, 3 years? What kind of additional demand in wind turbine?

J. P. Chalasani: Wherever we are reaching to that stage, the -- because the turbines quality appears to be pretty good. So, most of our clients, these are mainly the retail clients at that point of time. We are talking about 20-25 years back; we didn't have the big IPPs, or utility customers were not there

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at that point of time. So, what they're saying is that, okay, fine, we want to a life extension of this turbine. So, they offer us a onetime price for refurbishing the turbines and then keep running it. So, it's a win-win for both. So, they continue to get the revenue from that turbine and for us it is good that our OMS revenue will continue.

That's what is happening in most of the cases where the turbine has reached that age. The repowering or replacing is not picked up at -- but that's an area which we all have been talking for, I think, 5-7 years, but it's still to pick up. It might pick up in the future. But right now, most of the contracts for us are happening that way.

Ritesh Poladia: In terms of the O&M business, we did about INR1,900 crores. So -- and it's almost like flat for the year. So, what kind of growth one can expect on that?

J. P. Chalasani: As I said, sometimes that growth would also depend upon the number of turbines we keep adding each year,

okay? Especially the -- we say it's flat because though we added last year and this year the significant number of turbines compared to what we have been doing. But because in FY '20 and FY '21, our capacity addition was low.

Those things have come now in the commercial operation. So, it is just not 2 years or 3 years we offer a free OMS period along with our turbine contract. So, they come into commercial OMS after 2 years.

So, what you're seeing right now is that what has been commissioned in FY '20 and FY '21. So those are very small numbers if you see our capacity addition. That's why you're not seeing the growth. So, the last year and this year turbines what we added. So obviously, will come into commercial operations gradually next year and the following year.

So, there's always a lag of 2 years or 3 years, mostly 2 years. Most of our contracts are 2 years for some turbine addition to the commercial operation. So that's way we are seeing bit of a low growth. But second point is as it is, as sector as a whole, the turbine addition has not happened much. But mainly for us is that those 2 years' big.

Moderator: Our next question comes from Nikhil Abhyankar with ICICI Securities.

Nikhil Abhyankar: I wanted to have -- I just want you to brief us on how are the current policy measures that are announced different from the earlier ones? How tangible is the policy measure? How tangible are the results? Are you already seeing any shift in the government's tendering activities?

J. P. Chalasani: I think a significant change -- let's understand make it into 2 parts of it. One is pre-FY '17 and the second is post FY '17 after the competitive bidding has come in. In FY '17, as the country, we did about 5.5 gigawatts and thereafter, we have not even touched 2.5 gigawatts, forget about 5.5 gigawatts. We not even reached 50% of it. The reason for before FY '17 was that every state was bringing a capacity addition and there were feed in tariffs. This also had GBI and everything. But once the competitive bidding came in, because the tariff was the main criteria, everybody went to the states where, it was not states specific everybody went to the states where there is a high wind.

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So therefore, you went to us to Gujarat and Tamil Nadu initially, all the bids.

So, once you get concentrated in that area, so then your capacity addition comes down because land issues, your evacuation issues and various issues. Plus, the experience of reverse auction, we're also seeing that the tariffs have significantly fallen below the actual level of what you see.

Cost effective tariffs was not the reason. So that's the reason some of the projects, in fact, if you compare the big megawatts versus the actual megawatts, there is a huge difference.

These are the 2 reasons why fundamentally things were not moving. Those 2 have been corrected now. Because the one is they changed from E-reverse auction to closed bidding. So therefore, this -- the criteria of gambling and getting into lower tariffs in the competition because we are seeing that if you reduce INR0.05 paisa you will get it, INR0.02 paisa you will get it, you know you get into that mood, that will go away, it is a one-time closed bid. So therefore, we will see that -- we expect that there will be stability of the tariffs.

Second most important factor is that they said that they will do the bidding of all 8 windy states, it will be state specific bidding. Even if they're doing 2.5 gigawatts on one bid or 10 gigawatts in a year, it will be state specific, and the maximum in a state would be 2 gigawatts. But when they go for the state specific, because some states because of the wind profile being low, the tariffs will be higher, and there could be potentially a problem of PPAs not getting signed for that. So, they came up with a solution that we will do a simultaneous

state-specific bidding, and

we will pool all that power and then sell at a pooled tariff. So therefore -- so that's the second aspect.

One is your bidding and the second aspect is your multi-states, so would increase the volume because these 2 were the main hurdles in the last 5 years as we look at it from the utility point of view. Simultaneously what has happened is that C&I segment which was hardly there is not significantly picked up because when you look at the metal industry or the cement or the refinery to everybody.

If you need to do an export, you want to get a net ZERO because your exports will get impacted in respect to whether you are green steel or not. Everybody is converting now into a renewable power as a captive consumer. So significant uptick has happened in the C&I. So that's, in fact, the -- if you look at our order book, almost close to 50% we're getting from that segment, C&I segment.

So, these are the 2 reasons. I think one is changing the bidding term. Second is because you got into a different area called C&I segment, we see a great amount of potential, in spite of the fact that last 5 years we did not do it.

Nikhil Abhyankar: Understood, sir. Of the current order book, so how much of it is EPC and how much of it is the only supplier?

J. P. Chalasani: I think roughly about 50-50 would be that. 50% would be EPC, 50% would be -- in EPC, again, we have 2 parts of it, one is we do along with power evacuation, some we do without power evacuation. So, the 50% is both. The balance 50% would be like a pure turbine supply, turbine supply cum erection cum commissioning but BoP won't be there.

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Nikhil Abhyankar: Understood. And whatever we commission after 1 to 2 years will be added into our OMS portfolio, right?

J. P. Chalasani: Minimum 2 years.

Nikhil Abhyankar: Minimum 2 years. Okay. And any plans on monetizing OMS business?

Himanshu Mody: So not yet because we keep looking at optimizing our capital structure from time to time, but there is nothing concrete to report. As and when the situation develops and everything develops, we will, of course, under the SEBI listing norms, whatever is required, public disclosure, we shall make.

Moderator: Our next question comes from Vikas Mukundan with Freelance Consultant.

Vikas Mukundan: I joined the call a little late. My question is regarding the ISTS waivers till June '25 commissioning of all projects by June '25. Is that going to spur captive projects in a big way and since you have land banks in major wind sites, would that help in getting more orders on that segment?

J. P. Chalasani: See, the ISTS waiver is obviously, it's for the projects which are coming currently in the power grid network, so not on the state network. So therefore, wherever we have a land bank, they are actually the evacuation is in the STU network, then this doesn't cover proper. But however, having said that ISTS waiver would actually -- because it is only there up till March '25, you will see the rush of people trying to complete the project before March '25.

That's also one reason why you will see that more and more orders coming in, everybody wants to complete by the March '25, pressure of that, especially for the C&I segment because at least for the big segment, if the substation is delayed, not for the reason, but could not be commissioned if the substation is delayed, so they will get an extension for the ISTS, but that facility is not there for the C&I segment.

So, there's big rush of C&I segment to complete the projects before -- but of course, wherever we have the land bank, that obviously is an advantage to us whether ISTS is there or ISTS is not there. So, either way, the advantage is always there because land is precious for doing wind projects.

Vikas Mukundan: Right. And one follow-up question to this itself is how

much, since you said there is rush for

such projects to be commissioned by March '25. How much of interest of this would Suzlon be getting?

J. P. Chalasani: No, we won't get under pressure of March '25. We have our manufacturing plans. We have our ability of which quarter, how much we'll put this what we can supply. And our schedules when we give it in the contract is that it will be according to that. So therefore, the -- obviously, there will be pressure for more people asking us to take orders for that period. But if it is beyond our manufacturing capacity or supply capacity, we don't take it.

Moderator: Our next question comes from Natraj Shankar, an Investor.

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Natraj Shankar: I have two questions. One is you mentioned about working capital of about INR1,000 crores. And if I understand earlier you had about INR500 crores of working capital. Let's assume the INR1,500 crores are the working capital in it, what is the order book that you can actually take, that's one.

And secondly, what is the initial feedback that we're getting from the state electricity boards for wind power, which is going to be slightly more expensive than solar power, is there any initial feedbacks from them in terms of their perspective on whether it is sustainable?

J. P. Chalasani: Let me take the second question first, okay? The expensive-inexpensive is a wrong term to use by just looking at the absolute tariff number, okay? The expensive-inexpensive depends upon when are you generating in respect to the demand? So unfortunately, because we don't have the time on the day today, so we talk about somebody's giving a 2.60 and something is coming at 2.90. So therefore, it's not.

Today's current requirement, if you've seen the most important thing is that the -- for 2030, there's a detailed exercise done by CEA. In fact, that is split into five different nodes, as we know that East, West, South, North and the Northeast, node-wise they have done the analysis and they've identified what is the demand in 2030 (8760 hours). And then they also identified what would be the least cost option to meet that demand.

In that least cost option, it comes that -- at that point of time, there'll be 100 GW (actually 99,815 MW or something) i.e. 100 gigawatts of wind and the 300 GW of solar -- I think if I remember right, 300 gigawatts of solar is what they're talking about -- is the requirement out there. So therefore, even from the least cost option, you need both, if it can't be wind, it can be solar. Okay. I'm sorry, 300 gigawatts for solar and 100 gigawatts of wind is what they are seeing in the requirement.

So pure wind, pure solar, is not going to serve the purpose of meeting the demand. So therefore, this concept of which is cheaper is not going to work because you are seeing clearly, you are seeing stand-alone wind bids at the central or federal level, you are not seeing a stand-alone solar bid in the last few months, and you will not see also at that level. They're only talking about hybrid, RTC at the peak power or the pure wind power.

Himanshu Mody: Yes. To answer your first question. Assuming we have INR1,500 crores of working capital, which is fully fungible between LCs and bank guarantees. I mean that would be more than adequate for us to be able to service our FY '24 orders.

Natraj Shankar: Okay. That's about, let's say, 700 megawatts approximately, give or take.

Himanshu Mody: I don't want to -- but as I said, it will be more than adequate to service our FY '24 orders.

Moderator: Our next question comes from the line of Riken Ramesh Gopani with Capri Global.

Riken Ramesh Gopani: Sir, firstly, just a follow-up to the previous point that you mentioned about the RTC bid that are coming through over the last few months. So, across these RTC projects, is there any difference Suzlon Energy Limited

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in terms of the IRR that somebody makes on a stand-alone wind project versus an RTC hybrid project?

J. P. Chalasani: No. The IRR depends upon what the tariffs. It doesn't depend up on what projects you're doing it. So, like -- if I want x percent returns from this project, I will bid my tariff accordingly, okay?

So, the tariff determines your return. But if you want to compromise on your return and go to lower target it is a different issue.

But otherwise, we -- I'm sure that every investor or every IPP would have their own hurdle rate of return and they will get according to tariff, comes out whether it's RTC or pure wind or the pure solar. So that's the reason you will see that with the RTC, the cost is higher. So, you'll find tariff also going up. That means, obviously, everybody is keeping the return same, but if the cost is higher, higher tariff are coming.

Riken Ramesh Gopani: Right. But in your interaction with your clients, do you understand that compared to a stand-alone wind project, this is slightly better IRRs, or it actually is indifferent between a standalone, and also just in correlation -- in stand-alone wind project today and what is IRR during your assessment based on the current tariffs at which projects are going?

J. P. Chalasani: IRR depends on a number of factors. It is not just a who am I? what is going to be my cost of funding, okay? Many people do a different costing and then subsequently do refinancing. There are a number of factors which decide your IRR, one is which is your hurdle rate what you are putting. So, it's impossible to say that what would be an IRR for a particular given tariff, because there are a number of other variables which will decide your -- the returns.

But I'm assuming that the current tariffs, which are anywhere between 2.90 to 3.05/3.10 is what wind is settling down. I'm assuming that is the tariff range, what people are comfortable with hurdle rates. what they are expecting.

Obviously, whatever they did, they are finding pressure on their returns at that tariff level, that is the reason I just said sometime back, that the projects are not moving forward.

Riken Ramesh Gopani: Understood sir, that is clear. And sir, last question from my side is about the inflow that you expect. So, in this year, I mean, what is the kind of -- in terms of gigawatts or megawatts, what kind of order inflow do you expect at your company?

Himanshu Mody: At presentation, there is an order book of exactly what we expect -- so again, difficult for us to provide you a number. But as we've been saying, there is very active negotiations going on for a large order book size. So, we don't want to obviously put a number to that. But currently, given the traction in the market, both on the IPP and the C&I segment new order book as we secure whilst we deliver on the existing one, the new order book that we secure also quite -- could be quite significant.

J. P. Chalasani: The only point I want to make is that the order book is not an issue anymore. We have plenty of the opportunities available there. It's a question of two things will decide. One is that how much can we actually deliver, the turbines in the next year. We will take order only to that extent. And Suzlon Energy Limited

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the second is that we'll cherry-pick in terms of, earlier we were obviously constrained with respect to working capital and things like that, we were picking up every project which came across.

We will be cherry-picking up projects which will give us better margins. But as I say, I'm not -- looking at the market, it's not just here, everywhere it is happening. So is globally that orders are flowing. So, order I don't think is an issue.

Riken Ramesh Gopani: And you do not anticipate, You have not given a guidance on your order inflow but in terms of market share, you see yourself in

her strengthening or having steady state market share in terms of new order in the country, right?

J. P. Chalasani: Market shares, these two are two different things. Order intake is different. Market share in terms of COD is different. So, there's always a time gap between order intake versus COD. So, what we will be doing in COD today is, order we received earlier, what we will receive this year will be for the next year, the following year.

So therefore, market share when I talked about is what amount of commissioning we'll do in a year because then everybody counts that the commissioning capacity -- so our guidance whatever we gave in, this will continue to be 25% to 30% of the total capacity is in terms of the commissioned capacity.

Moderator: We take our next question from the line of Abhineet Anand: with Emkay Global Financial Services.

Abhineet Anand: Majority of the questions have been answered. Sir, just two questions. One on the competition, if you can throw some light, who are active players. We do read some on the, obviously, newspaper, but if you can just highlight top 3, 4 players. And second, when you had indicated the government and state pipelines of 8 to 10 gigawatt, this exclude the C&I segment, right?

And what type of market is there for the C&I segment, if you can highlight that as well.

J. P. Chalasani: As I said, in the current order book, what we got is almost 50% is what the C&I segment. We expect moving ahead we will continue to have similar one. The C&I will further increase, let's say, in the coming years, when you're getting to a green hydrogen and ammonia, which is in the beginning stage today, okay?

Right now, what is happening on the C&I segment is really the current players who want to convert or add renewable energy capacity in terms of their production to become green production, whether it's steel, cement, refining these people. But the demand in terms of C&I for the green hydrogen would significantly come up in the next couple of years. So, there will be a constant flow of it.

In my opinion, frankly speaking, that the -- if you have 100, let's say, megawatts of a bid, at least 40-50 megawatts, if not more would be from C&I in that ratio.

Abhineet Anand: And on the competition side, sir?

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J. P. Chalasani: Competition is -- everyone is aware. I think whether it is quite for competition or talk about players in the sector. So, you have an Envision, you have Siemens Gamesa, you have GE, the main players -- so these are the main players.

Abhineet Anand: Okay. Just one last. Sir, this O&M services, any large capacity that are exiting our PPA structure in the next few years?

J. P. Chalasani: Come again?

Abhineet Anand: So, see, we would be doing around 13 gigawatts of O&M right now, right, in our kitty as I understand. About 14 gigawatts -- so some of those we would have got in earlier years, maybe a decade back as well. So, I'm just trying to understand any large capacities in the next 2, 3 years that are exiting, are going to exit the O&M services?

J. P. Chalasani: No, this is what I answered. It's not that 10 years old. I will not. But the question is that if something has crossed 20, 25 years is what it ends. That's why the previous question I answered is that still right now, whatever is that is happening, it's mostly happening in the retail sector because at that point of time, one of the retail sectors was there, they are actually most of them, if not all, most of them are what they're trying to do is that the refurbished the turbine. It's like whatever little bit needs to do are refurbishing and then operate this thing.

Even if they don't have a PPA because they think that they can sell in the market, to get those opportunities available. So, we have -- and as far

for us, it's good that we get onetime fee of refurbishment and we get extension of OMS services, so win-win for both. And even if the PPAs not there, as people are saying I still do it because it's -- cost of generation is very low. It's an old turbine, depreciated plant, and I can sell it in exchange, and I will get money.

Moderator: Thank you. Ladies and gentlemen, that was the last question. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2023

31st July 2023.

National Stock Exchange of India Limited,
"Exchange Plaza",
Bandra-Kurla Complex, Bandra (East), Mumbai-400051. BSE Limited,
P.J. Towers,
Dalal Street, Mumbai-400001.

Dear Sirs, Sub.: Call on Q1 FY24 Results.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you, Yours faithfully, For Suzlon Energy Limited Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited
Q1 FY'24 Earnings Conference Call"
July 25, 2023

MANAGEMENT : M R. J. P. CHALASANI – GROUP CHIEF EXECUTIVE
OFFICER – SUZLON ENERGY LIMITED
M R. HIMANSHU MODY – GROUP CHIEF FINANCIAL
OFFICER – SUZLON ENERGY LIMITED

MODERATOR : M R. ASHWANI SHARMA – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '24 Earnings Conference Call of Suzlon Energy Limited, hosted by ICICI Securities. During this call, the company management may make certain statements which reflect their outlook for the future, or which could be construed as forward-looking statements. These statements are based on management's current expectations and are associated with uncertainties and risks as fully detailed in the company's annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with the risks that the company faces. Thank you.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mr. Ashwani Sharma from ICICI Securities. Thank you, and over to you, sir.

Ashwani Sharma : Yes. Thank you, Michel. Good afternoon, everyone. On behalf of ICICI Securities, we welcome you to the Q1 FY'24 earnings call of Suzlon Energy Limited. We have with us, the top management of the company, being represented by Mr. J.P. Chalasani, Group CEO; and Mr. Himanshu Mody, Group CFO. I hand over the call now to the management for their opening remarks, post which we'll open the floor for Q&A. Thank you, and over to you, sir.

J.P. Chalasani : Thank you, Ashwani. Good afternoon to each one of you for joining our FY'24, Quarter 1 earnings call. I hope you had an opportunity to review our results and the investor presentation released few hours back. We will now share with you an overview of the industry, and we will walk you through Q1 performance. We will then take your questions. With good policy

initiatives from the government, the wind energy and renewable energy sector has got much needed impetus.

The 2030 GOI target of 500 gigawatt of non-fossil fuel-based capacities includes a healthy mix of wind and solar capacities. So, wind to extent of 100 gigawatt and solar to extent of 300 gigawatts. The idea is to have both solar and wind to coexist and not compete with each other. And this combination gives us the lowest cost of generation to meet the demand. This helps in diversity of the generation sources and is also healthy from the perspective of great health. The fact that wind is also available during the late evening and night, when the power demand in India takes helps balance the power generation profile and also support the grid. Initiatives like discontinuation of e-reverse auction for wind, new regime being on a single stage two envelope closed bids basis is expected to lead to better tariffs discovery. There will also be a pooling of tariff for different states, which will reduce the average cost of procurement of power. The good part is that under the new bidding wind capacity will come up in all 8 windy states, significantly opening up the availability of land and evacuation infrastructure. The MNRE has also announced a renewable energy projects bidding trajectory of 50 gigawatt per annum, which includes 10 gigawatts of wind from FY '24 to FY '28. There is also a monthly RE bidding plan in place for FY '24, which will be conducted through renewable energy implementing agencies like SECI, NTPC, NHPC and SJVN.

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FY24 wind bid plan: 2.5 GW each by SECI, NTPC, NHPC & SJVN is totalling to 10 GW.

Hybrid projects and C&I markets shall further drive up the demand for wind, which will be over and above this 10 gigawatt per annum

plan. Initiatives like IST S waiver extension for COD projects till June 25 and gradual phasing thereafter will boost C&I segment and lead to huge demand of RE projects. Wind repowering potential of 25 gigawatts and green hydrogen mission targets, RPO, RGO obligations, green open access regulations, etc will further boost this sector. Our cumulative orders of 1,582 megawatt include order book as on June 30, 2023, of 1,433 megawatt plus orders announced subsequently – and subsequently 149 megawatts – 1,433 as on June 30th and 149-megawatt thereafter. This is also well diversified and healthy order book. Our priority going forward is to pursue quality orders with a higher value and better margins. Our focus remains on executing and building our order book. Our service business continues to do well with 14.2 gigawatt capacity under our service. I would also want you to know about the business impact of cyclone which hit Kutch & Saurashtra regions of Gujarat during June 2023. It also affected our OMS operations in a limited manner and some of the customers' WTGs along with transmission lines and other HT network were damaged. Restoration works are ongoing at the said wind farms, and these are expected to be completed soon. Net of expected insurance claims (on a conservative basis), the company has provided for an expenditure of Rs. 20 Crs during Q1FY24 towards restoration expenditure.

With strong fundamentals and strong sectoral tailwinds, Suzlon is now well equipped to leverage the market opportunity arising from energy transition. I would now like to invite Himanshu to take you through our financial performance.

Himanshu Mody : Thank you, JPC, sir and good evening, ladies and gentlemen. I would be using slide numbers 17 to 23 of our investor presentation, which has been uploaded on our website as the reference point for my discussion during this presentation. Q1 FY '24 has seen us register consistent improvement in all our key parameters. Our balance sheet gets even more stronger. And the fundamentals have strengthened with a focus on bottom line based on performance. We are pleased to report that we are ending the quarter with a strong consolidated net worth of INR1,297 crores. Our gross debt for the quarter stands at INR1,806 crores, which is a substantial reduction from little over INR13,000 crores in March 2020.

Our net debt as of 30 June 2023 is INR1,223 crores resulting in a net debt-to-net worth ratio of 0.9, which is less than 1, which is quite healthy. Our consolidated PAT for Q1 FY '24 before exceptional item, stands at INR93 crores. This is against Q1 PAT of the previous financial year FY '23 before exceptional items was negative INR37 crores and our Q4 PAT of FY '23 was positive INR68 crores. This is all before exceptional items.

With continuous focus on deleveraging of the balance sheet in the last financial year, we have achieved a substantial reduction in net finance costs, which for Q1 of FY '24 stands at INR51 crores versus INR148 crores in Q1 of the previous financial year, resulting in a substantial reduction of 66%. Being in the capital goods segment, it is important to look at the annual performance of the company rather than quarterly because in our case, quarterly performance is very cyclical due to mix of orders that we are able to deliver, climatic conditions allowing us right of way for implementation of projects, installation and balance of plant activity.

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As a result of which, typically, in the first half of any financial year, we're able to deliver about 30% to 35%, whereas H2 is the balance. The economy being on the strong footing and as JPC sir said, sectoral tailwinds being even stronger for a renewed focus on renewable energy, it all augurs well for Suzlon at this time. With that, I'd like to conclude my presentation, and we can now open the floor

for any Q&A that the callers may have. Thank you.

Moderator : Thank you very much, sir. We will now begin the question-and-answer session. We have the first question from the line of Abhineet Anand from Emkay Global Financial Services. Please go ahead.

Abhineet Anand : Thanks for the opportunity. So, first is on the standalone margin, if I see there has been strong uptick on the gross margin side, whether we see Q-o-Q or Y-o-Y. If you can just explain whether it is because of some good order product mix or how is it?

Himanshu Mody : Hi, Abhineet, Himanshu here. So, as I said in my opening remarks, I urge everyone to look at our overall annual performance rather than quarterly performance. Yes, you are right, there is an uptick in the Q1 margins at the contribution level. That is not necessarily representative of the margins that we may see for the next few quarters. So, I would say that the margins that we saw in FY '23 for the full year should be the benchmark or basis of what you assume for FY '24. Of course, the endeavour at the management is to keep improving on those margins. And with improved supply chain, inventory levels and increased focus on working capital. We are confident that we'll be able to improve our margins from FY '23 onwards. But having said that, you should not assume the Q1 FY '24 as the benchmark.

Abhineet Anand : Secondly, sir, this INR20 crores impact because of the cyclone is largely impacting the OMS margin, I'm assuming, right?

Himanshu Mody : That's correct. Yes.

Abhineet Anand : Okay. So, x of -- so I think earlier you guys used to give a guidance of around 40% on the margin for OMS, that could be a fair assumption?

Himanshu Mody : Yes. I think if you add back the INR20 crores that we should -- for this exceptional, then we would be at about a bit over 40% in operating margins.

Abhineet Anand : And in terms of order pipeline, if you can see if you can throw some light in terms of F24 crores, obviously, ordering for Suzlon has been good than some of the other players, so for the rest of the year, how is the pipeline looking? I understand there is a large tailwind to the industry, but from a pipeline perspective next 3 months to 6 months, how are the inquiries and all?

J.P. Chalasani : We are seeing continue to see the traction in order pipeline both from the bidding side, which is like utility PPA basis and also we are looking at a large interest in terms of the C&I segment, including the retail segment. Obviously, there's a lot of interest, and the interest also is more on -- the interest is also significant because of 3 megawatts having come out. So, the momentum continues. So, I would say that much. And we are looking at FY '25 as well as there could be potentially moving at some orders, which will get locked in even for beginning of FY26 because now the projects are like 24 months to 30 months kind of a thing like latest SECI bid it's has got

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the order to some other players and these things should now be coming for FY '26, so even those discussions are happening. So, we are quite optimistic about the order pipeline and the interest being shown from all sectors.

Abhineet Anand : Thank you sir. Those are my questions.

J.P. Chalasani : Thank you Abhineet.

Moderator : Thank you. The next question is from the line of Amish Kanani from JM Financial Services PMS. Please go ahead.

Amish Kanani : Hi, sir congrats on a good set of numbers. Sir, two questions one if you see the quarter execution looks relatively low vis-a-vis our order book. So, if you can explain what are the challenges on the ground for execution and I understand you said it first half will be 30%, 35% of the overall. But the situation the way it is, why should we execute so low when our order book is so high, so if you can give us some sense on the execution side. And second question, s

ir, is with the 3-

megawatt order and also our orders being a mix of EPC versus non-EPC.

If you could give us some sense of whether our execution can be much faster in the second half of this year. And what are the kind of maybe directionally, if not exact numbers, what are the margin differences at the gross margin on the WTG side for the 3-megawatt versus non-3

megawatt and the EPC versus non-EPC, if you can give us some colour that will be really helpful, thanks.

J.P. Chalasani : Long list I could say. On the execution side, I'm assuming when you call about execution, you're talking about supply, you're not talking about the commissioning. For commissioning we did 283 megawatt which is significant it's 25% of the market end of quarter one and I'm assuming you're talking about supply, not about the commissioning, am I right?

Amish Kanani : Yes, sir. 135 megawatts is what I think we are seeing versus our outstanding order book?

J.P. Chalasani : There are two factors. The order book looks quite healthy. But if you see the presentation as well the slide, 50% of it is for 3- megawatt orders, okay. The supply of which will start in quarter four of this year. And as far as the 2.1 megawatts are concerned, the supplies will depend upon when did you get the orders. So, the orders would have been issued, and there the dispatch schedule comes from quarter two and quarter three and quarter four. So, the – normally the – when you have an order the site has to be ready and they should be ready to accept the turbines and when did you receive the orders, from that angle is what the schedule happens. So, most of this will come in Q3 and Q4. And Q4 gets added up because of 3 megawatts also starts coming in.

Himanshu Mody : Also, you must keep in mind, as I said, the climatic conditions, especially during the end of Q1 and early Q2 create certain implementation hurdles on the right-of-way as a result of which H1 is the sort of sales is more skewed towards H2. To your point on margins, as I mentioned earlier, you should assume FY '23 margin, the gross margin is something that we can definitely continue with whether we'd be able to better that or not, would be the only time will tell with more sort of inventory and working capital and supply chain getting streamlined. But that is the base case that you should assume.

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J.P. Chalasani : And your comparison of 3 megawatts and 2.1 megawatts from the margin's perspective. Obviously, 2.1 megawatt is an established product where cost is established, whereas a 3- megawatt is coming now. In 3 megawatt, not the turbine mainly the BOP cost comes down. So, therefore you take advantage of that and maybe you can increase your pricing. So, therefore just wait and see how the market plays and it depends upon both internal factors of cost-out, the initial rollout versus as we keep increasing the volumes and the BOP cost reduction for the IPPs.

Amish Kanani : And sir about EPC versus non-EPC?

J.P. Chalasani : Yes, right today is like two-third EPC and one-third of sort of non-EPC type of a thing, but it's changing with some few new orders coming. I expect that it would remain as a 50-50 or 60-40 in terms of EPC and it's like it is not just the EPC and non-EPC and we have categories like supply-cum-supervision alone, and there is nothing called in some places, we have supply and installation and in some places we have supply plus foundation plus installation and commissioning of turbine. So, there are different types of contracts are coming in now. And EPC is a pure EPC where we take the total but not the turnkey. We have a different contract for supply, BOP, land, etcetera and each contract doesn't talk to the other one. So, that we get that -- we don't have the cross contract LDs coming on.

Amish Kanani : Sure, sure, sir. I have a few more, but I will get back to the

queue. Thanks.

Moderator : Thank you. The next question is from the line of Dhaval from Girik Capital. Please go ahead.

Dhaval : My question is how much -- what execution are we targeting for FY '24?

J.P. Chalasani : Our guidance is, it depends upon what is your estimate for the country. So, our guidance will always be we would be reaching around 30%, 25% to 30% of the total country capacity addition. That's what we did in quarter one, if you see our numbers, but we are about 25% of the total capacity addition happened in the Q1. And we expect to maintain that 25% to 30% market share in terms of commissioning.

Dhaval : Okay. And given this current excessive rains and this flooding situation at a couple of places. Is it causing any hindrance in our execution? And I mean, in just our overall operations of the company?

J.P. Chalasani : It is in terms of like there are our clients in that area who are where they are supposed to do the balance of plant and all the work, and we just do the supply & erection. We have done erection, but we're unable to commission because the balance of plants are not ready and other things are not ready. In some places where the erection is still pending, the crane movement is getting impacted. There is some impact definitely in Gujarat. But most of those projects are not most, the none of the projects are actually EPC contracts they are more of a supply-cum-erection supply cum supervision, but commissioning is impacted definitely. Otherwise, we could have done more than what we did in Q1.

Dhaval : Because in FY '23, we executed 664 megawatts -- and now versus that we have a very healthy order book still our Q1 numbers are not very exciting compared to the last year. So, that -- I just

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wanted to understand in terms of the profitability, what is it where are we -- I mean, why are we lower than the last year in the top line and also the margins?

J.P. Chalasani : Yes. I answered the previous question. The overall order book is definitely one difference point. And if you look at overall order book, 50% of that is 3-megawatt orders, which the supply would start from quarter four. So, suddenly, you will see the more quality coming in because that's a 3-megawatt versus 2 megawatts so therefore 10 turbines supply of 20 megawatts versus 30 megawatts, but that supply happens those orders are there 50% of our order book is on that capacity, but the supply of that would commence in Quarter 4.

So, before you will see such coming there. And second, as for the 2-megawatt is concerned, while orders are there, I just said some time back, it also depends upon when did we receive the order and what is the dispatch clearances we get some of the clients because many of these things are in their scope in some places the evacuation substation of power grid is getting delayed so they want to readjust the time lines. So, therefore as Himanshu said not just the numbers, the capacity also -- you'll see it earlier as well. You can't really look at the quarter-by-quarter and then say that this is what is going to be the annual performance. There will be a number of factors.

Dhaval : Okay. So, if I want to understand this 3-megawatt more clearly, so 50% of order book is 3-megawatt and assume we do say maybe 800-megawatt of execution for the current year, for example, so 50% of that will happen in fourth quarter that didn't mean that?

J.P. Chalasani : No, no, no. Out of the existing order book, 50% is for 3 megawatts. So, we are not saying 800 assumption. So, I'm just quoting your number, 800, if we take it, 50% of that will be 3 megawatt, no, we're not saying that. So, these two are two different things. The 3-megawatt supply will commence in quarter four. So therefore, the volumes will significantly increase in quarter 4 because that's where it's coming in. Till then we keep supplyin

g 2 megawatts, but the ratio will

not be 50-50 for this year. Order book is 50-50, but the ratio of 2-megawatt and 3-megawatt won't 50-50 this year. 2 megawatt will be more and 3 megawatt will be less.

Dhaval : Correct. So, a lot of it 3-megawatt will be executed in Q4 this year than Q1, Q2 of next year?

J.P. Chalasani : Yes, and then FY25.

Himanshu Mody : So, just to add also to give you another factoid. So, if you see FY '22, the total deliveries in FY '22 was 808 megawatts. And those were all 2-megawatt turbines. Now, in Q1 of FY '22, we did 116 megawatts of deliveries. I just leave those two data points to address your concerns.

Dhaval : Understood. And so technically the yield for the customer is higher and also for us, the profitability should be a little higher in 3-megawatt turbine. So, then your profitability also should be much better in '25 compared to '24?

J.P. Chalasani : Let's see when we come '25, obviously, we will have these earnings calls and we will keep seeing the results. We'll keep discussing.

Dhaval : Okay. Thank you, sir.

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Moderator : Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants in the conference. Please limit your questions to two per participant. Should you have a follow-up question. Please rejoin the queue. Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar : Thank much for taking my questions. Sir, just I wanted to understand the first up, so what is the capacity addition at the industry level we are looking at maybe this year, any sort of benchmark we have?

J.P. Chalasani : This is anybody's guess. So, any thing towards the north of 4 gigawatts.

Deepak Poddar : Come again north of...

J.P. Chalasani : 4 gigawatts and then up to 5 gigawatts is what is the estimate -- and let's say, in the quarter one, if you look at it, quarter one we did about 1,140 megawatts.

Deepak Poddar : So, 1,140 was the addition in the first quarter, right and for the entire year, I could not get the number sir?

J.P. Chalasani : It is between anywhere between 4 to 5 GW, let us say, 4.5 to 5.

Deepak Poddar : 4,000 to 5,000 megawatts around about that.

J.P. Chalasani : Megawatt and not gigawatt I wish it is gigawatt, but it is megawatt.

Deepak Poddar : Yes around 25% to 30% is the market share that we are looking at. So, ideally from 1,000 to 1,200 is the range that we might look at, I mean, ideally?

J.P. Chalasani : The simple correlation for your assumption we gave you both.

Deepak Poddar : Understood. And sir do we see any risk that the 3-megawatts, which is expected to start from fourth quarter it might spill into in FY'25 itself and nothing comes in FY24?

J.P. Chalasani : No, we don't see anything because this is already type test certificate has come from third party and it's already lodged for the RLMM listing. Listing is also expected to come in this quarter.

So, then we are full geared up from the manufacturing point of it. I don't think we see any problems in terms of...

Deepak Poddar : Understood. And the clarification, you mentioned that FY '23 should be the benchmark margin for FY '24 -- so you're talking about the gross margins here or the EBITDA margins?

Himanshu Mody : No, no. We're talking about the gross margins.

Deepak Poddar : And sir my final question is on your threshold margin. I mean, whenever we take any kind of orders, so what is the minimum threshold margins at the EBITDA level that we look at...

J.P. Chalasani : No, no, no. I don't think -- it varies. We can't really answer simply by saying that order-to-order, it depends upon a number of things, we are just taking supply, or we are taking supply cum

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supervision whatever the risk we're taking it, at which stage it is. There are a

number of other

factors and which time of our production cycle comes. So, it's not possible to say that each order what margins are there. There are number of variables coming in to picture.

Himanshu Mody : And let me just clarify because we have said this on a few occasions in this call. So, when I say FY '23 as a benchmark, that is for standalone contribution margins, not for the consolidated.

Deepak Poddar : Standalone, right?

Himanshu Mody : Yes.

Deepak Poddar : Fair enough. I understood. That's it from my side. Thank you and all the very best.

Moderator : Thank you. The next question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar : Sir, my first question is regarding can you brief us about the idea behind the fund raise that you have just announced because we have significantly reduced our debt in the last three years. So, what is the rationale behind this fund raising now?

Himanshu Mody : So, the thought process essentially is, of course, as you know, there's gross debt of about INR1,800 crores, and there are certain capex requirements plus to ease out the working capital.

Of course, there are certain covenants that they are there from a lender perspective. So, when a lender looks at growth of a company that will be very different from how an equity investor looks at. So, long as that debt continues in the company at the same levels, we would be tied to those covenants.

Now the optionality between before the company management is very simple that we continue on a status quo basis, which is no need to do any fund raise, keep performing whatever working capital we are able to generate, keep delivering basis that we will still have a decent market share. But if we need to sort of have a good chance in getting market share, which is in excess of 30% as we go forward.

I mean, not so much for FY '24, but FY '25, FY '26 onwards, then it probably makes sense for us to look at some kind of an issuance that we are thinking of which enables us to make the balance sheet debt light or near debt-free. And also releases some cash for working capital and capex needs of the company over the next few quarters. So that is the intention of the management. Of course, the size and type of issuance, we will decide in the next few weeks and based on that as and when we make any progress or development, we will come back to you.

Nikhil Abhyankar: Understood. So, the entire fundraising will be used for debt reduction for current debt reduction.

Himanshu Mody: Well, it depends on the size of the issue. As we've taken enabling approval from the Board of fundraise of up to INR2,000 crores, and that is currently impeding shareholder approval. So, whether we do up to INR2,000 crores means, we could theoretically do full INR2,000 crores or we could do less. That is something we will be deciding as I said, over the next few weeks and we'll come back to the markets, accordingly.

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Nikhil Abhyankar: Sure. And the final question regarding the C&I segment. So, what is the kind of response you're getting from the industry and which segments of the industry are really interested in this segment?

J P Chalasani: Right now, the between C&I and retail, particularly what do you call it, what the C&I is, or order book is more than 50%, 55% plus is coming from that segment. The C&I segment is predominantly like one is smaller segment where 35 megawatts, 30 megawatts, 50 megawatts.

But there's a bigger segment of large industries, where they have a captive requirement, which today is happening on fossil fuel. They want to replace that with renewables. Just an example, giving two names like Birla or Tata Steel or the Sterlite, there are various big companies, who are trying to do this.

And my assumption is that this would further in the next few years,

start immediately, further

go up because once the hydrogen picks up but that's few years away anyway, we all know. But once this initial C&I segment of replacing the existing captive capacity with renewable gets fulfilled in let's say, next couple of years, where you will see significant uptick in terms of demand. The hydrogen would pick up by then. So, renewable energy for hydrogen, that again would be more of a C&I segment.

Nikhil Abhyankar: Understood, sir. That's all from my side and all the best.

Moderator: Thank you. The next question is from the line of Vikram Sharma from Nivesh Aay Investment Advisory. Please go ahead.

Vikram Sharma: Hi, sir. Thank you for the opportunity. So, first question, we think we can 90 lakh per megawatt around...

Moderator: Mr. Sharma, your audio is not clear. May we request you to use your handset to ask a question please.

Vikram Sharma: So, I was asking, we say 90 lakh per megawatt around contribution, and we have the fixed expenses of around 500-550 Crore. So, I wanted to know break up of INR500 crores fixed cost.

And I also want to ask if it will remain same, if we do like 3 gigawatts if we -- once we add our 3-megawatt capabilities, so what will be the fixed expenses for company per annum?

Himanshu Mody: So, let me just try and understand the question because audio was a little faint. So, in terms of contribution margin, as I've said, I'm not commenting on rupees, lakhs, but one should assume mid-teens as a contribution margin, which is what we did in FY '23. And as I said, we'll endeavour to improve on that, but you should not take that as an assumption.

So far as fixed costs are concerned, yes, our fixed costs are approximately INR500 crores on the manufacturing side. We won't be able to give a split of that, but that is various corporate functions, our technology group, R&D team, manufacturing facilities all put together. So, we won't be able to provide a split on that. And for -- if we -- even once we get 3-megawatt turbine into serial production. We don't see a significant increase in the fixed costs other than what inflationary increases would normally be there.

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Vikram Sharma: And sir, second question, what will be our 3-megawatt-plus capacity in FY '25?

J P Chalasani: Let's see. Right now, let's not go into that because the first requirement is the quarter 4 stabilizes and then look at the FY '25, what would come. So, the -- right now, we are getting in different modes. It all depends upon what is the blade capacity. So that's where I want to leave it.

Vikram Sharma: Okay. And sir last question on O&M portfolio side like what...

Moderator: Sir, your voice is not muffled. We are not able to understand what you're speaking.

Vikram Sharma: So, I was asking what is our revenue per megawatt on O&M portfolio side? And what is the expenses on that side?

Himanshu Mody: So again, if you see the investor presentation, we have given details of the -- each business and certain broad KPIs, so Slide number 20 on the investor presentation, you will get the detailed answers to your question.

Vikram Sharma: Thank you.

Himanshu Mody: Thank you.

Moderator: Thank you. We have the next question from the line of Priyesh Babariya from Max Life Insurance. Please go ahead.

Priyesh Babariya: Thank you so much, sir, for the opportunity and congratulations for the good set of numbers.

Sir, you just rightly mentioned that our fixed cost is around INR500 crores or so, and it is expected to increase when we execute 3 megawatt portfolio. So, can you please elaborate on the same?

Himanshu Mody: No. That's not what we said. We didn't say the fixed cost will increase. We said, in fact, the fixed cost will not increase if we add the 3-megawatt portfolio from Q4. The only increase will be on account of normal inflationary cost in

creases. That's it. So INR500 crores would not see an increase.

Priyesh Babariya: Okay. That's all from my side. Thank you.

Himanshu Mody: Thank you.

Moderator: Thank you. The next question is from the line of Vineet Gala from Xylum Investments. Please go ahead.

Vineet Gala: Sir, you have mentioned about these government orders of 2.5 gigawatts being floated by these four entities. Sir, recently, NHPC mentioned that they would want to focus only on solar. So how do we see this? And what is the level of commitment have these four entities already given on these orders to be floated?

J P Chalasani: See, directionally, the government said that we will do 50 gigawatts per year bidding and another 10 gigawatt is for wind. That's one direction. Second thing is the pure solar is not the

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recommended route today because solar is already touched. As I said that the last time, also we discussed, when you go to 2030, as per the CEA detailed study, if you want to meet the grid demand, not talking about the captive demand, grid demand in 2030, least cost option, they said is 300 gigawatts of solar and 100 gigawatts of wind. Okay.

Obviously, we all know that in India, we are extremely sensitive to the tariff. And that is a least cost option, whether you do it pure solar, pure wind ultimately needs to be based on RTC.

Therefore, the wind, especially now if we see the last few months, there's an uptick on the wind because the wind has to catch up. There are two types of hybridization. One happens at the project level.

Second happens at the grid level. There is more question on wind to do it. In fact, if you see that SECI had issued the RFS for 2.5 gigawatts of wind. And NIT they issued; they're supposed to come back with our RFS. So, the -- it is not -- we always said it is not solar versus wind. It's solar and wind and what is required for grid stability plus which is the least cost generation. So, therefore, directionally, the government is also saying, if we are at 43 gigawatts today, we need to go to 100 gigawatts of wind by 2030. So therefore, we will first focus on that part of it. If somebody is coming up with pure solar, so be it. But ultimately at the end of the day, this will meet the global study of 300 gigawatts of solar and 100 gigawatts of wind.

Who does pure solar, who does pure wind is not an issue, but I think directionally, this is where we're going to go. And obviously, when it comes to the C&I segment, we -- it is like -- again, they will do a hybrid, depending upon the load profile of the captive load, and they will do the other calculations.

And also, if you see the profile of wind in terms of the demand versus the profile of solar is different. They together is good. And if you look at pure wind wise, wind gives a better profile at the time of grid demand.

Vineet Gala: Right. So, like all of this put together and given our conversations with the OEMs from 4 gigawatts of installations built there, how do we see next couple of years timing now given that these 10 gigawatts worth of orders only from government and then you have C&I segment. So how do we see basically the installation flowing from the current levels?

J P Chalasani: Yes. See, the thing -- what happens is that the time 10 gigawatts of order, then fructification of order into a reality. Because you've seen even earlier orders, there's always a lag, how much awarded, how much commissioned, we all know the numbers. We should take these 10 gigawatts, we should take C&I and at the end of it, all this put together the x megawatts is what going to get sort of fructify in the year.

The government is talking about, let's say, even if you take this target at 2030, you need to do about 7 gigawatts to 8 gigawatts every year, we are at 43 gigawatts today. So therefore, let's say, the range of 7 gigawatts to

8 gigawatts is what is the requirement, then it depends upon the infrastructure, it depends upon the crane availability and supply chain and if a supply chain not just a pure WTG because component supply chain looking at globally, what's going to happen.

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All these things will play a role, but the government is hoping that, we will reach 7 gigawatts to 8 gigawatts shortly.

Vineet Gala: Fair enough, sir. Sir, my last question is on the O&M segment and the margin. You mentioned like we had the cyclone impact of INR20 crores, even adjusting that, on a year-on-year basis, the EBIT margins are off by 10%. So, what is the sustainable margin to look at? You mentioned 40% but most like our competitor is doing a much better number than that. So, I just wanted your view as to how to look at this segment and the sustainable margins thereof.

Himanshu Mody: So, on margin, I would say that EBITDA margin would be a little over 40% is what one should assume given the scale of the capacity that we have, which is 1.4 gigawatts plus already installed.

And of that, close to about 13 gigawatts of revenue generating, while it's about close to 1 gigawatt is under warranty period still. So, I would say that I look at the margin profile as being

40%. I don't want to comment on competitor margins. That is your analysis from publicly available data. But from our perspective, that's what we should look at.

J P Chalasani: I will also expect you to look at the margins of comparative competition. Okay. That would give you the real test for this.

Vineet Gala: Fair enough, sir.

Moderator: Thank you. We have the next question from the line of Dhaval from Girik Capital. Please go ahead.

Dhaval: Yes. Sir, my question is with regards to the managing the raw material volatility. So given we have a lot of bought-out parts for our turbine, now from the time you -- sir, you have order book currently and till the time you ship out the final turbine and the steel price goes up by 20% and some other raw material goes up by whatever percent, how does that adjustment takes place with regards to passing on because that can eat up a lot of your EBITDA?

J P Chalasani: See the input cost for any component will depend upon two factors. One is the fair input price. That's the steel what you said. And second thing is the demand. These two actually make the difference. As a sales is concern in all over the contracts, now it's a pass-through. So, on the steel price, it's a pass-through in our contract. So therefore, that's we are hedged in that way, the contract is.

And that's how the commodity is concerned. And as for the component, other price is concerned, we keep placing our orders or relationships so you can manage. So therefore, we've been managing this for a year. So how do we -- how to do with vendors but as a steel price is concern, there's a pass-through in the contract with...

Moderator: Sir, the current participant has left the queue. We move on to the next question, which is from the line of Eshan Bhargava from Emkay Global. Please go ahead.

Eshan Bhargava: Hi, good evening, sir. Thanks for the opportunity to ask the question.. I'll ask simple question. What is the capital expenditure that you envisage for the next two years?

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J P Chalasani: Himanshu, a simple answer.

Himanshu Mody: Yes, I wish there was a simple answer to that. So, for possible next two years, I don't think, we are in a position to project right now. But in this year, especially FY '24, our sustenance capex is about INR100 crores, which we will certainly, of course, continue. In addition to the sustenance capex, we envisage an additional capex of a little over INR200 crores to be incurred in FY '24 and that's largely due, adding further mould capacity of our 3-megawatt turbine.

Eshan Bhargava: Under-

stood. Thank you.

Himanshu Mody: Thank you.

Moderator: Thank you. We have the next question from the line of Pradyumna Choudhary from JM Financial. Please go ahead.

Pradyumna Choudhary: Yes. Hi, sir. So, I just wanted to understand on the O&M side, once we deliver a certain turbine. So usually, when does the O&M revenue start coming from the same? Like what's the time horizon on that?

Himanshu Mody: So, from the commissioning date depending on the contract, there is typically two years to three years of warranty period, which is free OMS that is built into the sales price of the turbine. So, most of our contracts would be three years. So typically, from, let's say, 37th month onward from commissioning is when the billing for O&M would start.

Pradyumna Choudhary: Understood. So, suppose something is getting commissioned today, so we can assume that the revenue will start flowing in 2026? O&M revenue.

J P Chalasani: Yes, depending upon which month. So, suppose, if plant start in July is done and then obviously another thirty six months...

Pradyumna Choudhary: And usually, these contracts are for how long?

J P Chalasani: The contracts are normally for full life of the turbine. But then, there are review clauses. So, it varies, somebody says, it's 10 years, somebody says it's 12 years. And segment-wise, retail is different but its normally full life.

Pradyumna Choudhary: Even in the corporate side, that's the idea. Usually, it's for the full life, at least 10 years, 12 years?

J P Chalasani: Yes.

Pradyumna Choudhary: Understood. Thank you, sir.

Moderator: Thank you. We have the next question from the line of Faisal Zubair Hawa from HG Hawa and Co. Please go ahead.

Faisal Hawa: We now have a promoter stake, which is one of the lowest in the corporate world. How will the promoters ever have any skin in the game with such a low promoter stake? And secondly is that, if there is this huge explosion of orders that comes up from corporate India also going to green

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energy, we may again short of capital because -- so will we again go towards the debt route, or do you have something else in mind?

J P Chalasani: See the first one, skin in the game. Everyone knows what the skin is in the game of Mr. Tulsi Tanti, not just Suzlon, in the sector as well. Okay? So how they've been up and down, the stake is down for different reasons because of the journey of the company and even today, the Chairman and Vice Chairman from the promoters and they have completely deep interest. And so, it's the one, that they have started.

I don't think, it's just dependent upon what are the stake, especially the extent of involvement and the commitment. On the second issue, yes, so, you want to add?

Himanshu Mody: Yes. So, to further add on to that, one must not forget that close to INR250 crores has been pumped in by the promoters in the company, in the last two years by way of rights and the preferential allotment. So, I don't think, if they are willing to commit this kind of capital. So, I don't think one should be wanting to question the commitment despite low stake. And -- so that's one.

On your second point, there is such an explosion of orders, would we really come back to the capital markets. Difficult to predict the future. But I would say sitting here today, my best-case assessment would be unlikely because there are other pockets of assets within the company which we would look at value-add or monetization, which, of course, we've not lost our focus on. That is something will take precedence should such a capital raise be required in the future.

Faisal Hawa: So, what kind of capital would these assets be able to raise? And do you feel that these assets should get a better price if there's an explosion of orders?

Himanshu Mody: Very difficult to say. I mean what kind of capital raise, define it

ely, I cannot answer your question.

To your second point, logically, the answer is yes. I mean if there are some tailwinds. And then of course, the answer is yes. But the first one, very difficult to answer.

Faisal Hawa: Thank you.

Moderator: Thank you. We have the next question from the line of Rohit Bahirwani from Vijit Global Securities Private Limited. Please go ahead.

Rohit Bahirwani: Yes. Thank you for giving me the opportunity. Sir, can you please provide the value of orders in megawatt that you'd be able to complete in the next three quarters, that is before 31, March '24?

J P Chalasani: We said the 1,582 megawatts is the order book as on today working order book, and we've already done 135 megawatts in the quarter 1, and then, we also said that, more than 50% of this for the next year, the balance is for this year. I won't be able to give a guidance of how much we will do it, but we will be able to what order approximately, what it would be.

Rohit Bahirwani: So, you are saying more than 50% order book is for the next year and less than 50% is for this year, am I right?

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J P Chalasani: 50% is for next year, 50% is for this year.

Rohit Bahirwani: Okay. So, my second question is, though the WTG revenues are down, volumes are down, but the realization seems to have improved, which is around Rs 6 cr per megawatt. So, can we expect this to continue in future as well? Is this realization sustainable in the future?

Himanshu Mody: I think the realization, again, I will say what I said in the opening remarks that one should look at on an annual basis. The realization may have been stuck slightly in Q1. But maybe other than small fluctuations, we should be able to get close to those realizations. And of course, it also depends on the order mix of EPC, non-EPC but all of that remaining same, realization should not waiver much.

Rohit Bahirwani: Okay. And my last question is, why has there been a decline in O&M PBIT, if you compare both quarterly as well as on a Y-o-Y basis?

Himanshu Mody: So again, when we said that, there has been a onetime cost of about INR20 crores in the O&M business on account of the cyclone in Gujarat. That is largely led to the decline in Q1.

Rohit Bahirwani: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Suman from Rajiv Capital. Please go ahead.

Suman: One of the questions has been previously answered. So, I'll just ask you futuristic question. We see that offshore wind energy is coming to starting in India, so how is Suzlon taking his view on offshore wind energy? And the second is regarding the debt fund raising, when would you be taking the approval of shareholders for postal ballot, any idea? Thank you.

J P Chalasani: Yes, on the offshore, fine. There are talks about offshore and obviously, at some point of time, it may come. Like we said India as well, we would be ready, as in when India, it's going to be

ready for offshore. Having said that, offshore is still a difficult proposition for India in terms of tariffs because we are quiet, as you said sometimes back, we are extremely sensitive to the tariffs. The offshore abroad, like Europe and offshore in India are different because the incremental generation versus incremental cost ratio is different. Incremental generation from onshore to offshore is not very high, but incremental cost is very high. So, the tariffs are expected to be very high. So therefore, while we might do some experimental in offshore, but it's still, in our view, that it's a bit way offshore. And having said that, if we pick up, we would be ready with offshore turbines.

Suman: Thanks a lot. Regarding my second -- regarding the debt fundraising...

Himanshu Mody: Firstly, to clarify, the resolution is not for a debt fundraising. So that's number one. Secondly, the postal ballot has already gone,

been dispatched about two weeks back to all the shareholders.

So, by first week of August is when we expect to receive approval from all the shareholders of the postal ballot.

Suman: Great. Thanks a lot. That's all.

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Moderator: Thank you. The next question is from the line of Dhaval from Girik Capital. Please go ahead.

Dhaval: Yes, hello. Okay, so continuing the question on this raw material thing, sir. So, if there's a sharp volatility of 15%, 20% kind of thing on the steel prices, so does that also hedge us in terms of our contracts for the pass-on?

J P Chalasani: Our answer is affirmative, yes.

Dhaval: Okay, great. Sir, my second question is on this INR20 crores hit on the O&M side. If you can quantify, because that's a very large amount, and so where was this, what is it regarding, regarding the cyclone, like what was that loss?

J P Chalasani: See, what happens in a cyclone, we got the, we had the transmission line getting collapsed, which is actually, of course, we managed to get the Gujarat government agency, but the turbines shut down, they spend that money. So therefore, the insurance coverage is not there. And the second, what happens is number of turbines, there'll be small, small isues like what in this, and things like that, where you spend some money, but that the insurance will also have the minimum deductible thing, so therefore the client doesn't get full insurance. Wherever there's an insurance we get it this is net of that is what this INR20 crores.

Dhaval: Okay. And sir, one clarification I wanted on the fundraising. So, this fundraising, the equity fundraising will happen in the entire in the parent company or something can happen, the chances of happening in the O&M subsidiary also?

Himanshu Mody: So, the resolution right now that has been moved for postal ballot approval by the equity shareholders is for equity issues at the parent company in the list code.

Dhaval: Okay and sir, the fully diluted number of shares will be as on today will be 1267, right, the figure?

Himanshu Mody: Yes, while including for ESOPs, so about 20 crores shares have been approved by the shareholders on account of ESOPs. So, after that, adding that 1267 is the right number. Assuming that, all the ESOP shares will get vested and granted, which of course will happen over a period of time. Currently other than ESOPs, about 1247 crores shares is the fully diluted capital of which roughly about 5 crores shares still remain outstanding as partly paid and about 1242 crores shares is fully paid up.

Dhaval: Okay. And sir, what are our plans for SE Forge in terms of any capex would be required there?

Like, if a kind of opportunity what we are seeing, how are we placed there?

J P Chalasani: Yes, we expect the significant opportunities for SE Forge. There is a little capex, but that can be met from their own revenue. We don't need to raise any separate capex. In SE Forge, right now we're working on is the, like you look at quantity, we're looking at the productivity improvement, number of castings per day and things like that. So, the--yes, because right now our utilization levels are very low, which is about 19%, 20% levels. So therefore, there is significant surplus capacity available both in forging as well as foundry. We don't need the capex, plus also there is possibility of some operations outsourcing.

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Our focus is now on SE Forge to see that how do we actually capture the market much more.

We are just about 2% of the total wind market globally. So, we can separate global wind players.

So, we're quite, the focus on SE Forge now.

Dhaval: Okay, so that's 19%, 20% as of quarter one revenue. As per quarter one revenue is the utilization

level?

J P Chalasani: Yes, that's normally that's been in the range for quite some

time, not just the quarter one.

Dhaval: Okay, thank you.

Moderator: Thank you. We have the next question from the line of Priyansh, an individual investor.

Priyansh: Hello, my first question is regarding these ISTS charges, which are going to be like incurred for the COD after 30, June 2025. So kindly advise that, how this, how Suzlon is gearing up for this scenario after two years?

J P Chalasani: No, it is not for us to gear up, it's basically for the IPP. So obviously there will be pressure for, commissioning by 30, June 2025 to get 100% waiver. Thereafter, it's also a tapering, which goes to 75%, 50%, and 25%, depending upon, where the commission is. It's not completely becoming zero post-June 2025. So therefore, especially the C&I segment, there is a lot of urgency for meeting this 100% means taking advantage of this 100% waiver on ISTS.

Priyansh: Can you please speak slowly so that your voice is clear, sir?

J P Chalasani: Yes, see this 2025 June commissioning is for 100% payable on ISTS charges. For the life of the project. And it is not 1 and 0 after that. It tapers down to 75%, 50% and 25% as we move ahead.

Okay. Like it becomes 25% charges, then 50% charges, then 75% charges. Having said that, the sunset clause for 100% is June 2025, there will be more pressure, means there will be more orders, more pressure for commissioning the projects before that time, especially in the C&I segment.

Priyansh: That is totally understandable and that's totally like implied, but the question is that do we have this pass on close? Suppose, for example, whatever order now we are receiving, so like everything may not be commissioning. So, suppose the order will be receiving after six months. So definitely it will stretch to the next year like beyond June '25 also. So, do we have this clause like VAT for example, GST like, will we be able to pass it on to the customer or not?

J P Chalasani: No, this we have a contractual schedule. And as far as we are concerned, we have nothing to do with ISTS charges. So, we need to deliver as per the contractual schedule. And we don't take any liability with respect to the ISTS charges being. There could be different reasons, their project gets delayed. So, we don't take any responsibility for ISTS charges.

Priyansh: One thing is there, what I'm saying is, sir, like suppose if you are getting some order, for example, in the September '24, for example, so definitely it will be commissioned beyond June '25. So, my question is that, whatever we will commission beyond June '25, the ISTS will be recovered from the client or not? That's my question.

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Himanshu Mody: Sir, please understand our business model is to supply turbines to customers, who are availing these ISTS benefits. So, when the customer is placing an order to us, as per our delivery and commissioning schedule, we have to deliver and commission the turbine by a certain date. Now, if we, in your example, if we get an order by September '24, and the order says that we have to deliver and commission the turbine by let's say March '25, then we have to do that, there is no question. If we agree to that schedule and if we, whether he is able to avail ISTS's benefit or not is his problem, not ours.

Priyansh: So, means, it is not a charge to us?

Himanshu Mody: No, it is not. So, my suggestion would be, you connect offline with our IR team, they will explain this to you. It will require some detailed explanation.

Priyansh: No problem. Number two sir, regarding our standalone financials, our standalone financials are definitely like not very good. For example, it is our PBT is in loss only, whereas our this console is in profit for example. So, what action or what corrective action we are taking to turn around our standalone financials like for the pruning the cost or like this capacity

like this exceeding,

whatever like. What is the external plan to bring the standalone to profitability?

Himanshu Mody: So, we are working towards that. We will, of course, keep coming back quarter-on-quarter. And I would urge that because, yes, there are three different subsidiaries, or rather two active subsidiaries, that are adding to the consolidated profitability. And all businesses are very closely connected with each other. We urge you to look at the consolidated numbers. So far as standalone legal entity profitability is concerned, hopefully with time, we should get there, but very difficult for us to comment anything specific on that.

Priyansh: No, but sir, like with regard to console also, if you see the segment accounting, we are in almost in like, almost in our like segment, which you can say like gross profit is only like INR5 crores only profit and ultimately, it's loss only. The profit is coming only from the O&M. So, what are we doing to have the product, like a sale, like generating profit from the product sale. And, there too a recently, the raw material have also soften.

So, but like this impact we are not seeing much here. So, the question is that our core is the product, for example turbine, there we are not making profit even in the console also. The profit is coming INR100 crores to INR135 crores is coming only from O&M only. So, what are we doing for that, sir? Like why don't? Like, why don't we reduce this, this fixed cost? Or like, why don't we defer the ESOP? Because we are in losses, like we are doing like a little bit of profit. So, I will not consider the profit considering a lot of these things. Or, or even if it is small profit, we are too liberal and give INR20 crores for example, ESOP. So let us do something, I don't know, something, for example, even in the case of Wipro, like this, the Chairman of Wipro, has taken 50% hit in their salary. Even the CEO has taken a hit on the salary.

So, what I'm saying, let us do something so that for one year, two years, if we reduce the cost, payroll cost, ESOP cost or the other cost, at least the company can turn around. And like, once it is turned around, definitely its value will be higher. And then like, we can definitely reward the employees also?

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J P Chalasani: Thank you, I think good suggestions, we'll look at them.

Priyansh: Thank you.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.

Himanshu Mody: I think, thank you very much for attending the call and taking time out today. For any follow-up queries or questions, me or my IR team are available. You can reach out to us, and our presentation is available on the website, and we will see you in person over the next few months or speak with you during the quarterly call results. Thank you so much.

Moderator: Thank you very much sir. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference call. We thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

9th November 2023.

National Stock Exchange of India Limited,
"Exchange Plaza",
Bandra-Kurla Complex, Bandra (East), Mumbai-400051. BSE Limited,
P.J. Towers,
Dalal Street, Mumbai-400001.

Dear Sirs, Sub.: Call on Q2 FY24 Results.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you, Yours faithfully, For Suzlon Energy Limited Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited
Q2 FY '24 Earnings Conference Call"
November 02, 2023

MANAGEMENT : M R. JP CHALASANI – GROUP CHIEF EXECUTIVE
OFFICER – SUZLON ENERGY LIMITED
MR. HIMANSHU MODY – GROUP CHIEF FINANCIAL
OFFICER – SUZLON ENERGY LIMITED

MODERATOR : M R. ASHWANI SHARMA – ICICI SECURITIES LTD.

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY '24 Earnings Conference Call of Suzlon Energy Limited, hosted by ICICI Securities. During this call, the company management may make certain statements which reflect their outlook for the future or which could be construed as forward-looking statements. These statements are based on the management's current expectations and are associated with uncertainties and risks as fully detailed in the company's annual report, which may cause the actual results to differ.

Hence, these statements must be reviewed in conjunction with the risks that the company faces.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashwani Sharma from ICICI Securities. Thank you and over to you, sir.

Ashwani Sharma: Good evening, everyone. On behalf of ICICI Securities, we welcome you to the Q2 FY '24 Earnings Call of Suzlon Energy Limited. Today we have with us the top management of the company being represented by Mr. JP Chalasani, Group CEO, and Mr. Himanshu Mody, Group CFO. I now hand over the call to the management for their opening remarks, post which we will open the conference call for Q&A. Thank you and over to you, sir.

JP Chalasani: Thank you, Ashwani. Chalasani here. Good evening and thank you for joining us on Q2 FY '24 Earnings Call. I hope you had an opportunity to review our results and investor presentation. I will first start sharing with you an overview of the industry and then we'll walk you through our Q2 performance. We will then take your questions.

With good policy initiatives from the government, the wind energy sector has got much-needed impetus. There are policies to strengthen the sector, driving India's green transition, like the concrete guidelines and policies of RPO obligations under Energy Conservation Act, with specific RPO for wind turbines commissioned post 1st April 2024, and the policy on – policy on implementation of pool tariff mechanism, which will, I think, go in a significant way of accelerating the wind growth.

The 2030 GOI target of 500 gigawatts of non-fossil fuel based capacity includes a healthy mix of wind and solar capacities. The idea is to have both solar and wind to coexist and not compete with each other. This helps in diversity of generation sources and is also healthy from the perspective of grid health. The fact that wind is available during the late evening and night, when the power demand in India peaks, helps balance the power generation profile and also supports the grid.

Initiatives like discontinuation of irreversible bidding for wind will help in growth of wind sector. The good part is that under the new bidding regime, wind capacity will come up in all eight windy states, significantly opening up the availability of land and evacuation infrastructure. The procedure for determination of uniform RE tariff is also announced, as I mentioned earlier,

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recently, which will help in reducing the average cost of procurement of power through pooling of tariff.

The leading renewable energy states of the country, like Gujarat, Maharashtra, Rajasthan, and Telangana, have also introduced the proactive RE policies to further their state energy transition journeys. We expect even other windy states to follow the same. We have an order book of 1,613 megawatts as of 30th September 2023. This is a well-diversified and healthy order book.

In addition to this, we also have a

very strong order pipeline, and recently, we announced an order from Juniper of 50.4 megawatts. Our priority going forward is to pursue quality orders with higher value and better margins. The process for RLMM listing for 3 megawatt turbine has been completed from our side, and we expect this to be listed as early as next week. We have started the commercial supplies of 3 megawatt turbines. We have also installed the first prototype of this turbine with 160 meters hub height, which is a second prototype, actually, but the first one with 160 meters hub height in Gujarat, which will further reduce the LCOE. Our focus for H2 remains on executing and building our order book.

Our OMS business continues to do well with 14.3 gigawatts capacity in India. The growth of wind sector will also help SE Forge as a major revenue comes from the supply of wind components. With the strong fundamentals and social and sectoral tailwinds, Suzlon is now ready to leverage the market opportunity arising from the energy transition.

With this, now I will ask Himanshu to take you through the financial performance before we open up for questions. Thank you.

Himanshu Mody: Thank you, JP, sir, and good evening to ladies and gentlemen. I will be using slide numbers 18 to 24 of our investor presentation as a reference point during this discussion. Our IR presentation has been uploaded on the website and also sent to the stock exchanges.

So for the Q2 FY '24, we've done deliveries of 132 megawatts, totalling up to a total of 267 megawatts in the first half of this financial year. The company has also posted a very consistent and robust performance across all business segments with improved KPIs in the H1 of FY '24 on a year-on-year basis. Q2 FY '24 has seen a registered consistent improvement in all our key parameters.

More importantly, our balance sheet has now become even stronger, and the fundamentals have strengthened due to the bottom – as a result of a strong bottom line. We're pleased to report that the company has ended 30th September 2023 with a strong consolidated net worth of INR3,409 crores. Post the QIP, there is no residual debt in the company except a very nominal debt of rupees INR120 crores in one of the subsidiaries of the company, which is SE Forge.

This leaves the company with a net debt of about close to INR600 crores, meaning a gross cash balance of about INR720 crores with the company. The company has been able to turn around

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this balance sheet significantly from March 2020, at which point our debt was overall INR13,000 crores to a net debt of INR600 crores today.

Pursuant to the debt reduction – net cash, sorry – pursuant to debt reduction, we have achieved

a substantial reduction of 61% in our finance cost in Q2 FY '24 of INR36 crores vis-à-vis Q2 FY '23 of INR92 crores. The full benefit of debt reduction in terms of finance costs will be visible from the next quarter, which is Q3 FY '24, as the QIP this year got concluded in August, through which we were able to reduce our debt.

Our consolidated PAT before exceptional items for Q2 stood at INR136 crores and for H1 stood at INR230 crores. This is, of course, against Q2 FY '23 PAT of INR53 crores. So, the economy and the industry is on a very strong footing and the sectoral tailwinds that we are facing are fairly strong, which puts us, Suzlon, with the very strong balance sheet and performance parameters to well capture the market opportunity.

With that, I'd like to conclude my presentation and we can open the floor for any Q&A that the callers may have. Thank you.

Moderator: Thank you so much. We will now begin the question-and-answer session. The first question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar: Thank you, sir. Thanks for the opportunity and

congrats on a good set of numbers. So, in H1 we

have executed somewhere around 270 megawatt and we are still below the H1 FY 23 level. So, are we in a good position to give guidance as to what our execution will be in FY '24?

JP Chalasani: I think our guidance always remains the same, is that H1 to H2 there is always a difference, not just for us, for the wind sector as a whole. Normally, it's expected that it will be anywhere close to the double of what is in H1. Even if you look at as a country, we did about 1.5 gigawatts in H1 and then now we're all talking about doing about 4.5 to 5 gigawatts. Obviously, that it doubles three gigawatts in H2, that's when we reach 4.5 gigawatts in India. Normally, that's the thumb rule. I'm not giving you guidance, but this is what normally it works as a principle.

Nikhil Abhyankar: Okay, so and in Q2, we reported an EBIT loss from the WTG segment. So, what any specific reason for it?

Himanshu Mody: Sorry, can you come a gain? Which segment?

Nikhil Abhyankar: WTG segment reported EBIT loss in Q2 of around INR7 crores?

Himanshu Mody: So, it is in the segmental reporting is largely, of course, due to the depreciation, all of it sits in the WTG segment. And as you know, O&M business and SE Forge would be high on depreciation. So, it's largely as a result of the depreciation, most of the 50 crores, it's in the WTG segment.

Nikhil Abhyankar: Sir but in the last quarter, we had made a profit. So, from that point of view, I was asking.

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Himanshu Mody: Yes, if you look at the last quarter, EBITDA for WTG segment would have been in the ballpark region. This quarter is about INR 30 crores. Q1 last time in FY '24 would have been about INR35 crores. So, there's not marked a difference. So, with similar volumes, EBITDA number is broadly the same for the WTG segment.

Nikhil Abhyankar: Okay. And so, any views on the offshore tender that is expected in Q4? And how are we placed to participate in this opportunity?

JP Chalasani: Let see offshore, there is, as you know, that they've issued the intention to come up with a tender that came in. As you know that they're talking about three models of bidding. One is the, they say that they will bid about 500 megawatts in Tamil Nadu, 500 in Gujarat, based on VGF.

Then the model B, they're talking about is that they will ask for the lease rights for the area based on the bidding. And then they will be given X amount of time to go ahead and develop, but without any off-take guarantee. So, and the third model is that you can go and develop your own seabed and then they will do a bidding and you have a right of first refusal, almost like a Swiss challenge.

Right now, they're talking about the model B, when it comes, let's see that we are getting prepared ourselves for participation. See, as you know, that whenever the bidding comes, we don't participate ourselves directly. We actually have a pre-bid tie-up with somebody who is going to actually participate.

So, the same work we will do, because we are not the bidders for this, but we will be working with people who are bidding for the projects, for an equipment supplier in the project, which we are working on.

Moderator: Thank you so much. The next question is from the line of Dhyey from Niveshaay Investment Advisors. Please go ahead.

Dhyey: Thank you for the opportunity, sir. I just wanted to get the clarity on the industry, the usual industry perspective, which we have, that is a 30-70 distribution between H1 and H2. So, I just wanted to ask, are we in line with the performance in that particular metric?

JP Chalasani: This again leads to the guidance, but as I said sometime back, H1 and H2 is anywhere between one-third and two-third versus 60:40, 70:30, whatever number you're taking it as. It'll be in that line, and obviously, we a

re part of the sector, and our performance also would be in the similar line.

Dhyey: Also, for the 3-megawatt turbine, are the realizations per megawatt or the EBITDA margins per megawatt slightly higher than the two-megawatt series, or how are we placed there?

JP Chalasani: Let's – we don't give the model-wise guidance on what's happening, because it's an overall portfolio, what we sell, because we don't fix that way. It depends upon who is the customer, and whatever the contract we take, is it an equipment supply, is it equipment++, or an EPC? There

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are a number of other factors, so therefore, it's not specific to saying that this is a model, this is what EBITDA will have.

Himanshu Mody: Realization, like I'm talking just about the supply, and realization per megawatt remains the same, or how is it different from the two-megawatt series?

JP Chalasani: Yes, you can assume it will remain the same.

Dhyey Okay, and one more thing – Yes sorry?

JP Chalasani: For the time being, because as we keep moving ahead, the cost what happens, then things will be different, but initially, yes, you can take the same.

Dhyey: Sure, and on the EPC, non-EPC side, we – in our order book, we currently have 47% to 53% kind of a make, so what was the number before, and how are we looking to go ahead in the future?

JP Chalasani: See, this is also a sector issue. What's happening in the sector, if you look at it, is that the EPC players are completely vanished from the scene, except us. The largest people who talk about, they just only supply the components, not even the full turbine, so there are turbines getting supplied, but the corresponding capacity to build the BOP to take it to the commissioning is lacking today in the country.

And in our view, that as we also look at in the future, we see a significant risk of turbines supplied lying on the ground, but not getting commissioned. So because of this, also the people earlier who worked with us, and based on equipment supply, are coming back to us, and asking for EPC role. So that's why we are seeing now the 43%, 47%, what you see is an increase compared to what it was earlier. Earlier, when I say is that last couple of years, I don't take it – FY '17 and before, that time we used to go almost full EPC.

Now, the more-and-more players are coming back and asking us to provide an EPC service, so we expect that segment to keep growing as we get more and more orders. But that's a concern for the sector as a whole, because today you have more suppliers and less of the people who can do -- bridge the gap between the supply to commissioning.

Analyst: Correct. Understood. Thanks a lot for the answers. All the best for the future.

JP Chalasani: Thank you.

Moderator: Thank you so much. The next question is from the line of Raj Rishi from DCPL. Please go ahead.

Raj Rishi: I just want to find out what is the possibility of Suzlon maintaining its market share in a much bigger market, like whatever market share you have presently, because others are also going to take part, right? And supposedly, a lot of countries have overcapacity also. So, can you throw some light on this?

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JP Chalasani: Yes. First of all, this overcapacity is part of a myth, okay? So, what actual capacity, what is the manufacturing capacity, what is the assembling capacity is completely different. So, I'm not getting into the details of that. As far as the market share for us is concerned, we define it differently. Not in the market share. We say that if my capability -- our capability to deliver is x, whatever the market, we should be in a position to deliver x. Take an example that I can deliver 2 gigawatts. Don't hold me to the number. I'm giving an example.

I can deliver 2 gigawatts. If the

market is 5 gigawatts, then my market share is different. And if the market is 7 gigawatts, my market share is different. Instead of looking at the market share, what we are concentrating is in what is our capability and enhance our capability to deliver, and irrespective of whatever the market can be, compete, and then deliver to our full capacity. I think that's how we'll deal with the market share.

Because if I do a 2 gigawatt, if the market does only 4 gigawatts, then it looks like a 50% market share. But then if the market does 8 gigawatts, then it becomes a 25% market share. But I'm still doing 2 gigawatts. Okay. So, therefore, I think market share varies from the point of capacity overall, but we should be able to deliver to our full capacity. We should get orders, and then we

deliver that. That is what is more important for us.

Raj Rishi: Okay. And one of the global majors was Siemens Gamesa is having some issues. So, is that expected to benefit Suzlon because one competitor being slightly out of the picture or something?

JP Chalasani: I, see, I don't think that the today's in the market, there is enough play for everybody to do that.

As I said that sometime back, if I have a capacity, whatever is there today, we can actually get the orders. I don't see in the next, at least for the next two years to three years, guaranteed for two years, FY '25 and FY '26, and also presumably for FY '27, whatever is our capacity, we can go and get the orders. Competition is not an issue.

But what is important for us is to learn from what the issues they're facing and see that, learn from them, and then doesn't get repeated for us. That's what is more important than looking at somebody's got a problem. So, they put advantage to us. That's not the way we're looking at it. We're looking at from the angle of what happened there and how do we ensure that it doesn't happen to us.

Moderator: Thank you so much. The next question is from the line of CA Kanwaljit Singh from Balaji Finvestment. Please go ahead.

Kanwaljit Singh: Good evening and congratulations on a good set of numbers. I have two questions. First, whether Suzlon is storing any opportunities in solar power sector also, as we are dealing with only wind power? Second, what will be the future run rate of the orders? Will the current run rate continue or we will be going into a higher trajectory?

JP Chalasani: Come again. The second question, whether the present run rate continues or – sorry?

Kanwaljit Singh: Or we will go into a higher trajectory of orders?

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JP Chalasani: Okay. On the solar, obviously, our strength is in wind because we manufacture wind turbines.

In solar, we don't manufacture anything. Having said that, we will -- if there is a need be, we will get into solar where it is a hybrid project. Somebody wants us to take the full responsibility for the entire project, we don't mind doing that. But otherwise, we will stick to our strength of wind. So, not really, solar-specific projects, we will not take up. So, unless if somebody says that if you are doing wind, we also want you to do solar as part of hybrid, then we will look at that opportunity. Not otherwise. On the -- sorry.

Kanwaljit Singh: So, are you currently bidding for such hybrid projects as such?

JP Chalasani: No, we are not bidders. As I said some time back, we are never bidders either in wind or in the solar. The bidders are IPPs or other people and we only supply to those bidders who are successful in the bidding. Some of them have a pre-bid tie-up, some of them come after winning the bid. But we are never a bidder in any of the projects. We did once long, long back in solar in which we sold off all those projects. That's once upon a time, like in 2015- '16 type of time.

Otherwise, we don't bid. We are not bidders.

And as far as the order book

is concerned, it's growing, it's robust, and we expect the orders will

keep growing. I don't need to -- I don't want to put a number to what rate it will grow. But as I said in my opening comments, we are looking at the orders which are quality orders and the quality counterparty where we think that projects would go ahead, not to take an order and projects get stuck. And then we get the decent good margins. That's our criteria. But there are enough -- there is enough potential in the market.

Interest-wise for Suzlon turbines, there is -- I can only tell you is that there is a huge interest in terms of placing orders in Suzlon turbines.

Kanwaljit Singh: Okay. Sir, another question. We usually see and you get large orders. So, what value should we assign to a one order of a 3-megawatt turbine? A ballpark number?

Management: So, our average realization is, give or take INR6 crores per megawatt. So, whether it's a 2-megawatt turbine or 3-megawatt turbine, I think, you should continue with the same economics or unit economics.

Kanwaljit Singh: Thank you.

JP Chalasani: For the scope of equipment supply.

Kanwaljit Singh: Okay.

Moderator: Thank you. The next question is from the line of Jeevan from Seagull. Please go ahead.

Jeevan: Hi. Good evening. I'm Jeevan from Tamil Nadu. First of all, I would like to congratulate your team for the excellent comeback for the last three to four years. And you have made the company as debt-free company. And only one question is -- it's not a question. Just from an investor's angle, I'm asking this. Being your share, like face value, it is having INR2. For a very long time, it was looked at like a penny stock in the market. So, it was a round INR4 to INR10. So, now,

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you have come back above INR30. And is there any possibility to make it as a INR10 paid-up share and still you can boost up the market value of the stock?

Himanshu Mody: So, we'll take that suggestion into consideration. I mean, there is right now no active plans to reverse split the stock. Obviously, we'll have to see what are the overall implications from a legal, tax, companies act, NCLT, various law enforcement agencies perspective. So, while there's no current thought, but we'll, of course, consider the idea at the appropriate time.

Jeevan: Yes. Thank you very much, sir.

Moderator: Thank you so much. The next question is from the line of Rahul Kothari from Grit Equities. Please go ahead.

Rahul Kothari: Hi, sir. I have a question. This is with regards to understanding our preference towards taking an order, whether it's more towards the turnkey projects or towards WTG equipment supply?

And with regards to the estimate that is understood that 10 gigawatts of orders are expected from PSUs, how are we looking to pre-requisite into it or supply our products and services to that segment?

JP Chalasani: See, equipment supply and EPC, we always tend to balance because in EPC, at the end of the day, we need to look at what is our project execution capability, how much can we deliver projects in terms of the land to the connectivity, including the evacuation system. Whereas equipment supply is that we know that we have a definite capacity we can supply. So, we always look at saying that how much we should take equipment supply, how much is EPC.

And also, EPC depends upon which state it is where we think the acquisition of land is easier versus cumbersome process. So, we keep evaluating. We don't have a target per se, but we keep evaluating these factors, saying that, okay, if you reach a certain level of EPC, then we think that for this year, we significantly enlarged our project delivery capacity through this. Then we will limit there and get on to the equipment supply. So, both will be there, a mixed size. So, it depends upon which state, which project, and what capacity is and when.

And as far as the 10 gigawatts is concerned, then obviously, I just explained some time back, we don't bid, but we support the bidders for those projects. If someone wants to have a pre-bid tie-up, like earlier also we saw a pre-bid tie-up, or post winning the bid, they come to us saying that they won the bid and we want to work with you for developing a project, then we'll work with them. So, more bids get awarded, that much as the universe keeps increasing for us for the order intake.

Rahul Kothari: Sir, just one more on the understanding front. With regards to because on the wind front, there is generally a landmark with regards to the wind speed and all, and identification is done. So, as a Suzlon, considering the large order coming in place in the future, so execution would be a challenge. So, do we have some, or do we explore the land acquisitions earlier, or will it depend on the customer to procure the lands and everything?

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JP Chalasani: See, for us, when we talk about, we can do EPC, our strength is basically the wind data, because we have the largest number of masts and then the largest wind data available to us. So, therefore, we clearly know in each state, when I say that all those eight windy states, which site is good, which site is what sort of a condition it is. That's the knowledge what we bring in.

So, we can potentially, when somebody wants to ask for EPC, we say that this is the site with the wind data, we will develop for you, because we may or may not have a land at that point of time, then we work with them, enter into a contract, and we acquire along with them.

Moving ahead, the process, we used to do earlier, but in between, we stopped because of various things that we don't acquire the land bank, but in case we're certain we have a very good site and which can get into a contract, let's say in the next eight months to 12 months, not locking up the capital, then we would also look at investing in the land, but provided we're absolutely sure that we can convert that in to a contract in a short period of time. But not creating a land bank which are available for the next five years or eight years. No.

Rahul Kothari: Okay, that's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Dhyey from Niveshaay Investment Advisors. Please go ahead.

Dhyey: Thank you for taking my questions once again. I just had this doubt that if we are not bidding directly and we are working with IPPs in the offshore projects, then how are we actually taking it forward? Because as I understand, we don't have capacity which are required for offshore turbines. So I just wanted to get clarity on that?

JP Chalasani: No, no. The offshore turbine is not required today because whenever even somebody is winning

the bid today, the wind turbine would be required, let's say, three years to four years down the line. Offshore is completely different ballgame. It's going to take a long time to come in. While we do have another technology under development, various turbines, so in case we are going ahead with offshore, not one-off project, but we think that offshore in India is going to pick-up, then obviously we will accelerate and get the first wind turbine out for the first project to come in. So therefore, the partners, when they talk to us, they look at our time cycle versus the project time cycle, and that's how they go ahead and bid based on our turbine. You don't need a turbine today for offshore.

Dhyey: Okay. Thanks a lot, sir.

Moderator: Thank you so much. The next question is from the line of Sriram Rajan, who is an individual investor. Please go ahead.

Sriram Rajan: Hey, thank you. Congratulations on great numbers. And just two questions. I was reading that Adani has already got a 5-megawatt turbine empanelled in MN

RE. Would that pose a competition, given that they can generate more power with less land?

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JP Chalasani: It is not the question of more generation with less land. At the end of the day, for anybody, you know that you are an individual investor, you would know that what matters is the cost per kilowatt hour. Okay. Which model gives you the lowest cost per kilowatt hour? For the larger turbines in India today, the cost per kilowatt hour is higher. Okay. On the current site, it all depends upon the wind. The current wind availability, the sites what are available. Today, the 2-megawatt, 3 megawatt would give you a lower cost per kilowatt hour than a 5-megawatt turbine. So therefore, in our opinion, that is not a constraint at all. So what we need to look at is that if that comes into market, our product can give better cost per kilowatt hour than that. And we do feel that our 3 megawatt and 2 megawatt can give lower cost per kilowatt hour compared to a 5-megawatt turbine in the current sites.

Sriram Rajan: Okay. Fine. That's good. I didn't know this. Okay. Thank you. The other question was, let's assume we transition over a period of time from 2 megawatts to 3 megawatts completely. What would be the amount of gigawatts of turbines we can supply in a year, basically the capacity that we have?

JP Chalasani: Okay. Our manufacturing capacity is anywhere between 3 gigawatts to 4 gigawatts, because let's see what the capacity means. Mostly our natural capacity is for 4 gigawatts, you know. Our is always -- there are three components, nacelle tower and your blades. The tower is we do ourselves, plus you can outsource. So therefore, there is no capacity constraint in terms of tower, as long as in advance you book the fabrication capacity.

So therefore, your capacity depends upon the blade manufacturing. For the blade manufacturing, number of moulds what you put in your plants. So we assume that the capacities we will be able to sell is x, and then we put the moulds. But if we see that FY '26 we can sell more, then we'll quickly go ahead and put the moulds in some of our existing plants and increase our capacity. So capacity won't be a constraint if there are going to be an order. Orders on a consistent basis. Not that we do one year peak and then subsequently it comes down. If you look at the two years to three years, this is going to be the capacity, then obviously the manufacturing capacity would be ramped up quickly, only the blade capacity, and then to meet that.

Moderator: Hello? Mr. Tyagi, do you have any more questions?

Tyagi: My question is on the EPC plan. You mentioned that the company is now expecting more complete EPC orders instead of just turbine supply. What is the main driver for that? And do you also see an improvement in O&M business? As in recent years we've seen more players going to specialized O&M service providers instead of the turbine suppliers?

JP Chalasani: On the EPC front, I clarified earlier, is that more is coming in because of the demand from the market. It's not that we want to do more EPC, but there's a demand from the market. Because as I said sometime back, there is no OEM left in the country other than us who does EPC. Even the largest competition in the market are just supplying the components. They don't even supply the turbine, they just supply the tower, they just supply the nacelle, and even the blades, somebody

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wants they can buy directly. But someone else has to bridge the gap between the turbine supply to, commissioning, BOP, and everything.

We do have limited capabilities in the country for who can do that sort of a service. And some people went ahead, experimented that, and there were some bad experiences, some good

experiences. So people wh

o have bad experiences want to get bac k into the EPC concept. That's the reason I said that there is more demand for EPC, because we are the only people who provide E-P-and-C services. Though we don't give up only EPC, we provid e EPC services.

On the OMS front, today every si ngle contract what we sign for WTG supply, we only sign if there is an OMS contract followe d by the supply of turbines. If there is no OMS contract, we don't sign the supply contract a s well. So till now, that has b een our principle. So every WTG we sell, we also have an OMS contract for that. So therefore, o ur OMS business will continue to grow to the extent we keep s elling our WTGs, t hat magnitude.

On the other front desk, there are some small ISPs which are co ming, and there are also some large IPPs looking at their own -- trying to do their own OMS. Our turbine, none of our turbines have gone away till now. In fact, we recently acquired 80 megawatts of Siemens Gamesa turbine for operations by us, given to us by O2 Power. In fact, we are getting multi-make models to us. But having said that, we continue to improve our standard of se rvice, and more importantly, continue to develop value-added products so that benefits our c ustomers in terms of improving energy output or improving the reliability and various aspects. That's the reason, that's how we want to retain our customers.

Sriram Rajan: All right. Sir, just one more question. What would be the likely capacity addition in FY '24 and FY '25, overall sector level?

JP Chalasani: See, we gave our estimate earlier, also we gave it that we expe ct anywhere midpoint is 4.5, 4 minimum and 5 max this year is w hat our expectation is. And eve n if you look at the H1 is 1.5, if you do double up that in H2, let's say, it's 4.5. So that's what is our guidance. We continue to believe that one.

And in FY '25, our expe ctation is to go up to 6 gigawatts to 7 gigawatts.

Sriram Rajan: All right. Thank you so much.

Moderator: Thank you. The next question is from the line of Nikhil Abhyankar from ICI CI Securities. Please go ahead.

Nikhil Abhyankar: Thank you, sir. Thanks for the opportunity again. Sir, what is the quantum of order pipeline that we're looking at until March end, March '24?

JP Chalasani: March end. Right, today we have more than 1.6 gigawatts of orde r. And there is a significant order book, obviously, because of th e confidentiality with clie nts to the orders, this we can't say how much it is, but there's a significant order pipeline, which we're negotiating today. And that's

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when we can put the order, then we come out and then basically announce. So I don't want to put a number to it. But there i s this strong orde r pipeline, wh ich we're negotiating today.

Nikhil Abhyankar: Understood. And also, there are around four FDRE bids also open right now. And so are we also working with the IPPs to bid for these projects? And what kind of wind proportion can we see in this bid process?

JP Chalasani: See, it all depends. Sometimes the wind proportion can be signi ficantly higher, which is this FDRE bids. I don't have the number right away with me for the c urrent FDRE estimates. But what I remember the overall numbe r is that in the 13 gigawatts of outstanding bids today, which are open, the wind capacity is a bout 11 gigawatts. In some case s, the wind capacity is more than the bid capacity.

Because, for example, that somebody wants to offer a sort of an RTC power sort of a thing, and some people are saying that instead of getting into hybrid anyt hing, I can actually -- let's say you want 400 megawatts of the PPA you have and go ahead and set up 650 megawatts of wind. And on an annual basis, you meet the requirement of what is req uired, the PLF size. So therefore, wind capacity is going up. That's why I said that I don't have a bid size, but total overall

bid size

in 13 gigawatts, more tha n 11 gigawatts is wind.

Nikhil Abhyankar: Okay. And are we working with IPPs on FDRE bids as well?

JP Chalasani: Yes, we work. Yes, obviously, the bidders remain the same, whic hever the type of bid. The universe of bidders, the companies remain the same. Whoever -- we have a relationship; we keep working on this. Like earlier, we had a pre-bid tie up with Apr aava, we had pre-bid tie up with Torrent, we had pre-bid tie up wi th Sembcorp, we had pre-bid ti e up with Hero, you name it, we had. So sometimes they have pre -bid, sometimes they go ahead an d then, bid, and come back to us.

So there is no need for pre-bid these days, because everybody k nows the market, what are the prices and things like that. It was different when initially wh en the bids came up in the FY '18, the initial year of bidding, then obviously people, everybody h ad a pre-bid tie up. But now, it's not necessary. Not even 50% of th e bidders have a pre-bid tie u p.

Nikhil Abhyankar: Okay, sir. And the final question on Siemens Gamesa. So are we looking to acquire any of the wind projects that they are currently managing, going ahead, whichever are coming for expiry?

JP Chalasani: We all, we do a multi-make. We are also working in a small way on the multi-make. We are in initial stages, we don't have significant capacity, we have more than, little more than, close to about 200 megawatts. Another 150 megawatt is what we acquired this year. As I said some time back, 80 megawatts of Siemens Gamesa, which O2 Power had, wanted us to develop, do the OMS, which we are doing it.

Obviously, any such opportunity comes in, we will definitely open to do a multi-make, whether it's Siemens Gamesa, or if not, any make, we will do open. Today, we operate Enercon, we
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operate Inox, we operate Siemens Gamesa machines. Capacity may be small, but all these people we do it. And but that is one of our business models in the OMS. While we continue to do our own, but we'll also look at opportunities to expand into multi-make.

Nikhil Abhyankar: Okay, sir. Thank you. Thanks a lot and all the best.

Moderator: Thank you. The next question is from the line of Neil Ostwal, from Bajaj Finserv Asset Management. Please go ahead.

Neil Ostwal: Yes. Hi, sir. Thank you for the opportunity. Can you give some color on the opportunity size of the C&I segment?

JP Chalasani: See today, if you look at our order book, the two-thirds is C&I, so including retail. So, one-third is actually the bid capacity. So, that's the rate what we're having today. So, a significant portion is C&I, actually.

Neil Ostwal: Okay. All right. Thank you.

Moderator: Thank you. The next question is from the line of Pawan Gulati, from Investor. Please go ahead.

Pawan Gulati: Hello, sir. Congratulations for the great set of numbers. I have couple of questions on slide 20. So, basically, first one, it mentions the installations in H1, that's half a gigawatt. And for Q1, the number was 0.3 gigawatt. So, can you give the numbers in megawatt for both orders? That's one. And the second question is that we have a capacity of greater than 3 gigawatts till our installations have been almost – the run rate has been lesser than 1 gigawatt in the air. So, what's our path forward to increased capacity utilization?

JP Chalasani: So, you're talking about supply?

Pawan Gulati: No.

Himanshu Mody: So, on slide 20, I'm answering your question. So, installations by Suzlon in the first half have been about half a gigawatt, close to about 500 megawatts. And across the country, about 1.6 gigawatts of installation has happened in the first half of this financial year. So, approximately, again, if we take the market share dynamics just for the first half, this is installations where we are about 33%. The other metrics is for the H1, we've done

267 megawatts.

That's in terms of deliveries. So, in the H1, there have been deliveries of 267 megawatts of turbines, while installations have been 500 megawatts. I mean, difficult for us to give you a market share number of the deliveries because we're not aware of what the competitors are doing. We can report our numbers, but MNRE reports the new wind capacity that have got added. So, that's how we're coming to the 33%.

JP Chalasani: Also, on the commissioning, you'll notice that the whole of last year, we did about 524 megawatts. So, that's what we actually reached in the H1.

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Pawan Gulati: Correct. But my question was that, really we have a higher capacity of three gigawatts a year, and we have the open model as well. So, basically, what will be our part to higher installations on a quarterly basis?

JP Chalasani: Yes. Obviously, we can't give that guidance, but I can say that the order book is one thing, and the delivery schedule is different because each project is unique. If it is an equipment supply, they will have their own schedule in terms of when they want the turbine. One is looking at their site readiness, and even where we have an EPC, sort of a thing where we are responsible for everything, still people, some of them, will ask for rescheduling the supplies because the evacuation system is getting delayed.

The substation from which their project gets evacuated is getting delayed. So, this is now a dynamic situation. So, depending upon the need of the project and also the evacuation capacity is happening, the schedule will keep changing. So, we may have an order, and also order may have been booked for this year, but still the client can come back and say that my evacuation is

not happening or I'm getting delayed in terms of my land acquisition, so, therefore, please postpone. So, that's what keeps happening, which is why we keep working with every client independently on each project. That's what would decide the, how much we can supply. We can supply, but provided the projects are not ready to take that much capacity, then obviously, what do we do with that? They won't even pay us. They won't even take the budget and pay.

Pawan Gulati: Right, sir. Thank you.

Moderator: Thank you. The next question is from the line of Amit Nigam from Invesco Mutual Funds. Please go ahead.

Amit Nigam: Hi, good evening. I have two questions. When I look at the finance cost line of the P&L, sequentially, would the trajectory be a sharp drop or a more gradual drop? That's one. And second is, when I look at your cash flows on a consol basis for the first six months, I see a significant deployment in the working capital lines. So, does that give us some visibility to a better execution coming up in the second half? Thanks.

Himanshu Mody : So, Amit, I'll answer both your questions. So, on the first one with regards to interest costs, as I said in my opening comments, certainly you will see a sharp drop in the finance cost in Q3. Up to now, for the six months of the H1, our finance cost has been about close to INR90 crores for the first six months. And that's largely been because of the debt that we had on the balance sheet, which has got repaid around the end of August.

So, for a large part of the Q2 also, until the QIP proceeds were realized and repaid to the lenders, that interest cost line is figuring in the quarter two. So, Q3 will see a sharp decline in the interest cost for sure. To answer the second question, working capital is, I would say, is an issue in the business. We are working as a company to further optimize that.

And yes, you are right that if you see the cash flow, there is significant working capital deployment currently as we speak. So, and whilst we have the 1.6 gigawatts in confirmed orders, Suzlon Energy Limited

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so certainly we are very, very focused on executing those orders in the quickest and most profitable manner possible.

Amit Nigam: And so, would it be prudent to conclude that March 31, in 2024, the balance sheet, especially on the working capital line items will be much lighter from where we are today?

Himanshu Mody : May not be lighter from where we are today. Again, I would like to review working capital always as a percentage of overall sales, either trailing or forecasted because whenever we end March '24, net working capital term, that could be representative of the investments that we have made for deliveries to be done in March '25.

So, I do not think in absolute rupee crore terms, it may be a lighter number, but in percentage terms for the business that the company would deliver going forward, it would certainly be lighter in that proportion.

Amit Nigam: So, essentially you are saying it will be more efficient, right ?

Himanshu Mody : Yes, certainly.

Amit Nigam: Thank you, Himanshu.

Himanshu Mody: Thank you.

Moderator: Thank you. The next question is from the line of Deepesh Agarwal from UTI Asset Management Company. Please go ahead.

Deepesh Agarwal: Yes, good evening, gentlemen. Sir, my first question is, is it fair to say entire order book of 1,613 megawatts will be executed by March '25?

JP Chalasani: Yes, right now the orders what we have is, that's right. The order book what we have is for FY '24 and FY '25. The order in the pipeline, what we are now negotiating, we are discussing are that there are some which will go into FY '25 and FY '26. But the current order book what is shown 1.6 gigawatts is for FY '24 and FY '25. Nothing is below or beyond.

Deepesh Agarwal: Okay. So, for FY'25 incremental orders, anything which we get in next one or two months can possibly go into FY'25, right?

JP Chalasani: No, what is now happening is that the orders what are coming in henceforth are, depends upon the size, okay. If we get 50 megawatt or the type of orders, that will be for FY'25. But let's say that if you get a large order for 200 or 300 megawatts, then it could be for FY'25 and FY'26, even if you get in the next two months.

Deepesh Agarwal: Okay. So, basically, if we take the formula which you gave earlier in the call, second half is typically 2x. So, assuming you do a 500, 550 megawatts in second half, we have 1100 available for execution in '25 plus any incremental order you get, which can be executed in '25, right?

JP Chalasani: Yes. Guidance, well, your numbers are right. I can't find fault with your arithmetic.

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Deepesh Agarwal: Sir, the other question is if I look at your order book, almost half of your order book is in Karnataka. So, what is the status of the transmission connectivity out there? I guess there were some substations which were to be installed, which are getting delayed out there. Anything which impacts us out there?

JP Chalasani: Yes, it does. Like sometime back, I was saying, impacts in the sense that there could be some people, like, especially for this year supplies, okay? So, they can say slightly delayed because substation is getting delayed for the next year. So, you're right, there are a couple of substations which are delayed, which are expected to come, I think, end of this year and early next year. So, there will be some readjustment of delivery schedule. That is what would be the impact on us. Otherwise, the connectivity and that is not our responsibility. That's the responsibility of the client. So, we would not have anything, only to the extent that if they know in advance that that's going to get delayed, then obviously, they would like to reschedule the supplies, move it by two months, move it by one month, move it by three months. That sort of things can happen. That would be the

impact on us.

Deepesh Agarwal: But if any

JP Chalasani: Considering Karnataka is basically, the reason is that till now, as you know, that the -- all the bidding was happening on the site, state agnostic because you can put in anywhere. So, everybody would go towards where the higher wind, but that's the only way you can win the bid. So, initially, there is all products came up from Gujarat and Tamil Nadu. Then obviously, Gujarat had some concerns with respect to land, which they removed now. The only other option was the Karnataka. The option was available for MP, Rajasthan, AP anywhere, but people didn't put up there because there you will get less of PLFs compared to Karnataka. But now with the full tariff concept, those states are getting opened up. The concept is in Karnataka, that is the reason.

Deepesh Agarwal: Okay. So, if there is a delay in the transmission, it also differs our revenue, right?

JP Chalasani: Come again?

Deepesh Agarwal: If there is a delay in transmission line being set up, it also differs our revenue or we get our revenue with only the final commissioning that we get?

JP Chalasani: No, contractually, it doesn't differ. But then, if they are repeat clients, we have a relationship with them and they know in advance, let's say 10 months in advance, it's going to be delayed. They'll come and ask us saying that, can you please reschedule some of these supplies? So, we oblige. If you oblige that, then there could be some difference. Contractually, no. So, we have agreed to schedule when they need to take the turbines that way.

But then, when you work on a relationship with the repeat client, then obviously you would tend to agree with them on some revisions, if feasible. It's not necessary that it's always feasible to reschedule the supply. But if you reschedule, agree mutually, and reschedule, there would be an

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impact on the topline. But then what will happen is that some other sites could be there. So, we will fill up that during that period of time.

It's crucial because we're doing multiple contracts. So, some cases we can advance because they would maybe ready. But earlier, we didn't agree to supply that time because we were to supply to this project. So, now we can, switch and supply to that project. That's how we plan when you have multiple contracts.

Deepesh Agarwal: Sir, lastly, what is the status on the capex which we were doing for the moulds for the three-megawatt turbine? Is it ready? And can we start shipping those turbines from 3Q or we'll have to wait for the 4Q for that?

JP Chalasani: We already started supplying commercially. Then about five or six even turbines got dispatched already. And then we are now doing commercial products. It will gradually pick up in Q3 and Q4. But significantly ramp up will happen next year, obviously. But then you will see a reasonable capacity going out in this year, especially in Q4.

Himanshu Mody: And the capex plan for mould is on track. So, whatever number of moulds we need, we already have three moulds in operation on transit. And the rest will be in play by end of this quarter or early Q4.

Deepesh Agarwal: Sure. Thank you. And all the best.

Himanshu Mody: Thank you.

Moderator: Thank you. The next question is from the line of Dhruv Muchhal from HDFC Mutual Funds. Please go ahead.

Dhruv Muchhal: Thank you so much, sir. Sir, looking at the industry situation in terms of increasing demand and particularly and also your positioning in terms of the EPC service that you probably uniquely

provide, very few players provide. Is there a possibility or probably some discussion that you're already having the scope for margin that you earn for your services plus the working capital cycle that we have in the business of improving versus what we were thinking in the last three

months or six months or last one year? So some thoughts on this, please?

JP Chalasani: See, on the improvement of working capital from the client side, we have done significantly already in the last couple of years. So the change of payment terms, we said we would like to get payments on the component supply basis rather than the supply basis. We have done adequate work, but at the same time, there's always a scope for improvement, asking them to open everything and things like that. So that does exist in terms of the improvement of working capital cycle based on orders.

Dhruv Muchhal: Okay. And so on margins?

JP Chalasani: Margins, we gave a guidance on the margins. I think right now we stick to that margin rather than saying that, okay, demand. See, for the repeat customers, we really don't want to go and say

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that the demand is higher. It's now a supplier's market. We want to improve our margin significantly. That's not the way to work with the repeat customers.

But some customers, the C&I segment other things, we might improve the margins. But our guidance remains the same as whatever we said earlier, the margin-wise per megawatt. That we wouldn't -- We wouldn't like to change that guidance.

Dhruv Muchhal: And so the second question is probably just to understand, it would be too early, but we are seeing some intensity by Chinese equipment suppliers increasing. We are hearing about Europe trying to impose some restrictions on Chinese. I'm not sure how relevant this is for India. And I was looking at some data. The cost for them seems to be very low versus probably globally, even for India versus India. So can that be a threat to the industry in India and also to you? Or the dynamics are very different in India and has no implication?

JP Chalasani: Let me answer this from the industry perspective rather than looking at Suzlon. I don't want to get into that issue of what happens with Suzlon. Many of the suppliers, as I said sometime back, the issue is that with the component supplier rather than EPC suppliers.

When I said a component, not even WTG, they're willing to supply just the nacelle, not even tower, not even the blade. And so some people think that that's the best way, then I can reduce my cost. But ultimately, how much capacity do we have capability building in the country in terms of bridging the gap between supplier versus commissioning is a major issue.

So which is a concern the government also is having now. In fact, they started monitoring a number of turbines on the ground uncommissioned, because which is going up now today in the country. Yes, they do have the advantage of the price because the many of them are actually assembling it here than the manufacturing here, even with whatever manufacturing they're making, so raw material completely import it from there.

Then they do have advantage there in terms of subsidies, in terms of power costs, various things. So their input cost is worse. So that's a known fact. But then the manufacturing component in India is much lesser. It's more of an assembling here exactly.

Dhruv Muchhal: So the challenge for them will always be that you mentioned the combining it with service. So that execution challenge will always be a problem?

JP Chalasani: Well, for the bidders, ultimately, why I said that we're getting more demand for EPC is that how many of these clients really can think of partnering with someone else because nobody does on their own. You need a partner to build your projects. So do we have really capability built up in the country for doing seven gigawatts to 10 gigawatts, what we're talking about in terms of BOP is what is a question one has to ask.

Supplies can happen. People can dump the turbines on the ground. But at the end of the day, as a country, what we need is not the

turbines dumped on the ground, but turbines commissioned, connected to the grid. So that's as an industry, we're going to face that issue and which is now slowly is coming on the ground.

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Dhruv Muchhal: All right. Sure, sir. Great. Thank you so much and all the best, sir.

Moderator: Thank you. The next question is from the line of Rahul Kothari from Grit Equities. Please go ahead.

Rahul Kothari: Hello. Just picking up the earlier question forward. So these imported and assembled parts, these kinds of orders are also applicable like in the PSU tenders also or it's more towards the C&I, IPP, private IPP domain? That's one thing.

Second is just to further understand on the competitive landscape from domestic and international front. So I understand that in wind there are three domains, equipment, supplier, then the BOP, and then third is the OMS. So specifically on the OMS, for us, for our own supply, we don't see any competition, right? What we are looking for is the already OMS in place, which are where other players' products are supplied. So can you just elaborate on the front of the competition?

And thirdly, just one more question to add in. Thirdly, regarding how do we look at the weightage of like two-gigawatt, two megawatt and three-megawatt proportion in our revenue book going forward in FY'25? If it's looking to?

JP Chalasani: Yes. On the first one, to my knowledge, there's no restriction on PSUs because it's basically RLMM-listed equipment is what people buy. Unfortunately, in RLMM listing, it talks about either you manufacture or you assemble. So you still get qualified for RLMM listing. So once you're listed in RLMM, I'm clear that I don't think there are any restrictions for PSUs to my knowledge. I'm not completely authentic on that, but that's what I feel. I think because they're listed in RLMM and they're listed there because assembly is also allowed in RLMM. So therefore, that's the question number one.

And question number two, yes, you're right. There are two issues in OMS. One is our own fleet. Other one is the multi-make what we acquire from others. Even in our turbines, I don't think it's a right or a path to say that there is no worry because the people, there are ISPs which are there in the market. So they're setting up some sort of unsustainable benchmarks in terms of pricing, in terms of performance parameters, what they're guaranteeing, plus some of the large IIPs think that they can operate.

So therefore, there is a pressure on us, even our own fleet, to ensure that our service remains high and then we keep providing value-added services, as I mentioned earlier. So that's a second most fact that we do recognize that even in our own turbine things, we need to be careful to protect ourselves. We love to have been able to do that, and we hope we'll continue to do that in the future. And as far as the third question was, you said international? Sorry, you asked too many questions, so I forgot your third question.

Rahul Kothari: Third question was regarding the proportion of revenue we need from coming from two megawatt and three megawatt turbines going forward in FY'25, '26. Are will it be more tilted towards three megawatts now going forward?

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JP Chalasani: See, right now, obviously, when you look at our order book, the significant portion is for three megawatts today than the two megawatts. But having said that, it depends upon which site, some site, two megawatts competes better than three megawatts. So we are agnostic, and I think the most of the people, the clients, would be more for the cost per kilowatt hour, but there's a psychological feeling that, you know, a psychological preference for a three megawatt, being a larger turbine, maybe

the number of footprints should be less and things like that. But we expect that FY'25, we will continue to have both. Maybe in the ratio of two is to one, or a little different. That's share on that is what we can think that two megawatt and three megawatts in FY'25 will be.

Rahul Kothari: Okay, thank you. Thanks a lot.

Moderator: Thank you. The next question is from the line of Sumakha, who's an individual investor. Please go ahead. Mr. Sumuka, your line is unmuted. You can please ask your question.

Himanshu Mody: Yes, let's go ahead. We can take the next question, if there are any. Otherwise, we can end the call.

Moderator: So well, as the current questioner has left the queue. We will take that as our last question. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

JP Chalasani: Thank you.

Himanshu Mody: Thank you.

Call: Feb 2024

5th February 2024.

National Stock Exchange of India Limited,
"Exchange Plaza",
Bandra-Kurla Complex, Bandra (East), Mumbai-400051. BSE Limited,
P.J. Towers,
Dalal Street, Mumbai-400001.

Dear Sirs, Sub.: Call on Q3 FY24 Results.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you, Yours faithfully, For Suzlon Energy Limited Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited
Q3 FY'24 Earnings Conference Call "
January 31, 2024

MANAGEMENT : MR. J. P. CHALASANI – GROUP CHIEF EXECUTIVE
OFFICER – SUZLON ENERGY LIMITED
MR. HIMANSHU MODY – GROUP CHIEF FINANCIAL
OFFICER – SUZLON ENERGY LIMITED

MODERATOR : MR. SUDHANSHU BANSAL – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Suzlon Energy Limited Q3 FY '24 Earnings Conference Call hosted by JM Financial. As a reminder all participants' line will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sudhanshu Bansal from JM Financial. Thank you. And over to you, sir.

Sudhanshu Bansal : Thank you, Sagar. Good evening, everybody. On behalf of JM Financial, I welcome you all to the conference call of Suzlon Energy Limited to discuss the third quarter FY '24 results. We have with us the leadership team of Suzlon comprising of Mr. J.P. Chalasani, Group CEO; Mr. Himanshu Mody, Group CFO. Thank you so much, sir, for giving JM Financial the opportunity to host the call.

With this, I would like to hand over the call to Mr. Chalasani for opening remarks and taking the call forward. Over to you, sir.

Jayarama Chalasani : Thank you, Sudhanshu. Good evening, and thank you for joining us on our Q3 FY '24 earnings call. I hope you had an opportunity to review our results and investor presentation. We will now share with you an overview of the industry, and we will walk you through our Q3 FY '24 performance. We will then take your questions.

India has witnessed a renewed optimism backed by good policy initiatives from the government with a clearly laid road map for grid connectivity with an approach for accelerating the

deployment of wind turbine installations. The 2030 target of nonfossil fuel-based capacity includes a healthy mix of wind and solar capacities. As for the optimal cost generation mix outlook for 2030, the wind capacity in India is required to reach 100 GW as a base case scenario. On top of this target, there is a sizable demand from C&I segment, which further boost up the demand outlook for wind. In line with the new market scenario, wind capacity additions are now happening across all eight windy states. This can be seen in the order book state mix in the latest investor presentation. There will also be pooling of tariffs, which will reduce the average cost of procurement of power for consumers and, at the same time, will improve economic feasibility of new wind projects across different sites in India.

With respect to order book, our cumulative orders of 3,157 MW include the order book as on December 31, which is 2,290 MW, plus orders announced subsequently of 867 MW from Everrenew and Evren. This is a well-diversified and healthy order book from marquee customers. Our endeavor going forward is to pursue quality orders with higher value and better margins.

Our prime focus remains on executing and building our order book. The order from Evren, a Brookfield entity, of 642 MW is the single largest order won by Suzlon in India. This shows scaling up of project sizes in India and confidence in Indian market.

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Our OMS business continues to do well with around 14.5 GW of capacity in wind. The growth of the wind sector will also help SE Forge as their major source of revenue comes from the supply of wind components. With strong fundamentals and strong sectoral tailwinds, Suzlon is now well equipped to leverage the market opportunity arising from the energy transition.

I would now like to invite Himanshu to take you through our financial performance.

Himanshu Mody : Thank you, J.P., sir, and good evening, ladies and gentlemen. I will be using Slide #17 to 24 of our investor presentation, which has now been uploaded on our website as the reference point for my discussion during this presentation.

Q3 FY

'24 has seen us register robust improvement in all our key parameters and fundamentals and strengthened with a focus on the bottom line. We have made deliveries of 170 MW in Q3 FY '24. On the P&L front, our renewed focus on bottom line has resulted in substantial reduction in quarterly net finance costs by over 94% on a YoY basis. So we stand at about INR5 crores in Q3 FY '24 versus INR80 crores in Q3 FY '23. Depreciation of INR38 crores in this quarter is comparatively lower on account of lower amortization of models for our S120, which is the 2.1 MW models.

Consolidated PAT before exceptional items for Q3 FY '24 stands at INR203 crores versus Q3 FY '23 of INR78 crores, registering a growth of 2.6x in our PAT. Talking of 9-month performance, consolidated PAT before exceptional items, it has gone up to INR433 crores in 9M FY '24 versus INR98 crores for 9 M FY23, registering a 4.4x year-on-year growth on our PAT numbers.

We are pleased to report a very strong and healthy balance sheet as of December '23, which demonstrates a very strong position of strength, where our net worth stands at INR3,626 crores and our net cash position stands at INR719 crores as of December 2023 vis-a-vis a net debt of INR1,180 crores as of March '23. So this was a swing of over INR2,000 crores in a matter of 9 months.

The economy, of course, is on a very strong footing, as said by J.P. Sir. And the sectoral tailwinds that we are witnessing continue to be very strong with a renewed focus on the renewable energy sector. And all of this augurs very well for Suzlon.

With that, I'd like to conclude my brief presentation, and we can now open the floor for any Q&A that the callers may have. Thank you.

Mod erator : Thank you. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar : It's very heartening to see a strong accretion order book. Sir, my first question is, of course, the very strong order book. But the execution especially in the Q3 has been only 170 MW while we are having an order book of 3.2 GW. Can we see a higher execution in Q4? And can you give some tentative timeline of execution of this entire order book of 3.2 GW?

Mohit Kumar : Sir, should I repeat my question .

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Management: Yes please, as we heard only partly. Please go ahead.

Mohit Kumar : Sir, my question was the execution for the Q3 was only 170 MW, but you're carrying an order book of 3.2 GW. How do you see the execution in Q4? And how one can expect this 3.2 GW to flow into our revenues for the next -- some tentative timelines, yes?

Jayarama Chalasani : The order book that we have, 3.2 GW now that you're seeing, is partly small capacity is this year, significant portion is for the next year, that is by FY '25 and also for FY '26. As you know, about the orders are becoming long term, anywhere between 18 to 24 months is what the supply completion is happening from the order date. So that's how the orders are. So therefore, this is a split between a small portion this year, a significant portion next year and the following year, FY '26.

As far as this year is concerned, yes, we delivered 170 MW this quarter. Obviously, the question is with so much large order book, why only 170? Well, two factors for that. One is that we deliver as per the requirement of the project sites. As you know, that significant portion of our order book is also non -EPC, depending upon the sites we deliver.

That's one. There are some clients who rescheduled their requirements because of the likely delay in their evacuation system, the CTU connected system, or some places with the land. Also, we had a little slow progress internally because of the delay in the time of the working capital, which has come in, you know, significant portion has come in December. So I think this together is what we just created, the volumes. B

ut now we expect it to continue to grow because as far as we are concerned, now the working capital is there and the orders are there.

Mohit Kumar : Understood, sir. Are we maintaining the execution guidance of 800 MW for this fiscal?

Jayarama Chalasani : I don't think we ever gave a guidance. This is the expectation of the market. So I will neither say Yes nor say No.

Mohit Kumar : Understood, sir. My second question is on the -- given that we have seen a very high pending activity from the PSU side, especially NTPC, SJVN and NLC. And I think there is a tender out from GAIL for 300 MW. This sizable opportunity, are you participating? Are you participating in these tenders?

Jayarama Chalasani : No, we don't because we are an O&M and an EPC player. We don't participate in the bids directly. We support anybody's participation in the bids. Pre -bid tie -up or the post -bid, they come to us for a link to bid on this. But we don't directly participate in this because we are not an IPP. But you are right, there is a significant amount of bids done till now and as well as being announced. In fact, as we speak, I think there's roughly about 15 GW of bids open today. And then we expect, depending upon the different types of models, about 15 GW of bids would be there in that. And then for us, it's an opportunity, not as a participant.

Mohit Kumar : Sir, I was referring to the OEM tenders, which NTPC has 1,000 MW...

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Jayarama Chalasani: We are looking at them, but right now we have not yet started participating in the PSU tenders because of some of the requirements of qualification criteria with respect to network. The previous ones, so therefore once we get qualified, we bid for that.

As our balance sheet is getting strengthened and we get qualified for that, then we participate.

We used to participate earlier, but in between because of our balance sheet going negative network, we don't fulfil the qualification criteria. So moving ahead, now we will qualify.

Then we'll start participating. Sorry, I took it as we are talking about tenders, not EPC tenders. I took it otherwise. But the EPC tenders, we would participate in the future, but right now we are not participating.

Mohit Kumar: Okay. My last question is on the EPC order book, I think, has -- is 25%, if I'm not wrong, that we thought the EPC order book will see a slightly higher accretion. Is there something to -- if you can just please comment on that, why the EPC order book is at on the lower side?

Jayarama Chalasani: Okay. In fact, if you look at including what we announced yesterday, it's about 28% is our EPC order book. But having said that EPC, when we say it is actually the end -to-end, but otherwise the rest of the portion is an essay. It looks like we do a part. There are three categories. We do EPC, we do equipment supply, erection, and then we do the equipment supply.

So there are different categories. So it depends upon what the market wants. So if the people want EPC, then we offer the EPC services. People want the supply of equipment and do the erection, we do that. If the people want supply, erection, and foundations, we do that. It's a question of -- we provide a la carte services. It's for them to choose. So what is in the market, we can meet end -to-end requirements. And in fact, we are the only OEM. I repeat, we are the only large OEM in India today which offers end -to-end EPC services.

Moderator: The next question is from line of Rahul Kothari from Grit Equities.

Rahul Kothari: First of all, very congratulations for the amazing results and also for winning such a large single order of 642 MW. Congratulations for that. And sir, can you help me understand more on the ecosystem regarding the EPC or we can say BoP system in place?

Considering the significant increase in the green sector, so how is this industry getting up to co

pe up with the requirement of the OEM manufacturers? I would like to understand it on three fronts: How Suzlon itself is gearing up for the execution? How IPP players, if they are looking to execute on their own? And is there any significant players available to take up this execution plans?

Jayarama Chalasani: I will talk about Suzlon and I'll talk about the sector. Obviously, how IPP is stepping up, I'm not the right person to answer the question. As I was answering the previous question as far as we, Suzlon, is concerned, if anyone wants an EPC scope, we are t here to provide EPC scope. And if anyone wants the part of it, then we are there to provide the part of it. We are -- as I said earlier also that we are the only OEM who provides EPC. Other OEMs today are not providing EPC services.

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So therefore, what's happening is that the -- for post -equipment supply, the balance work to be done in terms of BoP work and things like that, we need to depend upon the other players who are coming up in the market today. But those, in our view, still do n't have enough capacity built up in that, which is what we're really seeing in terms of capacity addition.

Even in the first 9 months, we're still struggling at 2.1 GW of capacity addition, when we had much bigger targets for this year. So that is one going to be a constraint moving ahead, amidst the capacity building and execution of BoP. And definitely still, there is a consultation of projects in places like Karnatak a and things like that. So there are issues with respect to land acquisitions that are delaying it.

It's a fact. The land availability is delaying, plus the exhibition capabilities. So therefore, we are continuing to struggle and we will continue to struggle for some more time in terms of overall capacity addition in the country.

Rahul Kothari: Okay. And sir, also regarding like this 3 MW wind turbine, I understand there will be different height and different set of cranes requirement for this. So considering that an earlier time, there was like 2 MW turbines, so crane requirements were different. So is there still -- like the industry with regards to crane availability still there, is coping up with respect to the growth in the wind industry?

Jayarama Chalasani: Yes. Answer is yes because the crane supplier companies are also tracking the sector in a big way. And then they know that what is coming up much in advance. Even when we start announcing a new model and putting up the prototype, they know that Suzlon is sending out this model. They sit with us. They understand what are the requirements of the cranes and they get those cranes in time.

In fact, right today we are tied up already for the cranes what we need for the next year. So there are adequate cranes available as long as you know you're talking to these people in advance and then looking them up. And because we are constantly in this business, we do have a relationship with each of the crane suppliers.

So we don't see in our case, obviously I can't comment on others , but we don't see that as a concern, including for 160 meter up height turbines that we're going to do now.

Rahul Kothari: Okay. And sir, last question, regarding this hybrid project, I understand lots of projects are also coming in the hybrid in nature with solar and wind together or solar and battery, wind plus battery, etcetera. So how Suzlon like participates or provides i ts products to the other players in such kind of order segment?

Jayarama Chalasani: Yes. So if you look at 15 GW of order, outstanding today. 9.5 GW is what you call this FDRE bids, Fixed Dispatch Renewable Energy bids. That would include the solar, wind, and storage system. And then the about 2.6 GW is the pure wind bids. So you don't find the pure solar anywhere, but significantly the bids, 15 GW, measure capacities for FDRE and pure wind bids. In t

he 15 GW bids, equivalently 15 GW is required if you want to meet different types of, 15 GW of wind is required.

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So when the IPP, let's say, is doing an FDRE or doing a hybrid, the wind portion, they approach us, then obviously we'll develop the wind project for them. No one has come to us till now with the coming features. If there is a hybrid to coordinate the whol e thing, we're willing to coordinate. But otherwise, we will provide the pure wind portion of it.

Moderator: The next question is from the line of Rajrishi from DCPL.

Rajrishi: Just wanted to understand your perspective on this supply side. Like demand side, the government is talking about a certain level of capacity addition for the next 5, 7 years. C&I is talking about a certain level. Green hydrogen is there and repowering, et cetera, is there. So that's the demand side, which seems to be very robust. Now as far as the supply is concerned, do you foresee any chance of oversupply in the domestic market in India? Or that's -- I hope, I would just would like to hear you out on this?

Jayarama Chalasani: I think the demand obviously is expected to be there because of the opportunity itself. Obviously, the whole demand is not being today subscribed to. If you look at the -- roughly about 13 GW or something, including the green show option bid out recently, but that portion is only about 7 GW.

What would decide is not the supply of equipment. The capacity addition would purely depend upon how much can we convert the supply turbines into commission capacity. That's where the concern we're facing today in the country. So as I said, that is what is going to decide as a country how much we are going to add the capacity.

If that keeps getting slowed down and not ramping up significantly, then obviously you will have a backward impact on how much will be the supply required. So basically, the commission capacity would actually decide the demand on the supply of equipment, but not the demand of the -- the greater demand of the C&I customers. That's our clear view.

Moderator: The next question is from the line of Nikhil Abhyankar from ICICI Securities.

Nikhil Abhyankar: Congrats on a good set of numbers. Sir, my first question is regarding the profitability of WTG segment. Sir it has been low in the first 9 months. So what exactly is the reason for this, sir? And how will be the trend be going forward?

Himanshu Mody: So Himanshu here. So in terms of WTG segment, we've always maintained that our break-even points are close to about 600 MW. So long as we're able to deliver 600 MW in any given year, the WTG business, manufacturing business on its own, will break even at the EBITDA level after meeting the fixed costs. So we continue to maintain that.

In the 9 months so far, we've done about 437 MW of deliveries. So a large part of the fixed costs have already been absorbed through the deliveries that have happened over the 9 months. And of course, based on the deliveries that we do in Q4 of this financial year, I think the WTG segment is well on its way to have a reasonably decent operating profit on a stand-alone basis.

Nikhil Abhyankar: Okay. So as and when the volumes increase towards the next year, the margins are expected to go up?

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Himanshu Mody: That's correct, yes.

Nikhil Abhyankar: Okay. And sir, the second thing was regarding -- it is an industry-specific question. So recently, pure wind tenders have seen -- like if the tender is for, say, 100 MW, the bidding is done only for 20, 30, 40 MW. So what exactly is the reason for this? What are the problems that IPPs are facing?

Jayarama Chalasani: I think it is not specific to wind. As I said, sometimes that overall 13 GW bidding done, about 7 GW is subscribed. Even if you see the latest hybrid of UVNL, which is including wind

and was 100 MW,

which was the latest bid that happened in the end of January, only 200 MW got subscribed.

So that is not specific to wind. It is generally what's happening is that compared to the bids that are coming in, the subscription level is becoming a little low.

That could be because everybody has got already beat out earlier bid and then acquired capacity.

And second also is also because there could be a potential diversion of concentration towards the C&I segment and the bid [PPS]. So that could also be another reason. We assume that there is an under subscription. But that is not specific to wind.

Nikhil Abhyankar: So what exactly happens to this unallocated capacity, will there be tender?

Jayarama Chalasani: They're coming up, like I said, that now as we speak, there is only 7 GW subscribed. The next 15 GW of this, they're already in the market, which I said to the gentleman before, the FDRE end up at 2.6 GW of pure wind base. This FDRE NTPC or NHPC they are out there already in the market. Then government will continue to come out with bids. So if they are undersubscribed, fine, the next bid will come again.

Moderator: Next question is from the line of Deepesh Agarwal from UTI Asset Management Company.

Deepesh Agarwal: Good evening gentlemen. My first question is of the current order book, how much is your Equipment supply that is without erection?

Jayarama Chalasani: See, EPC is about 28%, 30%, 70% is the non-EPC. In that we will have a -- let's say, almost like 50%-50%, which is equipment supply versus some portion of other erection or some other portions roughly.

Deepesh Agarwal: Okay. So would there be a possibility of delays in projects where only equipment supply is there

because the customer erection is dependent on customer?

Jayarama Chalasani: Yes, yes. Yes, Yes. So, there are delays. Not just the delays. In fact, we are also seeing some of our equipment which got supplied, let's say, three, four quarters back are still getting commissioned. So, there are obviously delays. That's the point which I was making earlier. As a sector, we are facing headwinds in terms of capacity to capacity buildup for doing the BOP work, on -ground work. So, not the supply consumed, but more so on the project execution side because there are hardly any large players in the project execution. As I said, we are the only large OEM which is doing the project execution, but others don't do it. We only just supply the equipment, and that's how the job is over.

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Deepesh Agarwal: Sure. Sir, in terms of your delivery commitment to the clients, how much of this 3,157 MW would be for next year?

Jayarama Chalasani: I can't say that because that would actually give you guidance indirectly. As I said, sometimes back in this 3.2 GW of order book or whatever we said till yesterday. Today, a significant portion of that is for FY '25, also some portion of that is for FY '26. But specifically to say when it is, it's difficult for two reasons. One is that what schedule we agreed today is different and also when the projects start getting executed, then what would become the actual delivery schedule depending upon the client's site and everything would be different. So unless we get closer, so we won't be able to firm up what is likely scheduled for the reasons what we discussed sometime back on the site readiness and project readiness and execution capabilities.

Deepesh Agarwal: Sure, sure. And sir, last time when we met, you mentioned that despite having 4,500 MW, there will be a gradual increase in the capacity. Basically, you'll have to invest in some of the capacity on supply chain, etcetera. So can you help us understand the ramp -up in both erection name capacity and the product supply capacity, how that is happening now?

Jayarama Chalasani: See, erection capacity, there is nothing that's called

the capex, which is required. So what is

required is your organization bandwidth increases. For each project you open up, then you get a set of leadership and the workforce required there. But we keep expanding from time -to-time, depending upon what capacity we're executing on it. There is no significant capex required in terms of project execution. As far as the supply is concerned, currently whatever capex is required, we already committed on it. Himanshu?

Himanshu Mody: Yes, yes. So I mean, on the capex side, there is a sustenance capex of about INR100 crores, which historically the company has been incurring. But particularly for the ramp -up that we are seeing to invest in the 3 MW molds, we may be looking at a delta capex of about INR250 crores a year, so which we are quite comfortable with meeting from our own internal accruals.

Deepesh Agarwal: Okay. So practically, if the orders are available, we can even go to 4,000, 4,500 MW execution in a year?

Jayarama Chalasani: It's not so simple to say the capacity. Manufacturing capacity versus the supply capacity are two completely different parameters. I might -- we might have a 4 GW of supply capacity, but that is when you run this like a flat -out machine, okay? But it doesn't happen that way. If a couple of your supplies are made ready but not taken, not dispatched, then no, you don't have a place to manufacture the next one.

So therefore, there will be -- therefore, one is creating how much of the manufacturing capacity. They're not like a mass production, just produce and send it out. It also depends upon offtake of capacity. Again, come back to the same thing, everything gets decided based on what is the offtake at project sites. That would decide our manufacturing capacity, that would decide our supply capacity. Yes, if everything is idling, if whatever we produce is taken out in time, what you say is right.

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Moderator: The next question is from the line of Aadesh Mehta from Motilal Oswal.

Aadesh Mehta: Congratulations on a good set of order inflows. I just wanted to understand, since January is already over, would it be possible to know what is our execution run rate for January?

Jayarama Chalasani: We don't provide it. Unfortunately, we don't provide the guidance. So we've not been providing it as well.

Aadesh Mehta: Okay. No worries, sir. And sir, in terms of when we are seeing the new tenders, right, we are seeing that the delays have been -- especially the SECI and the NTPC tender, the delays have been slightly more than what would have initially expected. And even then, there is some delay

in the bidding as well. Sir, can you, as an industry participant, articulate that why the recent FDRE contracts are running in some delays? And even in terms of bidding, not the entire amount has been bid for.

Jayarama Chalasani: It's question of not appraising the sector today for absorbing the bids. So that's what we were discussing sometime back. Obviously, there is an under subscription on an overall basis with respect of what type of a bid it is. That could be one.

Because the players are currently a bit saturated, are also looking at risk of execution. So therefore, they don't want to take the risk beyond the x amount of capacity, which is already bid and taken. And one of the reasons also mainly could be because we have these people who are concentrating on C&I segment, which doesn't come to the bidding route . It is outside.

In fact, even if you look at our current order book, what we have, 50% is C&I. In fact, that is more. But for the large order, what we announced yesterday, otherwise, our C&I segment is seeing even more. So that could also be causing people absorbing less in terms of bid PPS, which is an increase in PPS.

Aadesh Mehta: Got it, sir. Sir, while there is a saturation at the developer level, there could

be some transition

bottlenecks, right? Sir, would delays continue? What is your outlook on how long can these delays continue?

Jayarama Chalasani: I wish I had an answer -- exact answer for that. The -- see, let's look at this year. This year, it's 2.1 GW done in the 9 months. So our estimate is anywhere between 3.2 to 3.5 GW is what we'll achieve this year, okay?

Aadesh Mehta: And when you're saying this year, so in next -- so basically in 3 months, another 1 GW of execution should happen on ground?

Jayarama Chalasani: ~1 GW of commissioning will happen on the ground, not execution. Outer limit, like 2.1, could move to 3.1, 3.2. That's the best case scenario of what could happen. Compared to what we were facing as a country, we will cross the FY '17 figure of 5.5 GW. But therefore, again what would happen in FY '25, our estimates are as a country, if we resolve some of this capacity building issues in terms of BoP, we could do 5 to 6 GW next year.

Aadesh Mehta: So FY '25, 5 to 6...

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Jayarama Chalasani: More than the transmission constraints, that would be there. But more than that, execution constraints, what we're facing in terms of capacity as well as availability of land, etcetera.

Aadesh Mehta: Got it, sir. So next year, 5 to 6 GW would be doable, right?

Jayarama Chalasani: That's our estimate at this stage. It's our view that at least government would be needing more.

So even this year, we always maintain it will be sub -4. That's the guidance, what we've been saying sectorally. I think that's what would happen, it could be max 3.5 this year.

Moderator: The next question is from the line of Avishek Datta from Anand Rathi Shares and Stockbrokers Limited.

Avishek Datta: Sir, can you just update, like given the favorable economic standings you have got because of economies of scale, how big is the threat for imports when the demand scenario improves?

Jayarama Chalasani: You mean the wind turbine imports?

Avishek Datta: Yes, sir.

Jayarama Chalasani: Wind turbines cannot get imported because of the size of plates and size of the things. What people can do is that they can import the raw material. That's what the -- some of the large players today in the market are doing. Because the -- first of all, it is supplied only provided you have got a listing in RLMM. RLMM also provides for either you manufacture or you assemble in India. So therefore, once they get listed in RLMM, they can get -- import the raw material. And that is what some of the players are doing today, importing the raw material but converting them into turbines here. For example, the blades are there, the entire raw material from those, which is a major cost of it, and converting into blade to fitting the moulds here. And you get all your knockdown conditions if you maintain and you assemble them -- and send it. So that's what can happen. And tower is basically anybody can do with steel manufacturing here. Imports of components is happening but not import of turbines per se.

Avishek Datta: Okay. But we can do the assembly, like any player who is registered in the directory can actually import from China at a lower cost and assemble in India and participate in the bids?

Jayarama Chalasani: Yes. Right now, there is -- as long as your turbine is prototype test done in India prototype test and certified and got listed in RLMM, Yes, you can import together, there is no specific restriction of how much component -- how much portion of your wind turbine has to be domestic, how much has to be imported. And that restriction doesn't exist today. Theoretically, you can import 90%, 95% of your materials from outside and convert them, assemble them or convert them into place and then supply them.

Avishek Datta: Okay. And secondly, sir, like when you say the non-EPC part is 70%, what do you exactly mean,

like it will be like parts of

the wind turbines, blades? Or how do you define that?

Jayarama Chalasani: No, no, no. When I said the EPC scope means it includes the land -- including the land, developing the land, doing the foundation, improving the erection, doing the system, doing the pooling substation and integrating the whole thing. That's an EPC, okay? So whereas the other

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portion is that one extreme is -- the other extreme end is that we just supply the equipment and we supervise the erection and commissioning. We only supervise. We supply the equipment. We deliver the equipment with those protocols.

That's the other extreme. In between the two, there could be different variations saying that we can supply plus the erection or we can do supply, some erection plus foundation but don't do the line portion or don't do the particular system. That depends on different models. That scope can be varied and we cater to the any type of scope, what we do, we supply thali as well as ala -carte Moderator: The next question is from the line of Dhruv Muchhal from HDFC Asset Management.

Dhruv Muchhal: Sir, the question was that the execution probably, as you mentioned, is probably the big thing to monitor and see. So sir, next year, you mentioned probably the industry can do probably 5, 6

GW. But sir, say, next three, five years, do you see the ecosystem and the setup moving towards greater than 6 GW or probably 8 GW? Because it seems the demand is there, whatever multiple factors as has been mentioned earlier. Can the execution exceed 6, 8 GW per annum? Is that -- I mean, is the sight visible there? And do you think the ecosystem is moving in that direction?

Jayarama Chalasani: Obviously, there is going to be an improvement from year -on-year. Like for example, we have been struggling in the last five years to do anywhere between 1.5 to 2.1 GW, whereas in this year, the first nine months, we did 2.1 GW. So there is an improvement. There is a wish in the complete industry, including government, that we should hit 8 GW a year. Whether that will happen in FY -- definitely not in FY25. It will happen in FY26 and FY27 is what we will wait and see.

But the capacity building is happening. There are more and more players coming in terms of providing BoP services. But then how much -- how quickly and how fast they can do plus the issues like, as I said, one is the capacity, second is a land -related issue are continuing to grow. But that problem is reduced once we do the multi -state bidding. But then the concentration of projects won't happen. Today, Karnataka is at peak. If you go to Karnataka, then you see how people are really struggling to get even on e footprint.

With the new bidding coming up and the bidding for MP, they are bidding for other places, now slowly Andhra Pradesh is opening up. And if you see our -- the metrics order, but number of states what we're getting the orders is diversifying it. If that happens, obviously, your land problems also would come down. So therefore, we slowly reach towards a 8 MW . But then we won't be able to get this stage, maybe by FY27.

Dhruv Muchhal: Got it. And sir, you mentioned that concentration away from land, I mean, multiple states will help. But is that a constraint for developers? Because, say, for example, if you move to MP, the cost of generation increase. Is that a factor? I'm just trying to understand. Is that the reason they're not moving -- I mean, themselves moving there? What's holding them back? I mean, if the issue is...

Jayarama Chalasani: No, no. This move to MP, developers, there will be land available. To solve the problem of tariffs going up in the states where the wind potential relatively is slow is why we came up with this pooling tariff concept.

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Dhruv Muchhal: Pooling tariff. Okay, got it, got it.

Jayarama Chal

asani: So we have announced the impact. Therefore, the bidding there has been operating agency and the whole notification has come up as well as the date from which it gets in applicable. In fact, this pooling tariff system, it's not just for the wind alone, we're seeing it for every type of model, pure wind, pure solar, pure hybrid, put together is the thing.

And based on each capacity coming into the pool, there will be a revision in the overall tariff and which is what we are doing from time to time. The bidders would continue to get the tariff, what they quoted. But this tariff for the discoms would keep changing based on the pool.

Dhruv Muchhal: Got it. Yes. No, I understand. That's helpful sir. Sir, the second question was...

Jayarama Chalasani: What happens is the diversification of the states happen. And then the land availability will

happen. Our second option is that we do a proactive development. Like today, we are trying to do a proactive development in the states of AP and Rajasthan with the government cooperation of identifying X amount of land, saying that's okay, this is the area you get rights to develop. So therefore, we are going ahead in that model. And working with the different clients saying that let's do the joint development, we'll first secure the land. So that it will be fixed to those projects. Even that model, we have started right now in AP as well as in Rajasthan.

Dhruv Muchhal: Got it. And sir, the second question was on the hybrid projects. I think earlier, you mentioned - some of the comments, you mentioned that you're okay -- I mean, you're also looking at doing both wind for a hybrid project, the solar portion also. So what component are we looking at doing -- I mean, the whole ecosystem of solar or just the EPC?

Jayarama Chalasani: Yes. We are not -- we don't volunteer to do solar, let me be clear, we don't volunteer to do solar because that is not our forte. Because we need buy everything in unit. And the EPC margin is hardly anything. But if someone says that, "We don't want to bifurcate and use two different parties. Would you want to take up hybrid," we will look at that option as a whole. Basically, there has to be a large portion of wind and smaller portion of solar.

But until now nobody has come up. Because obviously, everybody implements the projects to their strengths. In solar, most of the people procure their own modules and thus get the players to do implementation. They are giving the wind portion to us. That requirement has not come. I only said if there's a scenario arising, we will definitely consider. But that is not our preferred option.

Moderator: The next question is from the line of Dhyye from Niveshaay Investment Advisors.

Dhyye: Sir, I had a question related to the crane availability. It is more sort of from an industry point of view. I just wanted to understand, so I understand that the company has good contracts and good relations with the crane rental companies. But I wanted to understand from an industry perspective that, is the availability of high-tonnage Crane, is there a shortage in them?

Jayarama Chalasani: Infrastructure constraints at initial stages will happen. It all depends upon what is the ramp-up rate. Let's say that this year, we do 3.5 GW. Next year, we want to do 8 GW. Then obviously, Suzlon Energy Limited
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do we have a required infrastructure, then such is available or not could become an issue. But if we are moving 3.5 to 5, 5 to 7, it's a different situation. Not just the cranes, cranes is only one part of it, your entire transportation ecosystem. Because these are the large-diameter cranes are coming up now.

So all that becomes an important, which place the participation is there, the route survey, logistics. And that would also will become constraints, so you need to modify some bridges, strengthen the bridges. But that's likely -- I

think what is the -- that will always be there for any power project to do whether you're doing a fossil fuel based project or wind projects these will be there.

But looking at the entrepreneurship in the crane companies, if there is a demand, I don't see them actually ramping that capacity. There could be a slight mismatch here and there, but I don't see that as an issue at all. Because there are a lot of cranes available globally for this capacity.

Dhyye Desai: All right, sir. And sir, are we seeing any increase in the rentals of these cranes, the high-term stream particularly?

Jayarama Chalasani: This depends time to time, it's all supply-demand situation. Once we have a contract and then we have a relationship with these people working for, let's say, 10 years, 15 years, then that relationship would be different. So I wouldn't be able to comment for the market as a whole. It depends a lot on your relationships, what are sort of the minimum guaranteed capacity with need with them, the number of factors which play a role in terms of your pricing.

Dhyye Desai: Got it, sir. I just had this question that we face a lot of the EPC players regularly face a lot of difficulties in the land acquisition process. So is there any relief from the government? Or are there any policies in the wind sector in the acquisition part?

Jayarama Chalasani: See, this is -- land is a state subject, okay? So each state you go, you need to work with the local authorities to see that how quick it happens. So even if there is a process implementation could become potentially an issue. This will continue. If it's a revenue land, we have it a little more easier. If it's a private land, it's more cumbersome. Some states where there more and more -- and state to state it differ. Maybe if you go to Rajasthan, it's much quicker. But today, Karnataka it's difficult. So it varies.

But this is a problem which we need to live with where we are. Sometimes it's easier, sometimes it's tougher. And we need to continue. And this is not new to just the wind sector. Land acquisition has always been an issue for any infrastructure project. And more so for wind because you have multiple footprints and then also you need to have pathways. The cranes have to reach -- your blades have to reach the site. So these problems will be more. That is the reason

why we're facing the more roadblocks in terms of execution.

Dhyey Desai: Correct, sir. Sir, I had this a company-specific question that as we have a very good non-EPC order book, so are we looking at higher execution from a point of deliverables in maybe a year or so, in FY'25 or '26?

Jayarama Chalasani: You mean higher delivery of equipment?

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Dhyey Desai: Higher deliveries of WTG.

Jayarama Chalasani: Yes. So what happens is that when we are doing EPC, then it is our organised capability of how much is the land acquired and then how much the equipment supplied. So that, if we add to the clients who are doing their own acquisition of land, there is obviously multiple parties are working on this and that would definitely increase the capacity of offtake. So supplies would definitely would increase in that mix, 100% within EPC versus part EPC, part equipment supply, answer is yes. The supply for equipment would increase. Quantity of supply of equipment would increase.

Dhyey Desai: Correct, sir. That was really helpful. Thanks a lot and all the best for the future quarters.

Jayarama Chalasani: Thank you

Moderator: Thank you. The next question is from the line of Mr. Sudhanshu Bansal from JM Financial. Please go ahead.

Sudhanshu Bansal: Sir, how do you see the repowering opportunity, particularly in terms of availability of the land where we already have the land and transmission system?

Jayarama Chalasani: Repowering is a good subject and a good wish to call into that. But I don't think

that's going to

move a needle within the next couple of years. Repowering policy has come. But the repowering could have happened even without the policy. The repowering policy only helps a limited extent that we basically have a PPA. That PPA can get suspended for some many years and the PPA will continue later on based on the 3 years' previous average generation to the rest we'll let the PPA continues. So other than that, there is nothing significant in the policy, okay? So nothing more than that.

The issue is that today, if somebody wants to do the repowering go there you remove the existing ones, put up the new ones. And most of the repowering options are available with these states grid connected, STU connected. So incremental capacity, if that state doesn't take it, then you need to take out somewhere, then you get into issues of the state grid, state to open access, state transmission charges, what really happens. There are plenty of issues.

Like idea is good, generation from a given site can go up by doing repowering. But does it give a significant impact on the cost of generation? At this stage, the answer is still not there. So repowering would happen in my opinion but not like it's going to happen sometime in FY '25 significant capacity is going to come in, sorry, no. we have estimated 25 GW of repowering potential. But realization is going to take time in our view.

Sudhanshu Bansal: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Depesh Kashyap from Invesco Mutual Funds. Please go ahead.

Depesh Kashyap: Thanks for taking my question. Sir, your contribution margin is lower quarter-on-quarter by like 2%-odd. Can you please explain the reasons for that?

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Himanshu Mody: So Depesh, contribution margin, you're talking on a consol basis or for the particular business division?

Depesh Kashyap: The consol that you've given in the PPT.

Himanshu Mody: So console, Depesh, also is a factor of how much of the supplies are we doing in the WTG segment for the overall business. So I urge you to look at contribution margin from a business segment-wise. So our direction always has been that for the WTG manufacturing, contribution margin will be in the mid-teens.

So currently, we are at about 17.5% contribution margin for the WTG manufacturing business, which is actually fairly in line with our plans. It was higher in Q1 at about 20%. But that we have -- when we hosted the call in Q1, we mentioned that, that is an aberration and cannot be taken as the standard going forward.

So but I would say that somewhere around mid-teens would continue as the contribution margin for the manufacturing business. So far as the O&M business is concerned, our contribution margin will be roughly a little north of 60%, which continues to be the case. So of course, the

blend on a consol basis will depend on what is the mix of the manufacturing numbers along with the O&M numbers.

Depesh Kashyap: Understood, sir. Secondly, if you can also highlight, what part of your order book is still for the 2 MW turbine? And secondly, also you mentioned in the call that you're not participating in that PSU orders, right? So just want to understand how will you maintain or increase your market share? So these are two questions.

Jayarama Chalasani: See, the 120 share today in the 3.1 GW is about, I'd say, roughly about 22% to 23% in 2 MW share. I don't know what you mean by the market share in what you put in order book. Or is it in supplies I don't know commissioning? In the commissioning, we're maintaining a 30% market share consistently as quarter-on-quarter basis. As I said that the option of NTPC's equipment tender is one of the options for us to increase the order book.

At this stage, we are not having the pressure for not participating in that is reducing the impact. Because we are

seeing a significant interest flowing in terms of order books for us. And we announced and then we do a number of potential orders, which we are discussing with various people. While we would love to participate in that tender, but I don't think that it is affecting -- in any manner affecting our order book share.

Depesh Kashyap: Sir, just to be clear, with the improved balance sheet, with the net worth and everything, are you now allowed to participate in that -- those orders or not?

Jayarama Chalasani: See, NTPC has a different type of calculation, right they are not because today if you look at them, there is a different formula, unless they see that impact. They see that we participate, obviously, because we are largest industry player. So do you want to answer that, Himanshu?

Himanshu Mody: So we do qualify, Depesh. I mean, it also depends how the user is saying on the qualification criteria. But once our March '24 audited numbers are out sometime in May, post that, there would
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be clearly no doubts about our qualification because that would be the first sort of audited balance sheet with our positive net worth that we'll be issuing. So there would be no grey area. We certainly would qualify under all the parameters in those tenders.

Jayarama Chalasani: But then also, we will evaluate each of those bids in terms of alternate opportunity versus bidding because we have X amount of capacity. Because many of these tenders will come in very stringent conditions, stringent payment terms, okay, that only a payment terms and things like that. So obviously, even if we get qualified, it is not necessarily that we'll participate in the bid. We will evaluate the options, what will be the best option for us to book our entire capacity. So if that is -- that kind of play, obviously, we participate in it.

Depesh Kashyap: Got it, sir. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Vikas Mukundan from Freelance Consultant. Please go ahead.

Vikas Mukundan: Fantastic numbers, sir. This question is for this opportunity to talk about it. Can you hear me?

Jayarama Chalasani: Yes. We can hear you. Go ahead please.

Vikas Mukundan: This question is from Mr. Modi. Sir, I saw your interview on NDTV Profit on January 4, when you mentioned that your order book as of that day was shy of 2 GW. But I see in today's presentation, end of December, your order book is about 2,290 MW. So does mean between those four days implementation or other deliveries of 2,290 MW?

Himanshu Mody: So yes, that would have been because of the RR numbers that we would not have made public at that point in time, the 170 MW. So the differential would be on account of that broadly.

Vikas Mukundan: Okay, okay, so -- and if you can just tell me what is the difference between installation and delivery?

Himanshu Mody: So there are two things you need to look at, which we track and we also disclose that in our investor presentation slides. So one is the RR, which is the revenue recognition, which means that the full turbine dispatched from our factory premises based on which we book the revenue for a particular turbine. So that, for the 9 months period, we've done about 437 MW in this financial year.

The other parameter is what we monitor is the commissioning of the turbines. So like that is, in all-India, the number about 2.1 GW that has been commissioned in 9 months ending December '23. And out of that 2.1 GW, Suzlon's share has been about 616 MW in the commissioning numbers. So commissioning has to be clearly differentiated from the delivery numbers or the revenue recognition numbers that we report.

Vikas Mukundan: And this commissioning is Suzlon turbines only or could be other company turbines as well?

Jayarama Chalasani: Because what we track is only Suzlon supplies. That's one thing when we talk about

our

turbines, either we directly commission or we supervise the commissioning, where it's only

equipment supply. These are our turbines.
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Vikas Mukundan: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we would take that as the last question for today. On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Jayarama Chalasani: Thanks, Sudhanshu.

Call: May 2024

31st May 2024.

National Stock Exchange of India Limited,
"Exchange Plaza",
Bandra-Kurla Complex, Bandra (East), Mumbai-400051. BSE Limited,
P.J. Towers,
Dalal Street, Mumbai-400001.

Dear Sirs, Sub.: Call on Q4 and FY 24 Results.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you, Yours faithfully, For Suzlon Energy Limited Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited
Q4 FY'24 Earnings Conference Call"
May 24, 2024

MANAGEMENT : M R. J. P. CHALASANI – GROUP CHIEF EXECUTIVE
OFFICER – SUZLON ENERGY LIMITED
M R. HIMANSHU MODY – GROUP CHIEF FINANCIAL
OFFICER – SUZLON ENERGY LIMITED

MODERATOR : M R. MOHIT KUMAR – ICICI SECURITIES LIMITED

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May 24, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Suzlon Energy Limited Q4 FY '24 Earnings Conference Call hosted by ICICI Securities. During this call, the company management may make certain statements which reflect their outlook for the future or which could be construed as forward-looking statements. These statements are based on the management's current expectations and are associated with uncertainties and risks as fully detailed in the annual report, which may cause the actual results to differ. Hence, these statements must be reviewed in conjunction with the risks that the company faces.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you, and over to you, sir.

Mohit Kumar: Thanks, Seema, good evening. On behalf of ICICI Securities Limited, I would like to welcome you all for the Q4 FY '24 and FY '24 Earnings Conference Call of Suzlon Energy Limited. From the management we have with us Mr. J.P. Chalasani, Group CEO; Mr. Himanshu Mody, Group CFO. We'll begin with the opening remarks followed by a Q&A session. To be fair to others request each participant to ask not more than two or three questions. Over to you, sir.

J. P. Chalasani: Thank you, Mohit. Good evening to each one of you. Thank you for joining us on our Q4 FY '24 Earnings Call. I hope you had an opportunity to review our results and investor presentation. We will now share with you an overview of the industry and we will walk you through our Q4 FY '24 and full year performance. We will then take your questions.

FY '24 has been a remarkable year with standout performance across financial and operational parameters. Largest ever order book of 3.3-gigawatts, with a strong pipeline provides along with a strong revenue visibility. This includes order book of 2.9-gigawatts as on 31st March '24, plus 402 megawatts of order announced in May. This is a well-diversified and healthy order book. Our endeavor will remain to pursue quality orders with a higher value and better margins. India's wind installation also saw a quantum jump after years have been impasse. Wind installations for India for FY'24 broke the ceilings to register 3.3-gigawatt installation, the highest post FY'17. Globally India ranks fourth in total in wind installations with 46-gigawatt of

installed onshore wind as of March '24.

Suzlon installation registered more than 75% year-on-year growth to 882 megawatt in the year of FY '24. In the current scenario, wind plays a crucial role in energy transition as growth of Indian renewable depends upon wind installations. That's because the industry has seen the transition from hybrid to around the clock and has moved to forming dispatchable renewable energy.

FDRE tenders, whether it is for the peak or the load following tenders is solidifying wind position in India's energy condition. These kinds of tenders require very high share of wind to

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meet the generation profile. Our OMS business continues to do well with over 14.7-gigawatt capacity in India.

On SE Forge performance has also been increasing and continuing to grow and continued growth of the wind sector will further promote SE Forge business as the major revenue comes from supply of wind components. With strong fundamentals in 29 years of strong track record, we firmly believe Suzlon is now well positioned to leverage the market opportunity rising from the energy transition.

With this, I now ask Himanshu to take us through the financial performance.

Himanshu Mody: Thank you, J.P. sir, and good evening, ladies and gentlemen. I will be using slide number 16 to 23 of our investor presentation which has now been uploaded on our website, www.suzlon.com.

As a reference point for my discussion during this presentation.

FY'24 has seen us registered robust improvement in all our key parameters and our fundamentals have strengthened with a focus on the bottom line. We have made deliveries of 710 megawatts, which is 7% higher as compared to FY '23, despite which an EBITDA growth of 24% as compared to last year has been registered and a PAT before exceptional item has grown to 428% as compared to FY'23. All of this is a result of several initiatives that have been taken the company over the last -- in the last financial year, which include margin improvements, cost optimization and lower interest costs as a result of repayment of the entire debt.

Similarly, on Q4 FY'24 performance, the PAT before exceptional items has seen a Y-o-Y growth to 413% from INR68 crores in FY '23 to INR281 crores in FY '24. On the P&L account, renewed focus on the bottom line has resulted in a revenue of INR6,497 crores with a contribution margin of 36%. EBITDA and PAT before exceptional items have been highest that the company has ever reported in the last seven financial years.

Consolidated EBITDA has been reported at INR1,029 with PAT before exceptional items at INR714 crores for FY'24. We are pleased to report our balance sheet as of March '24 demonstrates a very strong position of strength with a consolidated net worth of INR3,920 crores, whereas the net cash position of the company as of March '24 stands at INR1,148 crores. I would like to summarize that the last 1 year for the company has been a year of financial turnaround.

I would also like to reiterate that Suzlon has never been in such a strong footing as it is today.

With a fortified financial position and optimized cost structure, the largest ever order book with a strong pipeline in discussion, a completely geared up supply chain to meet the order book demand, regaining confidence of all our stakeholders and a strong management team with an enthusiastic zeal to deliver on all the performance parameters.

With that, I'd like to conclude my presentation, and we can open the floor for Q&A that the callers may have. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. We take the first question from the line of Sumit Kishore from Axis Capital.

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Sumit Kishore: Good evening, and thanks for taking my questions. The first one is could you spell out the contribution margin in FY '24 for WTG and the fixed expenses in the WTG business for FY '24?

Himanshu Mody: The contribution margin, Sumit, for FY '24 in the WTG division is about 19.5% whereas the fixed expenses, as we've been saying earlier, is close to about INR600 crores. So our breakeven point as we've been advising in all our earlier meetings and calls remains pretty much unchanged.

Sumit Kishore: 19.5% is a brilliant performance. So is this sort of a sustainable level? Or because we have spoken about maybe 16%, 17% levels earlier?

Himanshu Mody: So Sumit, there are two or three factors that we need to keep in mind as we enter this financial year. Number one, we are seeing some early hardening of commodity prices like aluminum,

copper. There are certain logistical challenges given the routes in Red Sea. So there might be some slight increases in costs. Also, we are -- as we deliver in FY'25, we are now moving to a completely S144 model, as you guys are aware.

So for FY'25, because even our suppliers have built up capacity recently, there will be certain cost compulsions and therefore, the COGS will be under pressure for us. Having said that,

we,

of course, continue to maintain mid-teens guidance and the management endeavour would be to deliver an optimized contribution margin. But very difficult to comment whether the 19.5% is sustainable or not. But we should be there and thereabouts in the 15% to 20% region.

Sumit Kishore: All right. Given your net cash at the end of fourth quarter at INR11.5 billion, what should we read into the interest expense being higher than the other income?

Himanshu Mody: So the interest expense, specifically in Q4, as you know, in late December, we announced financial working capital tie-up with REC Limited. And as a result of the tie-up, there was a one-time processing fee that was paid to REC in early January. So to the tune of about INR11 crores, a one-time processing fee for the working capital tie-up has been booked as expense in this quarter. And of course, in addition to that, a lot of LCs and bank guarantees have been issued to our customers and vendors, which has resulted in increase in the interest cost as compared to Q3.

Sumit Kishore: Got it. Last question, for your EPC order book, could you speak about how many footprints for installing wind turbine would you have in control where land and evacuation are in place? And maybe on similar lines for your non-EPC orderbook?

J. P. Chalasani: Yes. See, our EPC is currently -- in the current order book split it is one-third and two-third; one-third is EPC and two-third is non-EPC. On the EPC portion, evacuation in the sense the grid connectivity, we don't control because that's in the scope of the clients. As far as the land is concerned, obviously, it's a critical area even last year, one of the reasons why as a country we could still do only 3.5 gigawatts is the land challenges.

I'm not going to say it's going to be easy, but the work -- what we have done in the last year, we expect that to be in the H1, it will be a little more easy and then we'll continue to work towards that. And also, as we mentioned earlier, which may not immediately help, but under developmental route what we're taking into other states, which was what we are preparing for

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towards the end of this year as well as next year that we want to remove the land issue as far as our EPC projects are concerned.

And in the non-EPC portion, we keep track of what's happening there on a continuous basis. Land would -- let's accept the fact that in the wind sector, land would continue to be a challenge, and it's a question of to be managed from time to time. So with those challenges is what we will deliver.

Sumit Kishore: Thank you and wish you all the best.

Moderator: The next question is from the line of Parv Jain from Niveshaay Investment Advisory.

Parv Jain: Congrats on a good set of numbers. Sir, can you give us a broad idea on expected wind installations for FY'25? And what kind of market share can we expect out of that Suzlon would be holding?

J. P. Chalasani: If your guess was as my guess, our expectation -- if you remember in FY'24, we have always been saying anywhere between 3.5 to 4 gigawatts. And our expectation for FY'25 is it could be anywhere up to 5 gigawatts, between 4.5 to 5 gigawatts. And normally, like our always claim was that market share is different figure than what we expect to do it. But we've been always in the range of 25% to 30% is our market share. So if we look at this year, our market share has 27%.

Parv Jain: Okay. Sir, thank you so much.

Himanshu Mody: Can we move to the next question, please?

Moderator: Sure, sir. Next question is from the line of Mr. Rohit Kumar from Motilal Oswal. As there is no response from the current questionnaire's line, we move on to the next question. The next question is from the line of Subhadip Mitra from Nuvama.

Subhadip Mitra: So while you have given us a sense of the market share, I just wanted to understand that from an

order inflow perspective, assuming that you are maintaining the 25% to 30% market share, where do you see the market size going? Because our understanding is that there is probably 8 to 10 gigawatt of just pure wind projects, including FDRE, RTC, etcetera, which would have probably got bid out in FY'24. So hopefully, all of those we'll probably start seeing ordering in the next few months. And then there is also on top of that, a large C&I market. So if I have to, let's say, look at the overall TAM for the next 2 to 3 years? How would you look at it?

J. P. Chalasani: The engine for the business is the orders and the projects, which will actually drive how much ability. And second thing, as I mentioned in my opening comments, currently because most of the bids are either RTC or FDRE bids, how much wind capacity gets added would decide how much is RTC capacity going to get added in the country? That's the first point.

Yes, you're right. Even if you look at even the current year in the first four months, there's almost about 12 gigawatts of bids awarded. Everything is RTC or hybrid or FDRE, which has an involvement of our calculation is more than 8 gigawatts of that would be the wind capacity. You

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can't match the bid capacity or installed capacity because in FDRE you'll be higher. And there is another 5 gigawatts where the bids are submitted and reverse auction has to happen.

Another 10 gigawatts is where bids are announced. There is a huge amount of pipeline, 27 gigawatts what we talk today. And C&I market, and as you know that our share in C&I market is even the current order book is more than 50%, 58%. Our orders would not be a concern.

As a country, how much we're going to do each of the year because market share for me is a little misleading because how much are we prepared is what we should do, but market share might be very high if the country has a smaller capacity and our market share will be between 25 and 30 if country is doing a larger capacity. Expectation this year is that the -- there are figures being talked today in the beginning of the year anywhere between 5 gigawatts and 7 gigawatts.

Different people are talking different numbers even 7-gigawatt number is also out there.

But our expectation is that we feel that looking at on the ground constraints at the beginning of the year obviously we will keep reviewing and revising it quarter-to-quarter basis would be about 5-gigawatts this year. Having said that, now the government has come in, and in fact, the even central government started working towards land issues and ROW issues to be resolved. So they're saying that now we will get in because they are also realizing now unless wind moves RE will not move.

With that, we expect that this 5-gigawatt to 6-gigawatt whatever it happened this year would reach about 7-gigawatts to 8-gigawatts next year FY '26 and we should reasonably assume that 9-gigawatts to 10-gigawatts is what we should reach a level in FY '27. That's our feel.

Subhadip Mitra: Understood. So these numbers that you're talking about are in terms of actual execution or installation of capacity, correct?

J. P. Chalasani: Additional installation capacity on the ground.

Subhadip Mitra: Additional capacity on the ground. So if I were to look at the numbers that you have just said that by FY '27 we may look at a 9-gigawatt to 10-gigawatt kind of installation on ground then that means that the ordering for that 9-gigawatt to 10-gigawatt will probably happen in the current fiscal in FY '25?

J. P. Chalasani: Reasonable to assume that some part of it will also move to next year, but yes.

Subhadip Mitra: Understood. And sir, this 9-gigawatt to 10-gigawatt number that you're mentioning would be primarily the auction-based capacity. So the C&I phase will be on top of this?

J. P. Chalasani: No,

I'm talking about our capacity as a country to commission how much we're going to commission. The respective of C&I or the utility PPA-based one. I'm talking about as a country how much wind capacity we can add. I'm not bifurcating between the two.

Subhadip Mitra: I understand. Perfect sir. Thank you for answering my question.

Moderator: Thank you. The next question is from the line of Manoj from Vir tusa Consulting Private Limited. Please go ahead.

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Manoj: Good evening everybody. Congratulations on the good set of numbers. It's really good to see the numbers when you see it from now 1,100 negative to the cash flow of 1,100 positive. You have really done the homework great ramp up numbers. I wish all the very best to the team for the upcoming year. I just have one just one question, sir, currently to see the order book we have around 3.3 gigawatts. So when are we expecting to deliver the 3.3 gigawatts.

J. P. Chalasani: So the currently, as we just now spoke before this is the orders are now becoming the longer term. This 3.3 currently what we have is meant for FY '25 and FY '26. On paper today what is happening today we also need to realize is that when a contract gets awarded, they get awarded for a particular year, but then things are moving because the connectivity is getting delayed or something else is getting delayed the clients are moving the schedule.

So therefore there is a blur in order versus actual schedule in the order versus in reality what is happening. Therefore, that you will also see this order book keeps increasing in future. That's

what Himanshu said that -- we are under discussion with so many orders. These will be for predominantly currently what we have is for FY '25 and FY '26. But having said that, some more orders might come for FY '25 as well even this year and orders which will come in again would be for FY '27.

Because this is -- it's a constantly moving scenario and what we are also doing is looking at this uncertainty of the projects we are actually saying that okay we will build a buffer of 15% to 20% additional order intake for each year compared to our capacity.

Manoj: I understand.

J. P. Chalasani: That's the reason why last year we could have done more. It was purely because the reason was that some of the clients have moved the deliveries from last year to this year because the connectivity is getting delayed or their transmission line which connects from the Pooling substation to the things are getting delayed.

I think we're still, as a sector struggling to move up the numbers. While we have a 45% growth moving from 2.2-gigawatts to 3.2-gigawatt a year which is a good movement compared to the 25% between FY '22 and FY '23. Some 25% growth rate to be moved to the 45% growth rate and in fact we moved from 10% in FY2023 to 78%. We are all moving forward, but I think there's still work in progress.

Manoj: So what are the challenges we have down the line sir to understand about how the organization is going to face that in the upcoming year?

J. P. Chalasani: See when you are in business challenges will always remain. The only thing is what we foresee and what you get prepared. Our biggest challenge was the debt which we solved in this year. Second biggest challenge was working capital loan availability. So we saw that issue working capital loan availability now. We never started a year with such of an order book. So we resolve that issue of an order book.

Above all, what is important is organization capability to deliver. So last year we spend significant amount of time of strengthening the organization at the leadership level. So whatever

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we could do we have done it, but the challenges on the ground what is going to happen with connectivity, the land and the clients would continue to be

the same. Those things as and when

come, you need to prepare as an organization to respond and then see how best you can mitigate on this.

But internally whatever we could envisage in fact in FY '24 was our year of consolidation of creating a launchpad for the future that we have done it. But having said that, will we not face challenges, we will continue to face challenges in the external world. And another important thing is that we also -- ramp up was important for us was 3-megawatt new turbine we launched. So we smoothly ramped up and turbines are out there supplied more than 100 megawatts and some of these capacity commission, they're all operating well.

So therefore, that initial last year at least we had that new turbine coming, new model coming in ramp-up and how will it behave once it's commissioned. Those things are also over for us today.

Moderator: Thank you. The next question is from the line of Ketan Jain from Avendus Spark. Please go ahead.

Ketan Jain: Sir, what is your guidance on deliveries in FY '25?

Management: Ketan obviously, we cannot provide any guidance and we have followed that practice earlier and we continue to follow that as said J.P. sir earlier, we believe that in FY '25 installations on the ground will be around 5-gigawatts. And Suzlon market share historically has been what it is that's for you to see. Will we be able to continue with our market share, strengthen it, lose it. That is something I think we leave each individual investor to sort of assume and that's the only guidance we can provide.

Ketan Jain: Also, my next question is what can the margin difference in EPC order and non-EPC orders?

Himanshu Mody: Again, we don't provide yet the split aspect of the margin difference between EPC and non-EPC orders, we're only giving for the consolidated WTG division, as I said earlier on the call.

Ketan Jain: Okay. And any improvement we can expect in O&M margin? I think currently it is at 40%.

Himanshu Mody: So again, we maintained always that O&M margin will continue around this vicinity, -- of course, a few basis points here and there. But I don't think improvement in O&M margins should be expected. We've always maintained that O&M for the next few years, I would say, 1 or 2 years would be secular growth on the top line because the nature of the business is such that there is a 3-year free O&M period for the free installation. So by the time the revenue really takes off is when sizable fleets only come into billing. It may take another 1 year or 2 for the whole - history to catch up. So I don't think any margin improvement or significant top line improvement on O&M should be expected.

Ketan Jain: My last question is, sir, what is the utilization factor we can expect in the 5-megawatt turbine?

And all the other lower classes, like how different is it?
J. P. Chalasani: We don't have a 5-m egawatt turbine.
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Ketan Jain: Sorry, the 3 megawatts.

J. P. Chalasani: So the current order book is significantly for 3-megawatts. And as you look over in the investor presentation, 3-megawatt order book is 83% share.

Ketan Jain: I mean, in the wind turbine when the unit PUF plant utilization factor.

J. P. Chalasani: But that would vary from side to side. So it's I know wind is very specific to the site. But basically, what we do is that when we offer for the same site, we offer 3 megawatts or 2 megawatts. Obviously, it is an option to them for both. And the cost per kilowatt hours remain the same for both. Because 2 megawatt, if cost out is done as Himanshu was explaining earlier, 3 megawatts is being the first year of operations, the cost would be little higher even for us and for vendors. The rest 2 megawatts is done for quite some time and more are amortized. So regards to the co

st per kilowatt hour, I'm not talking about price of a turbine costs per kilowatt per hour today, 2 megawatts and 3 megawatts is same at a given site.

Ketan Jain: Understood. Sorry, if I can give you one last question. Sir, is there any challenges in transmission capacity creation in India? And if yes, which area is it.

J. P. Chalasani: Challenges with transmission capacity -- not capacity, but coming on time would always remain as the issue, because otherwise, today, the transmission network planning is significantly improved compared to let's say, my younger days of 2 to 3 decade back. The amount of planning were done on the CTU grids. The challenges, what we are facing is the time line shift, like, by 3 months or 6 months, sometimes moving the timeline in terms of when that will be available is what is shifting.

And the second challenge, what we are seeing, which we've now given the feedback to MNRE is that the solar and wind. The solar, the moment the any CTU is announce. It is easy for solar to go and book the capacity. For wind, you always need 1.5 to 2 years of wind data by particular place. So therefore, by the time wind being potentially established, the CTU capacity is booked for solar.

So therefore, how do we solve this issue. So there are 2 things which are now being discussed. is that the Ministry agreed in principle to see that we can create a capacity, a grid capacity in exclusively the wind zones and given reserved for the wind capacity. And second, we are also now looking at the probability of wherever the solar is installed. In substations purely the solar. Is there a way that we can without the wind capacity there, because transmission exists and we don't need to increase the transmission capacity. Just add the wind capacity in the places where the solar is already there, depending upon land being available there to depending on the wind potential, but there could be some unlocking of the transmission capacity for wind.

Moderator: Next question is from the line of Ravi Vadaga an Individual Investor.

Ravi Vadaga: Yes. Good evening and congratulations on a remarkable year.

J. P. Chalasani: Thank you.

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Ravi Vadaga: The first question is, just want to understand our manufacturing paradigm, right, say, our S144 model is for a Client A and Client B, will they be different? I mean, are these engineered-to-order? Configure-to-order? Made-to-order? What kind of a paradigm of this? And the second question is, I mean, so what is the path now we are at around 270 megawatts, right, 170 was last quarter, 270 now.

What is the paths to, say, 750 because that's when our new order intake and your ability to execute, they will start matching and, I mean, I must say the order book looks good, because our rate of execution is lower than that, so we could keep on delivering. So if you can just give a little bit of colour in terms of what would be the core constraints to move from the present run rate to say -- I'm just putting a 750 megawatts.

J. P. Chalasani: Yes. On the first point, each model is specific design and each manufacturer is more of a specific design. But thereafter, that turbine remains constant with respect of which site in India is installing, as long as in India, okay? If this turbine has to be installed somewhere else in a different wind regime, there could be some re-engineering to be done.

But for India, if you bought a 3 megawatt model, it is the same 3-megawatt for Client A, Client B, Client C, Client D. It won't change. It won't need any modifications client-wise. That's the question number one.

Question number two is that, as I mentioned earlier, the main engine for supply is orders to be there. And secondly is the project segregation, because projects is what will give you how much offtake will happen. Supply is not a constraint,

especially now with our working capital and orders were available. The -- how much can we deliver? Is it 750? Is it 500? Is it 300? it all depends upon the readiness of the projects' to take.

And what we are expecting is that to be gradually. It won't happen immediately. We expect that in a couple of quarters, that would improve. It might not happen immediately, but I think offtake of projects would improve. Orders is not an issue, but offtake of project readiness will improve. I don't want to put a number to it, but I can only say it will change in the next few quarters to come.

Ravi Vadaga: Okay. So, I mean just a little follow-up on that. The -- I mean, good that it'll change. The constraints which are in say Suzlon preview right? I'm assuming manufacturing capacity would not be a constraint. So -- but in last quarter call and in the past, you mentioned the whole EPC capacity could be a constraint. So what is in our purview, which is something which you guys are looking at in terms of improving so that when -- as and when the things happen, we are ready?

J. P. Chalasani: Yes. First of all, if you look at current order book, 1/3 is EPC and 2/3 is non-EPC. In case of non-EPC, the project progress, we can't completely control maybe -- our scope is only turbine supply and direction or just the turbine supply and supervision. So we will not have a control on whether their land is available, the provisions are ready, the transmission system is done, the transmission system is now done. We have no control, except we keep tracking because that has an impact on our delivery.

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I mean, we can definitely work on EPC where we have the full control. There, your point is absolutely valid. And in fact, right now, our strategy is that because we are seeing these challenges outside we should actually try to improve our EPC, move more towards EPC so that we can control the uncontrollable.

Even today, obviously, having said that, even we have taken some concerns in terms of EPC because advanced action on the land was not taken where it is because of various reasons, what we've done. The difference what we are doing right now, which impact won't come this year fully. Maybe in the last quarter and the next year onwards will come, is we are going for what is called a development contract first with the clients.

So a client says that, totally, I want to develop 500, 700, 1,000 megawatts in this particular area. We say that, okay, let's find it, all the commercial. I will first issue -- I'll issue everything, but I'll give you an NTP for the development. So -- and what we have done first, to help, that is that we have gone ahead in places like Rajasthan and AP, and we are now trying to enlarge to invest into other states.

We have our rights, exclusive rights to developing projects more in geographical area. In Rajasthan we have about 2.7, 2.8 gigawatts, in AP we have more than 3 gigawatts. We have a rights to develop. And once we have the clients who are saying that, okay, I want to set up here, we go and start acquiring the land in advance. And we don't get our working capital gets stuck in the land because they are giving it to us.

And then for them, also projects, transitory, they will go away, because that is being done earlier. That model is what we are working on, but that's more a significant impact you will see in FY '26 onwards, and subsequently maybe every single year. That's what we're working on right now.

And which is very, very important, we feel, because the concrete capacity addition. I'm not saying it with arrogance, capacity addition will significantly depend upon how much we do.

When you say FY '17 was the highest we did last time. After that, we did the highest now. FY '17 was our highest. And now this year is after that, we

are the highest again, for us. So therefore, when we achieve that, the sector also moves up. So we understand that. And being the leader, we need to shape that, how much wind capacity can get added. So these are some of the steps that we're doing today. But you will see that impact of that maybe in the last quarter but significantly in FY '26 onwards.

Moderator: We'll take the next question from the line of Mauli an Individual Investor. Please go ahead sir.

Mauli: Is there any plan to increase the holding at this point?

J. P. Chalasani: Amount of holding at this point, any plans to increase...

Himanshu Mody: As company management, we cannot comment on the same. It is something that the promoters and the family has to decide. But as management, we don't really comment on the same.

Mauli: So as far as the merger plan, which you can talk, which is in the proposal at this point, right, so

criteria to participate in the PSU bids. So are we also planning to participate, going forward, as an individual bidder? Or is it like, even further, executor or a vendor, we need to have certain conditions? How is it?

J. P. Chalasani: This is what we are talking right now is participation in projects, whether it's the supply or projects for the PSUs, not for a s an investor in the projects. Like, NTPC develops huge wind capacity. Earlier, we were not getting qualified because of our network issues and this merger would help. And in fact, even to day, as we speak as well, that is something that we could get qualified, and we started actually bidding for public sector.

Mauli: Okay. Sir, just one last question from my side. Because in the previous question you have answered that by FY '27, we might tie with around 10 gigawatts of capacity to be commissioned the ground, right? But we are also talking about having just about 100 gigawatts commissioned by FY'30. So is it possible considering we just have 40 at this point and just looking at 10 gigawatts, still, finally after three years or so, so in the last three years, are they going to execute a large number of orders?

Or how is it at this point? Because it doesn't match up with what we are talking because we are talking about the 10 gigawatts for quite some years now year-on-year, execution of 10 gigawatts, commissioning of 10 gigawatts, but it has still not happened, and we are still targeting on it. But in all the PPTs or all of the data points we are talking, we are still targeting our own 100 gigawatts, so how it is planned at this point? If you can provide some details around it, it'll be helpful.

J. P. Chalasani: At the macro level, the Government of India and then especially CEA said that to meet the demand of 2030, the least cost option needs 100 gigawatts of inter banks. So before other country, we are targeting to reach 100 gigawatts of installed capacity by 2030. That's a target which country is working towards.

Mauli: Okay. On a reality, do you think it is possible for considering the current reality on the ground?

J. P. Chalasani: Hey, the question you suppose, let's say that we reached about nine to 10 by '27, FY '27, FY '27, FY '28, FY '29, FY '30, itself can give you anywhere between 35 to 40 gigawatts right? Then we have FY '25 and FY '26. We will not completely hit on it, but it's not something which is not reachable. So let's assume that this year and next year, we do about 10, 11 gigawatts, under 40 gigawatts so 46 plus 50, close to that number.

Moderator: Thank you. We take the next question from the line of Avishek Datta from Anand Rathi Shares and Stock.

Avishek Datta: Sir, I just wanted to know right now that we are net worth positive. What are

our plans to enter aggressively for the PSU projects?

J. P. Chalasani: We've already bid, and can re-bid. So there is a no thing called an aggressive bid, but we never called any bid as aggressive. As I mentioned in my opening comments, we are looking at getting the orders which add value to our bottom line, so therefore we will continue to look. It is -- there is sector of public sector here.

Public sector is yet -- it's not on our canvas because of our network issues, but now as we move ahead, that is an area which we will participate. And in fact, we have also been getting requests from large public sectors, asking us to participate as well because, otherwise, their growth is getting cut. I only correct the word aggressive, but started participating.

Avishek Datta: And secondly, sir, can you just elaborate on this co-development of projects for the land, to circumvent the land if it's a concern?

J. P. Chalasani: It's nothing but in simplistic way, can the land development happen much earlier than actual project schedule, okay. This was a model which Suzlon was known earlier years, where we used to have the land. We're so connected, even it was an STU model, before FY '17.

And therefore, we used -- in fact, those years, we used to get the orders in the same year, complete the orders in the same year, deliver the orders in the same year. That situation changed now when we came into the central gate and CTU. And we're also not spending so much money on the land.

What we are now trying to do even -- it's a concern, not just for us, even a concern for the investors because projects are getting delayed, land not being there, whether PE to EPC or they're to EPC themselves, taking the activity from us. So therefore, there are a large number of the

investors, on our long-term plans, are saying that can we work in a manner that we will decide with the execution of orders much in advance when an order will be placed. Let us start with an NTP for the development first. So that we can acquire the land, keep it ready. Land -- in a sense, when we talk about land, land with the pat hway. If it's ready and then projects can be delivered much faster. Even it's good for them because t heir IDC gets saved and it's good for everybody, and certainly it will come down. That's a model which is a win-win for both us as well as a win-win for them. Here, we are generating that by actually having these exclusive rights in some of the states.

Avishek Datta: And you mentioned about you have access in Rajasthan of 2.7 gig awatts to AP of 3 gigawatts. J. P. Chalasani: Yes. There we have an authoriza tion from the government. In thi s development area, you have an exclusive rights to developin g projects. Nobody else can dev elop.

Avishek Datta: And when you say land...

J. P. Chalasani: That is because they are not givi ng us anything. They are givin g us, because looking at the possibility that during -- we are setting up manufacturing, we have a manufacturing facilities in these states, and those are getting revised, so there is an emp loyment there. The project states there is employment.

And second thing is we -- every single project we do, we do th e service business for 25 years of the project. So there is an empl oyment potential that they've t here. So therefore, that is what they're looking at and they're trying to give these exclusive r ights. It's win-win for both the state and us.

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Avishek Datta: Sir, right. And when you say la nd, does it also come with pre-p lanned evacuation facilities?

J. P. Chalasani: We are actually looking -- see, o bviously, when you ask for a r ights or a geographical area, then we need to define which is that area. Obviously, we do that bas ed on historical land and wind data, what we have. Otherwise, why we can't go for any land. An d secon

d is based on the plan

of CTUs, which the grid substa tions or power grid has announced and on the pipeline turnarounds. That is the basi s. It's done based on that.

Avishek Datta: Okay. And sir, can you just elaborate once more on the, like, j ust the transmission access that the solar project, because they are commission faster, they hav e faster access to the grid. Whereas for wind, you need 1.5 years of data to get access. So what is government thinking about that?

J. P. Chalasani: See, the once, let's say, a s ubstation is announced in a locati on, solar doesn't need to think much. They can say that we ask for the connectivity, because solar ca n be set up in most parts of the country. It doesn't need to be si te-specific. Whereas for wind, to set up in the area, we have to have a wind data, whether that si te is suitable for wind or not .

So by the time you have the data, that's substation is ful. So therefore, there is an issue becoming that by the time we say that thi s particular area has a good wi nd potential, whatever the CTOs are -- they're in the -- they are getting filled up the fast. S o now the government has asked us to say, as the players, to say that where is the highest wind pote ntial site.

We will plan the CTU there, a nd we're also thinking of paymen t of fee in these areas, we would basically try to restrict the connectivity for wind. That is, i ndeed -- that is in the work-in-progress with the Government of India.

And the second one, what I said is that wherever the solar is already connected today, commissioned today, the same areas are going to open up under t he same substation, because substation and the transmission capacity is already there. They are thinking of -- to get a discussion between the parties and the MNRE, even in the latest meeting of our Secretary. They are open to the idea of coming up with a bid connected to those substati ons. I mean, everybody wants to come and set up a wind capacity here because we don't need to develop grid and we don't need to develop a substation. How much of it is fe asible? There may not in every single solar place it will be feasible because the wind is affe cted but this will unlock that in transmission capacity for wind.

Avishek Datta: Okay. And sir, secondly, on the ti me lines, like, we have 2/3 n on-EPC projects and 1/3 is EPC. What kind of execution time lines you are looking for in both o f them?

J. P. Chalasani: We don't refer anything. Basically, we look at what is on the t able and what is -- could we take it. We see if there is more demand for EPC, we'll take more. In the case of EPC, the time lines are different because it also includes the land where we're wor king. In case of input supplies, we can do it in a short time period and the rest will vary. But th e time periods will match with respect to the project execution schedule.

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In case of a non-EPC, they will say that, the project going to get ready by this time. This is how I want the supplies. Then obviously, we look at our manufacturing timelines, what we committed to various people then we said this is how we can supply, then there's a match-making happens, and we sign as a contract with respect this city. In case of EPC, obviously because we know how this project is going to shape up in terms of the land and BOP because it will control and then schedule, saying this is how we can develop this product. And there are discussions that happen. Basically, the EPC schedules are longer than the supply schedule.

Avishek Datta: For these EPC projects, they will also, like, them to be in the state of where you have already got this access?

J. P. Chalasani: No. Not necessarily. anywhere we can do.

Moderator: Thank you. The next question is from the line of Rajesh V C an Individual investor. Please go ahead.

Rajesh V C: I think the results for Q4 are quite good compared

to previous years, so congratulations to that.

Yes. So just a couple of questions. One is how about the offshore wind projects? So is it coming in? And how you can show some perspective on that part compared to the regular wind projects that you're already getting? And that will be the first part.

And the second question will be on the green hydrogen machine, so how that is going on? For the green hydrogen, how you see as on the future part, how it is getting implanted from your end? Thank you. Yes, these are the 2 questions.

J. P. Chalasani: Yes. On offshore, the government of India is working towards developing offshore projects. But as I said earlier, that there are challenges with respect the tariff for offshore in India, because the -- our generation difference between onshore to offshore is not significant. PLFs don't go up that high, but the cost goes up. So therefore, the cost of generation is very high.

But still, to get into an offshore, the Government of India announced the first 1,000 megawatts, they will do with VGF, Tamil Nadu and Gujarat. And they have also now come up with a bid for the offshore, the seabed allocation, where bidders, can go and do the exploration and see if it is feasible and then go on with the project.

But there, at this stage, with the seabed, they have -- the policy is that they don't give a PPAs. They will only give you the rights to develop the project. And thereafter, they will also provide direction after the underground, and thereafter, wherever you want to take the power to using the centre grid and where -- whom you want to sell, like, what, where do you want to sell. It's all to you. There are some differences.

Offshore would happen at some point of time, but I don't think it's going to be a significant needle-mover immediately, because any offshore project, even to day, to start, it won't be -- not for the next 5 years to 6 years before we execute the project I lost the second question. What was the question?

Rajesh V C: Green hydrogen.

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J. P. Chalasani: Green hydrogen, our expectation is that as we said that today, the C&I segment is significantly increasing to change their capital requirement to green renewability. That would continue for the next 2 years to 3 years. Our expectation is that green hydrogen demand for renewable, it would pick up in the next 2 years to 3 years -- not an immediate one.

There are projects being announced, but too early to take up on the ground, financial and everything, not in the next 2 years to 3 years. So by the time the current C&I demand which is a captive requirement for the existing industry, it starts seeing downward trend is where we expect that hydrogen would pick up. Actually, the relevancy that the C & I demand will continue to be there for the next 5 years to 6 years.

Rajesh V C: So just one -- I had a question on the same thing. So do you feel that you have enough capacity, suppose that the hydrogen comes in or kicks in, the project kicks in? Because, I think, that is going to be a huge change around for that. Yes, please thoughts on -- give some thoughts on that?

J. P. Chalasani: Green hydrogen is -- as far as we are concerned, we will only supply as a new -- green hydrogen project will also have a renewable energy project. Green Hydrogen is nothing but producing the hydrogen using renewable energy. Wherever green hydrogen is there, they would also ask for these certain portion of renewable energy to be wind in order to meet that round the clock requirement.

So we will actually supply the wind turbines like whatever we are supplying today for the C&I customers for the capital consumption. It's what it will be for the green hydrogen. It's no different. And the volumes, whenever we come in, it will -- we actually foresee the volumes for

the 2 years to 3 years ahead would

It'd be significantly higher. We'll ramp up our manufacturing capacity required to meet the demand.

Rajesh V C: Thank you very much, sir, yes, and all the best.

Moderator: Thank you. Will take your next question from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: My first question is with regard to the EPC opportunity that exists. So you did mention that, hopefully, by FY'27, we may look at the overall TAM growing to about 9-10 gigawatts. Within that, how much do you foresee being the EPC part? What proportion of it?

J. P. Chalasani: First of all, where I said 9-10 gigawatts is a sector. It is not Suzlon. I hope I'm clear on that.

Subhadip Mitra: Of course, sir. That is the overall market size, correct?

J. P. Chalasani: So our -- obviously, entire 9-10 gigawatt has to be EPC-rendered. It could be straight EPC. It could be Non EPC. It all depends upon the investors' need whether they want to give 10 EPC to somebody like us or they will say that we will do our own development and then do the BOP ourselves and -- or to give it to some third-party that question will give only the supply and supervision.

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We don't know how the shape, what will happen. I can only comment upon current order book, what we have. As I said, that 1/3 in EPC, 2/3 is non-EPC. But how it will shape up as moving ahead -- but I said our aim and objective is to keep increasing EPC. Because if you have a land our EPC will improve. So to this developmental route, we are trying to increase the EPC portion of our order book, because then we have a control on the project.

Subhadip Mitra: Just if I may rephrase my question in a different way. What I was trying to get to is that my understanding is a large portion of the TAM today is either C&A market or probably PSUs or other players who probably don't have their own EPC capabilities. So clearly, that portion of the market will need a turnkey service provider like yourself. So I was just trying to get a guesstimate of how large that piece of the pie can be.

J. P. Chalasani: Even if you look at today's current year, when we have commissioned 3.2 gigawatts, 3.25 to be precise, our market share 27%, there are other people who are actually developed and commissioned those projects. So there are capabilities available today, may not be a turnkey OEM. Turnkey OEM doesn't exist today other than us.

But the people are trying to do is that -- create different packages, give electrical to somebody, give land to somebody. But there are problems in integrating the project. Those issues are facing, that's one of the reasons why capacity addition is not happening to the extent it should happen. Based on our experience, how the market -- it all depends upon how -- what the investor wants to do. If he says that it's just one, give a turnkey to Suzlon because there are nobody who takes turnkey today other than us.

Subhadip Mitra: And then secondly, in terms of competition, do you see a lot of competitive intensity coming in from some of the larger MNC players, whether it's Vestas, Envision or otherwise? And can that become a threat for us later on in terms of them trying to eat into our market share?

J. P. Chalasani: I don't think so when the pie is increasing to 9 to 10 gigawatts. Obviously, I don't think we are even dreaming that we can deliver 9 to 10 gigawatts in FY'27. There is going to be a significant capacity for everybody. And then the -- on the price point of it, I think we are definitely cheaper than the European suppliers.

And whatever is there, with Envision or others that even today, they're there in the market, existing, but you can see our market share in terms of orders. We have our own set of customers, especially in the C&I segment. So simplest way to answer, we do not see a competition pressure in the next 2 years.

Subhadip Mitra: Th

ank you so much. That answers my question.

Moderator: Thank you. We'll take the next question from the line of Ravi Vadaga an Individual Investor. Please go ahead, sir.

Ravi Vadaga: Yes. Just a follow-up on the competition intensity. What would be our market share on OMS side? I understand from the installation side, it's 27%, 28%. What would be on the OMS side?

And the second question is I understand, from your support, that Siemens Gamesa is on the block. Any colour, we do not want to talk about a specific competitor, but just what would the

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impact be on -- for us to get new business in OMS side, which we are handling or anything that you might want to comment?

J. P. Chalasani: As far as the market share of OMS is concerned, fundamentally, every single machine we sell, we only sell with the condition that there's a service packaged contract. So therefore, whatever we are delivering is what keeps on increasing our number. So therefore, whatever is our market share in terms of COD, let's say, 27% market share. That much would keep increasing in our OMS business.

And OMS business, today, obviously, we have the largest market share that is -- because otherwise, everybody is a much lesser capacity, even 15 gigawatts of, what we are operating. And as far as the Siemens Gamesa, I really don't want to comment. But on the multi-brand acquisition, not commenting in a specific manufacturer, that we started getting into that area, but we're going in a very cautious manner.

Today, we have about 220 megawatts we are operating today. Most part of it is we acquired during this year. But we want to take, look at them, stabilize before we actually expand in a significant way as far as creating acquisition is concerned. Let's see how things shape up and transition in the future. But multi-brand is definitely, yes, is one which is a way for us to increase our market share in OMS.

Moderator: Thank you, sir. Ladies and gentlemen, we take that as the last question for the day. I would now like to hand the conference over to the management for closing comments.

Himanshu Mody: Thank you, everyone, for participating in today's call. Of course, our latest detailed results and our presentation are available on our website. And our Investor Relations team is available for any further follow-up queries and interactions that you may have. Thank you for joining, and have a great weekend. Bye.

J. P. Chalasani: Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2024

11th June 2024.

National Stock Exchange of India Limited,
"Exchange Plaza",
Bandra-Kurla Complex, Bandra (East), Mumbai-400051. BSE Limited,
P.J. Towers,
Dalal Street, Mumbai-400001.

Dear Sirs, Sub.: Analysts / Investors' call.

In continuation to our earlier communication in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you, Yours faithfully, For Suzlon Energy Limited Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited
Business Update Conference Call"
June 09, 2024

MANAGEMENT : M R. JP CHALASANI – GROUP CHIEF EXECUTIVE
OFFICER – SUZLON ENERGY LIMITED
MR. HIMANSHU MODY – GROUP CHIEF FINANCIAL
OFFICER -- SUZLON ENERGY LIMITED

MODERATOR : M R. MOHIT KUMAR – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Suzlon Energy Limited Business Update Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you and over to you, sir.

Mohit Kumar: Thank you, Zico. Good afternoon. On behalf of ICICI Securities, I would like to welcome you all for a conference call of Suzlon Energy Limited. From the management, we have with us Mr. JP Chalasani, Group CEO, Mr. Himanshu Mody, Group CFO. We'll begin with opening remarks, followed by a Q&A session. Over to you, sir.

JP Chalasani: Thank you, Mohit, and good afternoon to each one of you. Thank you for joining this call at a short notice, and that one is Sunday. This call is being scheduled to appraise the investor community with respect to the resignation of Marc, our Independent Director of the company.

Marc has been associated with Suzlon for more than a decade, starting April 2012. This is his second term as an Independent Director, and it was about to get over in September 2024, that is in the next few months. However, Marc decided to step down now.

During this time, his contribution to the Board has been commendable, including during the toughest of the time faced by the company. Our Founder Chairman, Shri Tulsi bhai, always had the highest respect for him. The company sincerely appreciates the support extended by Marc

during his association with the company and wishes him best for his future endeavors. As mentioned in his resignation letter, Marc has not highlighted any lapse in matters of financial and legal non-compliance, but has asked for inclusion of best-in-class standards of corporate governance and improving transparency. We would like to mention that there are no lapses, I repeat, there are no lapses on account of financial or legal implications and the company conforms to the standards as stipulated by the law governing bodies of India. The company has the confidence and support of other four Independent Directors who are of repute, who are standing strong with the company.

We thank Marc for clearly putting across his pleasure on the outstanding performance of the company financially and operationally. Having said that, we take comments highlighted by Marc constructively and the same shall be implemented in a phased manner. Excellence in corporate governance is a continued journey and we will continue to improve and elevate on all those parameters.

Thank you, and we are now open for any Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Satpal Singh Khanuja from Ishaan Ventures. Please go ahead.

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Satpal Singh Khanuja: Good afternoon, Mr. Chalasani. Marc has specifically mentioned an issue to the Board where he has highlighted the concerns. Will it be possible for the Board to share some of the points which he has included in the letter?

JP Chalasani: It's as I said that, first of all, I reiterate that he has not said anything about operational or financial irregularities. And he had been part of all the Board Meetings, including the Annual Board Meeting, which was held on 24th of May. In fact, he was part of a budget finalization for the next year and he was appreciative of what we are trying to do.

In fact, that's what he's written in his letter, that he's appreciative of the turnaround of operational and financial performance.

e. Having said that, he obviously given some suggestions in terms of improving the governance and transparency, which is what, as I said in my opening comments, the chairman is completely faced of that. And we would work and take them to implement in a phased manner to improve.

Satpal Singh Khanuja: One of the Independent Directors is writing like this, putting this into a letter and then mentioning some other letter which he has issued to the Board. It does create a bit of panic among these small investors like me. Will it be possible for the Board or for the management to share some of the concerns that he has with the Indian investment community?

JP Chalasani: Well, I'm repeating that. I said, I'm reconfirming to you with no uncertainty, the points what he has put down to the Chairman are related to the process improvement and the transparency. I'm reiterating once again that there is absolutely and absolutely nothing about financial irregularities or non-compliance of any law or any requirements of this.

So therefore, it is completely about the process of we work in terms of only to what extent the more transparency is required with the Board and some of the governance process, completely procedural improvements. In fact, he has clearly mentioned that these things, to my satisfaction, his personal satisfaction, we have certain standards and we take note of all those. So therefore, we will work on that. I don't think there is, I'm again repeating it, don't think there is any reason to get concerned because fundamentally, there is no issue with respect to any irregularities. It's all procedural part of it.

Satpal Singh Khanuja: Right. Thank you. Himanshu, unless you want to add something.

Himanshu Mody: No, that's fine. I think I'd also like to say that you are all aware that the company has been through its fair share of financial instability over the past few years. And now we are over the last few quarters striving hard to drive the company in the right direction by bringing about financial discipline as also legal compliance, secretarial discipline.

And I think all of this is evident by the actions that the company has implemented. We have started our journey in simplifying the holding or the operating structure of the companies through simplifying the overseas holding structure and the subsidiary structure. We have been absolutely transparent with our investors and lenders and sharing every communication.

Our Investor Relations program has seen a significant uptick over the last one year or so through dedicated initiatives. Some of you also saw that we had a large Investor Day in Mumbai just one

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week ago, which was after almost a period of seven years. So from a company perspective, we

have done a lot over the last few quarters.

And as JPC said, we will continue to improve on governance standards and transparency. It is a continuous process. It doesn't stop. So we will keep exceeding our own benchmarks in terms of meeting expectations of either an existing independent director or our shareholders. But I again reiterate that there's absolutely been no financial irregularity or legal non-compliance in the company whatsoever.

Satpal Singh Khanuja: Actually, I'm very thankful for this answer. I really admire both JPC sir, as well as you for what has been done in the company in the past maybe a year or so. I've been a long-term investor in the company for about 15 years now and I'm really pleased to see what is happening right now.

But you know, a Director like Mar c, which has been associated with the company for 12 years, he must have seen procedural improvements happening place over the past decade. What caused a sudden resign from him and that to being so vocal about such things in the public?

JP Chalasani: No, see obviously we can't answer on his behalf. As I said that he has

been with us since April

2012. And he himself is saying that I've seen a significant turnaround in operational and financial performance in the last 18 months. And he's very appreciative of that. And as I also said that, you know, it was coming towards the end of this thing, September 2024, but more importantly, is that I think even to the end, he has been constructive with the company. In fact, I've talked with him for eight years. I've always seen him in every Board meeting or separately that always had ideas to improve the business.

He was extremely sharp. He has given us so many solutions. He made us to improve operations. And even in the May 24 Board meeting, when we had annual budget for the next year, he had his constructive suggestions. He had that. I think even at the end of it, he gave those solutions. And in fact, he wrote in his letter that this will be taken for constructively to improve the process, which we will definitely do it. But as I said, apology that I'm again reassuring all retail investors that me and Himanshu here as the professional managers of this company, no financial irregularity has happened and I can say with full confidence it will not happen.

Satpal Singh Khanuja: Thank you, sir. That's quite reassuring.

Moderator: Thank you. The next question is from the line of Ishwar Yadav, who is an investor. Please go ahead.

Ishwar Yadav: Sir, I would like to ask why not company increase its shareholding?

Himanshu Mody: I'm sorry.

Management: I can answer that. So, Ishwarji, I guess you're meaning that why can't promoter increase its shareholding? I mean, a company obviously cannot increase its own shareholding. So I think the promoters have said that in the past, obviously, nobody would not like to increase the shareholding. Everyone would love to increase their shareholding.

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But I think from a family perspective, if you see in the promoters since 2020 or even earlier, whether it was a preferential allotment in 2020 or a rights issue in 2022, the promoters have subscribed to their fair share of this liquidity to if not increase their holding in the company, but at least maintain the same.

So, I think the promoter, the family remain committed to increasing value in the company and for themselves and for other public shareholders. But I think whether they'll be able to increase their own shareholding or not is something outside the purview of JPC, sir, and myself.

Ishwar Yadav: In the future, it will happen? You are going to increase your company shareholding partner?

JP Chalasani: No, what I'm saying is, Himanshu is saying shareholding of Tanti family to be increased. That is neither me nor Himanshu can actually answer the question whether they will increase the shareholding or not. The company has nothing to do with that.

Ishwar Yadav: Okay, no problem. Thank you for a clarification. No problem.

Moderator: Thank you. The next question is from the line of Santhosh Kumar Ganiga. Who's an investor? Please go ahead.

Santhosh Ganiga: Sir, good afternoon. Just wanted to understand like when it comes to Vice Chairman, he's also leading a company named Augur Group, which is into EPC construction in India, into wind and solar. So, is there an intent from the promoters that they would like to diversify from Suzlon into similar business?

JP Chalasani: I will not be able to comment about the family business, what their intentions are. But as far as the Suzlon is concerned, there's absolutely no competition. And then, you know, we have our own field to play. So, I won't be able to comment on that. But there is no conflict with us or impacting the Suzlon core business.

Santhosh Ganiga: So, are we getting any wind turbine orders from that particular company whenever they do something?

JP Chalasani: No, no, no. And there are no orders from them. And to our knowledge

e, they're not like earlier

they invested and which was divested. But when they invested in the wind turbines, all the orders were placed in Suzlon. But that was way back in 2016 and 2017 year. And subsequently, all those assets have been divested by them. And we have a few wind turbines for captive, which we do the operation maintenance services as Suzlon. Sorry, Himanshu, you were saying something?

Himanshu Mody: Yes, I'm saying not only to Santoshji, but to the investors at large, we'd like to reassure that whatever related party transactions are adequately getting disclosed in our annual report and are all at arm's length basis. And with due approval of the audit committee and the Board. So, there is absolutely no related party transaction that exists out there without following these checks and balances. So, rest assured, that's a commitment from our side.

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JP Chalasani: And also, as far as the RPT is concerned, on every quarter, the auditor reviews the entire RPT and presents to the audit committee independently.

Santhosh Ganiga: Sir, I understand. My only concern was like management bandwidth. So when you are working on another company into similar business, the EPC or projects, obviously your bandwidth with respect to Suzlon will go down. So, that is where my concern was.

JP Chalasani: Look at my bandwidth and Himanshu's bandwidth. I think that they will take care of Suzlon.

Because predominantly, not predominantly we are running the day-to-day operations. We are running the entire company. So, obviously as long as our bandwidth is not getting disturbed anywhere else. In fact, that's why I've been constantly on record in each of the calls, saying that right today, there's so much for us to do.

That's the reason we're not even looking here and there. We're putting blinkers on to see that how Suzlon grows in the domestic market. And our 100% of our bandwidth is available. And we will ensure you and every investor that the company will not suffer because of the bandwidth not being available. We will put 24 by 7 efforts if required. But ensure company grows, which you've been saying in the last 10-12 months.

Santhosh Ganiga: Sure, sir. Understood. So recently there was news that Siemens Gamesa are available for sale. So would we be considering maybe for one-time contracts of these assets going forward?

JP Chalasani: I think we'll take that separately. Right now, it's more concerned about the ID resignation. So, therefore, I think anything with respect to the business, you can even call up our IR cell. They will be able to brief you completely. There are other people waiting for questions on this subject.

Santhosh Ganiga: Sure. Understood, sir. So, what is the next action plan? You'll be looking for another Independent Director now?

JP Chalasani: We will see that actually. We will now see what is the next step of actions. Because all this happened yesterday and today. So, we are on a weekend. So, we will review everything internally tomorrow onwards. And then take every step what is required to strengthen.

Santhosh Ganiga: Okay. So any of you or others, Independent Directors?

Moderator: Mr. Santhosh, request you move to the question queue for follow-up questions, sir as other participants are waiting for their turn? Thank you, sir. The next question is from the line of Taher Badshah from Invesco Mutual Funds. Please go ahead.

Taher Badshah: Yes, good afternoon, sir. Hi, this is Taher. Just one thing. I believe you mentioned that he was more towards the end of his term. So I'm just wondering if that is true, then why did he not choose to kind of complete his term?

JP Chalasani: Obviously, I can't answer on his behalf. But the only thing I appreciate from Marc is that he has been constructive all through these 12 years. More than 12 years he is on the board. As I said

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at I myself worked with him for over eight years. He has always been constructive. He has always kept us on toes. He used to take a lot of interest in the various business-related issues.

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And even in the end years, when he was ending his term also, he has put suggestions very constructively saying that these are the things companies should look at and which we'll definitely look at. And we have a greatest respect. I personally have a greatest respect for Marc for the contribution what he made.

Taher Badshah: Just to follow through. So should we think of some of the issues that he's raised to be more of the softer nature? I mean are they -- as you have indicated earlier they're not operational in nature. Are they about softer aspects, about things like information through etc? Is that how we have to think about it?

JP Chalasani: Yes. There's nothing to do with operations of the company or no thing to do with the financial

process of the company. It is more about a governance standards to further improve in terms of the -- in fact we did improve the transparency of the governance not just with external stakeholders as Himanshu said, even with the board.

Now in fact we send our board presentation four days before the board meeting including the financial one which was sent two days before, so that all of the board have adequate time to read and come back prepared. We've done quite a few things based on his suggestions and there are more to be done and which is all as I said that to improve the governance process, to improve the transparency. It's a process of improvement so that we go to the next level, keep improving further on the governance.

As Himanshu said it is a continuous journey. I don't think anybody can say that we reached the pinnacle of governance. It's a constant thing and whenever there is a feedback a constructive feedback we take it seriously and we'll work on that and we have been working on that and which as Himanshu said you have seen even if you look at our IR deck what we present today. The data we've been improving from quarter-to-quarter what we provide and now externally and internally we're trying to do more, but there is more to the journey and we'll continue to do that. We will not take a step back on the process.

Taher Badshah: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Aadesh Mehta from Motilal Oswal AMC. Please go ahead.

Aadesh Mehta: Sir just wanted to understand going forward what more improvements can we expect in terms of your board composition or more softer aspects which this relevant Independent Director was highlighting? What more changes can we expect going forward sir?

JP Chalasani: It's difficult to define what more, but as I said it's a process of the journey and which you are seeing the changes which we explained to you, right with respect to board or with respect to external things. Obviously, the board composition could be one or it could be the other processes in terms of various transparency aspects, but that will continue to strengthen. There is no second opinion about that.

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The Marc has given some suggestions, but even otherwise -- even otherwise we have been going in the direction which you all could see clearly, but they're more on the table from him.

Obviously, that may be the speed at which we were doing is not his expectation. In fact, he clearly mentioned to my personal expectation. So therefore maybe we have not met his speed in some of the areas, but then this is -- then we will continue to do it.

You will keep hearing from us or seeing basically the other improvements what happens and what you're seeing for the last 10 months, 12 months and you'll continue to see further.

Aadesh Mehta: Okay, sir. Wish you all the best, sir.

JP Chalasani: Thank you.

Moderator: Thank you. The next question is from the line of Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal: Yes. Good afternoon, Mr. Chalasani and good afternoon Mr. Himanshu. Sir can you highlight some of the suggestions which Marc has suggested you for improving the governance, standards and transparency?

JP Chalasani: No, I really can't say at this stage because he has written to the Chairman but I can only say they are again, I'm repeating I can only say they are not pertaining anything to do with the operations of the company or anything I again underline this is because the major concern of any financial irregularities or non-compliance of any legal requirements.

They do not fall. I underline that these do not fall under the category. There are suggestions by him in terms of the more transparency and more procedural issues which we can improve further which is beyond the normal requirement like what the law requires, but then it's fine. These are the things which we'll take into system and do it.

I'm saying that these are all procedural and governance standards and transparency, I won't be able to say much on that. Himanshu you want to add anything?

Himanshu Mody: No, absolutely fine. I think one example I can give even to earlier question of Aadesh, if you see our Q4 results there was an inadvertent error where something that should have been negative INR12 crores got reported as INR12 crores. I'm just using a very small example And I'm not saying that this is necessarily there in Marc letter, but it's things like these for which we had to pass a corrigendum.

We don't ourselves like it, but it's the systems and processes augmentation that we are currently doing. And we will get there such that such small inadvertent human errors are not repeated. So it's a very small example that I'm giving. But we will keep improving on these standards. So it's really softer factors like these that we will continue to work on.

JP Chalasani: But again, for everyone, I just want to say is that after four to five years of a struggle we are now

last year, we consolidated this year. Obviously, there is so much is happening in terms of operations, in terms of order in take, deliveries, projects and things like that. So I'm not giving
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that as an excuse. While we catch up with the increased demand of operations we also need to simultaneously work on the process, what happens when the business was low there was no need for you to do these things.

But when the business is improving, obviously your process has to improve. As Himanshu said that in fact, we've been working for the last almost about nine to 10 months with an excellence to improve all our IT processes and everything so that internally also, we don't make any mistakes in the data accuracy and everything. We are on, we are on it. So I can assure you that we are on that process.

Deepesh Agarwal: Okay, sure. All the best.

Moderator: Thank you. The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Hi, thank you. So a couple of questions. One was in the letter, the Independent Director Marc has mentioned he shared the concerns with other board members as well. What is the stand of the other Board Members in your discussion with them so far? Are they on board with you?

JP Chalasani: Obviously, we said that they have been all the four Independent Directors are fully on Board with us. And the Independent Directors always have their own set of meetings. And sometimes they come back and tell us, we as Independent Directors feel this is to improve and we've been improving at different points of time. But at this stage, the all four Independent Directors who are of their own reputation are completely on board.

Satyadeep Jain: And you mentioned the first time these

concerns were raised was about 10 to 12 months ago, is that correct?

JP Chalasani: It is not a concern like I used the word of this, it is a question of coming up saying that this area, we need to further improve this area, we need to further improve in terms of which we have been doing. As I said that, for the board to contribute significantly that information flow should be much in advance so that we prepare and come for the board meeting, which we changed. And we know consistently for the last four quarters, we've been sending them the information four days before the board meeting and non-financial also two days before, so that they have the data, they simulate the data and come back with the questions.

It's more of a debate rather than understanding what we are presenting there. So these are the things which they've been saying and it's not that there's no concerns that have been addressed. There have been points there where we have been improving constantly.

There are more to do it. And as I said, it's a journey, it's completely a journey. And he clearly mentioned that some of the areas to his personal satisfaction like each individual has a certain level of expectation. Obviously, the expectations are at a level which is good. That's why he's been driving us the last 10, 12 years to that standard. So therefore, that is where I leave it saying that he clearly said that some of these things to his standards of expectation.

Satyadeep Jain: Okay, thank you so much.

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Moderator: Thank you. The next question is from the line of Amit Nigam from Invesco Mutual Fund. Please go ahead.

Amit Nigam: Hi, good afternoon. Two questions. Would the combined position of Chairman and Managing Director held by Mr. Vinod Tanti be one of the points of his suggestion to split it up?

JP Chalasani: No.

Amit Nigam: Okay. And therefore, with respect to the board construct, are there any other suggestions which he had? Because I see a fair representation of Independent Directors on your board. Then can you give a little more insight into what kind of suggestions is what Marc had with respect to the Board?

JP Chalasani: It's really difficult to give one. Because you talked about Board, obviously there is a session that we should improve the diversity on the board. So maybe get a legal member on the Board. So these things would constantly keep happening. But then there is still appropriate time for us to increase. Because as you said, we already have a significant amount of Independent Directors. At the right time, these steps would be taken. And to answer to your previous questions the chairman MD was not the issue. Issue was that who does what. And there was a clear role of clarity and this was given to the entire Board of what I do and where I need the input from the

Chairman and Vice Chairman. We'll have the strategy level, which is also with the Board. We have absolute clarity. And Board clearly knows that who's doing what. It has been circulated to them as well. That was one of the requirements, which we did as well.

Amit Nigam: Okay. So now after his resignation, how does the board construct look like in the number of independent and non-independent? How would that number look like?

JP Chalasani: We still have four Independent Directors. And then I -- Himanshu, am I right? Four Independent Directors.

Himanshu Mody: That's correct. We have four Independent Directors and three Promoter Directors. And of the three Promoter Directors, two are Executive Directors and one is a Non-Executive Director.

Amit Nigam: Okay. That's very helpful. JP Sir and Himanshu, thanks.

Moderator: Thank you. The next question is from the line of Nidhi Ritesh Shah from ICICI Securities. Please go ahead.

Nidhi Ritesh Shah: Hi, thank you so much for taking my question and also for hosting this meeting. I basically just

wanted to ask that was this resignation something that the company was able to foresee? Or was this completely sudden? That is number one. And number two, is it shared by the resigned independent director, shared by the rest of the Board? And if so, do we have any further concerns on the Board side?

JP Chalasani: The first question, Obviously, it is his decision when he wants to quit. As I said that he had time to continue till September 2024. As far as the second point is concerned, yes, he has been saying different points.

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He also written that to the Board and which some of them has explained to you that we addressed as well. Some are work in progress. As I said, in terms of role clarity or in terms of Board getting information in advance so that they can come prepared for the Board meetings and actually contribute in the Board. Many of those things have been implemented. Unless you want to add a few more.

Himanshu Mody: No, absolutely. I think one more thing. I don't want to repeat what we said earlier, but also all the callers, all the investors need to be cognizant that September last year is when we concluded our QIP Company became debt free.

So we saw that in the Q2 Board meeting. In the Q3 Board meeting is when our working capital with REC really got sorted out. So the software aspects in terms of improving transparency, corporate governance they were not even there in the radar for anybody, including the Board members for that matter, because primary focus was to get the health of the balance-sheet and future of the business going.

So while it was on the radar, but it did not take precedence. Now today, of course turning the clock forward to Q4, which is the May Board meeting while financially everything has been sorted, there's a good order book. It's only about execution now.

I think focus does come in the forefront for some of the software aspects on corporate governance, which as we've been repeatedly saying for the last half an hour, will be our top priority focus. So without any compromise on any sort of transparency or transactions.

JP Chalasani: And also just to add, Himanshu, if I'm not wrong, that until we did the QIP and paid off the entire debt, before that with the banks and subsequently with REC, we always had the lenders, the auditors sitting with us and then looking at every single transaction.

Himanshu Mody: Yes, we had the lender Directors on our Board until September last year, in fact. That's right, sir.

Nidhi Ritesh Shah: Right. I just want to know if there were any more concerns among the rest of the Board. Is anything, is any more flux anticipated in the Board?

JP Chalasani: No.

Nidhi Ritesh Shah: All right. Thank you so much.

The next question is from the line of Harisaran Panda, who's a Non-Investor. Please go ahead.

Harisaran Panda: Good afternoon, sir. Suzlon been a day under ASM since, I think, last October. Usually, the companies usually move out of ASM framework, the standard, like, recommended by the exchanges, in 3-4 months of time. Why, Suzlon, has any compliance issue, anything that, like, you think the exchanges should make it still in ASM?

Himanshu Mody: Yes, so, I understand, Hari. So, essentially, I mean it's a very widely held stock, as we have almost about 45 lakh shareholders with large volume, and whether ASM 4 or ASM 3 or whatever permutation combinations or algorithm the exchanges have, it is something that we really can't

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comment upon. It is, I'm sure there is some scientific method that the exchanges follow to change the status of the company from one ASM framework to the other. So, why that has not happened or what is influencing that is actually beyond any one of us to comment upon.

Harisaran Panda: Okay, thanks

Moderator: Thank you. The next question

is from the line of Ankit Jaiswal, who is an Investor. Please go ahead.

Ankit Jaiswal: Good afternoon, Himanshu sir and JPC sir. So, actually, my question was like when we appoint Independent Directors, so there is a kind of information asymmetry, which happens because normally they're not involved in day-to-day business operations. And my second question was that, can we go for a reverse split?

JP Chalasani: Can we go for what?

Ankit Jaiswal: Reverse split?

Himanshu Mody: Yes, I'll take the second question. So, of course, Ankit, on the reverse split, it's, as we know that theoretically it is possible, and it's not that it has been lost on us. But I think, we haven't evaluated and, if and as and when we think appropriate, we will, as management, recommend the same to the board and then to the shareholders. But right now, there is nothing in the offering with regards to the reverse split.

JP Chalasani: And Independent Directors, obviously, they're not just the board, but they also constitute as members of a number of subcommittees of the board, who advise in specific areas. And we take them based on their expertise. Like, for example, you have an ESG committee where we have someone who has got a strong background of ESG.

Then, we have an audit committee where Mr. Gautam Doshi himself is the Chairman of the Audit Committee. There are different subcommittees where Independent Directors are members. And then those specific areas, they guide us from time to time, in addition to guiding the board level.

Ankit Jaiswal: Thank you, sir.

Moderator: Thank you. The next question is from the line of Abhishek from Ambit. Please go ahead.

Abhishek: I just wanted to understand, on the board, in case of the independent director, are we looking to onboard any other independent director? And what would be the timeline for that?

JP Chalasani: See, as I answered this sometime back, it just happened. So therefore, we need to review it tomorrow. It's a weekend. And then have a discussion and then see that what next to be done. So that would be too early for me to comment upon, what needs to be done. Just a weekend, it happened.

So then, tomorrow we'll sit down and then discuss, decide everything. And the Chairman and everybody would be involved, including taking advice from Independent Directors as well.

Abhishek: Sure, thank you.

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Moderator: Thank you. The next question is from the line of Ravi from KMD. Please go ahead.

Ravi: Yes, good afternoon, all. Actually, my question is, actually, we completely believe about Suzlon and their committee and I don't have any deviation from this one. Actually, I completely believe and trust on you., I have one question. So, is there any possibility to announce dividend or anything to investors so that they will also completely trust on you?

Himanshu Mody: So, Ravi, of course, everybody loves dividends. I know all shareholders, love dividend. So, I mean, I cannot answer that question right now. I think let us, you've seen, we've taken certain initiatives of, merging our 100% subsidiary with the parent SGS L with SEL. So, therefore, there is a, as we said earlier, there is a business plan that we have set out ourselves to achieve in FY'25. So, I think, this is probably a best discussion held around May of 2025.

Ravi: Okay, thank you.

Moderator: Thank you. The last question for today is from the line of Santosh Kumar Ganiga, who is Individual Investor. Please go ahead.

Santosh Ganiga: So, as we know, you are the part of the Stakeholder Relationship Committee and Risk Management Committee. So, whatever, like, issues or gaps, sorry, transparency, concerns he has raised, is it with respect to these two committees mainly?

JP Chalasani: No, we had a last meeting of Stakeholders Committee as late as May 24. And we were absolutely fine with that meeting. And even the

Risk Committee meeting, what we had earlier, we had some suggestions to add a few more risks and all that. But it was completely normal. Nothing to do with both those two committees. Absolutely nothing to do with those two committees.

Santosh Ganiga: Understood, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand

the conference over to the management for closing comments.

JP Chalasani: Thank you to each one of you, and especially to come on the short notice, as we'll as on Sunday afternoon. And everybody is excited about the match tonight. I forgot to think about this. But we thought that our investors deserve this clarification from us. That's the reason we didn't want to wait for even a day more. We said that we will go and address and share, try to address the concerns, whatever they had. That's the reason we have to have it on Sunday. Sorry for that. But it was with that intention, we did that. And once again, thank you very much for each one of you to participate on this. But having said that. Our IR team is available 24 by 7 for any follow-up questions, follow-up clarifications you need. We're always available. And including me and Himanshu are available for me at any point of time. On this issue, always available. Thank you so much.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Jul 2024

30th July 2024.

National Stock Exchange of India Limited,
"Exchange Plaza", Bandra-Kurla Complex, Bandra (East), Mumbai-400051. BSE Limited, P.J. Towers, Dalal Street,
Mumbai-400001.

Dear Sirs,

Sub.: Board Meeting - Call on Q1 FY25 Results.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you,

Yours faithfully,

For Suzlon Energy Limited Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited Q1 FY25 Earnings Conference Call"

July 24, 2024

MANAGEMENT : M R. J P CHALASANI – GROUP CHIEF EXECUTIVE
OFFICER , SUZLON ENERGY LIMITED
MR. HIMANSHU MODY – GROUP CHIEF FINANCIAL
OFFICER , SUZLON ENERGY LIMITED
MODERATOR : M R. MOHIT KUMAR – ICICI SECURITIES LIMITED

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Moderator: Ladies and Gentlemen, Good Day and Welcome to Suzlon Energy Limited Q1 FY'25 Earnings Conference Call hosted by ICICI Securities.

During this call, the Company Management may make certain statements which reflect their outlook for the future which could be construed as forward-looking statements. These statements are based on the management's current expectations and are associated with uncertainties and risks as fully detailed in the annual report, which may cause the actual result to differ. Hence these statements must be reviewed in conjunction with the risk that the company faces.

As a reminder, all participant line will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" and "0" on your touchtone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you. And over to you, sir.

Mohit Kumar: Thank you, Deepika. Good Evening. On behalf of ICICI Securities Limited, I would like to welcome you all for the Q1 FY'25 Conference Call of Suzlon Energy Limited.

From the management we have with us Mr. JP Chalasani – Group CEO, Mr. Himanshu Mody – Group CFO.

We will begin with opening remarks followed by a Q&A session. To be fair to others, request each participant to ask not more than two or three questions. Over to you, sir. Thank you.

JP Chalasani: Welcome, everyone to the earnings call. I hope you had an opportunity to review our results and investor presentation.

We will now share with you an overview of the industry and we will walk you through our Q1 FY'25 performance. We will then take your questions.

Q1 FY'25 continues the growth momentum started in FY'24 with unparalleled performance across Financial and Operational parameters. This is one of the best quarters in seven years

wherein we have outperformed across the various performance parameters. This performance comes as a result of several strategic and transformative steps the company took in the last three to four years, which we have been briefing from time-to-time.

Robust largest ever order book in the history of the Suzlon of 3.8 GW as on June '24, is a testament of superior technology, acceptability of our S144 WTG model and customer confidence in Suzlon. This also reverberates with 29 years of proven track record with 32% market share on cumulative installed base in India. Suzlon also qualifies for government tenders and would be selectively pursuing these orders as we discussed during our last call. Our endeavor remains to pursue quality orders with higher value and better margins.

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Globally, India ranks 4th in total wind installations with 46 GW of installed onshore wind as on June 2024. Suzlon continues its growth objective of deliveries of 274 MW in Q1 FY'25, which is 2x of 135 MW in Q1 FY'24.

This quarter, industry did close to 770 MW of commissioning, which is obviously below the expectations. As per our estimates, the sizable number of turbines in pre-commissioning phase, which could not be commissioned for different reasons and would be commissioned in Q2 FY'25. Indian wind sector as per our estimate should achieve installation of 5 GW in FY'25.

Our OMS business continues to do well with 14.8 GW capacities in India with a machine availability ensured above 96%.

Our top priority would remain timely execution of our robust order book while upholding the highest standards of quality and legacy.

Our pioneering business model of end-to-end offerings for wind energy value chain, fully integrated supply chain, track record of project execution and best-in-class service cannot be easily replicated, which provides us w

ith a strong, differentiated competitive advantage.

I would now like to invite "Himanshu to take you through our Financial Performance."

Himanshu Mody: Thank you, JPC, sir, and good evening, ladies and gentlemen. I shall be using slide #16 to #23 of our investor presentation, which is now available on our web site as the reference point for our discussion during this call.

Q1 FY'25 has seen us register robust improvement in all key Performance Parameters and our Fundamentals have further strengthened with the focus on the bottom line. We have made deliveries of 274 MW in Q1, which is more than 2x as compared to Q1 of FY'24.

On the P&L front, Q1 FY'25, there has been a renewed focus on our bottom line which has resulted in a revenue of 2,016 crores in the quarter, witnessing an increase of 50% on a year-on-year basis. Consolidated EBITDA of the company stood at 370 crores which is up by more than 86% and with an EBITDA margin of 18.4% on a consolidated basis. PAT for Q1 FY'25 increased by 200% or almost 3x to about 302 crores in the quarter. This has made us register highest quarterly EBITDA and PAT in almost about seven years.

We are also pleased to report that our balance sheet as of June 2024 demonstrates a further position of strength with a consolidated strong net worth of 4,253 crores and a net cash position of 1,197 crores.

The last one year in FY'24 has been a year of financial turnaround for us, whereas we focus on our balance sheet and also putting in place the working capital for the company. We would like to reiterate that Suzlon is well positioned for the growth and sectoral leadership to participate in the India energy transition, with FY'25 being a focus of performance on the P&L side and Suzlon Energy Limited

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working capital side in the company. Needless to say, we shall be focused on best-in-class product with our in-house R&D team, our fortified financial position with optimized cost structure shall continue and be a focus area for us.

Largest ever order book as JPC sir just mentioned with the strong pipeline in active discussion, a supply chain that's fully geared up in line with our order book commitments to our customers, and a regained confidence of all stakeholders including financial and also suppliers and customers and a strong bench strength with the management team that has a renewed zeal to deliver.

With that, I would like to conclude my presentation and we can open the floor for any questions and answers that the callers may have. Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Sumit Kishore from Axis Capital. Please go ahead, sir.

Sumit Kishore: Sir, my first question is, could you spell out the reasons for improvement in the WTG contribution margin in Q1? We've also noted that your project or segment mix has shifted more

in favor of captive C&I retail even on a sequential basis, now almost two-third. Is the pricing better in this segment versus state or central bid?

Himanshu Mody: So, Sumit, Hi! On the margin, of course, whilst we've reported close to 23% contribution margin on the WTG segment, it is not something that may be sustainable because this quarter saw lower activity on the project execution side. So, whilst from a readiness perspective we had about 230 MW of turbines ready on the ground for commissioning, but we did only 70 so far because the balance 160 MW lies in the scope of our customers, which is out of our hand. Had that kicked in, there may have been certain delta revenue and cost which may have pulled down the margin a bit. But having said that, needless to say still the margins would have been in the late teens or maybe around the 20% vicinity. So, that's the answer to your first question. On the second one, the mix of course is what it is between C&I and

IPP. But, in terms of our average selling price to the both class of customers, it is pretty similar, There is no visible differentiation in pricing across customer class.

Sumit Kishore: My second and last question is for S144, how many WTG sets have been delivered or installed so far? So, if you could give your experience of how that particular turbine is operating on the field and any other experiences in terms of commissioning this?

JP Chalasani: We commissioned close to about 100 MW as of now. Everything is in line or better than what anticipated in terms of our design parameters. And in fact, we are also now going through the high wind season to establish further – Everything has been smooth touchwood and better than what was expected in terms of the design power curve.

Moderator: The next question is from the line of Amit Binde from Morgan Stanley. Please go ahead.

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Amit Binde: I had two questions. One, with your plan to change the timing of your merger, so is the qualification to NTPC getting affected because of that? And second thing that I wanted to ask in similar lines is that you have made a framework agreement with CESC. So, if you can give some details on that one?

JP Chalasani: On the NTPC, we did discuss last time. We said that we qualify and we participated in the bid largely then the results and we will continue to participate in other public sectors as well. So, we have no restriction to participate.

Amit Binde: Without this merger procedure happening, still you are eligible for NTPC bids?

JP Chalasani: Yes.

Amit Binde: On the CESC, sir?

JP Chalasani: This is a framework agreement which was announced by the CESC. As far as we are concerned as and when some of them get fructified into a definitive agreement as per our policy with confirmed advance, we will keep announcing.

Amit Binde: Any indication on the size of the framework agreement that you can -?

JP Chalasani: Any framework agreement is substantial quantum, so therefore let's leave it there. But as far as we are concerned, we are not considered that in our order book, and we consider in order book as and when each segment of the framework gets converted into a firm contract with an advance.

This is not part of our 3.8 GW what order book we have announced today.

Amit Binde: And the other question that I had was if you can help us understand how your deliveries would shape up because now captive and IPPs are increasing more in the bids. So, then would the delivery timelines be faster and can we expect the ramp up in the near next two, three quarters?

JP Chalasani: Second portion I can't say because that looks like a guidance sort of thing, but the deliveries would depend upon whether it is an IPP or it's a C&I, anyone on this is with respect to the readiness of site. Remember last time also that the reason why as a country, we are not able to move forward much quicker is the execution challenges on the ground. As Himanshu explained some time back, in fact, our commission capacity would have been 230 not 70, but the balance 160 we could not connect to the grid while it is pre-commissioned, everything is ready, either because the clients connectivity is not there or clients BOP are not ready. So, if you add that 150 to 770 of country, then country also would have been around 930 and our share would have been 25%, which is what normally we've been maintaining. It all depends. It's nothing to do with this, right? Like for example, NTPC awards the BOP contracts in advance. Then after a time gap they award for the turbines like what we participated now for those projects, BOP is already awarded by them. So, therefore, expectation is that case the preparation is much better, the supplies would be much quicker. So, it depends upon each quarter what mix of projects are scheduled based on Suzlon

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that is acceleration happens if the supply is not an issue. Once again I am underlining supply is not an issue, issue would be readiness of the projects to offtake.

Amit Binde: So, just on this one, so your realization of revenue for the installation part would still be left unrecognized, right? So, that would get recognized when the installation happens for this 160 MW?

Himanshu Mody: Yes, that's correct.

Amit Binde: And the last part that I want to understand is the penalty notice that was like you had put out a press release three, four days ago of 20 million. So, that one would we recognize that in our income statement in this year as a cost or in this quarter or would you be recognizing it afterwards?

Himanshu Mody: No. We will only recognize it only as and when it fructifies. Right now, you can say at best it's a contingent liability, but it has not fructified. While we've received those notices at our end, we will be as a company defending the notices and only as and when it is paid off fructified is when it will go through the P&L.

Amit Binde: So, currently no provisioning or anything would not be made for that Rs.20 crores.

Himanshu Mody: No.

Moderator: The next question is from the line of Rohit Bahirwani, Vijit Global Securities Private Limited. Please go ahead sir.

Rohit Bahirwani: Just wanted to understand the reason for decline in revenue for operation and maintenance. Quarterly, there's a decline of around 50 to 70 crores.

Himanshu Mody: Yes. Hi, Rohit. So, the reason because in Q4 of FY'24 where our revenue was a little over 500 crores on the O&M side, there were certain one-time billing on VAP and VAS sales plus certain contract renewals that got delayed during the year which was all booked at the time of Q4 before the financial year end. That caused a fillip or increase in the Q4 revenue of OMS. Certainly, that is not a steady state view. So, you should not annualize Q4 FY'24 revenues as steady state. What you see in Q1 FY'25 and also other similar quarters is what you should take as annualized revenues other than any VAP, VAS sales that we do during the year.

Rohit Bahirwani: Just wanted to understand the timeline between commissioning of a wind turbine? And by when does the operation and maintenance of that coming into the business, let's say you have done 274 MW in this quarter?

Himanshu Mody: So, there's a difference. I'll just make a small correction. We've done deliveries of 274 MW in this quarter, but what is commissioned is 70 MW. So, I will use 70 MW as a reference point. So, let's say if 70 MW has got commissioned in Q1 of FY'25, anywhere between two to three years
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is our warranty period that we give to our customers, so which means that Q1 FY'27 or Q1 FY'28 is when this 70 MW would start earning revenue from an O&M basis.

Moderator: The next question is from the line of Aashish Uppanlawar, InvesQ. Please go ahead sir.

A Uppanlawar: So, we've come a very long way in the last 1.5 years in terms of the turnaround of the business. Congrats on that. So, just to understand the addressable size that Suzlon can achieve, we have on the targets that the government has laid down for itself in terms of 10 GW a year and private as it is going on. So, for us from here, where do we see maybe the best case for us because execution on the ground remains different from the government side, plus the issues on the evacuation side. So, just some idea on that will help us frame our thoughts on that?

JP Chalasani: Let's talk about sector. That would give you what Suzlon will do because there's always a correlation between how much sector does and how much is done. This year, we are expecting anywhere between 5 to 5.5 GW is what country will do compared to 3,250 MW what we did last financial year. And our ex

pectation is that this in FY'26 would go up to anywhere close to 6.5 to

7 GW. And thereafter from FY'28 onwards, we expect it to be anywhere between 8 to 9 GW.

Why we are saying this also is the reason is that one is gradually we hope these hurdles on the ground will get removed, because more and more capable people are coming in and then there are some advanced actions being taken on the land and also the Government of India as we mentioned last time has now started acting on removing the hurdles for wind. In fact, just two weeks back they issued the revised guidelines on macro setting, removing some of the hurdles. So, if that is a rate, 5.5, then next year about 7, and following year about 8 to 9 is what is opportunity, then you can always think that where will we be from that point of view rather than me saying that how much is Suzlon will execute. And we always know that what is the correlation between what country does and what Suzlon does. I will take that as a guidance rather than giving you guidance on the company's trend.

A Uppanlawar: Sir, what's the executable capacity now as we stand today just to understand how much we will have to do in case these numbers on the overall macro of India come in until FY'28?

JP Chalasani: Come again.

A Uppanlawar: So, what's the current capacity in terms of how much we can deliver in case the demand side

picks up, as you said FY'26, '27, so what's the capacity right now?

JP Chalasani: Our supply capacity is anywhere between 3.5 to 4 GW, we can easily do it per year which will get further expanded let's say in FY'26 and FY'27. But then please understand, I keep each time clarifying this when you talk about the manufacturing capacity, manufacturing capacity is provided your machines are constantly loaded, assuming that month-to-month, there is a load of that nature. It cannot happen that 4 GW means that first quarter nothing happens and second quarter picks up, third quarter nothing happens, then this gets constrained. Capacity what is lost in a quarter, in a month is lost.

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A Uppanlawar: So, 70% better assumption to go with?

JP Chalasani: Sorry.

A Uppanlawar: 70% utilization would be a better assumption to go with given the seasonality –

JP Chalasani: Your guess versus my guess is with respect to the offering on the particular projects which are scheduled for delivery in that quarter. It could be 100% and it could be as low as 50% to 60%.

It would vary from quarter-to-quarter depending upon which projects are scheduled to be delivered during that quarter. Some projects are well prepared, like for example I said that NTPC if we win that let's say one, there's an advanced operation by NTPC. So, therefore it's much more predictable for supply of turbines. This will keep changing. I am not trying to dodge your question, but it all depends upon quarter-to-quarter, we need to keep monitoring it.

Moderator: The next question is from the line of Viraj Avendus Spark. Please go ahead sir.

Viraj: So, this guidance you've given for the year of 5.5 GW of execution at the country level, does it include C&I or is it only disconnected?

JP Chalasani: Total wind capacity connected to the grid including CMS. If at all there are any as it is which are not connected to the grid, they are behind the meter.

Viraj: The second question is on the auctioning or awarding a project. So, we know government wants to achieve about 60 GW overall for the year and about 10 to 15 on wind. So, where are we on that target in the first quarter, meaning how much has been auctioned or awarded?

JP Chalasani: Bidding is huge. I think we lost count of bidding. In fact, there is a huge amount of bidding completed, projects awarded where they're now chasing, with one waiting for the PSA. PSSA to be signed so they can move ahead. And even if you look at currently as we speak ju

st in the

month of June for different awards put together, there're about 3.7 GW awarded for it just in one month of June. And today there is about 7.5 GW of the bids submitted, and another 13 GW of bids called for. Targeting about the bids awarded and pending for execution, which is close to 20 GW, and we already have another 4 GW awarded in the month of June, another 20 GW bids either submitted or called for. This is all in addition to the C&I. And in fact, if you look at our order book, two-third is C&I and one-third is the PPAs. So, I don't think there is any concern with respect to whether the government is coming out bidding or whether there's enough volume. What as a country we need to only concentrate on is how much can we commission each year. So, I don't think there's any issue with respect to the market availability or not. That is at least for the next at least two to three years, we don't need to worry about are there opportunities in the market, sector as a whole, including Suzlon.

Viraj: My final question is clarification in nature. So, you mentioned about 274 we delivered, but commissioned is around 70. So, that means the revenue is recorded for the entire 270, while the cost is recorded only for the 70, is that how to understand that?

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Himanshu Mody: No. So, the revenue is recorded for the entire 274 and COGS also is recorded for the 274 entirely. For the 70 MW commissioning, the correspondent revenue and costs are recorded. Whatever is not commissioned, we are yet to recognize costs or revenue associated with it.

JP Chalasani: And also please be clear that these 274 and 70 has no linkage. It's not that the 70 MW is what is out of these 274. The turbines could have been supplied even a couple of quarters back and commissioned now. So, therefore these two are independent of each other. On a quarter-to-quarter basis you can't compare supply versus COD. So, there's a time lag between supply and the commissioning.

Moderator: The next question is from the line of Nikhil Abhyankar, ICICI Securities. Please go ahead sir.

Nikhil Abhyankar: Sir, can you just elaborate on what exactly are these difficulties that we are facing in execution?

JP Chalasani: No, we talked about execution. It is nothing to do with Suzlon. I am talking about as a sector the reason why we are not able to go up to 8 GW, 9 GW is fundamentally the two or two reasons we can say. One is the availability of land and the pathways. And more importantly, continuous availability of pathways. You might have taken a pathway to take your turbine and everything,

but after you've taken it, then again, there could be issues locally with people to do that. Because please understand that wind projects are scattered by. They are in an open area; they are not in a closed area like what you do solar or you do a fossil fuel-based plant. So, that's the major concern today everybody is facing in terms of the land and also because most projects got concentrated in Karnataka today. So, therefore there is more pressure there and also the regulations in Karnataka for land acquisition is a very cumbersome process. That's one state which still you need to convert into non-agriculture because many other states have changed over saying that, okay, if it is renewable, it's automatic conversion, you don't need to do that. So, therefore the whole process itself is too long in Karnataka. On top of it, everybody is in Karnataka. So, the whole state is stressed out for that. That's one reason. Second reason why we are saying execution is in terms of connectivity is one reason where the substations there are timelines to come in, sometimes there's a delay in the substation coming up by a few months. So, therefore that gets delayed. Third is that the BOP capability building, capacity building is still happening in the country, because

no other OEM does end-to-end exceptional Suzlon. And even in our case, only one-third is EPC, the balance two-thirds is not EPC. That means we are not doing end-to-end. The third-party BOP capacity building is still happening. So, therefore they're seeing the delays of BOP not in the speed at which is expected. So, these are the three major reasons why we are struggling for capacity addition, but as I said sometime back there are different actions being taken in all these areas, we are gradually seeing. In fact, our opinion is that there's significant amount of capacity which is ready for commissioning even in the Q1 not just ours of 160 in total, which would come quickly on to the grid in Q2.

Nikhil Abhyankar: And sir, just a follow up on that. So, how does the payment cycle work for all these orders -- is the payment done after certain credit period of the supply or after the installation of the turbine?

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Himanshu Mody: So, there are various milestones that are defined in our agreement right from advance at the time of execution to dispatch of various components of the turbine and the turbine components reaching upon site. So, based on the various milestones defined in the agreement, we receive a chunk of the payment. I don't want to say the percentage in terms of payment that is received till turbine reaches site, but fair to assume that a large chunk of the payment is received by the company upon commissioning or erection of the turbine.

JP Chalasani: Also, please understand our supply contract is different from installation contract. These two are independent contracts. So, in supply contract, you have independent payment terms, but there could be some payments linked to the commissioning. As and when commissioning happens even if that is a separate contract. So, supply contract runs independent of installation. That's a separate contract. And in fact, if you have a full EPC there again BOP contract is independent. And if we are bidding land, land contract is independent. These all contracts are independent. They don't talk to each other in terms of LDs or any payment terms.

Nikhil Abhyankar: Global peer is looking to sell its India business. So, will we be looking to acquire?

JP Chalasani: First part of it, are you looking at it? We are looking at it, like everybody looking at it we are looking at it. Are we looking at it to acquire? I don't think so. Let's see that what happens. There is no definitive answer of yes or no for that.

Moderator: The next question is from the line of Dhawal Doshi, Dyson Asia. Please go ahead, sir.

Dhawal Doshi: I am sorry if I would have missed this point, but can you just touch upon what is the current pipeline looking at in terms of the bids that you've submitted? Secondly, what kind of inflow numbers do we expect to go through as far as the share is concerned? I know you won't give me an exact guidance on this, but some color in terms of how do you see things for this year?

JP Chalasani: First thing is we don't submit any bids. We are talking about the government run bids. We don't participate in that bidding because the IPPs which run the bids and then IPP please come to us for equipment supply contract. Only bid we participate is that public sector for selecting equipment suppliers, they run a bid like NTPC, which was the question previously. That's where earlier we were not participating because we were not able to meet the financial criteria. Now, we meet that and we started participating in the bids for NTPC and other public sectors. That's the only bid we participate where there is a bid for equipment supply and the private sector doesn't run a bid, they just invite you to discuss.

Dhawal Doshi: So, if I have to rephrase my question, what are the kind of tie-ups that we could have for which either the IPP or Suzlon itself is under vari

ous bidding process and we could expect some kind of an outcome?

JP Chalasani: Nobody does. That arena has gone where people used to have a freebie tie-up in the initial stages of SECI-1, SECI-2, SECI-3 maybe after 5-6 people tie up, but now IPP has experienced the pricing. They will talk to you at the most for some budgetary course, but they take their own

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judgment on what would be the pre-bid tie-ups and go ahead and bid. If they win the bid, then they'll come and talk to us, saying that, will you please supply and negotiate a contract. There is no pre-bid arrangement per se in any more on this. It used to be there earlier. We did have many pre-bid things, but in the current system it doesn't exist. So, it will be done by their own without any pre-bid tie-up.

Dhawal Doshi: Some sense on what could be the order inflow for the year and the timeframe over which the existing order book needs to be executed?

JP Chalasani: What is going to come? Obviously you will know whenever it comes, and we keep announcing it. So, therefore you would see that like Himanshu mentioned it in his opening comments, there are a large pipeline which is under discussion on the table, but it is a closed contract signed and we receive confirmed advance then obviously we don't take that as an order. So, there is no point in talking about how much is under discussion, there is substantial amount which is under discussion.

Dhawal Doshi: No. So, what I was referring to was the kind of order inflow that we are budgeting or we are targeting, some sense of numbers, some growth numbers, and the timeframe over which the existing 3.8 GW needs to be executed, two separate -

JP Chalasani: 3.8 GW is between this year and the next year most of it, some part of it would be early FY'27.

Dhawal Doshi: And on the order inflow, any targets that you would want to give or -?

JP Chalasani: No guidance on that please. But again, as I said that just to reconfirm, orders for us need not be monitored currently, but there are enough orders, it's a question of how much we want to pick up and that is the reason in the opening comments we also mentioned that we are looking at orders where we think as a confirmed offtake would be there in a definitive timeline, after we will always be there. But is there a definitive timeline and what is the quality of that order, that's important for us.

Dhawal Doshi: You mentioned the executable capacity that we have is close to 3.5 to 4 GW, right, was that number correct?

JP Chalasani: Manufacturing capacity.

Dhawal Doshi: And we are looking at expanding this probably in FY'26. What would basically be, sir, the expansion?

JP Chalasani: Obviously that would again you will indirectly draw how much is we are targeting the orders.

So, therefore let's leave it there. We are expanding it. So, once the expansion is completed, we will let what capacity we are for FY'26.

Moderator: The next question is from the line of Dhruv Muchhal, HDFC AMC. Please go ahead sir.

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Dhruv Muchhal: Just one clarification. You mentioned that the developers no longer do pre-bid tie-ups. So, does the assessment of what PLF they will generate kind of win profile, that's all independent by them and then they select the equipment which they have to, is that how it works?

JP Chalasani: What happens is that some of them are developing their own sites. So, obviously they know what the PLF is likely to be there based on the wind data if they have it. There are one set of IPPs. The second set of IPPs they don't finalize with you, but maybe they'll sit with a couple of more suppliers and then ask a budgetary quote saying that we have a site, what would be the budgetary quote but not finalized from the order. So, they will take some sort of a thing from the market, test and then

go ahead and do it. Because most of the people today are doing multiple projects. They've been in the sector. So, therefore experience for them is much different today.

Dhruv Muchhal: And the second question was on the contribution margins. So, probably a bit early we have started delivering the new turbines. I think the numbers are relatively better than what we were guiding. But do we still stick to the guidance of I think 90 lakhs per MW, does that remain or do we see an upside to that number based on the run rate that we are achieving and based on the actual deliveries now?

Himanshu Mody: So, we are maintaining that our average selling price is about 6 crores per MW. It of course differs quarter-to-quarter and based on our margins, which we've said is mid to late teens, whether that's 90 lakhs or close to a crore would be the contribution margin. So, if we sort of end up doing of course 20% margins on a ASP of about 6 crores, that's about 1.2 crores. But there may be a playoff where we may be a little shy of 6 crores, but we would have improved margins. So, therefore I don't want to comment on 90 lakhs or 1 crore or whatever that number is, but that's where we are.

Dhruv Muchhal: So, ideally we should look at on a percentage basis, is that the right way to think of it or should it be absolute the way it works?

Himanshu Mody: You should look at it as a percentage basis of our overall revenue.

Dhruv Muchhal: Say, for example, if I look at the revenues right now for the quarter, if I just do a division by the deliveries, it's about 5.5 crores. I understand the installations and deliveries will never be exact, but assuming the installations are also done all to I mean equally, what the realization number would have been, I am just trying to understand, you mentioned the contribution margin would have been 20 percentage, but what the realization would have been?

Himanshu Mody: No. So, as I said, 20% was just the math that I walked you through. I am not saying that it would have been 20%.

Dhruv Muchhal: Around?

Himanshu Mody: Yes, around that. And in terms of calculations, of course, if you see our average selling price over the quarters, it's been a little shy of 6 crores. So, anywhere here between 5.8 to 6 crores has been

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the average, which is what is close to 5.5 crores in Q1 this year. So, of course, had the commissioning happen to a larger extent, for the 160 the shortfall we would have got close to the 5.8 to 6 crores average.

Dhruv Muchhal: What are the installed deliveries that we have done cumulatively? What are the installations pending for our deliveries? You mentioned that system has a lot of this gap, but how much is this for us?

JP Chalasani: Our turbines including whatever the latest deliveries what we have done that would be somewhere anywhere close to about 800 MW is what is pending for commissioning.

Himanshu Mody: So, 720 MW to be precise is what is pending, uncommissioned cumulative out of all the deliveries.

Dhruv Muchhal: So, 700 MW, which have been delivered to the site, but pending for just the grid connection and related?

JP Chalasani: No, we didn't say that. 700 is delivered, 73 which has gone, many of them may not even be erected. So, there are different stages. What we talked about was only the 230 MW out of this which we erected and pre-commissioned all the things, only 70 MW has been done. So, in the 770, 160 MW is what you can actually count as the turbines which are ready for commissioning but could not be commissioned because of the constraints in the 720.

Moderator: The next question is from the line of Vivek Sureka, individual investor. Please go ahead.

Vivek Sureka: Sir, just one question on the OMS side. Are there any plans to list this separately and capitalize on the current scenario?

Himanshu Mody: No, there are no such plans.

Moderator: The next question is from the line of Yash from Stallion Asset. Please go ahead Sir.

Yash: My question is that I think you've made 8% EBIT margins on your WTG segment this quarter.

Do you think we have scope for improving the margins further or this is a sustainable level?

Himanshu Mody: So, difficult one to say, but yes, I mean we are seeing that the economies of scale and the volume play is playing out. So, whatever historical thin margins that we've seen is hopefully a thing of the past. So, our sense is that these EBIT margins close to this region should be able to play out over the next few quarters.

Yash: I just wanted to sort of confirm this again. So, you're targeting 5 to 5.5 GW order book this year.

Is that what I heard, right?

JP Chalasani: We said that as a country we will be adding five to 5 to 5.5 GW of wind capacity this year.

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Yash: You'll maintain your market share of over 30% or is there a scope to increase that further?

JP Chalasani: If I say that, I am giving you the guidance. Anyway, let's hope so.

Moderator: The next question is from the line of Neha Menon, NVS Brokerage Private Limited. Please go ahead ma'am.

Neha Menon: Just wanted to get some clarity again. So, regardless of the order book that we have each year, what is our annual installation target or you may say average installation capacity?

JP Chalasani: It's not an installation capacity which would vary on various factors outside on this. What we talk about is that what is our manufacturing capacity means like what is our supply capacity. It is what we mentioned. Currently we can supply anywhere between 3.5 to 4 GW which would expand further.

Moderator: The next question is from the line of Prateek Giri, Subh Labh Research. Please go ahead sir.

Prateek Giri: I have one small query. Recently, we read about NITI Aayog trying to indigenize the wind energy equipments which are there. So, I was just trying to understand currently in the entire bill of material, how much of that BOM is actually import-dependent?

Himanshu Mody: For us, it's not applicable because we are much above the number what they're talking about.

Our domestic component is much, much higher than what they're talking about. This is basically meant for other players. That's a non-issue for Suzlon.

Moderator: The next question is from the line of Preet Nagared, Wealth Finsia. Please go ahead, sir.

Preet Nagared: So, the question sir I wanted to better understand is that you were saying there's a huge C&I pipeline and you mentioned something between 15 to 20 GW of that pipeline. So, can you tell me what is the driving factor this which is leading to such a demand?

JP Chalasani: No, the 15 to 20 GW what I mentioned was the bids invited by the government agencies. So, that is what is the number what I talked about. So, obviously if you look at on the wind capacity side, currently we are at 46 MW. The requirement to meet on the least cost option and demand projections for 2030 the least cost option is wind has to reach 100 GW. So, there is a 54 GW of capacity addition has to happen in a six-year period. So, therefore, to meet that is what government is actually planning everything. Because if you want to meet by 2030 that much of it, most of it should be awarded, let's say, if that is FY'30 or FY'28, you should complete all the awards. I think our expectation is that awards would be completed even much before that. But then depending upon the execution, like last time we mentioned, it's not 100, our expectation is we will reach somewhere here 90, 95 GW definitely by 2030.

Preet Nagared: The C&I component is also very strong, So, what is driving the C&I?

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JP Chalasani: Simple reason C&I is raising is that most

of these large industries want to move away from fossil fuel if they already have a fossil fuel captive capacity or they are right now driving the grid into a captive capacity. People are switching over from fossil to renewables because one is the tariff arbitrage compared to the fossil because that any one of them, if they have a coal-based capacity that coal is very expensive for captive plants, they need to buy the coal in the e-auction, they don't get the linkage. So, therefore arbitrage is one. And #2 is that if you need to export your product outside of India, this is now becoming more and more restricted, that means product has to be green. So, mainly the tariff arbitrage, but otherwise also in their own targets for carbon footprint, that's why C&I. In fact if you see not just here, everywhere it's happening. Even if you look at the US, the largest capacity is assigned today by people like Google, Meta and Amazon and type of a people. So, gigawatts and gigawatts of capacities of PPAs they're signing there to buy. So, it's a global phenomenon where everybody is working on this and the tariff arbitrage is really helping.

Preet Nagared: How do you see the impact of pump storage for hydrogen projects rightly enable the storage solutions? How does that help out for wind projects if you can share?

JP Chalasani: The pump storage, it's nothing to do with the hydrogen. Hydrogen can also help, but also what we are now moving is that from individual solar and wind so we move to the hybrid and from the hybrid now we are moving to round the clock what is called the farm and dispatchable renewable energy. That means instead of intermittent power supply, the renewable energy if you want to compete and replace fossil fuel, should also be able to generate on demand the way the fossil fuel generates. Therefore, in the fossil fuel, what happens is that you give your capacity in 15-minute basis and you respond to the demand on a 15 minute block basis. So, now the similar thing is what the bidding is happening in renewables, where you need wind, you need solar plus you need the storage. Current options for storage could be either the battery or the pump storage or could be any other way. But having said that, because of this storage system, because we also need a stable power supply for hydrogen, it also helps hydrogen sector. But it's more a pump storage as the storage is basically to make renewable, not an intermittent power supplier, but supplier on demand 24/7.

Preet Nagared: So, you've seen that all these initiatives are basically enabler for the wind sector as well?

JP Chalasani: Sorry. Come again?

Preet Nagared: Would you say that all these initiatives and technologies are also enabling the demand in the wind sector?

JP Chalasani: Yes, yes. See, today if a load following FDRE bid, when I say load following, is that your client is a utility company or if it is a C&I company can give you what is the load profile on a 15-minute block basis for 8,760 hours in a year and you're supposed to set up capacity. If your PPA is for 200 MW to supply on this basis like your wind capacity consent requirement would be anywhere between 2.1 to 2.4x. So, that's the extent of wind capacity what you need to make the power on FDRE basis. If it is only the peak, not the load following type of FDRE bids, then it

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would be anywhere between 1.4 to 1.5 times. So, today what is happening, why wind has to grow is that every single project what is being executed or what has been bidded out are a

combined projects of wind, solar or wind, solar and storage. So, therefore the project can only get commissioned provided wind also gets commissioned, because it's an integral part of a project. So, therefore today we reach a stage where how much wind capacity is commissioned would decide the total RE capacity getting

being commissioned. That's why wind is becoming critical.

That's the reason you see more and more attention of government towards removing the bottleneck for wind sector.

Moderator: The next question is from the line of Depesh Kashyap from Investo MF. Please go ahead sir.

Depesh Kashyap: I am looking at slide 22. I just want to understand what causes this volatility in the contribution margins -- is it the mix of O&M and WTG?

Himanshu Mody: Yes, as the share of business of the WTG goes up in the consolidated pie, the contribution margin on a consolidated basis will of course keep reducing because as you know the contribution margin in O&M is at almost about 65%, 66%, whereas in WTG for this quarter it has been about close to 23%. So, in the overall revenue pie, the more the WTG business, the consolidated contribution margins would keep reducing.

Depesh Kashyap: Those fixed expenses that are below this employee and those expenses, I see that other expenses are constant year-on-year. So, how do you expect them to grow like will it be fair to take it like a 10%, 15% increase year-on-year?

Himanshu Mody: Yes, I think that's a fair estimate, about 10% increase because of course correction in sort of operating costs plus certain employee cost, in addition to that, we are also incurring certain one-time operating expenses this year and getting our systems and processes right by engaging various consultants. So, that may attract some small CAPEX and one-time P&L cost as well, which the fixed cost may look a little inflated for this year, but I think those are one-time costs for long-term benefit of the organization. Although they may not move the needle significantly, but your assessment is correct, about 10% to 15% increase on the fixed cost is what you should assume.

Depesh Kashyap: Secondly, sir, your current EPC mix is around 33%-odd I think if I remember it correctly. How do you expect it to grow with your order book that is in the pipeline?

JP Chalasani: We have been at around 23%, 24%, now it has come to 33%. As our advanced land development what we talked about earlier as that keeps increasing so that our EPC percentage should increase.

Depesh Kashyap: How should we think about the working capital then, because I think the working capital days having a little stickier, they have not been coming down, so as the EPC contribution increases, do you expect it to worsen further or how should we think about it?

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Himanshu Mody: Whilst these two are not directly related, but working capital is something that we said we are working on constantly and you may not see a significant improvement in one or two quarters, but directionally we are striving towards improving the working capital mix. As I've always maintained we don't want to give a target as to what the NWC will be and by when. But rest assured, we are working on optimizing the working capital mix for the company.

Moderator: The next question is from the line of Manoj, individual investor. Please go ahead sir.

Manoj: I have a couple of questions. The first question is regarding the exit of Siemens Gamesa in India.

How much market share will it increase in case of Suzlon? And the other one is regarding the offshore business. Government has announced a viability gap funding regarding that offshore business. So, can you throw some light on the offshore development project, how are we going to develop that in the future?

JP Chalasani: Siemens Gamesa will not have any impact on our market share because we were never under pressure because of them in the recent past about market share. So, therefore, I don't think anything is going to happen because of their exit as far as the turbine supplies are concerned. I am not talking about the service business; I am only talking about the supply. As far as the offshore is concerned,

yes, there is 1,000 MW viability gap funding, but these projects bidding, and ultimately actual execution is four to five years away. So, therefore right now for the immediate future of next 4-5 years, the offshore is not going to move the needle for Suzlon.

Manoj: But that's the future, right, I can assume?

JP Chalasani: No, the future, it all depends like we explained earlier, the offshore in India is different from offshore outside India. In case of India, the generation gap between onshore to offshore is not significantly different compared to what is in Europe and other places. Generation gap in scale of not being much different, but the cost being very high. So, therefore, cost of generation today as we see today in the offshore is very high, anywhere between Rs.7 to Rs.8. So, therefore that sort of levels at this stage, I don't think that you could actually go and sell the power unless there is a viability gap funding and viability gap funding can come only for initial set of projects to encourage offshore to happen. So, offshore to become a significant potential for us or for any

player is still far away. We are not saying that we will not get prepared, and we are preparing because we do have an experience of offshore as part of when RE power was part of us. In fact, including our current chief technology officer, everybody is well experienced in offshore. We have prepared for that, but for a guidance purpose, I don't think it's going to change needle much in the near future.

Moderator: The next question is from Sumukha Jamani, which will be the last question for the day. Please go ahead.

Sumukha Jamani: I have been a long-term retail investor for Suzlon. It's good to see come back from Suzlon from pre-COVID era to post-COVID era. Having said that, on a slightly negative tone, please excuse me if it's a repetitive question, Suzlon has been receiving a lot of penalty from the customs, etc.,
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So, what has been done in this regard to prevent this from happening? I understand they will be appealed in courts. And just a follow up on that. Has the appointment of the legal firm Khaitan being finalized?

Himanshu Mody: So, hi, let me take both the questions. So, so far as penalties are concerned, of course, a lot of these relate to the past. So, at our end we are now working internally to make sure that all our systems are automated and its system-driven, so that there is no room for any human error and such penalties are at least minimized, if not totally eliminated. So, that is the endeavor where we are working on is installing all the relevant software, ERP tools and sophisticated tools that are available, whether it's GST, any indirect taxes or that matter.

JP Chalasani: But having said that, I just want to add is that it has not something suddenly increased. What we are seeing is a new regulation where anything happens you're supposed to inform the stock exchange. So, therefore that's why you're seeing this for every single company. It is not something suddenly we started getting penalties. Any company for that matter of fact. It's a regulation today. If you get a notice you need to inform.

Himanshu Mody: So, of course that is one. The Khaitan was appointed and as we informed the stock exchanges at the end of our board meeting, the report was presented by Khaitan to our board and they have found no non-compliances whatsoever in the company. There are certain suggestions that Khaitan has made for recommendations I would say for improvement and best practices adoption, which the company shall consider for implementation in a phased manner over the next few quarters. But the report has been absolutely clear without any red flags, or any non-compliances being reported in the report and the same has been presented to the audit committee and board two days

ago back, and the same has also been disclosed by us to the exchanges.

Sumukha Jamani: Does that include grievances from the independent director as well, if I may ask this?

JP Chalasani: This is with respect to that only.

Moderator: Ladies and gentlemen, I would now like to hand the conference over to the management for the closing comments.

JP Chalasani: Thanks, everyone for joining this and we would continue to keep interacting with you and even post this conference, if there are any further questions, any further information required, my colleagues from IR are always available and we are also always available for any specific information if you people need. Thank you so much for joining us.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

1st November 2024.

National Stock Exchange of India Limited,
"Exchange Plaza", Bandra-Kurla Complex, Bandra (East), Mumbai-400051. BSE Limited, P.J. Towers, Dalal Street,
Mumbai-400001.

Dear Sirs,

Sub.: Board Meeting - Call on Q2 FY25 Results.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you,

Yours faithfully,

For Suzlon Energy Limited Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited Q2 FY' 25 Earnings Conference Call"

October 28, 2024

MANAGEMENT : M R. JP CHALASANI – GROUP CHIEF EXECUTIVE OFFICER ,
SUZLON ENERGY LIMITED

MR. HIMANSHU MODY – GROUP CHIEF FINANCIAL
OFFICER , SUZLON ENERGY LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Suzlon Energy Limited Q2 FY'25 Earnings Conference Call.

During this call, the Company Management may make certain statements that reflect their outlook for the future, which could be construed as forward-looking statements. These statements are based on management's current expectations and are associated with uncertainties and risks, as detailed in the annual report. Actual results may differ. So, these statements should be reviewed in conjunction with the risks the company faces.

As a reminder, all participant lines will be in the listen-only mode and if you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

Please note that this conference is being recorded. We will begin in the "Opening Remarks" followed by a "Q&A Session." To be fair to others, we kindly request each participant to ask no more than two or three questions.

From the Management we have with us Mr. JP Chalasani – Group CEO and Mr. Himanshu Mody – Group CFO. Over to you, JP Chalasani, sir. Thank you.

JP Chalasani: Good evening. We appreciate you joining us for Q2 FY'25 Earnings Call.

We hope you have had a chance to review the results we published today. Again, apologies that I think you had a limited time before you could actually see the results. Maybe we will make sure from next quarter onwards ensure that you have sufficient time before we have this interaction, so that we can have a meaningful interaction.

We will now provide a "Brief Overview of our Q2 FY'25 Performance and our Outlook for the Full Year." After that, we will open the floor for Questions.

Let me begin with the "Key Developments of the Quarter gone by" :

We secured the largest ever single order in Indian wind industry from NTPC Green from 1.166 GW. This project utilizes plug-and-play approach with the pipeline for land and power evacuation within NTPC scope. Our order book now exceeds 5 GW, an unparalleled achievement in the industry. The entire order book consists of the firm orders as we disclose orders only when they are backed by financial commitments.

Suzlon acquired Renom, marking a pivotal entry into the multi-brand O&M sector and unlocking significant growth potential in this area. This strategic move capitalizes on Renom's strong ISP market position and Suzlon's expertise positioning us to sustain substantially enhanced fleet size and profitability. Additionally, we successfully monetize our corporate office and non-core assets for 440 crores.

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On the execution front, Suzlon has now established itself as a Supplier of Choice for PSU, while also being a key partner for C&I customers. Our focus remains on pursuing quality orders with a higher value and better margin.

Suzlon continues its growth trajectory with deliveries of 256 MW in Q2, up from 132 MW last year. This represents the highest delivery for the second quarter in the last seven years, accomplished despite severe monsoon disruptions in Gujarat and other parts of the country.

Robust order book of 4.7 GW for specific make S144 making it a testament for superior technology and customer confidence in Suzlon. This also reverberates with 29-years of proven track record with 32% market share on installed base.

The industry commissioned approximately 1,476 MW in first half of this financial year, which is below expectations on account of monsoon disruptions. However, we estimate that significant number of turbines are in the pre-commissioning phase and will be completed in H2 of FY'25.

Our OMS business continues to do well with 15 GW capacity in India with machine availability ensured above 96%.

Our top priority remains timely execution of our robust order book while upholding the highest standards of quality.

We believe I

India's renewable energy journey is just starting with power demand to remain robust on account of IT, industrialization, urbanization, E-mobility, etc., and we are poised to lead this transformation with sustainable solutions for the future.

Our expectation is that wind installations will be around 5 GW for this financial year FY'25, 6-7 GW for FY'26 and then increase to anywhere between 9-10 GW yearly.

Our pioneering business model of end-to-end offerings for Wind Energy value chain, fully integrated supply chain, track record of project execution and best in class service cannot be easily replicated, which provides us with a strong competitive edge.

I would now like to invite "Himanshu to take you through the Financial Performance." Himanshu, over to you.

Himanshu Mody: Thank you, JPC sir, and good evening, ladies and gentlemen.

I would be using Slide #17 to #25 of our investor presentation, which has now been uploaded on our website, www.suzlon.com as the reference point for my discussion during this presentation.

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The largest single order of 1.16 GW from NTPC is a testament to Suzlon's resurgence as a market leader in the PSU segment. With the largest ever order book of 5.1 GW, we now have clear visibility of the orders that need to be tentatively executed over the next 18 to 24 months.

The acquisition of Renom has added significantly to our fleet strength of close to 2.9 GW across wind, BoP and solar segments.

On the P&L front for Q2 FY'25:

Suzlon continues its exponential growth trajectory with consolidated revenue showing robust growth of 48% on a YoY basis, reaching 2,093 crores in Q2 FY'25 compared to 1,417 crores in Q2 FY'24.

EBITDA has also grown by 31% to 294 crores in Q2 FY'25, up from 225 crores in Q2 FY'24. Our EBITDA margin remains strong at 14.1%. The small decrease in the EBITDA margin as compared to Q2 FY'24 in percentage terms is largely because we are focused in incurring investments in organizational buildup, technological investments and a substantial ramp up in capacity for future deliveries in the upcoming quarters. These decisive investments are set to significantly enhance our

competitiveness, drive efficiency and elevate profitability to new heights.

Rise in employee costs is also attributable to non-cash provisions of about 32 crores on account of ESOPs that were granted to employees. PAT for Q2 FY'25 increased by 96% to 201 crores on a YoY.

On a QoQ comparison, manpower costs have increased by 46 crores, mainly due to on account of the ESOP charge of 32 crores in this quarter plus the annual increments for which we follow the July to June cycle every year. The rise in other operating items from outsourced manpower, which is variable in nature, production ramp up expenses, cost for transformation projects and certain one-time expenses for transactions and the director remuneration that was paid out in September, account for all future growth trajectory.

The small increase in finance costs is largely attributable to processing fees paid to lenders for securing working capital against the NTPC project. Small increase due to increase in debt as a result of the Renom consolidation and lease rental expenses on the One Earth property as a result of its divestment.

We are pleased to report our balance sheet as of September '24, which demonstrates a position of strength with strong consolidated net worth at 4,495 crores and a net cash position of 1,277 crores as of September '24.

Suzlon is now well positioned to seize the multi-decade opportunity in India's energy transition equipped with the largest ever order book and a strong pipeline of projects under discussion, fortified financial position, with the optimized cost structure, our best-in-class products backed by our in-

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house R&D team, a well-prepared supply chain, renewed c

onfidence from all stakeholders and of

strong management bench strength which is set to deliver the results. The comprehensive approach positions us to capitalize on emerging opportunities and drive sustainable growth.

With that, I'd like to conclude my presentation and open the floor to any questions that the callers may have. Thank you.

Moderator: We will now begin the question-and-answer session. Our first question comes from Ganesh. Please go ahead.

Ganesh: Came across Moneycontrol discussion where the management said they wanted to get into the non-wind sectors as well particularly solar. I just want to check what is the Management's current thought process around this?

JP Chalasani: I have no idea about what was written in the Moneycontrol because we never spoke about getting into solar and we've been on record always saying that we would remain in our core business, and anything connected with that is what we will keep doing it. But at the same time, we said that if there is any client who wants us to do the full project which includes solar and wind component, we are willing to take that up job and two for the client because they want one single supplier. But till now we have not got any such request. There's no such contract of hybrid project given to us. So, therefore we getting into solar at this stage doesn't exist.

Moderator: The next question comes from Shweta Dikshit from Systematix Group. Please go ahead.

Shweta Dikshit: My question is the industry-specific. As you have mentioned in the initial comments that we are looking at a 5 GW of installation this year. That number was 3.3 GW last year. But if we look at the first half of this fiscal capacity and installation was only 1.5 GW, which was 2.2 GW same period last year. What gives us confidence that in the second half it will be sufficient to reach the 5 GW number? And what in your opinion is the bottleneck here, which can stop us from achieving that number?

JP Chalasani: I think the reason why we still continue to feel that it would be closer to 5 GW this financial year, while I completely agree that it is 1,476 in the H1 which is less than the H1 of last year, but there are significant amount of turbines supplied and erected but not commissioned are on the ground. Even we did some analysis of end of Q1, I am not talking about end of Q2 because end of Q2 we still need to get the data, itself was 2.8 GW of turbines are in different stages, whether they're at site or partly erected directive. Even if we take our own case, while we reported 201 MW as commissioned in H1, there is 170 MW which is erected and ready for commissioning, like last time also we said some capacity was remaining, that is either because of the substation not being ready or as we gave the system in supply scope plus also let's understand that the reason for lower installations in Q2 were significantly because of monsoon and this time it was very heavy in Gujarat/ Karnataka, different

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places there have been significant impact. Considering that is past, considering that the turbines have been supplied in many places, it has been erected and then ready for commissioning for different reasons, we still believe that H2 would be significantly higher than H1 and we are pretty confident that anywhere north of 4.5 or 5 would definitely get commissioned this year.

Moderator: The next question comes from Anupam Goswami from SUD Life. Please go ahead.

Anupam Goswami: So, my question is what sort of capacity do we hold right now to execute annual orders? And going forward, what sort of a gross margin are we looking at? Even this quarter, the gross margin was a little dip. So, this year and going forward what sort of gross margin should we look at?

Himanshu Mody: So, we are looking at a capacity, as you can see in our IR deck, currently it's about 3.1 GW which we have now

ramped up to about 4.5 GW across all components of tower, blade and nacelle. So, that's what our manufacturing capacity on a per annum basis would be. In the phase wise, we are looking at the ramp up to 4.5 and by the end of this financial year we will have completed that expansion exercise. So, far as margin expansion is concerned, one thing I've repeatedly said on all calls, when you look at consolidated margins, there certainly will be a dip because as the WTG business keeps growing in size which is a lower margin business as compared to the services business, the consol margin will definitely see a dip because of the larger increase of business in a smaller margin business. However, for that reason, you need to look at the margin profiling of both WTG and OMS businesses separately and we continue to maintain that the WTG gross margin will be in the mid-to-late teens, whereas the OMS business gross margin will be about 65%.

Anupam Goswami: Sir, once our service business also increases vis-à-vis WTG business increases, of all the installation of WTG, what sort of percentages will come in the service segment?

Himanshu Mody: So, every single WTG that we sell, we also have a services contract to back up. We don't sell any WTG without a services contract. That's number one. The services business revenue however kicks in only after completion of the third anniversary of commissioning of the turbine, because first three years of the turbine are free, which is covered under the warranty period, which is included in the sales price. So, with the three-year lag, the revenue for services of the commissioned turbine will kick in.

JP Chalasani: Excepting in contract NTPC where it kicks in right from day one.

Anupam Goswami: Sir, any ballpark like what sort of service revenue comes, let's say, for 1 MW or 10 MW WTG is sold?

Himanshu Mody: I think you can do the math. Our services business broadly is about close to 1,900 crores in top line for a 15 GW fleet. So, I'd let you do the math there.

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Moderator: The next question comes from Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal: My first question is if I look at the contribution in WTG segment, this quarter seems to be on a lower side versus last 7-8 quarters. Was there any extra cost or the ESOP cost is resulting in this decline?

Himanshu Mody: So, ESOP cost will not be there in the contribution margin. Of course, ESOP cost will be there in EBITDA. As we maintain that the WTG, if you are talking gross margin, gross margins will be in the late teens to early 20s. Of course, the slight percentage fluctuation here and there would be on account of commodity prices or some of the COGS items that we purchase. But I mean there is no dramatic movement in the COGS percentage for the WTG business from a contribution margin perspective.

Deepesh Agarwal: The 5.1 GW order book which we have, doesn't have any long term or long gestation kind of a contract, which effectively means ideally everything should be getting executed in next 18, 20 months subject to any delays?

JP Chalasani: As I said in my opening comments, we don't announce any framework agreement at an order book. We just announce the projects which are likely to happen and where is the confirmed schedule and then there is an advanced paid is what we announce and therefore this entire 5.1 GW as Himanshu said in his opening comments should get completed in next 18 to 24 months.

Deepesh Agarwal: On similar lines, I think you were also looking at ramping up the production capacity in terms of bottlenecking at Daman and also restarting the Pondicherry plant. Where are we in that stage?

JP Chalasani: Pondicherry we already started production there. As Himanshu mentioned for the previous question that we will reach gradually from now onwards to 4.5 GW before this year ends in a

ll segments,

whether it is tower or blade or the nacelle. So, before we start the next financial year, we would have a manufacturing capacity of 4.5 GW which will be gradually ramped up from now to end of March. It's not that everything is going to happen by end of March. Pondicherry has already started. It's in a ramping up phase now.

Moderator: The next question comes from Pramod, an individual investor. Please go ahead.

Pramod: I would like to know is there any plan to get into energy storage domain by acquiring any other company?

JP Chalasani: At this stage if you ask me at this instant, no. But having said that, as we move ahead, we would explore different opportunities from time-to-time, which is closer to our business what we do. As long as we remain within our RE business, if it's going to enhance our core business, obviously, we will look at it. But right now, there is no such proposal. But I am not saying outrightly no. So, these are for the future. Right now, we are in a stage of consolidating our core business quarter-on-quarter

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basis and once we do that in the next couple of quarters, then obviously we would look at other opportunities for growing around our core.

Pramod: So, did we add Renom revenue in this quarterly result or it's not included?

Himanshu Mody: Yes, we have consolidated Renom on a line-by-line basis, although for this quarter it has been for about a 25-day period, I mean as you know, the acquisition got consummated in the first week of September, so the line-by-line consolidation for a proportionate time period is only for about 25-days.

Moderator: The next question comes from Amit Bhide from Morgan Stanley. Please go ahead.

Amit Shinde: I just wanted to understand the kind of one-off that we have had because of the multiple transactions, the Renom acquisition and the One Earth sale that could be a part of the other expenses. And also, how much is the lease expense related cost in the other expense and the interest cost?

Himanshu Mody: So, I'll answer your second question first. When we divested One Earth sale and leaseback transaction, we confirm that there will be an approximate 4 crores per month charge on account of the One Earth transaction in the P&L. Of course, that is on a gross basis. We also have rights to sublease the premises. So, that subleasing efforts have already started, which would of course as and when we get third-party rental, 4 crores expense will keep coming down. But as of now, the worst case you have to assume is a 4 crores as monthly P&L charge. While there are some one-off cost items on acquisition of Renom and One Earth transaction, but those are not significant. The one-off items that we are incurring are largely related to future capacity expansion, incurring some of our IT expenditure like ramping up SAP, we are implementing S/4 HANA for which there are certain one-off costs which are for the long-term benefit term of the organization, but no significant one-off costs on the Renom or One Earth transaction.

Amit Shinde: Another question that I had was as you mentioned in the previous question that the service contract for NTPC would start from the first day itself. So, on that note, would the realization per MW for the WTG be lower because right now when you have around 5.8 crores per MW on your WTG, that's including the three-service period. So, would NTPC have different terms and different pricing?

Himanshu Mody: No.

Amit Shinde: So, you are saying that despite this three-year warranty period not being there, our per MW realization could be in the same range of 5.8 to 6?

JP Chalasani: Yes, yes, this is a competitive bidding, and they have different terms. Obviously, it will be different pricing by PSU, it will be different pricing when compared to what you normally do with others.

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Moderator: The next question comes from Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: So, what I wanted to understand is firstly given that you have such a strong order book, and it is executable over the next 18 to 24 months, would I be right in assuming that you would roughly hit a run rate of 2, 2.5 GW per random kind of execution, or will it scale up over a period of time and it will be more bulky towards the latter half?

JP Chalasani: You are quite smart. Okay? We know that we said 5.1 GW and I also confirm that we will be doing this in 18 to 24 months. So, you have the answer in your question, and I agree to the assessments what you are making without committing what are the essence we are making.

Himanshu Mody: Just to add, I mean of course it's not that 5.1 stops there. There is an active order pipeline also that is in discussion.

JP Chalasani: There's a significant pipeline of orders which we are discussing, which you will keep seeing it. So, whatever the trend we started each of the quarter we have been saying that at another quarter this is the highest ever order book we have closing order book, and I am pretty confident we will continue to do that at least for next two quarters we need to say that this is the highest closing order. It's not that it's going to stop at 5.1. We are pretty sure about that looking at various opportunities which we are at different stages of discussions. I don't want to put a number to that, but, I can confirm to you that the next time when we talk, I will again say that this is the highest closing order book we ever had.

Subhadip Mitra: I think the demand piece is amply clear to all of us who track the sector that we are looking at a very large wave of ordering that's come back and is likely to stay for some time. But in terms of the supply side, in terms of your own ramp up of capacities, what's the progress there, are you looking at significantly ramping up your annual execution capability, any particular targets that you have over there?

JP Chalasani: Before coming to the capacity, let me tell you that even today compared to what we are supplying 274 and 256 MW in Q1 and Q2 our capacity to supply is much, much, much more. Today, it is not the capacity of manufacturing which is constraining us from supplying. It is the projects being ready to offtake the supply is what is the constraint. That is what is defining. But moving ahead because there is an advanced action of land being taken with various clients including us. For example, like NTPC itself, we said that they already awarded the land and BoP contracts much in advance, so

therefore these sites are in a much better space. We expect this problem starting from Q3, Q4, especially next year significantly reduced. Therefore, that's the time when we will get the test for manufacturing capacity. Today, we are not tested. That is the reason which we said sometime back we have already started ramp-up of our capacity and progressively by March '25, we would be at 4.5 GW of capacity in all three segments, whether it's the blades or the tower or nacelle, that's the capacity we will reach. Depending upon what order book will hit at March '25, and also looking at Suzlon Energy Limited
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two to three years ahead, we would look at what further capacity expansion is required. Otherwise, 4.5 GW is committed, and we will achieve that by end of this year.

Subhadip Mitra: Large component of this increase to 4.5, would it also come from the Pondicherry facility getting reinstated?

JP Chalasani: Yes, as far as the nacelle is concerned, one is Pondicherry and second is with the additional facilities what we are providing at Daman, even Daman plant capacity itself is significantly going to go up, plus the Pondicherry which I said sometime back we already started, ramp up is in the process now. Those two will add to this capacity

plus the blades additional lines getting commissioned from now to then, plus the cycle times getting improved to 3 MW plate, so that capacity will ramp up. And tower, we have our own capacity. We met every single tower supplier together here. Having said that when you are confident you are expanding your capacity for the blades and nacelle, we are committed to increase our capacity. We said, please tell us how much you want, we will supply the towers, not an issue.

Subhadip Mitra: On margins, any particular reason why this particular quarter's margins are slightly on the weaker side or is it more of a timing issue when you expect things to get better?

Himanshu Mody: No. I don't know why you think it's on the lower side. Of course, if you are looking at consol, it will continue to be lower as the WTG business increases in the overall mix of the business between WTG and OMS. But other than that, really, there is not much of a swing in margin. It remains to be steady. If you look at the WTG business, it is close to about 22% and the OMS business continues at about 67%.

Moderator: The next question comes from Aadesh Mehta from Motilal Oswal Asset Management Company. Please go ahead.

Aadesh Mehta: Wanted to understand whatever investments we have done in terms of cost where we are seeing some margin and decline in margins. Can you quantify how that can increase our competitive positioning or how that can lead to higher growth, if you can spend some more time explaining that?

Himanshu Mody: If you look at the cost items, roughly, if you look at the operating cost, there has been an increase as I said on IT expenditure which we have maintained that we will be incurring those costs. Of course, I am leaving ESOP aside, because it's a P&L charge, but it's a cost item nonetheless and we will see that ESOP cost being incurred till FY'26. Of course, that is for the employee retention, motivation, whichever way you look at it. And in addition to that, the administrative cost or employee cost, the way to look at it is that we are incurring those costs in Q2 for the future ramp up of meeting higher capacity. So, is the cost representative of the organization delivering 256 MW RR, the answer is no. With the same cost the organization can and is gearing up to deliver much higher RR in the future quarters. So, whilst it is difficult for me to quantify in rupees crores for you, but nonetheless let me Suzlon Energy Limited
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suffice it to say that margins going forward... and I am talking margins at the EBITDA level for the WTG business or for the OMS business, will definitely not get compromised. So, when you look at the WTG business EBITDA margins today we are close to about 7%. That 7% EBITDA margin will only increase northwards as we go and increase our volumes for deliveries and the 40% OMS EBITDA margins will also maintain the same trajectory of growth for sure.

JP Chalasani: And also, we are all clear that seeing also the market today the biggest challenge for renewable energy sector is the manpower, is not getting the right kind of people. So, therefore it is necessary for us when we are expanding significantly in terms of manufacturing, in terms of our project side and in terms of our OMS side, it's necessary for us to get talent, train them, keep them in position. So, that is what we are doing it. Also, this is nothing to do with your question, but I think we mentioned in our media release. Looking at our current consolidation of the core business what we have done in the last two to three quarters, now, the order book being there, the balance sheet has been cleaned up, working capital have been tied up, the senior leadership is completely now in the groove. So, therefore we almost getting into the core business being on auto mode. That's why sometimes back when we talked about storage and all things I was mentioning. We thought that this

is the right time we start

looking at what is next for us to do, what is the strategy. So, first thing is we ourselves are strengthening our strategy in the whole strategy theme and we just had the Chief Strategy Officer. In

addition to that, we also hired one of the leading global management consultants to work along with us and tell us that, okay, while your core business is consolidated, keep going, is there anything for you to do to increase the stakeholder value in future? So, therefore that sector which we started, maybe it will take about anywhere between four to six months before we conclude saying that, okay, are there opportunities adjacent to what we are doing, which can enhance the value of the core business as well as expand our business in the other areas. That's one thing which we were doing it. That's what is mentioned today by Mr. Girish Tanti in the media release as well. So, that's another area which I thought we should tell you which we said in our opening comments. That will address some of the points what the other questions coming in, in terms of storage, in terms of various other things. So, we are also saying that once business is getting stabilized, we also need to look at are there any risk-free ways of enhancing operation to be there as the long-term player in the renewable energy sector.

Aadesh Mehta: I just wanted to understand that the first half has been very peculiar for us, understand that deliveries have been at least 2X the number of installations. So, how long can this continue?

JP Chalasani: As I said sometime back, there is a significant gap in the industry between the supplies versus COD. In fact, if you also analyze the actual commissioning what happened in Q2, also we have seen to some extent not completely done. In Q1 what was commissioned out of the 770 MW, close to 600 MW was a turbine which got supplied in year '21 and '22. So, all this got stuck for different, different reasons. Now, I think they're getting unlocked before even to get a significant amount turbines supplied on the ground or are erected or ready for commissioning in various things. And my

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assumption is that as we keep moving forward, sometime back, suddenly these volumes got stuck because the temperature issue that is getting resolved and people are also facing in terms of connectivity. Various reasons why there is a significant gap between supply capacity in the country versus COD. I think that would keep changing. We feel that Q3 onwards you will see a difference in COD, gradually improving quarter-on-quarter.

Moderator: The next question comes from Vikas Mukundan, an individual investor. Please go ahead.

Vikas Mukundan: I was asking, have you taken Renom numbers into this?

Himanshu Mody: Yes, for 25 days of the quarter, we have taken it.

Vikas Mukundan: And a second question is, we had a sale of real estate. Is the profits of that also taken into this?

Himanshu Mody: No.

Vikas Mukundan: Even though the numbers have gone up from 170 in Q1 to 256 in Q2 in terms of commissioning, revenues have not bumped up much. What is the reason?

Himanshu Mody: So, revenues are not bumped up because you have to see the RR also which means the deliveries. What you are quoting is the commissioning numbers, but revenues are largely generated as a result of the deliveries that the company makes, which is 256 MW in this quarter as against close to 270 MW in Q1.

Moderator: The next question comes from Manoj, who's an individual investor. Please go ahead.

Manoj: The one thing I just wanted to understand on the R&D part. So, currently we have 144 is the model which we are widely exporting. Is there any other turbine which is in R&D process let's say for 5 MW? And the other question is regarding, apart from India, are we doing any operations outside India? We were doing it

before but not after COVID. How is that?

JP Chalasani: On the second question first on operation size, as we do have a service business outside India even today, we had significant turbine supplied earlier internationally. So, some part of that remains with our service business. In fact, we are now aggressively working with whatever turbines we lost out earlier to get that. So, the service business continues, and we will continue to grow the service business internationally outside India. On the Turbine make, yes, today is just 144 is what is significantly being produced. But as I mentioned in the previous calls that the wind turbine business is the movement, roll out one model, next model is already on the drawing board. So, therefore the next model is on the drawing board and at the right point of time we will be in the market with the new model without any delays. Right size of the turbine, I don't want to mention about the capacity,

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right size of the turbine, we would launch into the market when we feel that it's necessary that we make what is now called saturated.

Manoj: How much order we can expect for this '25, which is in pipeline, could you give any tentative numbers on that?

JP Chalasani: I will repeat only what I said that every quarter you will hear one statement from me saying that this is the ever highest closing order book we will have it. So, this is 5.1 now what we are announcing, next time when we talk, it will be more than that. I don't want to put a number to it because if I want to throw a number I can also throw a big number which is actually on the table, but that doesn't make any sense for throwing a number so much we are discussing, but I can tell you that there are

significant serious offers on the table, which has the final space of discussion, and our order book as I said that earlier also that once it's finalized, contract is signed and we receive the required down-payment, then only we announce to the market, no framework, nothing else to that. But yes, I don't want to put a number to it Manoj, but there are significant orders which we are discussing at this stage with different clients. As we also know that there are public sector tenders out there, even NTPC tender is out for the next one in Karnataka. So, there are quite a few public sector tenders as well.

Moderator: The next question comes from Sudhanshu Bansal from JM Financial Limited. Please go ahead.

Sudhanshu Bansal: I have two questions. One is how do you see the competitive intensity emerging as some of the Chinese players and the Indian players both are becoming prominent in the Indian market? Second is with respect to like SE Forge. Do we have any plan for growth in this particular business beyond our WTG business?

JP Chalasani: The first one, obviously, we never wish away the competition. Competition is there, will be there, it will get intensified further. We all know that there are more and more players coming from outside, but you are the one who've been tracking the sector for ages, you know that even in FY'17 when we were doing significant amount of turbine supply, also, we had a tough competition, but at that time it was the European players and the American companies. Now, that's got changed to the other companies. So, competition has always been there and would continue to be there. We are absolutely conscious about that, and we know that we need to be completely prepared and constantly keep sharpening our model, reducing our cost, but I can repeat that we will not compromise on our margins when we take our orders. We will sharpen our costs, we will do different aspects of it, we will face the competition, but competition will be there, we are not wishing away the competition, we are watching it every day not just the current players, we know that there will be more players coming

in

in, we are not losing our sleep on that, but we are conscious, and we are prepared for competition. And as far as the SE Forge is concerned, yes, now, two things we are doing today. While we continue to do whatever we have been doing in the wind segment in fact domestically, every single competition of ours is more or less a client for SE Forge. What we are doing now is two things. One is we are doing a geographical expansion looking at more and more exports. There are significant

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opportunities and the second part of it is getting into non-wind segment. We already received a few orders which will materialize into revenue maybe in next four to five months because in SE Forge what happens is whenever the order comes, you develop that model, it takes time before we start producing. So, yes, our journey is towards that and there is a good amount of potential for that launching for non-wind and exports both.

Sudhanshu Bansal: In the non-wind sector which area, auto like –

JP Chalasani: Non-wind sector is in terms of bearings for different industries as well the forging is concerned. In the foundry, we are looking at the defence sector, the railway sector and also maybe indirectly a non-wind sort of a thing. We don't know. They will use these things in different places, like a smaller gearbox and everything for them the castings. So, some of them might get into wind, some of them might get into non-wind sector.

Moderator: The next follow up question comes from Amit Binde from Morgan Stanley. Please go ahead.

Amit Binde: I was just going through the industry slide in the PPT. There you have mentioned that C&I sector require 78 GW of renewable. I think earlier almost six months ago, we were talking about 15, 20 GW. So, what in your assumption has changed so much that it went from 15, 20 GW expectation to 78 GW? That's one. And secondly, the next line says 35 GW plus wind pipeline of central, state utilities etc., So, what is the safe timeline that we should assume that once the ordering has happened and the IPPs have won the bid and the timeline to place the order for any of the wind OEMs?

JP Chalasani: On the C&I segment, we mentioned the post there. ICRA's report, which is what we picked up that number from, they had done the research and created that. And as far as the bidding is concerned, as we know, as we speak itself but forget about what is awarded and waiting for the CPS, there is about 23 GW, 50% of it is one portion of the auctions done. The reverse auction has to happen and another 11.5 GW or so where the bids are announced but the bids are yet to be submitted. But having said that, if you look at our mix of orders, which we have given in our presentation, that 75% of our order book is from C&I and public sector, only about 24% or so is from the big PPAs. Our dependence in grid PPAs is much less compared to the market. It's predominantly C&I and the public sector. And also, just to clarify that 78 GW is for entire renewables, not just for the wind.

Moderator: The next question comes from Marcel, who's an individual investor. Please go ahead.

Marcel: My question is first regarding that although in this quarter our turnover has gone up by almost about 80 crores something, but 60 crores is the increase in other expenses. So, why it has increased so steeply and what action are you going to take to control this cost so that like this kind of hike is not there in the other expense in the coming quarters?

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Himanshu Mody: So, as we explained earlier, some of these costs are incurring one-time for long term benefit of the organization like implementation of SAP S/4 HANA module, IT expenses which is building a more robust organization for the future, and there are other expenses like ESOP which is a P&L charge but a non-cash cost. That will continue

until FY'26. And having said that, even if the expenses are increasing, the margins for both the businesses, the WTG business and the OMS business we will beat the past trends in terms of percentage margin on both the businesses.

Marcel: Second question is that although our order book has a significant increase from about 1.5 GW to 2 GW to about 5.1 GW, that's a very good thing, but the execution has not taken the pace yet, in this quarter also, as you said we have delivered only 256 MW. So, what's your road map that how many MW like we will be able to deliver within the next six months and what about the next year, so what is your plan for that, like how this 5.1 is going to execute, #1? #2, the NTPC order when it will start executed and like what will be its quarterly for example?

JP Chalasani: On the supplies, I answered some time back. The 256 GW is because of offtake by the projects, not by the manufacturing capacity. We could have actually easily supplied double of that capacity in Q2, close to 600 MW is we could have supplied, but the projects are not ready to offtake and also the Q2 being significantly impacted because of cyclone, transportation, logistics and the site got inundated, they were unable to offload, there are various other factors. So, therefore order book is one and supply is the second factor. I also mentioned sometime back this is likely to ease out now, because like NTPC I mentioned that their land is separate, and their readiness is much better to take the turbines.

In various other places, these bottlenecks are getting removed. So, therefore as we keep moving quarter-to-quarter, these supplies would increase because projects will be able to offtake. As far as we are concerned, we can supply, as we said, we would reach a capacity of 4.5 GW to supply by March of this year. Supply is not a constraint. It's a question of projects offtaking it.

Marcel: No, sir, I am not talking about the constraint. I mean how much you will be able to deliver like just because that all you can say that like because of the readiness of this project or the land or whatever required that how much you are planning to deliver in the next six months?

JP Chalasani: Yes, see, normally our trend which we wanted to reverse, but we couldn't significantly do it. Normally, one-third is H1, and two-third is H2 which we wanted to change this year, but I think we will change that next year, but this seems to be going in the same trend, one-third and two-third. So, there's a simple calculation for you.

Marcel: And then regarding this NTPC order, when it's going to start deliver and like what is the last date for delivery?

JP Chalasani: NTPC order, there are different contracts, supply contract is expected to be completed within I think 17 months from the NTP. NTP has already started. Actual supplies would commence probably by

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end of this quarter but significantly mainly starts from Q4 onwards, but some supplies likely to happen towards the end of this quarter.

Marcel: Sir, do we have any penalty clause because suppose now we are carrying 5.1 GW, so there is definitely some fees code associated because you are hiring manpower, you are building your organization and so on, suppose if the client is not ready, the lands are not ready, project is not ready, so we are carrying some hidden fixed cost, so, are you levying some penalty or LD charges on the client also there because of your delay like I am getting this much of stock or like my inventory to build up, my workability build up, so how are you addressing this point?

JP Chalasani: Yes, I wish you are on the client side to accept this sort of stuff. Not a penalty type of a thing but we can have some different clauses, but at the end of the day it doesn't go that way.

Marcel: I mean to say you can put a claim, I am not saying

the penalty like you can put a contractor claim?

JP Chalasani: Logically, you are right, sir, but in impracticality, it doesn't happen to that way. Let me not say that we will get there. We can put a claim, but at least we are not operating in that manner.

Marcel: But sir, at least you should be able to take some like there must be some obligation on the client that okay, that guys you have delayed so much, but we are not charging anything, we are not raising any claim. So, that at least in the next like time ordering or something we get the preference to get the repeat order, some sort of realization must be there?

JP Chalasani: Sometime back when Sudhanshu was asking about competition, when I said that there is a competition, but our own specific advantage is a long-term relationship with our clients. Most of our clients are repeat clients and many of them are third time, fourth time clients. So, I think we believe in building long-term relationships. That's the reason with respect of the competition, some other clients would always remain with us. I think that's what we are investing.

Moderator: The next question comes from Dilip, who's an individual investor. Please go ahead.

Dilip: One thing which is bothering me is that share capital equity has swollen up quite a lot from time-to-time just because of many reasons that reasons are known to everybody. So, my question to the management would be, is there any thought process from the management side that if they would

like to consolidate that equity capital, it is now from 2,713 crores, if that can be consolidated, then probably that EPS and other numbers will be looking much better, or it can come back to its original say for Suzlon many years back?

Himanshu Mody: We have no impending such thoughts. Obviously, we keep deliberating time-to-time such ideas and thoughts and discussions, but currently there is no such plan. As part of the board release today, you would have seen that we are looking at reorganizing the balance sheet. There are quite a few legacy Suzlon Energy Limited
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reserves and negative items that are there in the balance sheet. The board has approved the cleanup of that. So, all that will take about six to seven months as a process. So, our endeavor is to present a neat, lean, clean balance sheet to the investors going forward. What you suggested is of course certainly an idea that the management can pursue, but there are no current thoughts to do any of that.

Moderator: Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to the management for closing comments.

JP Chalasani: Thank you very much and of course this doesn't stop here the Q &A, our IR team is always available for any further questions. Not just that at any point of time that there is need to touch base with me or Himanshu, we are always available for any type of advice that is useful for us and thank you so much for showing your interest and making it very, very interactive. Thank you and wish you a very, very happy diwali to you. God bless all of us. Thank you.

Moderator: Thank you so much, members of the management. On behalf of Suzlon Energy Limited, thank you for logging on into Suzlon Investor Call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

3rd February 2025.

National Stock Exchange of India Limited,
"Exchange Plaza", Bandra-Kurla Complex, Bandra (East), Mumbai-400051. BSE Limited, P.J. Towers, Dalal Street,
Mumbai-400001.

Dear Sirs,

Sub.: Q3 FY25 Earnings Conference Call.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you,

Yours faithfully,

For Suzlon Energy Limited Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited Q3 FY25 Earnings Conference
Call"

January 28, 2025

MANAGEMENT : M R. JP CHALASANI – GROUP CHIEF EXECUTIVE
OFFICER , SUZLON ENERGY LIMITED
MR. MR. HIMANSHU MODY – GROUP CHIEF
FINANCIAL OFFICER , SUZLON ENERGY LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Suzlon Energy Limited Q3 FY25 Earnings Conference Call.

During this call, the company management may make certain statements that reflect the outlook for the future, which could be constructed as forward-looking statements. The statements are based on management's current expectations and are associated with certain uncertainties and risks, as detailed in the annual report. Actual results may differ, so these statements should be reviewed in conjunction with the risks the company faces.

As a reminder, the all-participants' lines will be in the listen-only mode and if you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

We will begin with opening remarks followed by a Q&A session. To be fair to others, we kindly request each participant to ask no more than two or three questions.

From the Management, we have with us, Mr. JP Chalasani - Group CEO and Mr. Himanshu Mody - Group CFO.

Over to you, JP Chalasani, sir. Thank you.

JP Chalasani: Thank you. Good evening, everyone, and thank you for joining our Earnings Conference Call for Q3 FY25. We are happy to share that our good performance has continued for Q3 FY25, driven by strong growth momentum and the success of key strategic initiatives.

I will now highlight the key points and following that we will open the floor for any questions you may have.

As promised in our last Investor Call, we are pleased that for the current quarter also, our order book is at an all-time high of over 5.5 GW maintaining our leadership across the customer segments. For the very first time in history, we will also enter the new financial year with orders

in hand for the entire year. Our focus continues to be on securing high quality orders for period beyond FY26 that offer greater value and better margins.

On the manufacturing front:

We are extremely happy to announce a significant ramp up in capacity to over 4.5 GW with revamped Pondicherry and Nacelle facilities. Additionally, we have added new blade lines in Madhya Pradesh and Rajasthan which will increase our production to meet demand for the future.

The order book for S144 now exceeds 5 GW, a testament to superior technology and strong customer confidence in Suzlon. This achievement reflects our 29 years of proven track record and the 31% market share in the installed base in India. We take pride in stating that the S144 is
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truly 'Made in India, Made for India' product with more 85% of its components sourced domestically.

On the execution front, Suzlon has received a record quarterly delivery of 447 MW, marking an outstanding 163% year-on-year growth, up from 170 MW same quarter last year. With 977 MW delivered in the 9 months of FY25, we have already surpassed the entire FY24 total of 710 MW setting in a new benchmark for our performance.

The industry commissioned approximately 2277 MW in the first 9 months of FY25, falling short of expectations, primarily due to transmission delays and land-related challenges. However, we see a sizable number of turbines currently in the pre-commissioning stage to get commissioned in a phased manner.

Talking about Suzlon:

We have commissioned 241 MW in the first 9 months and with an additional 218 MW with a pre-commissioned, bringing the total to over 450 MW. With around 80% of our order book being non-EPC orders, where land availability is in customer scope; however, even for non-EPC orders, we have prioritized orders with partial land availability upfront. Notably NTPC, Jindal Renewables and the latest Torrent Power orders come with substantial land availability at the start, which will provide better commissioning visibility

for FY26.

Our OMS business continues to do well with 15 GW capacity in India with machine availability ensured beyond 96%. Renom continues to strive for customer fleet acquisition with AUM assets under management crossing 3 GW. We believe India's renewable energy journey is just beginning with the wind sector poised for multi-decade growth, supported by a wind installation target of 400 GW for "Viksit Bharat 2047".

With our ramp up strategy on track and operational preparedness at optimal levels, we are well positioned to sustain momentum creating long-term value for our stakeholders and play a pivotal role in advancing India's renewable energy.

It gives me great pleasure to mention that our efforts on the ESG front is being deeply appreciated and recognized by the external world. Suzlon is now a member of United Nations Global Compact and has aligned to the Decarbonization Goal of Net 0 by 2050. I would now like to invite Himanshu to take you through our financial performance.

Himanshu Mody: Thank you, JPC sir and good evening to all of you, ladies and gentlemen.

As always, I will be using Slide #18-26 of our Investor Presentation as a reference point of my discussion during this conference. The Investor Presentation has now been uploaded on our website.

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With an unprecedented order book of 5.5 GW, we are thrilled to have clear and promising revenue visibility. The timeline for executing this order book is approximately 24 months, setting us up for an exciting and transformative period over the next 2 fiscal years.

In Q3 FY25, Suzlon continues its exponential growth trajectory delivering 447 MW with all financial parameters showing a strong surge Y-o-Y and Q-on-Q. In the 9 months of FY25, we have already surpassed all our targets or deliverables that we did for the full year in FY24. On a consolidated basis, Suzlon delivered record performance in Q3 with the revenue of Rs. 2,969 crores which is 91% higher Y-o-Y for the same period. For the W TG segment, our contribution margin has improved to 22.7% for the 9-month period FY25 from 19.4% during the same corresponding period for the prior financial year.

Our EBITDA for Q3 is at about Rs. 500 crores, which is 102% increase Y-o-Y and a 70% jump Q-o-Q with an improvement in the EBITDA margin to 16.8% from 15.9% last year, despite organizational buildup, technological advancements and a substantial ramp up in capacity. This we have been able to achieve largely because of the scale and the leverage that we now have

with our suppliers, due to the scale of order book. Quarterly PAT of Rs. 388 crores is 91% higher on a year-on-year basis and 93% higher on quarter-to-quarter basis which gives us confidence that Suzlon has shifted into high gear on the operational growth following a successful financial turnaround on the balance sheet front nearly a year ago. We are also pleased to report that our balance sheet has further fortified as of December 2024, with a net worth of Rs. 4,914 crores and a net cash position of Rs. 1,107 crores.

Our pioneering business model of offering end-to-end wind energy value chain, fully integrated supply chain, track record of project execution and best-in-class service cannot be easily replicated which provides us a very strong competitive edge.

With that, I would like to conclude my presentation and open the floor to any queries that the callers may have. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press "*" and "1" on the touchtone telephone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Sumit

mit Kishore from Axis Capital.

Please go ahead. Sumit Kishore, please go ahead with your question, your line is unmuted. As there is no response, we will move to the next question, which is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good evening, sir. And congratulations on a very good quarter and superb last 24 months, sir.

My question is about the order inflow inquiry, of course now it has increased 28 months. The question is how has been the order inflow inquiry as of now, are we seeing inquiry as strong as it has been there in the last 18 months?

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JP Chalasani: Yes, I think it is not last 18 months. What I would say is actually it is increasing from quarter-to-quarter, the other inquiries as we keep seeing it. Therefore, we see a good traction in terms of order inquiries and there are, obviously, you know that there are three types of Order. One is C&I segment which is our strongest point where we have about 58% mark in our order book share. Then PSU is picking up now. You know that we have won already NTPC one order, second the bid is put in already we are expecting results to come out in next 30-45 days. And third is bid project, so we actually and also we are now seeing a traction that where people are talking about 5, it is not immediately to be done, can we do a project development and then we want to do a project, let us say in FY27 starting at end of FY26. So, we are getting interesting proposals and then so we are also getting into discussions with people are saying, can we have a little longer-term pipeline type of discussions rather than just having one-off project. So, I think from that angle, the traction what we are seeing on the order book is very encouraging.

Mohit Kumar: My second question on the C&I side, sir given the fact that the transmission charges are supposed to go up by June '25 and then the expectation was that C&I will pick up in the Q4 FY25 and Q1 FY26, are you seeing that momentum?

JP Chalasani: Yes, let us understand first of all, two factors which play a role, one is tariff arbitrage compared to what they have today versus what happens with the renewable, second is the transmission front, it is not completely going away in June '25. We are moving from 100% waivers to 75% okay. For one more year, you have 75%, then it goes to 50% then it goes to 25%. So, therefore, while it is less than what it would have been up to 2025, but there still the transmission charges were to the extent of 75% for the next one year, so therefore the people would have preferred the complete as much as possible before June '25, but then it is wherever projects are there, still the traction is happening on that.

Mohit Kumar: Sir, my last question is on the financial side. I think on the O&M services, your revenues are increasing Q-o-Q and Y-o-Y, but your EBIT is almost similar at 2 billion. So, can you please explain that and how we should build up for the future?

Himanshu Mody: So, Mohit, it is essentially, if you look at any period, there are a certain one-off items that hit the P&L, whether it is relating to insurance services or the insurance claims or the VAP and VAS services that causes this fluctuation, but we are clearly going forward as we have always maintained that the O&M margins at an EBITDA level will be about 40% and we continue to maintain that guidance going forward. There may be aberrations quarter-to-quarter due to, as I said, insurance claim income and the VAP, VAS sales.

Mohit Kumar: Understood, sir. Thank you and best of luck. Thank you.

JP Chalasani: Thank you, Mohit.

Moderator: Thank you. The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.

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Sumit Kishore: Thanks. My compliments on a fair

ly strong set of numbers in Q3. My first question is what are

the emerging trends of wind solar sizing in FDRE projects with evolving battery economics?

JP Chalasani: It is actually very difficult to predict as I think partly you yourself answered. The changing

pricing scenario of storage would keep changing the combination of wind, solar, how much do

you want to have it? Having said that what type of an FDRE we are talking is important because

are we talking about the load following FDRE because FDRE definition is completely different.

If you go ahead and see the bit itself, there are 7 or 8 types of FDRE.

Sumit Kishore: Let us say for load following FDRE?

JP Chalasani: Load following FDRE. Earlier, it used to be about 200% of the bit capacity is supposed to be

wind. Now, people are still talking about 140 tons, 50%. So, therefore it also depends upon the

load profile, specific load profile. If you are talking about it let us say a load profile of a Delhi

DISCOM. I am looking up because the peak is much higher. So, then we will have a more if

wind capacity there. And if you are talking about semi-urban type of an FDRE, then you will

have a different combination. It is difficult to explain, but it is changing with respect to the

storage spacing, but still, the install capacity required of wind will be more than 100% in any

FDRE load following scenario. Whether it would be 150 or it should be 160 or 170, we really

don't know depending upon the load profile of that particular retail distribution segment.

Sumit Kishore: Just second question is, could you quantify the non-recurring items which may be part of third

quarter as part of employee expenses? Also, whether that depreciation and interest cost that we

see in Q3, are they the recurring numbers that we should expect would be higher WTG capacity,

especially on depreciation?

Himanshu Mody: So, depreciation, Sumit, will be a recurring item because with the increased CAPEX as JPC sir

mentioned with Pondicherry for the additional Nacelle facility getting mobilized and our

additional moulds for the S144 getting commissioned, the increased CAPEX is of course hitting

the P&L from a depreciation perspective. So, you should certainly assume that the depreciation

of about Rs. 60-Rs. 65 crores a quarter would continue as a normal standard. So, one-off

expenses in employee, of course would largely pertain to ESOP charge. Now, the ESOP charges

for Q4 would be the similar as you have seen for Q3. As we step into the next financial year,

difficult to say, but as of now it looks like that the ESOP charge on account of employee expenses

as a one-off would reduce for the full year in FY26 as compared to FY25.

Sumit Kishore: What has been the number for Q3 on ESOP expenses?

Himanshu Mody: ESOP expenses, Q3 would be about Rs. 32 crores and for the 9 month that expense, of course,

you can just simply multiply it by three about Rs. 83 crores is 9-month expense on ESOP. Our

estimate is Rs. 116 crores would be the charge for ESOP for the full year FY25 and that Rs. 116

crores would certainly be lower, I can't say by what amount for FY26, but it will certainly be

lower.

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Sumit Kishore: And just one last question. If you could comment on, what strategic steps are you taking for diversifying from your main growth engine of WTG in India right now?

JP Chalasani: See, right now, as you see, there is a huge amount of traction within India. What we are now

trying to look at is that how do we actually diversify our business within the WTG as a growth

is like as what we have been talking earlier. We are increasing our activity of advanced

development. So, we are getting into those contracts. As we speak today, we do have a contract

which we don't know this is part of WTG contracts for about 1100 MW for advanced

development of projects

and then furthermore, we are entering into. So, therefore what we are

trying to do is diversify, I don't know whether you call it as diversification, you call it as a

different action, is that what do we need to do that this growth engine would further grow, so

because one of the reasons we are saying is that the commissioning is not happening at the

required level that has the push back and how much can you supply. So, we are trying to see that

push back and it will be removed or not. That is one area which we are significantly

concentrating. We started this year that will go big way next year as well, so that we will not

have an issue of a push back coming in our supply. That is one area. The second area obviously

we are concentrating is in terms of multi-brand acquisition in case of Renom. So, these two are

going to be the major things, but then we are looking at any probability of export in case you hit

here. But that way in the process of studying, we are not going to say there is going to be the

action right now planned for the next year, but then we are looking at it. So, saying that okay,

fine, if in India this is what is maximum if we can take then because we have a capacity, is it

possible to do it to, let us say, Europe, we don't know what is going to happen in US, I know

Europe raised question with us, but I have no answer for that the Europe and other places because there are a lot of European manufacturers are significant exporting from here to Europe. India is the base. Our manufacturing costs are much lower than them, so obviously if they can do it, we can also do it. But that is more of an incremental capacity over and above what we can sell in India is what we are saying. Otherwise, Himanshu, you might be going to have. We don't have any other significant ever since at this day.

Himanshu Mody: No, I agree and just to further add to my earlier answer, Sumit and also to Mohit's first question from the depreciation perspective, this quarter is the first quarter where we are fully consolidated Renom as well because in Q2, we consolidated that only for about 25 days. In Q3 it is the first quarter where the entire consolidation has happened and about Rs. 8 crores delta in depreciation that you see is on account of the Renom and also too earlier so much question, when you see the OMS segmental EBIT because Renom as a margin business is lesser than the Suzlon O&M business. So, as Renom keeps growing, although it is very small still, so it doesn't make too much of a difference. But as we see the segmental revenue along with Renom, you might see a percentage shrink, but very minimal.

Sumit Kishore: Those are my questions. Thank you and wish you all the best.

JP Chalasani: Thank you.

Moderator: Thank you. The next question is from the line of Puneet Gulati from HSBC. Please go ahead.

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Puneet Gulati: Thank you so much for the opportunity and congrats on a great order book. So, how should one think about this 5 GW order book? Or what period would you expect to deploy this?

Himanshu Mody: These are some part of it obviously, for current level of equity in Q4 of this year and the large portion is for FY26 and some of them in FY27. Let us be clear that there are these days that you have an order book. When you take the order book, you have a contractual scheduled. That this is what is a delivery. But we all know that there are changes happening with respect to the project schedules, because maybe the substation got shifted or something else is happening. So, there is a constant pressure between us and the client to the extent of keep modifying the schedule, but the simple answer to your question is that most of this order book is for FY26 and FY27.

Puneet Gulati: Possible to give some sense of how big?

Himanshu Mody: Residual after Q4.

Puneet Gulati: Is it possible to get

a breakup between 4 and then maybe FY26 and?

JP Chalasani: Yes, I can give a contractual breakup that is not going to help because it doesn't give you any number of things that what it is really going to be because the contractual number is different.

In reality what is going to happen is different. So, as you keep approaching quarter-to-quarter, we will know what next quarter we are going to deliver. So, what it is like I said in my opening comments, first time in the history of Suzlon, we are starting the next financial year with full order book in position.

Puneet Gulati: Right, that is very interesting. And in that context, how are you pricing your product, where there is uncertainty of timing of installation of FY26-27. Is there flexibility in prices that you are keeping or is it a fixed price contract?

JP Chalasani: Two things we do, one is that the steel, when we look at it as a pass through because that is a major component for us. And secondly, what we say is that our price is valid for X amount of months for the project to get executed. If the supply is for reasons not attributable to Suzlon, if they get delayed contractually, then obviously we need to sit back and we can't really drop in. We will sit back and discuss the pricing. These are two safeguards what we have.

Himanshu Mody: So, third one, that we have also done for our large A-Class components with our suppliers. We have entered into a long-term framework agreement, so we know that at least the key critical components also we do have in a way price lease and beyond a certain volume, we in fact have a volume discount.

Puneet Gulati: So, there is a volume discount once you reach the number and before that it is a fixed, like have they given any advice, is there a risk that these contracts might get cancelled if the price discussion doesn't satisfy? Or they are very firm in nature and there is huge advance?

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Himanshu Mody: We have not given any advance to our suppliers because of the framework agreement. These are mere framework agreement, but we have kept fairly large margin of safety in terms of what we can deliver over the next 12-24 months vis-a-vis our order.

Puneet Gulati: Have you received advance from your customers?

JP Chalasani: We don't announce any contract unless there is the contract is backed with advance

Puneet Gulati: And last one, are these all for S144 or is there a plan for an upgrade built into the order

themselves?

JP Chalasani: No, all these are for 144 at this stage. And of course, there is a small quantum of 8% out of outstanding order book, 92% S144 and 8% is for S120. And there is no other model other than this two we are offering in the market.

Puneet Gulati: Understood. And what is in the pipeline? Any thoughts if you can throw?

JP Chalasani: Pipeline always works because the product development cycle is long. So, obviously we are working on the next version of the turbine, but depending upon when is the market ready, what happens to 144, we will launch the turbine.

Himanshu Mody: That will be larger than 144, obviously.

Puneet Gulati: Got it. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Vikram Datwani from Nuvana Institutional Equities. Please go ahead.

Vikram Datwani: Good evening. Congratulations on a good set of numbers. Two questions from my side. So, first is we have seen order inflow already at 3.5-4 GW in this year, the order book is at roughly 5.5-6 GW. So, at any point do you think we will get choosy with our order inflow or can we maintain this order inflow run rate because you already had visibility for the next 2 to 2-1/2 years, so do you foresee this kind of inflow going forward or will we get a little choosy in order in the next couple of years?

JP Chalasani: No, the moment I said choosy, it looks like we have become

arragant, so obviously, we are not

that way. The customers have a choice, and we have discussed about these products is that what we look at seriousness of the project is looking at their financial closure. If it is the big PPA is there or not, because all projects that we acquired from the bid, the 21%-22% all of them have PPA. And then if it is a non-EPC requirement supply, it bears a position of land, and the substation is what we look at it. But generally, if you look at it, most players were in the market today, the large equities that we enter into, all of them are good people. And as long as we have our own pricing of a turbine that we want to offer, if that matches and then we have adequate safeguards in terms of if there are delays, then, we just go ahead. I will not use the word that we

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are choosy at this stage. But of course, there is a clash of delivery coming in and we being asked for when we can't do it, then, there it is not choosy, but we will tell them we can't do this, this is what my delivery schedule we can adjust to the delivery schedule is fine. Otherwise, they have an option to go somewhere else. Those things can happen.

Vikram Datwani: That was majorly talking about from the capacity standpoint, I like you have already alluded to...

JP Chalasani: That is exactly what I am saying. If the delivery schedule has already been overloaded during that particular period, then we offer a different delivery schedule to them. We don't say no, we offer a different delivery schedule and there are some discussions. Sometimes we agree to a different delivery schedule or sometimes it doesn't meet. So, they say sorry, this time it doesn't meet, then I will go somewhere else. That is again frankly not a word of choosy, but not able to meet the requirement of the client.

Vikram Datwani: Time maintained from a capacity point of view, got it, sir?

JP Chalasani: You are right. It did happen that way.

Vikram Datwani: My second question is on margin sustainability. So, we have had quarter where you have not booked EPC expenses because installations have been weak on a yearly basis. Do you have any sustainable margin guidance or any target mix between product delivery and EPC delivery?

Himanshu Mody: On margin, if you look at the contribution margin, for the WTG segment in the 9 month of this year, we have done about 22.7% for the segment as a whole. Now clearly, the commissioning for the reasons we have discussed has been a little lower. But having said that as and when the EPC work and the commissioning completes, that margin may slightly come down. So, whilst earlier, we have always maintained a margin of lead teams, I think safe to say that close to 20% or little over 20% on a consolidated steady state basis would be the contribution margin. So, that is pretty much, I would say, upping the guidance from a contribution margin perspective by a few percentage points.

Vikram Datwani: Got it. Thank you. And any reasonable percentage breakup between product versus the EPC that you are targeting?

Himanshu Mody: No, we have not yet started giving segmental split of product versus EPC. We are just as you know, reporting WTG as a segment. We are not doing the split as of now.

Vikram Datwani: Got it. That is it from my side. Thank you and best of luck going forward. Thank you.

Moderator: Thank you. The next question is from the line of Amit Bhide from Morgan Stanley. Please go ahead.

Amit Bhide: Hello, congratulations sir, on a great set of numbers. So, my first question is with regards to the realization it comes to around 52 million per MW for this quarter. Now, in this, I understand that

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EPC portion was not there, but the n is there any pricing pressure that you are experiencing with

a few other OEMs getting very active in the market?

Himanshu Mody: No, there is no pricing pressure. In fact, when JP sir mentioned earlier, we don't want to be arrogant and saying no to a certain orders, so clearly the kind of traction that you see with our order book, pretty much there for the next 2 years, there is no reason for us to come under pricing pressure neither we are seeing that from the competition perspective. So, this is merely due to slower execution on the EPC front that you are seeing the 52 million which as always we mentioned will be close to about Rs. 6 crores. If you take steady state basis, it is about Rs. 58 million to be precise. I think it is not lowered largely because of the slower EPC execution.

Amit Bhinde: Right, so 58 million is a good number to work around with, right. And on the contribution margin that you said in the previous question, 20% or a little over it is that sustainable guidance or is it only for FY25?

Himanshu Mody: So, as I mentioned, as we move forward, around I would say 20% would be one large component of course is steel. So, depending on where the utility prices move, well, that is a large pass-through item, but consistently, our endeavor would be to deliver a margin of close to 20%, which we have always maintained late teens. So, about 20% is what we get consistently deliver.

JP Chalasani: Himanshu, has become confident from late teens to 20%. That is the only change in guidance, yes.

Amit Bhinde: And on the previous question, you mentioned that there is around 1,100 MW of advanced development projects that you are offering. So, in this, how would that?

JP Chalasani: Not offering, executing.

Amit Bhinde: Yes, executing. So, how would the realization differ versus the 58 million for average?

JP Chalasani: No, that is, I think I explained in the previous quarters calls also if the development what happens is that someone wants to do an EPC project with us because the land is an issue, so what they do is that they only give an NTP for the land. And first of all, we are not waiting even for the NTP.

We have started developing the projects where we start acquiring the land up to certain extent then we keep offering in the market in this project if you want development. Then, they come in and give an NTP for land and they start paying for the land from then on and at appropriate time, the NTP for EPC would be given and we don't announce those EPCs because they are not being given. So, once the EPC NTP is given, advance is given for that portion. Land, they already given that cost, so we announced to the market. These are second to be converted into EPC contract, but at what stage when it gets converted, we are also demanding.

Amit Bhinde: And sir, right now is this 1100 a part of your 5.5?

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JP Chalasani: No, that is what I said that this will as and when gets converted into EPC contract with that one is when we will announce. Right now, it is not part of 5.5.

Amit Bhinde: Any indicative timeline, 6 months or 1 year that this can get converted?

JP Chalasani: It is reasonable to expect that next 3-4 quarters this get converted into EPC contract will be EPC.

Amit Bhinde: Right. And one more question on your delivery timelines. As you mentioned that there is a contractual delivery timeline in each of the projects. So, how is the timeline differing in C&I versus the PSUs? So, PSUs is it 18-24 months, how is it in C&I, especially in PSU?

JP Chalasani: You are asking C&I versus PSU or?

Amit Bhinde: Yes. So, is it like the C&I would have a lower contractual delivery timeline. Is that the right way to look at it?

JP Chalasani: No, C&I normally tends not to revise significantly the contractual schedule because it is meant for their own consumption normally. But there also we see that they get stuck with respect to the

land or the evacuation but to lesser extent. PSU, we are yet to see because we are just doing some exhibition of NTPC right now. But on the bid-related projects, obviously we see a big shift.

Amit Bhinde: Right. Broadly, would it be like 12-18 months for C&I or lower?

JP Chalasani: Means like 12-18 shift, you are talking about a contractual schedule.

Amit Bhinde: So, delivery timelines from ordering?

JP Chalasani: Yes, that is a reasonable number 12-18 months depending upon the size of the project.

Amit Bhinde: Right. And for CAPEX, do you have any guidance revised because now that you are adding new guidelines, etc., so I recollect that you were guiding around Rs. 400 crores of CAPEX for your, is there any revision to that?

Himanshu Mody: So, Amit, no revision and request that this be your last question. We can of course connect offline

if you want, but to quickly answer your question that no revision and guidance to the same.

Amit Bhinde: Sure. Yes, that was my last question. Thank you.

Himanshu Mody: Thanks. We can connect offline.

Amit Bhinde: Yes, sure. Thank you.

Moderator: Thank you. The next question is from the line of Aadesh Mehta from Motilal Oswal AMC.

Please go ahead.

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Aadesh Mehta: Hello.

JP Chalasani: We can hear you. Please go ahead.

Aadesh Mehta: So, just wanted to understand this margin guidance, this margin aspiration of around 20%, this is on the EBITDA numbers or at the contribution level?

Himanshu Mody: Aadesh, it is on the contribution level for WTG. I wish it was EBITDA, definitely not. So, it is on the contribution margin for WTG segment.

Aadesh Mehta: Thanks for clarifying. And other thing which I wanted to understand is that so far wind installation have broadly lagged our deliveries, right if you see the country level data, so how long do you think this can continue that even our installations are lagging, we will continue delivering our products to our clients?

JP Chalasani: See, obviously, if there is a continuous delay in the land of evacuation, that is what I said sometime back in another question that there could be potentially a push back on supply side, like there could be delays clients can say that these slow down the supplies. That probably can happen. Otherwise, numbers what we are looking at today would have still higher, so what we delivered in Q3. But that is what we need to overcome. That is where I said that we are now being working with one is on the development side, second thing, what is we are looking ahead is that if you look at next year, it is not going to change in a quarter or two quarters, but it will definitely change in FY26 significantly. These are plans coming from development. Second also is that some of the clients what we are now contracted how a land in a position, for example, we just did the Torrent Power contract of 482 MW which is meant for the captive for the distribution business. They already have 50% of land, along with the right of ways. So, plus I said that we are developing ourselves like NTPC, as you know whatever we are now executing, they are getting the land in advance position. Torrent for Karnataka which got delayed EPC project, we are doing EPC, so therefore, we acquired the land almost for about 150 MW, they already out of there and they want. So, these things will result into a better project execution, quicker project execution moving ahead. But do we see a significant change in Q4? No. Are you going to see something in Q1 next year? No. I think gradually starting from Q2 or next year onwards, you will see an improvement push back coming down, FY26 will be definitely better than FY25 because of these reasons. And FY27 onwards, I don't think at least as Suzlon we will see an issue with respect to the land. Evacuation, still of course, we have no control.

But on the land, delaying

the projects will not happen significantly come down FY26 we can guarantee, then FY27 would practically be not there.

Aadesh Mehta: And sir, do we see this being a hiccup over the next 6-12 months, because the execution run rate is very strong from our side, you think given the progress report you are seeing at your client level, you can continue delivering this number of equipments?

JP Chalasani: Yes, see what happens is that we have multiple clients. If it is only one project, two projects the country will supply then, there is a saturation point quickly because you have multiple projects

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and multiple clients. So, while I do agree that there will be some pushbacks, which is what we talked about contractual schedule getting revised, but then we don't see to that extent impacting our supplies significantly in the next few quarters. And by then we would be ready with even not only we, sector as a whole realize this as an issue, land and ROW. So, most people are actually investing in land merchant advance, like I said the 3 clients which we are working with right now for this 1100 MW, they are spending on land much in advance with us. So, I think things would change. Today, I completely agree that that is not just the land including the evacuation is an issue today. We are nowhere near our ambition of reaching about 8 GW in a year run rate. But I think things would change, expected to change in FY26 and FY27.

Aadesh Mehta: All the best, sir. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants, please limit your questions to 2 per participant. If you have a follow up question, you may rejoin the queue. The next question is from the line of Dheeraj Kripalani from Avendus Capital. Please go ahead.

Dheeraj Kripalani: Thanks for the opportunity. Sir, my question is on the industry level, if you look at the wind capacity additions in India, so till FY25 only 2 GW has been added. So, my question is that. I just want to know your view at what capacity additions in India you will see in the next 3 years?

And what are the challenges, of course, in the capacity additions?

JP Chalasani: We are not talking about the industrial, but I also said something that is not just we and other industry players also working towards reducing the risk of land. So, therefore this year, we still see, though we are at 2,277, let us say 2.3 GW in first 9 months, it could be anywhere between 3.5-4 GW is what we see in the large capacity, we also saw, as I said as we speak, it is more than 200 MW pre-commissioned means like you can just get out of the grid any day, so it is available. Other people also have it. So, we are still hopeful that 3.5-4 GW is what we should achieve this year and then next year, I think all the efforts what people are putting should be around 6 GW. And then, we hopefully at least FY27 onwards, we reached 7-8 GW.

Dheeraj Kripalani: Thanks for the answer.

JP Chalasani: Thank you.

Moderator: Thank you. The next question is from the line of Arun Kailasan from Geojit Financial Services. Please go ahead.

Arun Kailasan: So, first of all, congratulations on a good set of numbers. And you know, I am still a novice in understanding this industry. So, I just wanted to know that earlier in one of your concalls, you had mentioned that the capacity addition would be somewhere around 5-7 GW in 2026-27 for India in general and then from then on it would be around the range of 10 GW, right? I just wanted to know like what amount of capacity addition, do we see these tariffs go to a range where like it turns less profitable for the developers because is there a concern of oversupply

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when it comes to this? So, that

is my question because we are seeing solar module prices

correcting and corresponding to the tariffs have also come down by huge margin. And if that is the reason, how would we look at negating that?

JP Chalasani: See, first part I agree that in our country the tariff goes up, but the demand will drop. Demand is the function of the tariff. The demand elasticity gets limited, and the tariff goes up. Having said that, I keep saying if you look at the exchange and look at the demand and the price when wind generates is constantly high. The only thing what you are seeing is the tariff during the solar time are coming down because the supply is higher, and the demand is less. So, I think there is enough appetite in the market to meet the current load profile for the wind capacity and the wind tariffs are not going up. I don't think any tariffs are going up because tariffs are only falling even for FDRE because solar price are falling. Only case of solar, the tariffs have gone up because of restrictions of this and tariff significantly gone up, if I remember right, the solar standalone now is almost Rs. 3 because of the domestic content criteria, so that can increase the tariffs, but the wind tariffs are not increasing. Wind tariffs remain the same. So, the demand does exist for around the clock power because as we are growing, the demand is going to keep increasing. To some extent, there is the impact of solar tariffs going up because of domestic content. But I think to that extent the storage space, what are coming down should be able to compensate.

Arun Kailasan: So, this about 10 GW of addition post 2028 that we are factoring in is sustainable, right?

JP Chalasani: Sustainable is different. We always said that in case for us to meet and then we go 2030, these are run rate required and we expected that in fact, even compared to our expectations for this year, it is less of the fact that we thought that we will touch about 4.5-5 GW, which we now reversed to 3.5-4 GW. Next year, I just had some time back 6 then 8 and it is still feasible in FY28 with advanced actions, what everybody is taking.

Moderator: Thank you. The next question is from the line of Jinesh Shah from SK Investment. Please go ahead.

Jinesh Shah: My question would be like, as you mentioned that we have ramped up the capacity from 3.1 GW to 4.5. So, I would just because of which our depreciation also increased, so I would just like to understand that are all the assets operational and live or are we expecting much more CAPEX which will increase the depreciation going forward?

Himanshu Mody: So, as I said earlier, we are looking at close to about Rs. 350-Rs. 400 crores of annual CAPEX for the next 2-3 years, which will all go towards capacity augmentation. Of course, as a result even the older asset base will get depreciated completely. To answer your earlier question whether all the CAPEX that we incur till date is operational, most of it is and some of it is getting operational as we speak. So, for the next few quarters, including, of course, the Renom acquisition charge about Rs. 65 crores of depreciation on a quarterly basis is a steady state that one should assume.

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Jinesh Shah: Thanks a lot. And my second question would be with respect to the interest income of Rs. 70 Cr, like I would just be validating with respect to, since in our book as of September, we had borrowings of approximately Rs. 232 Cr gross debt. So, I would just like to understand that how do we validate like the interest of Rs. 70 Cr if you can just read it about that?

Himanshu Mody: Yes. So, of course the interest cost is largely due to the LC and BG commissions that we have to pay to our lenders. And there is the Rs. 232 crore debt that you are referring to is working capital debt that sits in two subsidiaries which is SE Forge and Renom. They

have their cash

credit facilities as working capital which attracts a normal interest rate and the other is of course the LC BG charges at the standalone level, which we pay for giving guarantees to our customers and LCs to our suppliers. That of course, naturally gets netted off with the interest income that we are able to generate with the cash balance that we have in the company.

Jinesh Shah: Understood. That is it from my side. Thanks.

Moderator: Thank you. The next question is from the line of Satpal Singh Khanuja from Ishaan Ventures.

Please go ahead

Satpal Singh Khanuja: It is always a pleasure to talk to you. You are one of the corporate leaders who deliver their promises quarter-on-quarter.

JP Chalasani: Thank you.

Satpal Singh Khanuja: Sir, can you help me understand the impact of the Trum Era on the renewable energy sector in India? Do we see a reduction of prices of the product? Is Chinese and European players start dumping in Indian markets?

JP Chalasani: Chinese are already there. And Chinese are there not there any way significantly in US at this stage. So, the US market is mainly with the GE and the Vestas. So, I don't think that would make a difference. European significantly presents today their manufactured used amount of quantities in India, but they are exporting because they are unable to compete in India. So, therefore, either way it does not make a difference. I only look at it is that in case the opportunities for, first of all I have no clue about what is going to be impacted because every day you are reading a clarification. So, suddenly IRA is impacted, next I see a statement which is the IRA is impacted only to the extent of the EVs so it is an evolving situation. And there is a clear view that onshore wind turbines won't get impacted. Only the offshore is going to get impacted. So, therefore be whether you speak, or I speak, it is more of a gossiping between two of us and both of opinion. Before, I think we should wait for few more weeks before we see any impact on India, but if at all there is going to be an impact, in my opinion it will be a positive impact, but not negative impact. But the investment comes down in US, there will be more investment opportunities coming down here, coming in India. So, I can only see the positive side of it. At this stage, I am not seeing anything, significantly negative for us.

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Satpal Singh Khanuja: Thank you, sir. Thank you very much. My second question would be now, since we have 18-24 months of normal period of conversion of any contract, plus they are usually delayed from the side of the customer. Now that we have an executable capacity of, say 4000 MW, as you mentioned in some other discussions previously, would a number of around 10,000 MW in the order book the right number where we can think of coming at full capacity?

JP Chalasani: Come again?

Satpal Singh Khanuja: Sir, now we say, when we say that we have installed the 4.5 MW and we are targeting 90 to achieve 90% of that given the 18–24-month conversion period and the delays that normally happen to come at full capacity, an order book of about 10,000 MW would be a right number?

JP Chalasani: No, let me let me clarify. Today, we have an outstanding order book of 5.5 GW as we speak and obviously by any point of time, there will be a number of orders which we are negotiating, which will keep getting converted in future. So, this 5.5 GW is in order to confirm orders backed by full advance. Mention will start, so somebody asked me the question is that how much of it will be for next year? I said contractually it could be anything but let us wait and see that what happens in terms of reality as a project, so we have not given any guidance with respect to out of this 5.5 GW how much will be done next year, but I only said this 5.5 GW will definitely get

executed

in FY26 and FY27 together. That was my answer.

Satpal Singh Khanuja: No, what I am saying is now that we have a capacity of 4 GW, what we are targeting is an order book of something like 10 GW?

JP Chalasani: You are saying that because we have a manufacturing capacity of 4.5 GW?

Satpal Singh Khanuja: Yes.

JP Chalasani: I might have a manufacturing capacity, but they should be offset, ready to offset. So, obviously yes, your point is right that if I load the manufacturing capacity the 90% so then

obviously about 4 GW is what we should supply every year. But that capacity comes only when your manufacturing plant is loaded on a consistent basis every month, but that doesn't happen. Your offtakes are different, so your project offtake is what decides how much capacity utilization happens.

Satpal Singh Khanuja: Right. Thank you very much.

Moderator: Thank you. The next question is from the line of Depesh Kashyap from Invesco. Please go ahead.

Depesh Kashyap: Yes. Thank you for taking my questions. Just a clarification on the interest cost of Rs. 70 Cr, I think last quarter you highlighted that there is a Rs. 10-Rs. 11 crores of one-off expenses due to a new contract that you have got, right? So, the normal run rate was Rs. 44-Rs. 45 crore of interest cost, so is this Rs. 70 crores now a new normal that you think or is there any one-off sitting here?

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Himanshu Mody: No, Rs. 70 crores is not a new normal, Depesh. There is, close to about of course, in this Rs. 15 crores gets added in a quarter because of the one earth lease cost that currently that is there, close to about Rs. 15 crores quarter that will get on a continuous basis, quarter-on-quarter. In addition to that, there is the Renom working capital cost that is getting added as I said Renom has about Rs. 120 crores of working capital facilities with it, which they utilize on a cash credit basis. So, of course, whilst we look at optimizing the cost, we will also look at increased cash balances going forward. So, the net interest costs would probably be in the normal region of around Rs.

40 crores or quarter give or take. But that we will manage through, of course, whether increased interest cost or increased interest income. Both net basis, we should assume about Rs. 40 crores.

Depesh Kashyap: Understood. Secondly, when do you expect normal taxation to start hitting your P&L?

Himanshu Mody: So, I think that of course, it is very difficult for me to give you any guidance on that but safe to say that I don't see that hitting us in FY26 at least, can't say about FY 27 at this stage.

Depesh Kashyap: Understood. And lastly, any plans on utilization of cash, any inorganic opportunities you are looking at or any dividend payments you are thinking about because now you are Rs. 400 crores plus networth, right? That is how?

Himanshu Mody: So, inorganic, of course we keep looking out. We will be very selective. We won't go very aggressive any in organic opportunities. Any return or payback to the shareholders will, of course, at the time of annual results will be deliberated and discussed at the board before recommending to the shareholders. We will of course need to see the reserves. So, as you know, there is a scheme which is impending that requires for reclassification of results. So, once that is done is when we can have the dividend paying capabilities. I hope and assume that should be completed, that scheme should go through by June, July. Once that is ready and the business actually if it is permitting any different payout and the board approving, we would then only be able to recommend the same for this to shareholders.

Depesh Kashyap: Great, sir. Thank and all the best.

JP Chalasani: Thank you.

Moderator: Thank you. The next question is from the line of

Rohan Vora from Envision Capital. Please go ahead.

Rohan Vora: Thank you for the opportunity and congratulations on the numbers. I just wanted to check on the Siemens IO, you look still looking at it and what is the update on that?

Moderator: I am sorry to interrupt you, but can you speak a bit louder, Mr. Rohan Vora?

Rohan Vora: So, sir, I just wanted to check around Siemens Gamesa, so what is the update around that? And are we looking at that particular transaction?

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Himanshu Mody: Siemens company, we will not have an update because that is that company to provide. We are not looking at it, we said earlier also.

Rohan Vora: So, are we looking at it is what I am trying to understand?

Himanshu Mody: No, we have always been on record. We never changed our stance, so we are not looking that as to.

Rohan Vora: Thank you, sir.

Moderator: Thank you. Next question is from the line of Deepak Purswani from Svan Investments. Please go ahead.

Deepak Purswami: Hi, good evening, sir and congratulations for good set of numbers. Sir, I just wanted to check it out eventually when we would be looking out 4 GW of execution on the year-on-year basis, from the order inflow point of view, at some point of time, we are also considering export market to be tapped going ahead if you can throw some light on that?

JP Chalasani: See, our manufacturing capacity is 4.5 GW, so therefore we are in a position to supply 4 GW a

year if there is a demand to that extent in India, so on that I really won't be able to answer that because it depends upon various external factors. But we do have a capacity to supply 4 GW a year as we speak today and as far as the international is concerned, sometime back to different question I mentioned that right now there is so much happening in India. However, we are evaluating that what are the opportunities available outside India, if at all today from the evaluation phase. So, in case because we have a capacity that India offtake gets to a certain level, then we actually do an incremental capacity and then sell outside. But right now, there is no solid proposal to that. It is only an evaluation process and by then, we don't know really. All depends upon market evaluation.

Deepak Purswani: Thanks a lot.

Moderator: Thank you. The next question is from the line of Falguni Dutta from Mansarovar Financials. Please go ahead.

Falguni Dutta: Good evening, sir, I just have one question, is it possible to give volume guidance for FY26?

JP Chalasani: We have not been providing that volume guidance for not just for FY26, but we are not even providing for the next quarter. So, I think we will maintain that because it depends upon various factors, because we don't give the guidance and then start giving the reasons why it has been achieved or overachieved or underachieved because the market is so dynamic outside in terms of execution.

Falguni Dutta: You mean to say because of the execution issue, right understood.

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JP Chalasani: But you are seeing the growth, so therefore obviously you can get growth continue quarter-on-quarter.

Falguni Dutta: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to the time constraints, this will be the last question which is from the line of Rusmik Oza from 9 Rays EquiResearch. Please go ahead.

Rusmik Oza: Am I audible?

Moderator: Yes you are. Please go ahead.

Rusmik Oza: Sir, I want to check up in next fiscal year, if industry does around 6 GW, can we maintain the market share of 40% which we I think last quarter we were above 40% market share, if you can just give some color on the kind of market share you would retain in next year?

JP Chalasani: Can you please come again?

Rusmik Oza: I just wanted to understand what kind of market share would

you be able to retain next year that is FY26 in the industry?

JP Chalasani: Market share of what?

Rusmik Oza: The wind, WTG?

JP Chalasani: WTG, order booking, supply or commissioning?

Rusmik Oza: Supply or commissioning of wind energy?

JP Chalasani: Yes, right now the publicly available number is only the commissioning. So, there is no data, nobody is monitoring data in terms of order book or in terms of for the supplies. Right now, this year, obviously 45% this is not there at all, we are much more than that at this stage number because we also can't measure. Last time also, I measured the performance of based on the market share of COD for us because as you see in our composition, only around 20%-22% is what is EPC, rest all are non-EPC, where we see we don't have the full control. So, therefore, now the main indicator is in terms of supplies. That is we will decide what is going to be financial performance and the commissioning number.

Rusmik Oza: Thank you so much. The second question was on this foundry and forging business, our utilization level right now is around 19%. Just wanted to get a feel how much can this utilization go up next fiscal year and the margins which are say at around 12.5, can they go back to 15%-16%?

JP Chalasani: We are working towards that. We are working towards placing our order book in terms of non-wind as well as exports and also. We are trying to see that we can create our mission capacity so

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that we don't need to outsource machines so that we increase the margin. You will see the improvements part of the quarter from now onwards.

Rusmik Oza: Thanks for the opportunity. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to Mr. Himanshu Mody for closing comments.

Himanshu Mody: Thank you everyone for joining the call. And I know there is a question queue still pending, my apologies to all those investors, we are unable to take all the questions at this stage. However, I

request please do write to us on our e-mail ID investorrelations@suzlon.com or reach out to my colleagues, Siddharth and Krishna with your questions and we will be happy to answer those, but apologies, we won't be able to take any further questions at this stage. Thank you very much for being patient, hearing us out and look forward to being in touch with you all. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, on behalf of Suzlon Energy Limited, that conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2025

5th June 2025.

National Stock Exchange of India Limited,
"Exchange Plaza", Bandra-Kurla Complex, Bandra (East), Mumbai-400051. BSE Limited, P.J. Towers, Dalal Street,
Mumbai-400001.

Dear Sirs,

Sub.: Board Meeting - Q4 FY25 Earnings Conference Call.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you,

Yours faithfully,

For Suzlon Energy Limited Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited
Q4 FY25 Earnings Conference Call"
May 29, 2025

MANAGEMENT : M R. JP CHALASANI – GROUP CHIEF EXECUTIVE
OFFICER –SUZLON ENERGY LIMITED
MR. HIMANSHU MODY – GROUP CHIEF FINANCIAL
OFFICER –SUZLON ENERGY LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Suzlon Energy Limited Q4 FY '25 Earnings Conference Call. During this call, the company management may make certain statements that reflect the outlook for the future, which could be constructed as forward-looking statements.

These statements are based on the management's current expectations and are associated with uncertainties and risks, as detailed in the annual report. Actual results may differ, so these statements should be reviewed in conjunction with the risk the company faces.

As a reminder, all participant lines will be in the listen-only mode and if you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. We will begin the opening remarks followed by the Q&A session. To be fair with the others we kindly request each participants to

ask no more than two or three questions. From the management, we have with us Mr. J.P. Chalasani, Group CEO and Mr. Himanshu Mody, Group CFO. Over to you, J.P. Chalasani, sir.

J.P. Chalasani: Thank you. Good evening, everyone and thank you for joining us for Suzlon's Annual Earnings Conference Call. This year marks a significant milestone for us. It is our 30th anniversary. Over the past three decades, Suzlon has demonstrated resilience, innovation and a forward-looking spirit that continues to guide us. We extend our sincere gratitude to everyone, who has been part of this long journey to our visionary leader, to our committed leadership, passionate employees, loyal customers and dedicated partners, a special note of thanks to our investors and analyst community for your unwavering trust and continued support.

Talking about the industry, the draft notification on inclusion of the updating of wind turbine generators on the RLMM, will give a big boost to the domestic supply chain with the local manufacturing of blades, tower, gearbox and generators. As the most integrated domestic OEM

with in-house R&D, Suzlon is fully compliant with and well-aligned to the government's policy direction. We are pleased to report at another record-breaking quarter, marked by an all-time high order book exceeding 5.5 gigawatts, reaffirming our leadership across PSU, C&I and Utility segments. Notably, Suzlon secured 1.5 gigawatts as a sole winner of NTPC's PSU tenders. Underscoring our continued focus on product quality and alignment with evolving market dynamics.

Order book for the S144 model, now exceeds 5 gigawatts a testament to superior technology and strong customer confidence. We take pride in stating that S144 is truly in made-in-India, made-for-India product. I repeat, it is made-in-India, made-for-India product. On the manufacturing front, our capacity now stands at 4.5 gigawatts with both Nacelle facilities in Daman and Pondicherry fully operational.

We have also expanded our blade manufacturing footprint with new plants in Madhya Pradesh and Rajasthan, ensuring we are well positioned to meet production requirements for the coming year and beyond. Turning to execution Suzlon has set a new performance benchmark by delivering a record-breaking 1,550 megawatts this year, more than double the megawatts delivered last year.

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The industry commissioned around 4.2 gigawatts in FY '25. Though 28% growth is there, it falls short of expectations due to transmission and land acquisition challenges. However, with over 2.5 gigawatt commission in March last year and April this year combined, signalling a positive shift in execution pace.

At Suzlon, we commissioned 336 megawatts in FY '25, with an additional 370-megawatt directed WTGs currently in the pre-commissioning phase, bringing the total

to over 707

megawatts. With less than 30% of our order book comprising non-EPC projects, where land acquisition lies outside of scope, client side delays have impacted commissioning timelines. To address this, we have prioritized projects with partial land availability upfront. Looking ahead, projects like NTPC come up with substantial land readiness offer greater commissioning visibility for FY '26. Additionally, Suzlon is actively pursuing a long-term strategy to mitigate land-related delays by developing active project pipeline.

Our OMS business continues to do well with more than 15 gigawatts capacity in India, with mission availability ensured above 95%. Renom, our new entry continues to strive for customer fleet acquisition with assets under management crossing 3 gigawatts. Our forging and foundry business started showing uptick in the last two quarters and we expect to continue this trend in FY'26. Our top priority remains the timely execution of our robust order book, while maintaining the highest standards of quality and ESG.

I would now like to invite Himanshu to take you through our financial performance.

Himanshu Mody: Thank you, JPC, sir and good evening, ladies and gentlemen. As always, I would be using Slide number 18 to 26 of our investor presentation, which has now been uploaded on our website as a reference point for my discussion during this presentation. FY' 25 has marked a transformative year for Suzlon, defined by remarkable achievements with highest-ever revenue, EBITDA and PAT post FY '17.

Our entire team demonstrated -- our entire team demonstrated unwavering dedication, making this one of the most successful and memorable year in our journey so far. Taking you through the Q4 FY '25 numbers. In Q4, Suzlon continues its exponential growth trajectory, delivering 573 megawatts, which is almost 2x on a year-on-year basis, with all financial parameters showing a strong uptrend.

Suzlon recorded consolidated revenues of INR3,774 crores, delivering a strong 73% Y-o-Y and 27% Q-on-Q growth. EBITDA for Q4 FY '25 stood at INR693 crores, marking a 95% Y-o-Y growth and a 39% increase Q-on-Q basis. EBITDA margin improved by 200 basis points to 18.4%, up from 16.4% in the same quarter last year. Suzlon achieved the highest ever quarterly PAT of INR1,181 crores.

This, of course, includes the deferred tax asset recognition, which we've done in this quarter of about INR600 crores.

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Taking you through the full year FY '25 numbers, FY '25 marked a key inflection point for Suzlon as the benefits of operating leverage in the WTG division have begun to materialize. The WTG division revenue surged by 101% from INR4,215 crores to INR 8,481 crores, driven by a

118% increase in deliveries from 710 megawatts to 1,550 megawatts this year. This operational momentum translated into a remarkable 392% growth in EBITDA for the WTG business, underscoring the strength of Suzlon's scalable business model. Notably, WTG contribution margin has surpassed our earlier estimates of 20% by 360 basis points to 23.6%. On a consolidated basis, Suzlon delivered a strong performance in FY '25 with revenue surpassing INR10,000 crores mark to INR10,851 crores registering a 67% Y-o-Y growth. EBITDA is INR1,857 crores for FY '25 which is a surge of 80% on a Y-o-Y basis with improvement in EBITDA margin to 17.1% from 15.8% in FY '24. Suzlon reported a robust PAT of INR2,072 crores after exceptional items and including the impact of deferred tax asset recognition, marking 190% Y-o-Y growth. This strong performance reinforces our confidence, where the company has firmly transitioned into the next phase of its operational turnaround following a successful financial revival nearly a year ago. We are pleased to report on our balance sheet as of March '25 reflects a strong position of exceptional strength

with a consolidated net worth of INR6,106 crores. Our net cash position has risen to INR1,943 crores, marking an increase of INR836 crores over Q3 FY '25, which further enhances our financial flexibility and resilience. Our end-to-end wind energy model backed by a fully integrated supply chain and a proven execution track record with best-in-class service has offered a competitive edge that's both unique and hard to replicate. Moving on in terms of an outlook for FY '26, Suzlon has made significant progress in operational excellence initiatives in FY '25 and has got full support of various stakeholders, as mentioned by J.P. sir earlier. The outlook for the future looks very promising with a strong order book in hand, proven execution capability, a strong management bandwidth and working capital facilities tied up. On the back of all these pillars, as we look ahead for FY '26, we are confident of achieving 60% growth across all key parameters in FY '26 over FY '25 which, in any case, meets all analysts' expectations or estimates made by the 8 analysts that we have. With that, I'd like to conclude my presentation and open the floor to any questions that the callers may have. Thank you.

Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: Good evening. My compliments on a strong performance in FY25. My first question is if you could share your thoughts around order inflows for FY26, would it be possible to match or surpass deliveries and contribution margin for WTG pan out in FY26. That's my first question?

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Sumit Kishore: So my questions are on your thoughts around order inflows, deliveries and contribution margin for FY26?

J.P. Chalasani: Order inflow as we speak we continue to see the good momentum and we are pretty confident the order inflow will continue or a little bit more accelerated compared to what we have seen in the last year. Now the public sector is one strong segment which has now almost contributes 26% of our order book is opening up.

On your first question, Sumit yes, we continue to see the traction. We will continue to see the traction quarter-on-quarter basis on order book. I'll again repeat my statement earlier that I don't think the order book not being a drag, not being overconfident or at least the next 18 months, 24 months I don't see the orders becoming an issue for us.

It's a question of ramping up the execution capabilities to meet, the project readiness for supply of turbines. That's how it is. On the margin, you want to...

Himanshu Mody: Yes. So Sumit, on the margin for the WTG business, as we mentioned, we registered about 23.6% contribution margin. So I would say going forward for FY '26, we would -- we should be able to maintain a 23% margin on a contribution basis for the WTG division. And in terms of deliveries.

As I mentioned earlier on that we are confident that we'd be able to achieve approximately 60% growth year-on-year across parameters. So I think which is in line with most estimates. So I think we stand by that for deliveries.

Sumit Kishore: Sure. Could you speak about the progress of the land development mode as a strategy to secure contracts in FY '26 in EPC mode? How much can we expect? Why are this route and what progress has happened so far? And any groundwork leading into export opportunities for WTG over the next 12 to 18 months?

J.P. Chalasani: On the development side, Sumit, if you remember, it has been on record said that earlier that in the states of AP, Rajasthan and Madhya Pradesh we started this and including Karnataka. So we also said that we don't announce, but we get into these framework agreements for development of it.

So some of those things are now getting co

nverted into EPC contracts as we speak. So therefore,

I don't want to put a number to it, but you will actually see some EPC contracts getting announced out of this development pipeline in this year, which will keep increasing as we move on quarter-to-quarter basis. So therefore, that's what -- what I will talk about. The second one, what you said?

Sumit Kishore: Whether exports over the next 15 to 18 months?

J.P. Chalasani: See, you're seeing what's happening on the tariff barriers and various uncertainties whatever is happening. Obviously, as we spoke sometime back, the geographic diversification after

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meeting the increased demand in India is always an option available on the table. And answer to that question is, would we be prepared? Yes, we would be prepared. Would we be doing it? Let's wait and watch for the time. But as 18 months, 24 months, we will definitely be prepared to in case there's a requirement, beyond our capacity -- beyond our whatever we can supply here, yes there is capacity as we will definitely. But at this stage, the answer is not affirmative, but preparedness wise, yes, we are moving in that direction.

Sumit Kishore: Thank you so much.

Moderator: Thank you. The next question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: My first question is on your new product development. So you have a bulk of your pipeline coming from S144. Where are you in the next leg of development for higher MW turbines? And do you even see a need for that or are you happy with this product at this point in time?

J.P. Chalasani: We work in the different environment in India is we don't react to the market. We actually create the market. And I say we create the market is you need a product to suit the market at different points of time. As you know that we have the concept of setting up wind farm every single year to identify what is the wind data for the future sites, let's say, 2 to 3 years down the line.

Even as we speak, in FY '25, we have put 60 masks in different countries. And in addition to those 8 windy states, we, in fact, we've opened up one more state in the eastern sector. I just don't want to name it, but so we are opening up. So these sites are clearly giving us the visibility of what product is required in next 2 to 3 years and we are ready for that.

S144 is the product, which can easily meet the demand of the current market requirements in terms of both technology as well as pricing. What you can expect is that it could be a variant of 144 coming in, in this platform variant. But for the next model to come in, it will definitely be there as and when the country needs in terms of tariff not going up.

So like I keep always giving the example of most important is the tariff. So like in AP, I always say the example is that we sold our 1,000 megawatts of S111 in FY '17. But same AP today, we can't sell a S111 because the tariffs are different. At that point in time, it was Rs 4.8 for today tariffs come down to Rs 3.6, 3.7%. So therefore, you need a 3-megawatt platform. So the answer to that is, yes, the next model will be ready, but we will be ready as and when it's required.

Puneet Gulati: Understood. That's very helpful. And secondly, we also keep on hearing lower wind speeds. What do you think is a solution? Is there a better product needed or do you think that's what developers will have to now factor in their estimates as well?

J.P. Chalasani: There are two different things. The sites in future, which are coming in could have a different wind regime. That's one part of it. Second is the existing sites, where you already set up the products, people talking about the wind is not coming the way it was expected when the plants are set up. This is completely two different issues.

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On the first category of a fresh site coming with the low wind, obviously, new product is required, which would be in this -- megawatt is not an issue because normally, we think that 5 megawatt 6-megawatt what is required. No, that doesn't make the difference. What makes a difference is your rotor diameter and your hub height would decide what is required for the low-wind sites, not the megawatts.

So at the end of the day, what we see lowest cost per kilowatt hour. And as far as the existing sites are concerned, wind it's very clear to everyone, but as long as you have taken proper estimates with data available for 2 years. So therefore, variability will be less, but still on the wind, the average would touch around -- it takes about 7-year period where you get evened out and then you get exactly the PLF of what you envisaged for it.

Year-to-year variations cannot be counted in terms of wind. The wind itself is a cycle of 7 years,

which is known. In fact, even when we do the analysis, we do it for the entire life of the project and then you will get the same at the end of it, but the quality of wind data, when you selected a site becomes very, very important.

So you've got to have those wind masks, you got to have the 2-year data, if you have selected the site to somewhere, where you don't have proper wind data and you made a mistake then you made a mistake.

Puneet Gulati: Understood. That's very helpful. And lastly, for your new upcoming orders that you'll be participating, do you see a higher share of utility-scale projects or more C&I coming in on the wind side?

J.P. Chalasani: If you see today, our C&I continues to grow, while the percentage wise, if you see there's a slight shrinkage that's only the percentage wise, because of public sector has grown, significantly.

Otherwise, in absolute terms, the C&I continues to grow. We expect C&I the growth rate will remain the same with what we have seen earlier.

The public sector will continue to increase for us. And obviously, the bid availability will be there, big projects on these, but that's -- it's depending upon the competition, whatever we can increase, we can increase. But in order of magnitude wise, the C&I PSU and the bid. I don't call it as utility, is a bid. The bid again you have two categories of people. Utilities which are participating with bidding, they'll continue -- we'll continue to grow with them.

Puneet Gulati: Understood. And lastly one more if I may. On the wind side, there is also a big talk of movement towards solar plus BESS, does that worry you at all or do you think the hybrid product is still stable?

J.P. Chalasani: See, at the end of the day, you need to look at when is the demand and what is the tariff. From the point of view of the grid is offering today. And we have already clearly seen that the -- in the solar hours, the tariffs are now touch the zero number of times. And also, if you see, it is not just a tariff alone, the grid stability wise.

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Almost about 20% of the time in FY '25 second half, that is October to March, the grid has seen a frequency going beyond the norms. So therefore, obviously, there is something called during this period solar increasing it. Now at the same time, if you see in the evening peak and other peak hours, the demand is going up.

In fact, there is a prediction that there will be a shortage of capacity even in July and August. Whether it is solar plus BESS, it is on the solar or wind is immaterial. What -- which product gives you, depending upon when you want power that is what will happen. So therefore, the -- whether the wind is cheaper and the solar is cheaper, the BESS is cheaper is not an issue. Issue is that at what point of time, what is your load curve, at what point of time you want power,

er, which offers the lowest combination will continue to be there. All three will be there for exist, but the design of the product would change depending upon what products are you asking for - - are you asking for around the clock, are you asking for morning 2 hours, evening 2 hours or what are you asking for?

But I don't see -- to answer you simply, I do -- at least I personally don't see any risk on my experience in the power sector of wind getting impacted because we have solar business, that won't happen, but combination will continue to be there.

Puneet Gulati: Understood. That's very helpful. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Mahesh Patil from ICICI Securities. Please go ahead.

Mahesh Patil: And my first question is on this RLMM norms that are coming, right, which maintain the domestic procurement of towers, blades, gearbox and generators. So just wanted to understand in terms of the capacity that we have or the procurement that we do? How are these four products are we procuring -- how much percentage of this has been procured domestically? And if there is some portion that is not then what are our plans to do that?

J.P. Chalasani: Let me just give you the sector-wise, RLMM the draft notification came on 17 April, doesn't just talk only about the domestic manufacturing. We talked about domestic manufacturing. It talks about cyber security. It talked about having R&D within India, so that you would design your turbines to meet Indian conditions in terms of temperature or parameters etcetera.

Your question being specific to the first one, I'll answer to the first one. These four products what you said, if we look at, first of all, the OEM capacity in the country, these are all numbers returned to MNRE by various OEMs. Back up to OEM capacity today is 20 gigawatts in the country. The gearbox capacity is 29 gigawatts in the country with the different manufacturer, different component manufacturer.

Management: Mahesh can you mute yourself, please.

Mahesh Patil: Yes, sir. I'm sorry that there was some disturbance. Can you please repeat this capacity portion

J.P. Chalasani: OEM capacity is 20 gigawatts in India, installed capacity to supply turbines. The gearbox capacity is 29 gigawatts in India, among three major gear box suppliers. When I'm talking about gearbox capacity, it also includes SEZ means within India SEZ. And there is the blade capacities 28 gigawatts, which includes 11 gigawatts of third-party blade manufacturer means they can manufacture blades for any OEM, they are volume agnostic.

And then the generator manufacturing capacity, almost about 14.5 gigawatts. This is the capacity what is available in India. Therefore, in our opinion, the capacity not being available, projects getting delayed is out of question. And the second is that the price is going up. These are two things what we keep hearing is out of question because the same set of people, if the capacity utilization increases, the prices will actually fall.

Okay, so if today, we have a casting business in this country, which is being used for 25%. If that 25% goes up to 60%, our fixed cost per component will come down so much. Obviously, we can offer much cheaper. And we had a 3 gigawatt of generator factory, which we sold off at some point of time even today, it's not being operational, not even a single generator is getting manufactured because there's no demand.

So these component manufacturers, if the demand goes up on them, the consistent demand is there. The prices are going to fall. So there is an adequate capacity. There won't be any issue in terms of our disturbance in terms of supply or the costs will not increase. That's what we believe. And as far as we're concerned, we completely comply with these conditions. We have no issue

with

respect to meeting all those conditions, whether it is manufacturing or it is cyber security or it is R&D. We are completely compliant today and we have no problems at all. And that's what we have written to government of India saying that we welcome this and we actually support this.

Mahesh Patil: Sir, one related question is when -- so you have mentioned that we have enough capacity in India itself. But when we look at the competition also, so that means they will likely will not face any challenges. So because of what I'm referring to is that NITI Aayog paper wherein the compliance was mentioned as lower for some of the other peers.

So I was just thinking, do we have any advantage -- competitive advantage here because of this or -- but there is enough capacity, so there may not be anything like this, right?

J.P. Chalasani: The advantage is that it is a domestic manufacturing and domestic procurement, we as an Indian company would in India will have a level playing field. Compared to some of the people, who are getting some products, which may -- they may look initially cheaper, but I don't think they will have a similar life cycle cost.

So therefore, what would happen this is advantage to us is that we will be competing on the same ground with everybody today in the country. So that's what I look at this whole thing is going to be. In our own country, we'll get the level playing field.

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Mahesh Patil: Okay. Got your point. I am sorry sir I missed that part where you gave guidance for FY '26 order inflow. So that and one related question is, I think we have a capacity of 4.5 gigawatt, so do we have it sufficient to beat this demand or are we doing something on the capex side as well in next 1 to 2 years?

J.P. Chalasani: Yes, 4.5 gigawatt is what can be supplied. When there is a bit of an inconsistent demand on quarter-to-quarter base. There is a consistent demand with improvements in productivity. This 4.5 actually without adding any further manufacturing capacity and deliver 5.5 gigawatts, existing capacity.

But then provided you have a consistent demand and we know, that's going to be taken, and then we can improve the productivity of -- due to our 3-shift operations in the thing. Same capacity can deliver 5.5 gigawatts.

But then what happens is one quarter, 1 gigawatt demand and second quarter, you have 2 gigawatts demand and that variation that's where we say that 4.5 gigawatt is our capacity. And we've been on record and Himanshu also said a number of times that for us to enhance further capacity is required. Is we don't need to enhance the nacelle capacity. It's a question of the blades. You can always add more moulds, so which is not a high capex -- if you're not a capex intensive or not it needs time. So therefore, there's a demand capacity is not a constraint for us.

Moderator: The next question is from the line of Deepak Gupta from JM Financial.

Deepak Gupta: My first question is on the guidance that you've given for FY '26 in your opening remarks. Did I hear it correct that you're looking at 50% growth across all operating parameters. And if you could specify what operating parameters are you specifying?

Himanshu Mody: So, but we mentioned we're looking at about 60% growth across the parameters. So be it RR, as we call it, our deliveries, our revenue, EBITDA, normalized PAT, of course, not taking into account one-off DDA, across all these parameters, we are confident of a 60% growth in '26, over '25.

J.P. Chalasani: Only exception would be COD, which would be much higher than 60% because obviously, this year was a lower year for us. That's the only exception, which will allow multiple times than what we have done this year.

Deepak Gupta: And what is the current deferred tax asset on the balance sheet?

Himanshu Mody: So currently, we've created a deferred

tax asset of about INR638 crores in this financial year. So

we have created this on the back of assessed losses. So assessed losses in the books are about INR2,500 crores. So clearly, as per the IndAS 12, which provides that even now that there is an absolute certainty of profits in FY '26 for the corporation.

Based on the assessed losses that we have, we've taken the DTA at INR638 crores. Of course, there are additional losses that are available in the books, but those are not assessed as yet as and

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when those assessments get completed and based on how the company tracks along, there could be a possibility of creating for the DTA as well.

Deepak Gupta: Understand. So therefore, there will be likelihood of no tax liability for the next 3 years?

Himanshu Mody: I won't say 3 years. I mean, clearly, the DTA that we've created would start getting charged into the P&L from Q1 of this financial year itself. So whilst it will be a P&L charge, there won't be a cash outflow. And basis the performance in FY '26, our belief is that a large part of the DTA that's been created in Q4 shall get absorbed during the year in FY '26.

Of course, if there's any new DTA that gets created is contingent upon complete the assessment of the losses getting assessed by the department.

Deepak Gupta: And just last question from my end. As I look at your quarterly numbers, you've shown a sharp improvement in EBITDA margins for the quarter despite our contribution margins coming off meaningfully, largely led by lower employee expenses. If you could give us a sense, how do you see EBITDA margin shaping up on a full year basis on a consolidated basis in the coming years?

Himanshu Mody: So EBITDA margin on a consolidated basis for the full year this year has been about a little over 17%. And we would maintain that for FY '26. So we would also be around the same 17% margin for the full year FY '26. Of course, when you look at the contribution margin, that shifts because as the WTG business volumes or numbers increase, which is a lower contribution margin business as compared to the OMS, the consolidated contribution margin would see reduced number in terms of percentages.

So if you look at our consolidated contribution margin for FY '25, that's about 33.7%, which is about a little lower as compared to 36% in FY '24. That's purely because we've doubled the WTG division in terms of deliveries in FY '25. And as we move along in FY '26 with the growth that we're expecting in the WTG division, that contribution margin will come down, while the consolidated EBITDA margin, we'll be able to maintain.

Moderator: The next question is from the line of Shweta Dikshit from Systemix Group.

Shweta Dikshit: My question is what is your -- what are your thoughts on longer and growth trajectory in terms of delivery. We agree that we've given a guidance of 60 growth for FY '26. But if we broaden our horizon, if you look beyond FY '26 and go towards maybe a FY '28, '29, '30, what could be the growth that is in your vision at this point?

J.P. Chalasani: See, we gave a guidance for FY '26. So therefore, obviously, FY '27, FY '28 as we move ahead, we see it. As we see it today, obviously, there is -- while we don't have the guidance beyond the first year. But if you look at the sector that we said directionally, we are at 51 gigawatts today, and then we want to touch at 100 gigawatts.

We can always argue that it will be 100 gigawatts, it will be 90 gigawatts or 85 gigawatts. Even if you take the lowest of 35 gigawatts, we are talking about an average of 7 gigawatts per year in India. So therefore, you can see that there is going to be continuous growth. Compared to FY

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'26, expectation in FY '27, the capacity addition in the country will be higher and '28 will be still

higher.

So until '30, you will see year-on-year growth in country's addition. So it's reasonable to expect that there is a growth rate, but to what and how much is -- I don't think we are in a position to give guidance in this stage. Directionally, yes, we'll continue to grow.

Shweta Dikshit: I want to understand your thoughts on what's happening on the replacement market, what is -- like how is this market expected to turn around in the next coming years? Next few years, since a lot of older turbines are still in place? And what exactly is happening or could be expected in that market segment?

J.P. Chalasani: See there are 2 types of repowering potential what we're seeing. 1st is you don't change much, you just increase the capacity by maybe replacing your just the blades of it or the nacelle that's one type of thing. We are working on a product for that, which can replace -- can increase the capacity of some of our older turbines, which are of lesser capacity. That we mapped -- there is a significant amount of potential for that and which we would see that tapping the potential or maybe starting towards end of this year and what's picking up next year.

Second type is start to be repowering is really the -- where there is a fag end of the life, uprooting completely the existing turbines. And because these sites are of high wind regimes, replacing them with the latest turbines with much higher efficiency.

So that will take a little longer time because currently, everyone is preferring the virgin sites, because the cost of uprooting and these are STU-connected sites, whether we have a market for that, I think that will take a little lag time. But the first one what I said repowering is going to start, and then we expect that to make some start this year, but we will see traction for that in FY '27 and FY '28.

Shweta Dikshit: Sir, any chances to quantify this number in megawatts?

J.P. Chalasani: No, no. Right now, it's in the beginning stage with us, let's wait and see that, first thing is to make a start, okay? So then we can start estimating how much will be for FY '27, how much will be for FY '28?

Moderator: The next question is from the line of Ashish Aggarwal from Sundaram AMC.

Ashish Aggarwal: 3 questions from my side. First of all, when you gave us guidance of 60% growth on EBITDA, given the contribution, this should be growing at more than 60%, theoretically your EBITDA should be going faster, given your fixed cost will not define it the same.

Just wanted to understand where we are missing this thing. And secondly, on the segmental margins on the O&M business, it seems like that the margins have grown very sharply. Anything one-off in that one should be aware of? And lastly, on the balance sheet, there are really very sharp increase in contract capabilities. What is the reason for this...

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Himanshu Mody: So to answer your first question on the 60%, when we say 60% across all parameters, we went a minimum of 60%. Yes, you're right in your estimates that the EBITDA growth would -- or rather could be higher than 60% based on the logic that you drew up in your question. So when we give a guidance, we're saying that it would be a minimum of 60% across all parameters, that does not necessarily mean that it will be exactly 60% across all.

J.P. Chalasani: Because like I said that COD will be much different, commissioning of the turbines. Capacity will be much higher than 60%.

Himanshu Mody: So read that guidance of 60% as a -- with minimum as before it. To answer your question on the OMS margins, if you look at our contribution margin on the OMS business, that's about for the full year, 68%, that we maintained.

Last year, it was about 66.7%. And if you look at the Q4 this year, it's about 69%. Now of course, I'm not sure which exact numbers you're looking at. But all

so, but keep in mind, we are started

having Renom, which would be a separate division of multi-brand O&M. That would take the consolidated O&M division margins down. If we put Renom as a division also as far as part of the O&M, which so far we haven't. But there are no significant one-offs.

The margin guidance on O&M business, we continue to maintain would be in the late-60s at the contribution level and at about 40% from an EBITDA perspective.

Ashish Aggarwal: Sorry, what I meant was on the P&L, right, on the consol P&L, if we look at the segmental profit. It seems like that the segmental margins in O&M has declined from roughly 38% to 26%.

Himanshu Mody: No, no, no. That's the O&M margin, if you're looking at along with Renom, then yes, it would have declined along with Renom and international. When we report the 38% operating margin that is just the India O&M. But when you look at the segmental in the REC-33 results, that comes along with the international O&M also, which takes the margin down.

But that business is very small for us. So you should just look at the India O&M, which is if you look at the investor deck and not the REC-33 results, you will be able to correlate the 2 numbers.

Ashish Aggarwal: Yes. Because in the investor presentation, it's driven 40%.

Himanshu Mody: Yes. So my suggestion would be that whilst, of course, I cannot -- we cannot ignore the REC-33. But for the India O&M margins, please look at the investor deck presentation. And I mean, if you have, of course, any detailed follow-up queries on that, we can do a one-on-one follow-up call.

J.P. Chalasani: Or look at the absolute number instead of percentage.

Himanshu Mody: And with regards to your last query on the liabilities, we've created about close to INR900 crores of liabilities on the balance sheet. That is on account of 2 events. 1 is, of course, the additional stake buyout of Renom. As you know, we bought 51 -- a little over 51% during FY '25. There are certain put call options that have been built in when we signed these original SHA. So

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approximately about INR400 crores of liability -- contractual liability has been built on that count.

And another close to INR400 crores has been built on account of the One Earth, which is the Pune-based headquarters that we have, wherein we have a put call option that kicks in about 12 to 18 months from now. So based on these 2 contractual liabilities, which are probably more than -- more than 1 year down the road, we've created those liabilities in the books.

Moderator: The next question is from the line of Dhawal Doshi from Dymon Asia.

Dhawal Doshi: My questions have been answered. Thanks a lot. Himanshu, when you are referring to the analyst estimates for giving guidance...

Himanshu Mody: Thanks Dhawal, learnt from you.

Moderator: The next question is from the line of Arun from Geojit Investments.

Arun: I wanted to understand on like why the cost, like the gross profit margin has come down in this particular quarter. And I see that the cost of raw materials is higher, right? So what is the reason for that? And also similarly for the finance cost as well?

Himanshu Mody: So again, Arun, as I mentioned earlier, as the share of the WTG division in the consol numbers keeps increasing in absolute rupees crores basis, the consolidated contribution margin will keep coming down because the WTG business has a contribution margin of close to 23%, while we -- and that is growing at a rapid pace. While the O&M business, which has a contribution margin of close to 68% is kind of flattish or growing at an inflationary growth rate.

So therefore, when you look at it on a consol basis, the gross margins will come down, even despite us having a better COGS, which is resulting into a higher contribution margin for the

WTG business.

Arun: Okay. And then the other question was on -- actually, like recently last Sunday, if you see the spot prices on the electricity market, had almost come down to 0, right? It does, I think the minimum clearing price was around INR0.5 per kilowatt hour.

And this has kind of put the question on whether there is a green energy surplus risk that we all should be factoring in, which could probably lead to further like curtailment on renewable additions. So I wanted your thoughts on that and also like what is your expectations that you have built for capacity additions for the upcoming year, for say for the next 3 to 4 years?

J.P. Chalasani: Yes, I think, when you said that it has reached to 0 because that's right and in fact, it can even negative as we move ahead. But then you need to see at what point of time. You have a demand curve for 24 hours, and 8,760 hours in the year. What you are seeing is surplus power on supply side and less on the demand side is a solar generating hours. That's where we have the surplus, which is causing that prices to fall and also causing the grid frequency to go up, as I said earlier.

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At the same time, when you see the tariffs on the exchange during the wind generating hours, it continues to be plus INR4.50 to INR5, whereas a prepaid tariffs of INR3.6, INR3.7 the exchange is still at that point of time, the prices of INR4.5 to INR5. And that demand during that particular part of time is continuing to grow.

As I also said at the cost of competition that the national load dispatch center has predicted that in the month of July and August. The loss of load probability is as high as 40% for the evening hours, okay? And we are expecting the 25 to 30 gigawatts shortfall during the hour. So therefore, the demand continues to be there. And even if you see the overall electricity demand projections are anywhere between 6% to 7% the commission growth.

But at what point of time. So that is the reason some time back, I said that it is a question of when do you want power and at what point of time. Accordingly, your renewable energy mix will change okay? So that is what is important. The only question of looking at exchange, a

minimum price doesn't make any sense, we need to see at what point in time the minimum is reaching. It's only reaching business solar generating hours, but just so the time prices are going up.

Arun: Understood, understood. Second question is concerned that we come back to 4.1 gigawatts what we commissioned this year. We expect this to be north of 6 gigawatts in this among and in FY '26 and at about 7 to 8 gigawatts in FY '27 and demand that are go to about 9 gigawatts thereafter.

Looking at -- looking at the current way the project development pipeline is taking shape from various people as well as looking at the grid capacity what is going to come up.

Moderator: The next question is from the line of Pradyumna Choudhary from JM Financial.

Pradyumna Choudhary: Again my question is something, which have been previously as well as addressed to a certain extent by you, regarding how would you compare solar plus wind to solar to battery in terms of cost. Why am I -- and also, when you say that it depends on requirements, what mix would be used given that battery is a storage project.

So what is the solar plus battery not really automatically solve for solar plus wind as well. Like it can be used during wind generating as well in case of solar plus battery?

Himanshu Mody: See the solar plus wind hybrid tariffs, we all know, is still running around INR3.35 to INR3.4 per kilowatt hour. Okay, hybrid. That's a solar plus wind tariff. And solar plus the battery, the only 1 bid has been seen till now declared, which was for the existing solar connected people, they said that we need power in the evening peak

and the morning peak for 2, 2 hours or so, which tariff came to INR8, which I don't think we'll move ahead.

Simple thing to understand is that the pure wind is INR3.6 to INR3.7. In fact, even if you look at past 3 bids, which got awarded, which got open up and awarded in the first 3 months. In this financial year, this average is about INR3.76. That's a tariff of wind. Solar is now at say around

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INR2.55 to INR2.6 is domestic, INR2.56 plus the battery cost. So unless the battery cost is less than INR1.25 per kilowatt hour. So plus storage can never replace wind as simple as that.

So therefore, I don't think it's an issue. But having said that, again, I want to say that it is not solar-plus battery versus wind. It is all 3 combinations depending upon what profile of generation you want to meet your load curve at what point of time you want this. That is what we'll decide whether -- which combination of renewable energy capacity we need to create at the back end.

Pradyumna Choudhary: Understood. Sorry, and just missed the number you gave for solar and battery, what's the tariff?

J.P. Chalasani: Sorry, come again?

Pradyumna Choudhary: Sir, I just wanted to...

J.P. Chalasani: Solar plus -- pure solar plus battery 1 bid came up. The -- which is that they asked for. It was open only for the existing solar connected people developers, where they can put additional solar capacity and put the back end supply in the evening peak, that tariff was somewhere around INR8.

So obviously, yes, yes. But subsequently, the battery prices are coming down. So even today, I don't see the solar-plus battery tariffs can be anywhere less than INR6.5 to INR6.75 per kilowatt hour. So let's wait and watch. But again, I said that it is not a comparison of that wave, when you need power is what makes a difference. For example, now the CRC has come up with a draft and then everybody has commented on opening up the connected substation connectivity during non-hours, where solar is already connected.

When you do that the wind can get connected. Obviously, wind also generate in some time day time. But then you put some battery there in the day time and then for the wind to pull the battery and then rest of the time, pure wind, that is very competitive. So therefore, there are so many new opportunities are coming up. And again, I say that this is not one versus other. It is exactly what combination gives you deepest power for you or the demand curve, what you're proposing.

Pradyumna Choudhary: Sir....

Moderator: Sir, your voice is breaking up. Can you please ask your question again? The next question is from the line of Mayank from AMC.

Mayank: My question is related to the possibility of your import substitution when we talk about the manufacturing of the blades and nacelle -- so how do you foresee that in future? What are the components currently do you import from outside India and...

J.P. Chalasani: No, we don't import as well. First of all, we don't import. Our domestic component is anywhere up to 80% today. And given some of the imports we do is most of the supply security. But as I answered sometime back in detail on this question, there is much more than the required capacity in India of various components.

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So therefore, I don't see any issue in terms of that mandate what RLMM draft guidance came in to say that all these 4 components to be manufactured in India. I don't think, we personally don't see any issue, not just for Suzlon for the sector as a whole.

Mayank: So in that sense, I mean what could possibly be a backward integration for us, if at all, we think on that...

J.P. Chalasani: Today, we do ourselves nacelle. We do ourselves the blades -- so the -- we procure the gearboxes and which is domestic. And then it's our fourth

component they put in generators, earlier we

used to manufacture our own generators in joint venture, which is we sold.

So therefore, we're still buying from the same company. So at this stage, we are not really looking at backward integration because for us, as Suzlon, nothing is changing by this import substitution. It's not changing for us as far as we are concerned.

But then if your question is that because of this is coming in, is there a potential opportunity for us to do some more backward integration. Possibly, the answer is yes, but it's too early to talk about that.

Mayank: Okay. And secondly, the R&D expenditure for this year, could you give the number.

Himanshu Mody: So R&D expenditure has been close to about, I would say, INR150 crores historically. And going forward, we may be having an increased R&D expenditure. So I would say about INR225 crores would be the R&D expenditure estimated for this. For this '26. Yes, '26.

Moderator: The next question is from the line of Shiva from Purnartha Investment Advisors. Yes, sir, the current participant has been disconnected. We will move on to the next question. It's from the line of Sunil Jain.

Sunil Jain: Sir, can you give why the interest rate and depreciation both have increased sharply in this quarter and how it is likely to move?

Himanshu Mody: So firstly, on the depreciation, for Q4, it is at about INR93 crores as compared to INR66 crores in Q3 of the same financial year. Now the increase has been on 2 accounts. 1, of course, due to the Renom acquisition, we have capitalized certain items, which over a period of 5 years, we shall be providing for. And also, there have been certain one-off small IT assets that we've provided for.

Going forward, in terms of the depreciation forecast, I think it is safe to assume that with the increased capex on capacity expansion, plus the Renom, the intangible that we've created writing there of over 5 years. It is safe to assume about INR350 crores to INR400 crores of annual depreciation cost going forward. So far as interest cost has been -- is concerned, again, we've started consolidating Renom, which has a small working capital, which is a cash credit debt of about INR120 crores.

Additionally, we made a small borrowing in our subsidiary SE Forge in Q4 of about INR100 crores, for which there have been certain onetime costs and the interest on that has been -- it's Suzlon Energy Limited

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starting to get charged. So as we used our increased working capital for enhanced deliveries plus these couple of items, the interest costs will go up. So if you look at our full year interest cost this year has been about INR150 crores. We estimate that going forward for FY '26, this will be close to about INR250 crores.

Moderator: The next question is from Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: So, my question is in relation to SE Forge. Is it ready now to cater to forgings of 3.8 megawatts for internal requirements and for external sales in wind? And are we going to see the acceleration in top line in SE Forge in FY '26, given that this did not happen in FY '25, despite sharp increase in delivery?

J.P. Chalasani: So, I think in FY -- Sumit, if you see, while you are right, on an overall year basis, not much of a change compared to last year to this year, there is some growth. But if you see the quarter 3 and especially the quarter 4, we're seeing that increasing trend now coming up. So we expect to maintain that momentum of quarter 4. And then obviously, we expect that this year would be different for SE Forge.

And to answer your first question, yes, it can supply for our 3 megawatts turbines and this is also supplying -- continue to supplying and we are also trying to be enlarge our capacity there to even meet the larger diameters. More importantly, we are now looking

at the non-wind sectors within

India, plus that also significantly concentrating on exports as well.

Sumit Kishore: Logically, I was thinking that if there is like 60% growth in deliveries at the minimum, then

some of that growth should get reflected in SE Forge as well because there is a significant portion, which is for Suzlon itself?

J.P. Chalasani: I agree -- what will happen also is that it is the domestic manufacturing requirement comes in. So obviously, I think that also will though castings are not put there, the bearings are not a put there. And I think assuming that they're all going to move in that direction. So obviously, the that will benefit SE Forge as well to improve its capacity utilization factor. But they are not waiting for that, they are now looking at non-wind in terms of railways, defense, et cetera, plus looking at the export market.

Sumit Kishore: Got it. One question for Himanshu on capex, now that you have done one with the 4.5 gigawatt capacity related IT capex. So are you still going to have more than INR4 billion of capex in '26? Or is it going to come off now?

J.P. Chalasani: If you don't ask Sumit that's when the next model coming.

Himanshu Mody: And also, I think from a cash flow perspective, we've incurred about INR350 crores of capex in FY '25. And as we've guided earlier that it is safe to assume INR400 crores of capex year-on-year. A part of it is sustenance capex, but also a part of it is whether it is R&D, IT or capacity augmentation. So whilst we are working on fine-tuning some of our aggressive capex plans for Suzlon Energy Limited

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this year, but certainly, you can assume a base case capex of close to about INR400 crores to INR450 crores also this year.

Sumit Kishore: Got it. And just on tax rate for the full year '26, I know that there are moving parts, but what is the reasonable tax rate to assume for the company? Or how should we think about tax rate for FY '26 and even FY '27 where you move to a normal tax rate?

Himanshu Mody: So I think 25%, Sumit, is, I would say, safe to assume. So as I explained on the call earlier, the DTA that we've created will start getting charged back into the P&L from Q1 of FY '26 onwards itself. So when we speak again in July, you'll probably see a charge of -- charge back of -- or a charge-off of the part of the DTA in Q1 itself.

Sumit Kishore: You will start seeing a positive tax rate as a percentage of PBT, starting Q1 of FY '26 itself?

Himanshu Mody: Yes, that will be a P&L charge, but not a cash outflow for the company. Yes.

Moderator: Ladies and gentlemen, this was the last question for today's conference call. I now hand the conference over to Mr. Himanshu Mody for closing comments.

Himanshu Mody: Okay. Thank you, everyone, for attending the call. Our Investor Relations team will be available for any further detailed queries that you may have. And we look forward to interacting with most of you at either one-on-one or separate conference forums over the next few weeks. So thank you, and all the best. Bye-bye.

Moderator: Thank you. On behalf of Suzlon Energy Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

20th August 2025.

National Stock Exchange of India Limited,
"Exchange Plaza", Bandra-Kurla Complex, Bandra (East), Mumbai-400051. BSE Limited, P.J. Towers, Dalal Street,
Mumbai-400001.

Dear Sirs,

Sub.: Q1 FY26 Earnings Conference Call.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you,

Yours faithfully,

For Suzlon Energy Limited Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited
Q1 FY26 Earnings Conference Call"
August 12, 2025

MANAGEMENT : M R. JP CHALASANI – GROUP CHIEF EXECUTIVE
OFFICER –SUZLON ENERGY LIMITED
MR. HIMANSHU MODY – GROUP CHIEF FINANCIAL
OFFICER –SUZLON ENERGY LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Suzlon Energy Limited Q1 FY '26 Earnings Conference Call. During this call, the company management may make certain statements that reflect their outlook for the future, which could be constructed as forward-looking statements. These statements are based on management's current expectations and are associated with uncertainties and risks. As detailed in the annual report, actual results may differ. So these statements could be reviewed in conjunction with the risk the company faces.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on a touch-tone phone. Please note that this call is being recorded.

We will begin with opening remarks followed by a Q&A session. To be fair to others, we kindly request each participant to ask no more than two or three questions. From the management, we have with us Mr. J.P. Chalasani, Group CEO; and Mr. Himanshu Mody, Group CFO. Thank you, and over to Mr. J.P. Chalasani, sir.

J.P. Chalasani: Thank you. Good evening, everyone, and thank you for joining us for Suzlon Q1 FY '26 Earnings Conference Call, especially considering that these are crowded days for results. This year is a momentous one for us as we celebrate 30 years of Suzlon. Over the past 3 decades, we have consistently demonstrated resilience, innovation and future focused mindset that continues to shape our journey.

Talking about the industry, the recent amendment to the wind AL MM procedure by MNRE marks significant policy shift, one that is expected to realign industry dynamics by providing a level playing field to all participants and strengthen supply chain resilience.

Suzlon is fully compliant and strategically aligned with the policy framework. On the commissioning front, the industry is over 2GW is already commissioned in the first 4 months of FY '26 signaling a positive shift in the execution phase. We expect the industry to do close to 6GW of wind installations in FY '26.

Coming to business highlights. We are delighted to report yet another record-breaking quarter with Suzlon setting a new benchmark in execution by delivering an unprecedented 444 MW in Q1 FY '26, which is the highest ever first quarter deliveries in the last 30 years.

Our order books surpassed 5.7GW, marking 10 consecutive quarters of growth and reaffirming our leadership across PSU and C&I segments and utility segments. Order book for S144 now exceeds 5GW, a testament to superior technology and strong customer confidence. We take pride in stating that S144 has the lowest carbon footprint across all the OEMs globally and complies with the latest MNRE regulations.

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On the manufacturing front, our capacity of 4.5GW is fully operational and ramped up to meet the order book. At Suzlon, we commissioned 117MW in Q1, with an additional 547MW of erected WTG currently in the pre-commissioning stage bringing the total to over 664MW. With less than 25% of our order book comprising non-EPC projects, where land acquisition lies outside our scope, client-side delays have impacted commissioning timelines. To address this, we have prioritized the projects with partial land availability upfront. Looking ahead, projects which come with substantial land readiness are progressing well and offer greater commissioning visibility for FY '26.

Additionally, Suzlon is actually pursuing a long-term strategy to mitigate land-related delays by developing an active project pipeline. Our OMS business continues to do well with more than 15GW of capacity in India, with machine availability

ensured above 95%.

Renom continues its stride for customers' fleet acquisition with AUM crossing 3GW. Our Forging and Foundry business started showing upticks in the last 3 quarters and we expect to continue this trend in FY '26. Our top priority remains the timely execution of our robust order book, while maintaining the highest standards of quality in ESG. We remain committed to achieving our FY '26 guidance of 60% year-on-year growth across all key performance parameters. I would now like to invite Himanshu to take you through our financial performance.

Himanshu Mody: Thank you, J.P. sir, and good evening, ladies and gentlemen. As always, for this discussion, I shall be referring to Slide number 19 to 26 of our investor presentation, which has now been uploaded on our website. Taking you through the Q1 FY '26 numbers.

In Q1 FY '26, Suzlon continued its exponential growth trajectory, delivering 444MW in revenue recognition, which is recording 62% growth on a year-on-year basis with all financial parameters, showing a strong uptrend. Suzlon reported consolidated revenue of INR3,117 crores in Q1 FY '26 with EBITDA reaching INR599 crores, a robust 62% year-on-year growth.

The EBITDA margin improved by 86 basis points to 19.2%, up from 18.4% in the same quarter last year. We achieved the PBT of INR459 crores, posting a year-on-year growth of 52% over Q1 FY '25. We are pleased to report on our balance sheet as of June '25, reflects our position of exceptional strength with a consolidated net worth of INR6,542 crores, and our net cash position stands at INR1,620 crores, further enhancing our financial flexibility and resilience.

Adequate banking limits have been tied up of approximately INR 7,000 crores for execution of current order book towards working capital requirement. I would also like to reiterate that our end-to-end wind energy model supported by a fully integrated supply chain proven execution capability and best-in-class service delivers a competitive edge that is both distinct and difficult to replicate. With this, I would now like to hand over the call back to J.P. Chalasani sir.

J.P. Chalasani: Thank you, Himanshu. Before we start discussing the results with all of you, I thought it's good for us to upfront the brief you with the development today. As you all know, that which we reported publicly, Himanshu has decided to step down and he would be quitting as a CFO as on

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31st of August this year. Himanshu joined us 4 years back. I still remember -- at that point of time, I was advising Mr. Tulsi Tanti, on key managerial persons hiring.

We had at least 2 or 3 calls at that point of time, for him to take this opportunity and come to

Suzlon the stage where we are in. And it was good that I was able to convince him and he came on board. And he had -- all of you know that he had a phenomenal performance for the last 4 years.

With all that performance as the CFO, obviously, the next question is the growth in the company -- in the financial position that he can't be beyond the Group CFO. Therefore, a few months back, we started discussion and said that Himanshu should move to business for his growth purpose. And in fact, at that point of time, in fact, we started search for the successor of a CFO over a couple of months back, and we have been discussing various growth opportunities for him within the business in the company.

Obviously, while we went through a number of discussions, pros, cons, and also he had an opportunity in the financial sector. I know that it's -- we have spent hours and hours together, as friend, as mentor, as group CEO versus group CFO, we went through various pros and cons of continuing here in the business role versus financial sector.

At the end of it, of all the debate he finally decided that at this juncture, the age where he is in

where he has been an ambition and definitive interest, so he decided to take up the financial sector job. So that was a hard decision for him. But having known that what he went through in taking the decision, we all said we respect the decision and we will support him fully. As he mentioned in letter, obviously, he is available to us any point of time we need to drop on. And I would clearly told him that I take that blank check completely to encash.

And if we would -- I would personally and as a company, we would keep dragging him into all critical issues for support moving ahead. This has been -- I know, personally, it has been a tough call for Himanshu to decide because his heart remain with Suzlon, but the mind always says that what to do next. So I think that's the reason he took this call, and we fully support, and we wish him the best of luck. Of course, he is available to us till 31st of August, and thereafter, as per the blank check is fully available. So I thought I should let you know.

And I also wanted to say that because we were moving into business, we started a search for the Group CFO some time back, and we're in advanced stage of appointing the successor to Himanshu. I thought it's better -- we owe you this explanation upfront rather than somebody asking us. So Himanshu, do you want to add anything?

Himanshu Mody: Yes. Thanks a lot, J.P. sir. It's -- I mean no words can do justice to my 4 years that I've had here.

So it's been a privilege to serve as the Group CFO at Suzlon over the last 4 years. So when I look back at this journey, it's been nothing short of mesmerizing. One that will always remain close to my heart, and will cherish.

From navigating the challenges of a debt-laden organization to now witnessing Suzlon as a cash surplus resilient enterprise, I feel a deep sense of fulfillment. The dream of reviving Suzlon was
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ambitious journey that we embarked upon. And today, I can proudly say that the ship has not only weathered this storm but is now firmly anchored.

With the organization now on a strong footing, I believe this is the right time to explore new professional horizons for me personally, as explained outlined by you. And I echo the thought that it was a very, very tough decision and a well thought through one, after which I have decided to look for opportunities outside Suzlon.

And whilst I will be there till 31st August this year, but as I've also put in my resignation letter and has echoed by J.P. sir, I will be available at the end of the phone should the company, the management or the Board or the Tanti family need me at any point in time. With this, I want to express my heartfelt gratitude to Suzlon family, my colleagues, the leadership team, every individual, all of you who are on this call, several of you have interacted on several occasions, one-on-one.

And I'm sure I will continue to do so in one shape or form. So I really want to thank all of you, investors and analyst community for the support that you've shown in us as the management during the Suzlon transformation journey. With that, I'd like to conclude my presentation, and we can open the floor to discuss any performance-related, Q1-related questions that the callers may have. Thank you, sir.

Moderator: The first question comes from the line of Sumit Kishore from Axis Capital.

Sumit Kishore: My first question is in relation to the Q1 P&L. The Q1 interest cost seems to be up quarter-on-quarter, even though the company is net cash. Is there any specific reason? And also if you could comment on the tax rate. We've started with about 29% tax rate in Q1.

What is the sustainable tax rate we should be working with going forward on an annual basis?

Himanshu Mody: So Sumit, so far as the interest cost is concerned, there are certain onetime processing fees, which we've paid

out to institutions for working capital optimization that you will see in place over the next few quarters. So as you know, a large part of our working capital is or has been dependent on letter of comfort issued by REC, based on which we take exposure from the bank. So it's a double ongoing commission that we are paying. Now with our improved results and with an improved FY '25 performance, there are quite a few banks where we have tied up direct working capital limits now. As a result, there is onetime processing fees that we've paid during the quarter to these institutions.

But as we move along in the journey quarter-on-quarter basis, we'll only -- this will only help us optimize our bank guarantee and LC charges. So whilst you see the net Finance cost at about INR70 crores this quarter, but directionally, we maintain that close to about INR200 crores per annum would -- should be the net Finance cost going forward for the year. So far as the tax rate is concerned, you should stabilize at about 25% through the year? As you know, for this year, it will just be a P&L charge, which is the charge-off of the DTA that was created in FY '25. There is no cash outflow on account of tax.

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Depending on how this year pans out, we may have cash outflow going forward, but you should be working with about 25%.

Sumit Kishore: Okay. And so what was the one-off impact in interest for the quarter?

Himanshu Mody: Sumit, I don't have the numbers handy, but as I said, directionally assume about INR200 crores of net Finance cost for the year.

Sumit Kishore: Okay. Second question is in relation to the phaseout of WTG deliveries for the fiscal. So you've done about 444MW in Q1. I mean, typically, you had a 40-60 H1-H2 mix on a full fiscal basis.

Is this year going to be somewhat different, if at all?

J.P. Chalasani: We expect Sumit to be same. And then we also, as I said in the opening comments, we expect a 60% growth compared to last year to be there.

Sumit Kishore: Yes. But the phaseout will be similar to earlier years?

J.P. Chalasani: Yes.

Sumit Kishore: Okay. And finally, after ALMM, what are the early indications for the upcoming tenders or upcoming bids or orders in terms of competition, especially from the Chinese players?

J.P. Chalasani: See, as I said, Sumit, what the ALMM does -- of course, there are 3 components, R&D and cybersecurity, which we will not talk right now. On the supply sourcing, if you look at it, what it does is, it creates a level playing field because everybody has to source from list of wind turbine components listed in the ALMM wind companies, which anybody wants to list there, there is an inspection process, quality checks before it gets listed.

So I think whatever the disadvantage we had till now with respect to the Chinese the other one, it goes away. All of us are on the same level of playing field. So even with the disadvantage, we had a significant amount of order book and moving ahead I feel it is good for us, the ALMM what has come in, and we are fully compliant on all 3 aspects, whether it is sourcing or it is R&D or it is the cybersecurity.

Himanshu Mody: Thanks, Sumit. And to answer your question, out of the INR70 crores, INR14 crores is the onetime processing fees for this quarter.

Moderator: The next question comes from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My first question is order inflow. How is the order inflow opportunity looking like given some concerns on the slowing down of signing up of power purchase agreements and concerns related to land acquisitions?

J.P. Chalasani: Mohit, first of all, I think henceforth I'm not going to ask my people for business plan, I will look at your analyst report. You seem to be dot on in everything, okay? That's up to you. On the order book wise, if you look at the breakup, Mohit,

for us is that the 54% of our order book is

C&I, not currently with bidding and 21% is PSU and 25% is coming to the

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Moderator: As there is no response from the participant, we'll move to the next participant. The next question comes from the line of Amit from Morgan Stanley.

Amit: We see continued increase in your other expense and employee costs, where we were expecting that we will have some operational leverage once volumes pick up. So can you please throw some light on it. Because on contribution margin level, things are good, but O&M and employee cost increases. And on the other hand, your O&M business margins are declining. So is there some linkage that we can rely over here on cost controls?

Himanshu Mody: Amit, before I answer your question, firstly, I just want to make sure, are we audible?

Moderator: Yes, sir, you are audible.

Himanshu Mody: So from a manpower cost perspective, as we've maintained that -- I mean, of course, OMS will continue to deliver close to 40% EBITDA margin. That has always been our guidance. And we are very close to that. So quarter-to-quarter, it may differ based on certain onetime income or onetime charges. So the range may vary from a tight range of 39 % to 40%, depending on quarter-to-quarter.

But going forward on the overall breakeven analysis for the WTG division, as we maintain that about 700 to 750MW, so long as we do, we will be breakeven at the EBITDA level. And we will ensure that the manpower costs or other operational costs are kept under control with that. Another feature that we've started adding from Q1 this year is that the annual PLI provisioning, which historically was done to the extent of 80% because company was always falling short of its targets or for obvious reasons we know of. But now we started provisioning the PLI to the extent to 100%, which means that we are, of course, confident of meeting our own internal budgets and targets, which are in line with the guidance that we've offered to the street.

Moderator: The next question comes from the line of Sucrit Patil from Eyesight Fintrade Private Limited.

Sucrit Patil: My question is to Mr. J.P. As Suzlon grows in the wind energy and maybe it looks like new markets or tech, how are you planning to keep the growth steady if demand slows or there are some policy changes? And if some plans say don't work out, do you have a backup to protect the margins and keep moving ahead?

J.P. Chalasani: Yes. Obviously, if you see that today, our -- the order book is 5.7GW, as on today as we speak. And then there are many more orders, which are under the discussion. So there are sufficient order book for this year, next year. And the other one, as I mentioned sometime back, our order book is predominantly for C&I segment and the PSU segment, which is not going to stop, okay? Because the C&I segment needs this switch over to renewable energy for the tariff arbitrage as well as for the green energy for their products. And PSU would continue to be there. If at all, we can speak about is that will there the PPA signed and the bidding route can be slightly slowed down, but I don't see the overall impact to that extent.

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We are very much on target to reach that the -- if not 100, as we always mentioned that we will definitely touch 80 and 90GW by 2030, we will reach there. Even today, as we speak, about 17GW of wind is under construction, and we already crossed about 51 GW or so.

And I really don't see that as an issue. And as we mentioned sometime back that to ensure that anybody is backing out, we are always consciously overbooking compared to what we can supply in a quarter or in a year.

Sucrit Patil: Just curious, in case the competition picks up, so are you thinking of going into JVs or into partners

hip with any firm? And if possible, can you discuss with whom would you be partnering up in the future?

J.P. Chalasani: We don't need to partner with anybody in India. We are the leading wind manufacturer and the competition has been there. Competition will be there. Only the competition would keep changing. At one point of time, we were competing with European players.

And today, we're competing with Chinese players. Competition would always be there, and we always remain in the market. We bring our models because we have an in-house R&D. We bring our models, which are more competitive. The ALMM has come, new ALMM regulations have come in, which I mentioned some time back, also removes our disadvantage, and we are on the same level playing field with everybody.

So therefore that competition of cheaper imports is not there anymore moving ahead. So therefore, I don't -- it's not out of sense of arrogance, but I think magically if you see, that won't be an issue. But having said that, we always need to keep working towards the reduction of cost per kilowatt hour of our turbines, which would happen from the point of view of reducing the cost of procurement, COGS as well as improving the efficiency of each of the turbines. And as in the next few months, you will see that newer and newer versions coming in, in terms of the same platform with improved efficiencies for our turbines.

Moderator: The next question comes from the line of Sidhartha, an individual investor.

Sidhartha: Congrats on a great set of numbers, sir. Two questions I wanted to ask, one on the new product development journey that you just talked about. Could you please throw some light on what kind of product development journey we have? I understand the S144 is one of the highest performing products in the market today, but are you looking to launch products beyond the 3.15MW, say, somewhere around 4MW turbines?

J.P. Chalasani: Let me not put a number to it, but the -- as you know that we are the only Indian OEM who has in-house R&D. We keep developing models from time to time. So the -- what we do is that because we studied -- I mentioned this in the earlier calls as well, because we studied wind data

across the country from time to time every year, we keep new wind sites. We know what type of wind sites will come in 2 years, 3 years down the line and what type of a turbine model is required there so that cost per kilowatt hour doesn't go up. So once one model is out even before that is out, next model is always on the design for us.

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I can assure you that the next set of models would come in time. And also, let's understand the fact that the megawatt size doesn't make any sense in India, especially. What is important is what comes as cost per kilowatt hour. So in fact, India is best suited for anywhere between 3 to 4MW because of our low wind speed and we are not suitable for high this thing. And second thing is also logistics is an issue.

So therefore, it takes some time before large turbines can be transferred to the site. But to answer your question, yes, we will bring out the next model as and when we think it is necessary.

Sidhartha: Sure. And the second question on the industry dynamics. As you rightly pointed out, the LCOE is the North Star metric that a customer basically looks at. The battery prices decreasing further.

Now we see that there is some indication that prices may go up. But are you seeing that a solar plus BESS sort of a system would displace wind except for the F DRE projects?

J.P. Chalasani: Yes. We discussed earlier. Wind tariff is, let's say, anywhere between INR 3.6 to INR 3.9 depending upon which state what it is, okay? And most of it comes during the peak hours -- evening peak hours. If you are putting solar plus the battery, solar tariff is, let's say, 2.5, 2.

6

today with ALMM requirement.

So if I take out the 2.0, unless the battery cost is less than 1.2 per kilowatt hour, the solar plus battery can never ever replace wind. Therefore, what would actually happen is nothing to do one replacing the other. The different combinations of solar plus storage, wind plus storage, solar plus wind plus storage would come in depending upon the load profile of different states or different requirement. I don't think one is going to replace the other one, which won't happen. And also from a grid stability point of view, it can't happen.

Moderator: The next question comes from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My question was how is the order inflow opportunity looking like given concerns on slowing down of power purchase agreements and the concerns related to land acquisitions? That was my question, sir.

J.P. Chalasani: If you look at last 10 quarters, 9 to 10 consecutive quarters, Mohit, our closing order book has been higher than the opening order book in spite of the fact that the deliveries each quarter have been increasing, okay? So therefore, order inflow has been very steady for the last 10 quarters. This itself shows sustainable growth. This shouldn't be an issue. Having said that, looking at the order pipeline, what currently we're discussing, one is we have 5.7GW and second thing looking at the order pipeline what we have we are discussing.

I don't foresee order -- which I mentioned earlier, order is an issue for at least next couple of years. I don't think that's an issue with respect to the next 2 to 3 years. We will have enough order book flowing in from C&I plus also the -- see, our advantage is also that slowly we will move ahead with the EPC, EPC nobody offers with land, then with OMS, plus ALMM. All this put together, I really feel pretty confident that order book will not be an issue.

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Mohit Kumar: Understood, sir. My second question, sir what are the aspirations for us for SE Forge for next 3 to 4 years?

J.P. Chalasani: See, Mohit, it started -- first of all, we wanted actually to put it on the growth trajectory on a consistent basis. So if you see the last 3 to 4 quarters, we are consistently seeing the growth. So we can always have a debate about this growth rate is sufficient or more. But at least consistent growth rate. In fact, if you see the quarter 1, it has been one of the best quarters for SE Forge. We are now expanding into non wind in a big way and then concentrating on exports as well. So therefore, we -- I don't want to put a number to what it is going to be, but we see a significant uptick. I would actually would prefer to talk about the next 2, 3 years plan for SE Forge towards end of this year after establishing this year numbers thoroughly. And also whatever is happening in terms of ALMM, all these are going to help the SE Forge. In fact, now with this restriction, even the bearings can't be imported

They don't use the word of imported, but basically bearings have to be domestically sourced. So I think SE Forge will stand in a good position. But exactly what I see as a clear path is that it's good for us to talk first actually showing one year good numbers and which we are confident of

showing this year.

Mohit Kumar: Sir, last question on export potential. I think your slides mentioned the export potential. Do you think there is a significant near-term opportunity in the neighborhood or maybe in the Middle East? And any comment on the export potential will be helpful,

J.P. Chalasani: Yes. There is a reasonably good export potential on the -- as I said, in the neighborhood in the Middle East, even including the Europe, where we can really compete. Right now, I'm not talking about U.S. That was one of the first countries we were targeting. But I don't think neither you nor

we can comment upon whether I can -- export to U.S. at this stage. But we are concentrating on the neighborhood, Middle East and the Europe.

We are now right now on the process of studying different countries, what models, what price ranges are there. And because most of these places -- other than the Middle East, most of the places we have been present and we're chalking out our program and getting the right kind of model ready. So therefore, let's say, can start some sort of an export in a year from now gradually. But we will start offering and taking the orders towards the end of this year.

Moderator: The next question comes from the line of Amit from Morgan Stanley.

Amit: So yes, the second question that I had was on your contribution margin. That's been pretty good at 26%. But do you see this like settling at this rate? Or will it go down back to 20% to 23%? And what has been the lever? What changed that drove this jump from 23% to 26% in this quarter?

Himanshu Mody: Amit, of course, I think -- firstly, I think we maintain our guidance that it will be about 22% to 23%. This quarter has been high because of 2 or 3 reasons. There are certain high average sales price orders that have got delivered in this quarter. And also, there has been a lower project

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activity due to the early onset of monsoon. Plus, of course, we've been able to maintain our COGS.

Now the COGS maintaining would be an ongoing phenomenon. But the other 2 factors are very, very quarter-to-quarter dependent. So when you sort of look at overall metrics on an annual basis, I would say we maintain the guidance of 23%. So this is clearly an outlier performance for this quarter.

Amit: Another thing just continuing on this point, is your realization actually are declining to around INR55 million per MW. Now despite you saying that there were some high price orders in this quarter and EPC is also not there. But still the trend goes down. So are we seeing pricing pressure despite the competition being temporary at the moment?

Himanshu Mody: No, it's not pricing pressure. It's low EPC activity and low EPC billing. I mean, with the higher EPC billing, the INR55 million would actually go close to INR57 million, INR58 million. So we're maintaining that there's no pricing pressure that we are seeing from customers or from competitors.

Moderator: The next question comes from the line of Nikhil from UTI Mutual Fund.

Nikhil: Just one question from my side. Sir, if you look at the last 5 quarters, we have supplied 2GW and our actual commissioning is somewhere around 500MW. So just want to understand as to how long will this go on? And will you start facing some kind of delivery pressures going ahead and we'd rather have some kind of an impact on our 60% volume guidance?

J.P. Chalasani: Very good question. That is what bothering everyone. See, the -- obviously, yes, commissioning wise, when you look at it, that shows the difference, but there are a number of turbines out there commissioned. In fact, beyond June, what we announced even in this 30, 40 days, we commissioned another 55MW and 166MW we precommissioned, means turbines are ready to get on to the grid, but the client is not ready with this 33 kV evacuation system, because another 400MW have been erected. So therefore, things are at different stages of the execution. And hopefully, the -- now this year onwards, like you're seeing sector also is picking up a lot. Last -- if you look at quarter 1 last year, it was 700-oddMW, this year, it is 1600MW. Slowly, the pickup is happening on the execution. So therefore, I think before we've reached the stage, what you're talking about, will it have an impact on turbine supplies, I think we should be able to manage this. Yes, there was -- there is -- in fact, we would have supplied more than what we actually supplied in the quarter

quarter 1, if there was no other pressure of projects not being able to offtake.

That's already there. To what extent impact is the question. But to specifically answer your question on the guidance, no, we stand by that 60% with all the pressures, we know what projects we are doing it, what projects we're opening up. We don't see that this is having an impact on the guidance what we gave

Moderator: The next question comes from the line of Anuj Upadhyay from Investec.
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Anuj Upadhyay: Sir, my question relates to the ALMM, that is the localization push, which definitely would lead to a self reliance. But don't you think so it would lead to a short-term supply chain disruption because certain key elements like special bearing, gearboxes, yaw machine, turbine control, they all are imported from China.

So won't this have any kind of an inflationary impact on the cost per se? Because if you see the industry anyway, India has close to 15, 16GW of overall WTG capacity -- manufacturing capacity, obviously, the utilization would be in the range of 1/3, close to around 6GW is what we are executing on an annual basis. So underutilization pressure plus this cost inflation, I mean just wanted to get your sense on how would this stand up to?

J.P. Chalasani: Partially, you answered yourself the question. The underutilization goes up, okay? Because we are -- let's say that some of the component suppliers today are at 25%, 26% utilization. Even in fact, if you look at our SE Forge is about 26% is the capacity utilization. As the capacity utilization goes up, the cost actually comes down, doesn't go up because your fixed costs remain the same, okay?

And the second -- I don't see any problem in terms of gearbox, generators and everything. We collected the full data. IW team has collected the full data and presented to MNRE. There is sufficient capacity available in India. And also, the -- with this upfront saying that for the projects which are going to get commissioned in the next 3 years, where the bids are submitted are exempted next 18 months commissioning for other things.

So there is enough stabilization period for us to meet that. So personally, I don't see any issue. In fact, the -- even before the notification came, I have seen many of these foreign suppliers going around the country and trying to source things and talking to various people designing their product, where everybody was on the job. I personally don't see any issue with respect to the supply constraint as well as I don't see any concern with respect to the cost because today -- even today, we -- our supply is mostly domestic. So still we are competitive in the market, okay? So therefore, both point of view and also there being a time line, I don't think there's an issue. In fact, you asked me 2 to 3 years down the line or should actually start coming down because capacity utilization significantly will go up in India.

Anuj Upadhyay: Okay. That's helpful, sir. And just to reiterate, you mentioned that WTG market for the current year would be around 6GW, right sir?

J.P. Chalasani: Yes, commissioning target.

Anuj Upadhyay: Commissioning target. Go to it, sir. And in terms of delivery, how much would that be?

J.P. Chalasani: Delivery generally doesn't -- nobody measures the delivery. We can only talk about our deliveries. Because we don't know who delivered how much, how much is sitting on the ground because except us and one more, there's no listed company which announces what deliveries they new made. That is not tracked by -- means at least publicly we cannot track. Even the ministry track only the commissioning target.

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Moderator: The next question comes from the line of Amit Mahawar from UBS.

Amit Mahawar: Congratulations on continuous growth journey. I just

have one question on the orders that we've won in the last 2, 3 quarters. Are these different on the terms -- in terms of advances that we have, the execution time line and particularly, if you want to comment and connect this with the improving competitive edge Suzlon has, whether you call it ALMM, right, which will plug a lot of gaps or some consolidation in the sector. So -- just wanted to connect these 2 and wanted to know your thoughts, particularly on the quality of orders and the terms also, the time lines of the execution.

J.P. Chalasani: First thing is our aim is always not to increase the price, even if we are in a monopoly situation because price goes up, tariff goes up and market rises, as we caught saying a number of times. Our aim always is to keep reducing the cost. Any new model comes when it keeps -- or COGS keeps coming down and then we also keep offering some sort of reduction customers. So therefore, I don't see any -- that sort of a pressure. And also even the latest orders what we took, we have our margin expectations, and we don't compromise on that.

And everything is taken at that level only. And obviously, depending upon some contracts, there is a different risk pattern. Obviously, this can cost would go through. It depends upon the commercial terms, payment terms, your price might vary. But otherwise, base price would

remain the same.

Amit Mahawar: Okay. Fair. So sir, the same question. So broadly, you're confident that in case there is any possible minor inflation cost, it is within the mechanics to see and manage that so that the LCOE is optimized for the client?

J.P. Chalasani: I confirm that.

Moderator: The next question comes from the line of Mahesh Patil from ICICI Securities.

Mahesh Patil: First question is on the margin side. So let's say, given the increase in PSU orders and C&I Orders in our book, can we expect improvement in margins, especially in the WTG segment?

And second related question is, will the part of this improvement in margins would be offset by, let's say, increasing share of WTG in the overall revenue mix compared to, let's say, higher margin O&M business?

J.P. Chalasani: Himanshu will major answer, but before that, if you are tracking us, we know that we were giving a guidance of saying that we'd be in mid-teens, then we revised it to early teens -- late teens, then we said that early 20s, 22, we have been revising and improving our margins anyway, our guidance as well from time to time. Himanshu, do you want to take it?

Himanshu Mody: Yes. So Mahesh, I think, as I mentioned earlier, we maintained that at least the contribution margin, we will continue at 23% on a longer-term basis. at least for this financial year. This quarter numbers may be a onetime outlier led by the 3 factors that I outlined earlier. So we've maintained the 23%.

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I think the margin that we have guidance that we're giving is based on the order book mix that we have currently. Now of course, going forward, if that order book mix changes significantly, then we may come back and correct on the margins. But right now, where we stand, we maintain that we will be at about 23%.

Mahesh Patil: Okay. And sir, the 60% guidance that you have given. So if we consider this on the -- solely on the WTG installation. So considering the, let's say, inflation and other factors, can the top line growth be higher than 60% or 60% is for top line as well that is the guidance?

J.P. Chalasani: We can't change the guidance. We said 60% on all the key parameters, which is what we stand by.

Moderator: The next question comes from the line of Aadesh Mehta from Motilal Oswal AMC.

Aadesh Mehta: I just wanted to understand versus Chinese competitors, what would be the pricing differential be? That's my first question. And second question is, with this

requirement of domestic

manufacturing of components, what does this do to SE Forge? You commented that it will do better. If you can just elaborate more on that.

J.P. Chalasani: Yes, see the -- on the Chinese, really I can't say what would be the difference because the different players are coming. Let's assume that we normally feel that there is a difference of about 5% to 6% between other and them, that's cheaper till now, that's the range what it is. But the thing is that there is a great differentiation factor between us and them, it's not just a price because of which people give it us. One is the reliability of the product or how people look at it. And then second is that we are here as the Indian company, and we offer 25 years of O&M service, which is comprehensive.

Anything happens during the O&M service, service period, any component fails or to replace.

So I think the proven track record of 30 years and we being here, our product being strong, and we also offer end-to-end starting from the land to the service business is what we get the orders, especially from the C&I segment. If you see that's the reason we are strong in C&I and public sector, these 2 areas. So 75% of order book coming from these 2 segments. As far as your second question is concerned, the -- with ALMM coming in.

So let's see the fine print what is coming up because we also made these castings for all the gear boxes, and we also make the bearing rings, okay? So therefore, with the significant uptick coming in terms of everything to be probably domestically sourced because it doesn't talk about domestic sourcing, but the intention is to domestic sourcing. The demand for the components from SE Forge will increase, both in terms of bearing rings as well as castings. So both foundry unit as well as the forging unit, both will get benefited.

Moderator: The next question comes from the line of Anupam Goswami from SUD Life.

Anupam Goswami: So as per what I can estimate your order inflow was close to about INR540 crores and that run rate is lower than any of the quarters last year. Can you throw some light on this? And how do you expect the order inflow to build up going forward?

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Himanshu Mody: So from, as J.P. sir mentioned earlier, we don't see any slowdown in the order inflows. I mean, yes, you're right that during Q1, it may have been little less as compared to earlier quarters in terms of new order inflows, but that is not a barometer for the quarters going forward. I mean there is a very active pipeline that our team is in advanced stages of negotiation.

And as per our policy now you know that any order which is over 100MW and once we have received confirmed advance from the customer, only at that stage is when we declare the order as a confirmed order. So -- and you will hear about certain active orders that get translated to fairly soon into confirmed order.

Anupam Goswami: Okay, sir. And also in terms of small PPAs getting delayed, and canceled also. Are we seeing any slowdown in the next quarter or so? And when you see the pickup may happen?

J.P. Chalasani: So as I said that our order portfolio, 75% comes from the C&I and the PSU segment. So therefore, only 25% comes from the bid segment. And every single order, what we take in the bid segment, which we mentioned earlier, is only after the PPA sign. So the -- if we don't take any orders where the PPA is not -- in fact, even the IPP would not be willing to give the orders without the PPA signing. So whatever order inflow is happening are all after the PPA sign, so therefore there is no uncertainty once the order is booked.

Anupam Goswami: Got it, sir. And grid order, that sort of bulk orders will -- are we ready for that? I mean we are qualified to take that, right?

J.P. Chalasani: Which order?

Anupam Gos

wami: Power utilities order?

J.P. Chalasani: Yes, yes. We -- today, the 21% of our order book is from PSUs. And NTPC itself is we have more than 1.5GW of order right now. NTPC is one of our -- the single largest client.

Moderator: The next question comes from the line of Prateek Giri from Subh Labh Research.

Prateek Giri: Mr. Chalasani, great numbers. Congratulations. Mr. Chalasani, I have my first question on BESS.

So I just wanted to get your sense in case the BESS storage goes up to, say, 6 or 10 hours or any long duration storage comes, will the role of wind still be relevant or wind's relevance due to long storage may change if it comes? That's the question number one, Mr. Chalasani, if you can help me understand.

J.P. Chalasani: Yes. See, the longer the storage, higher the price of storage, okay? Because number of charges, what you need to do and things like that. I don't think the -- see, there are 2 things, first of all, storage is not generation, okay? So the BESS is storing at the end of the day.

The -- and it has a huge amount of issues with respect to subsequently once the life is over, and I'm not counting all that. But at the current day, even if the prices are coming down, solar plus storage can not replace on the tariff basis the wind, okay? What would happen, as I said some Suzlon Energy Limited

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time back, one source will not replace other one. There will be different combinations.

Potentially now, for example, let's take this case of what CRC came up saying that the solar substation, wherever solar is connected, during the non-solar hours, they're going to give connectivity for wind or storage and everything.

In those cases, it automatically makes sense for the wind and storage. Daytime whatever is generated in the wind, you put in the store and the nighttime anyway we have the connectivity. So there are so many things that are happening in the grid level. I really don't see one replacing the other, the -- because our wind -- our load profile country is different and the peak demands are different. So I think all 3 will co-exist, in my opinion.

So the -- it won't happen that one is going to replace the other one. In this case, I will give you is that everybody talks about the storage prices being the cheapest in China, okay, and which is a fact. But if you go back and look at the capacity addition, what is happening there, there is a significant addition of capacity of wind, which is, in fact, they do whatever we're doing in 5 years, they are doing in 1 year.

So if the solar plus storage is the right case, why should they add wind at all because in their case, there is no question of battery not being available.

So from a grid point of view, it doesn't work that way. It is not just a tariff alone.

Prateek Giri: Understood. My second question on competitive intensity. So we saw the resolution of one of the European players in India recently probably 6, 8 months back. So are you seeing incremental competitive intensity in the new orders what we are bidding?

J.P. Chalasani: The competition is going to be there and the competition number of players is increasing -- so that's a which we can't wish away. It was there earlier, it is there even today. And then there are more players today in the market than it was about like a couple of years back, including the new player who will be talking about. As long as we have our -- the specific product, when you

specific product is that service what we provide the entire EPC plus service business. And with our in-house technology, we do have a differentiation compared to ours, okay?
How many of them will really stand by for the service business. They might say we will do service, but will be there, the track record in the past as the re's not even one single OEM domestic or global who do for servicing, we can service
So the world company,

we can do the service for entire 15GW, and then going for everything else. I think we will build those different patients, while at the same time, trying to reduce our cost through biggies means and compete in the market. But competition will always be there.

Prateek Giri: Got it. Understood. Understood. Very helpful. Mr. Chalasani, on the last one, if I may. You highlighted this point a lot, but please allow me to ask this a gain with a little bit of change. So last quarter, I remember you told us that there are 2 Indian players in wind turbine generator
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segment, are highly self-reliant in terms of their supply chain, in terms of their component sourcing.

So is it fair to assume that this ALMM issue, which is being implemented recently, is kept -- is done to keep the other folks in check who are basically non-Indians. Is that understanding correct? Mr. Chalasani, if you can -- experientially if you throw some light. And first, is this understanding that -- correct that the 2 Indian players are entirely self-reliant?

J.P. Chalasani: I don't know where from -- I don't remember I said 2, but we are completely -- we as an Indian company, will completely meet the requirements what has come in. Let's understand the ALMM is not saying that somebody from X country or the Y country is not allowed. It is not the case. There what they're saying is that, please design here, please manufacture here, you do whatever business you want to do, we are most welcome to do, okay? That's what ALMM does. But then what they're trying to say is that, okay, we will set the standards for wind components. Till now, we have not done this. We only were doing it for the turbine as a whole as the type certificate. But all these 5 components now we need to get listed in the ALMM wind turbine components list. And if you want to get listed, we will come, we will inspect, we take the quality and everything, then only you get listed. And everybody has to procure only from the approved list of component suppliers. So this brings in, in terms of level playing field
Prateek Giri: Mr. Chalasani, you were at the point of a list of approved vendors under this new ALMM scheme.

J.P. Chalasani: Yes. I was saying that everybody is on the same level playing field with respect to the same list of components. So therefore, there is no advantage of cheaper imports to others.

Moderator: The next question comes from the line of Shiva from Purnartha Investment Advisers.

Shiva: So my first question is with respect to the installations. I just wanted to understand, so you're saying that the evacuation power, I mean, that is the bottleneck of your. So if you could just explain, I mean, what can -- I mean, obviously, this is the government that has to be done? Or can it be done in any other way, like C&I or captive have their own way of transmitting or is it totally dependent on government for this to happen?

And what gives us the confidence going ahead that the evacuation, I mean, this aspect of that will improve going ahead? I mean is it a state -- a few states picking up pace? Or is the central taking the entire load on it? If you could just explain this in time.

J.P. Chalasani: Yes, evacuation is 2 parts. One evacuation is within the wind farm factory kV system, which takes from each turbine to the pooling substation. And the second one is you have to put the transmission line by the IPP from the pooling substation to the nearest central -- CTU substation and the CTU substation itself. These are the 3 areas what I talked about, whether it's ROW or various issues, creating problems, land acquisition, ROW, EC. Even the power grid faces the same issue in terms of ROW and land execution.

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Everybody is taking the same issue. But having said that, I think the

-- whatever delays have

happened, happened till now at least CTU substations are now -- with all the delays are likely to come up. And the -- our expectation that why we said that this year we will do 6GW, while we did only 4GW last year. The -- because these things are easing out and then we should reach 7, 7.5GW in FY '27 and go to 8, 9 thereafter. Things are easing out and don't say it's gone away.

We can't wish them away, but there is a consciousness in the government in various areas, this needs to be resolved. But problem is there, but slowly getting resolved.

Shiva: Okay. So the second, just to understand the 4.2GW or the 1.6GW that we installed this quarter and 4.2 last year. This is installed and giving power, right? They've already been installed and giving power. Our proportionate is slightly lower, like 4.2 was installed at entire like 3.3 -- in FY '24, 3.3 was installed, and we installed 882MW, but FY '25 and Q1, our installations ratio to the India's is very low.

So what is the missing link in here? J.P. Chalasani: That's because the -- gradually our EPC, where we have a full component has come down. We

are depending upon more on the clients' ability to acquire the land into the projects. In fact, in our order book, about 52%, I think -- at least 78% is the non-EPC in that, again, about 52% or 54% is pure equipment supply. We don't even do erections for that. So I think one, during the last couple of years, the -- our share has come down.

But we expect this year, as we see the things, it's picking up, and we will continue to have decent share compared like what we used to have earlier. We always used to be around 24%, 25%, 26% sort of a share. We should be able to reach that level.

Shiva: And any plans to move towards -- because the installations are delaying because we have lesser number of EPC -- any plans to shift towards EPC slightly higher going ahead? Or you still feel it can be manageable?

J.P. Chalasani: We want to move to EPC. That's the reason we -- last time also I mentioned that we are now acting on acquiring the land in advance in different states, but the result of that will come only in FY '27.

Shiva: Understood. And one more thing regarding the ISTS charges. This ISTS charges, which I think 25% can start kicking in. So any rough idea about what are the C&I things cross state in our orders? Or does it have an impact in cross state?

Or do you think it is too early -- this 25% is too early?

J.P. Chalasani: No. It will have an impact on them, but still 25% is much cheaper than 100%.

Shiva: So going ahead after once, so because...

J.P. Chalasani: This is a life long -- the commission, yes, this 25% remains for the rest of the life of the project.

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Shiva: So because in the case of sun, it is throughout India, but in the case of wind it is only 8 states, but the C&I factories would be throughout India, So that cost state thing, do you think in the larger scheme...

J.P. Chalasani: Simplify it even after you account for all the transmission charges, arbitrage for C&I is much better if you go for renewable energy.

Shiva: Okay. And just one small understanding. In the 4.2GW, this does not include captive power that's got installed, right?

J.P. Chalasani: Sometimes -- they include some times, but it doesn't make much difference, but C&I think it's included in that.

Shiva: So C&I is included, but captive is not included?

J.P. Chalasani: Captive also should be included mostly because this is the connect -- they take it from all OEMs, how much they commissioned, the turbines were commissioned.

Shiva: I was just checking the data, earlier they were not including this...

J.P. Chalasani: Whatever is connected to the grid, whether it's captive unless it's the back of the meter, is part of 4.2.

Moderator: The last question comes from the line of

of Dileep, an individual investor.

Dileep: Congratulations to the team for a good set of numbers. I have my last question here. See, this year, or particularly this quarter, you have installed about 44 4MW of power. Now that's the Q1 and it's basically summer quarter, hardly any rain and no much of external obstacles. Going forward, is the company going to have similar kind of a tempo to have the similar things in the rainy season thing or as the country having too much of rain elsewhere and particularly the regions where you have the presence quite a good amount of rain is there.

So what is your call on the next quarter? I mean the installation would be there? That is my first question. The second question is that the inventory and other things are also proportionately increasing as the sales turnovers are going. So is it something will keep on increasing as the revenue goes up or at some point of time, it will be stabilized?

These are my 2 limited questions.

Himanshu Mody: So inventory, of course, Dileepji in overall terms, rupee crore terms, it will -- it is bound to go up. What we monitor and we've been giving guidance is the net working capital and inventory forms a part of it. Currently, we are give or take anywhere between 90 to 100 days, which used to be about 120 days at one point in time.

So directionally, we said that we are looking at reducing that and bring it down close to about 75 days. So the trajectory towards that is very much on. But of course, looking at
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inventories, share in rupee crore terms on an absolute basis will of course increase because of the order book and the inflows that we have.

Dileep: A small question at this point -- sorry, just to interrupt, small question that you recognize the revenues, the moment you components and everything out of the factory and you raise the bill or it is only recognized at the time of -- once the installation is commissioned and everything is complete?

Himanshu Mody: No. So when we say that revenue recognition, we do at the time of the entire equipment being dispatched from our factory premises. So that's when the revenue recognition of the equipment is done. What is linked to various milestones is payments. So upon dispatch or from the factory upon receipt of the goods at the site, upon commissioning of the turbine, that is a linkage of the payment, what invoices raised upon dispatch of the goods.

Dileep: So that will come into receivables and inventory and all kind of receivables. It will come into receivables. Okay, fair enough. My last question was that this quarter, yes.

J.P. Chalasani: See that the quarter-to-quarter variation will always be there. But as an year, we gave a guidance of 60% growth, we stand by that

Moderator: Thank you. Ladies and gentlemen, on behalf of Suzlon Energy Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Himanshu Mody: Thank you.

J.P. Chalasani: Thank you.

Call: Nov 2025

11th November 2025.

National Stock Exchange of India Limited,
"Exchange Plaza", Bandra-Kurla Complex, Bandra (East), Mumbai-400051. BSE Limited, P.J. Towers, Dalal Street,
Mumbai-400001.

Dear Sirs,

Sub.: Q2 FY26 Earnings Conference Call.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you,

Yours faithfully,

For Suzlon Energy Limited Geetanjali S.Vaidya, Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited
Q2 FY '26 Earnings Conference Call"
November 04, 2025

MANAGEMENT : M R. J. P. CHALASANI – GROUP CHIEF EXECUTIVE
OFFICER – SUZLON ENERGY LIMITED

&

SENIOR MEMBERS OF THE FINANCE TEAM

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Moderator: Ladies and gentlemen, good day, and welcome to the Suzlon Energy Limited Q2 FY '26 Earnings Conference Call. During this call, the company management may make certain statements that reflect their outlook for the future, which could be construed as forward-looking statements. These statements are based on management's current expectations and are associated with uncertainties and risks as detailed in the annual report.

Actual results may differ, so these statements should be reviewed in conjunction with the risks the company faces. As a reminder, all participant lines will be in the listen-only mode, and if you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

We will begin with the opening remarks followed by a Q&A session. To be fair to others, we kindly request each participant to ask no more than two or three questions. From the management, we have with us Mr. J.P. Chalasani, Group CEO; and senior members of the finance team.

I would now like to hand the conference over to Mr. J.P. Chalasani, sir. Thank you, and over to you.

J.P. Chalasani: Thank you. Good evening, everyone, and thank you for joining us for Suzlon's Quarter 2 FY '26 Earnings Conference Call. In quarter 2 FY '26, India's power sector marked two historic milestones. We have reached a cumulative installed power capacity of over 500 gigawatts. More importantly, the non-fossil fuel capacity of this is 50%, so therefore, clearly signaling the renewable transition, which is underway.

Talking about the industry, the recent reduction in GST from 12% to 5% on wind turbines is a major boost for the sector. It is expected to substantially lower capital expenditure and effectively reduce the levelized cost of energy.

This move is expected to accelerate the capacity additions across the wind energy landscape, make renewable power more affordable to end consumers, expedite pace of energy transition. Additionally, MNRE's release of standard operating procedures, SOP, for inclusion in the ALMM wind reinforces its commitment to quality and domestic manufacturing, a key step towards meeting India's growing energy demand sustainably.

On the commissioning front, industry commissioned over 3 gigawatts in the first half of FY '26, double the installations in the corresponding period in FY '25, indicating a notable acceleration in execution. We firmly believe total wind installations to reach approximately 6 gigawatts by the end of FY '26 and 8 gigawatts in FY '27.

Coming to business highlights. We are pleased to report yet another record-breaking quarter, as Suzlon has set a new benchmark in execution by delivering a record-breaking 565 megawatts in quarter 2 FY '26, the highest ever quarter 2 in India we delivered in over 30-year history.

Our order book has exceeded 6 gigawatts, reaffirming our market leadership with more than 2-gigawatt order win in the first half of FY '26. Taking you through our \$144 order book has exceeded 5.6 gigawatts, a strong endorsement of its advanced technology and customer trust. It

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also got certified as the lowest carbon footprint and full compliance with MNRE's latest regulations.

On the manufacturing front, our capacity of 4.5 gigawatts is fully operational and ramped up to meet the order book. Suzlon commissioned 270 megawatts in the first half of this financial year with a robust execution pipeline of 1,865 megawatts at various stages. Site readiness is progressing across 29 locations in seven states, laying the groundwork for accelerated installations ahead. We have specifically included this as part of our investor presentation at Slide number 23, and we will further discuss this during our

Q&A.

Update on land development, unlocking long-term execution potential. We have been saying for the last few quarters that our concentration or our strategy is now towards the land development in advance so that the execution delays can be curtailed in significant way.

With that in view, currently, we have identified 23-plus gigawatts of renewable potential sites laying a strong foundation for sustained growth. Out of this 7-plus gigawatts of land development is underway, ensuring rapid deployment readiness.

Seed capital allocated strategically invested without materially impacting working capital.

Execution velocity is set to accelerate, enabling faster value realization. This would also enable us to increase our EPC share in the coming years from the current 20-30 ratio. Our OMS business continues to perform strongly with over 15 gigawatts under management in India and machine availability consistently above 95%.

Renom's assets under management set to expand further, driven by steady customer fleet acquisitions and the ongoing pipeline. Our forging and foundry business started showing our efforts in unlocking potential with 53% year-on-year growth in first half of this year. Revenues with 243% jump in EBITDA to reach INR52 crores, and we expect to continue this trend in FY '26.

On leadership strengthening, we have appointed Mr. Rahul Jain as our Chief Financial Officer effective 15th December 2025. His vast experience and deep expertise will help us evaluate new areas of high growth while strengthening financial health and corporate governance even further. We welcome Rahul to the Suzlon leadership team.

Taking you through the financial performance in quarter 2 FY '26, Suzlon continued its exponential growth trajectory, delivering 565 megawatts, 121% growth on a year-on-year basis with all financial parameters showing a strong uptrend.

Suzlon reported consolidated revenue of INR3,866 crores in quarter 2 FY '26 with EBITDA reaching INR721 crores, a robust 145% increase year-on-year. The EBITDA margin improved by 460 basis points to 18.6%, up from 14.1% in the same quarter last year.

We achieved a profit before tax of INR562 crores, registering 179% year-on-year growth over quarter 2 FY '25 with PAT outperforming at INR1,279 crores. In quarter 2 FY '26, the company has recognized an incremental net deferred tax asset of INR718 crores based on reasonable certainty of future profits. This brings the total DTA, that is Deferred Tax Asset, cumulated

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DTA, as on September '25 to INR1,229 crores, which provides a tax shield on future profits to the tune of INR5,000 crores.

The additional carry forward losses remain available with the company and are likely to result into further recognition of DTA in future, subject to meeting the required recognition criteria.

DTA recognition/charge is a noncash item. However, DTA provides tax shield for future profit and the company does not need to pay taxes to the extent of DTA.

We are pleased to report on our balance sheet as of September '25 reflects the position of exceptional strength with a strong consolidated net worth of INR7,860 crores. Our net cash position is at INR1,480 crores, further enhancing our financial flexibility and resilience.

Adequate banking limits tied-up up to INR7,000 crores for execution of the current order book.

We remain committed to achieving our FY '26 guidance of 60% year-on-year growth across all key performance parameters. I would also like to reiterate that our end-to-end wind energy models supported by a fully integrated supply chain, proven execution capabilities and best-in-class service delivers a competitive advantage, competitive edge that is both distinctive and difficult to replicate.

With this, now we can open for Q&A. Moderator: The first question is from Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on a very good set of numbers. Sir, my first question is on the Slide number 22 and Slide number 23 of the presentation. So there is the 1,865 megawatt, which you mentioned in the Slide number 23. Is it over and above the 838-megawatt or 1,009-megawatt mentioned in the Slide number 22. Is it fair to expect that this is 1,865-megawatt will get installed and start contributing to the revenues for H2 FY '26 and FY '27. Is that the right understanding?

J.P. Chalasani: Let me -- Mohit, thanks for your encouraging words in the beginning. Let me explain from Slide 23, which will be clear to you. As we reported, we had done 270 megawatts of commissioning as in the first 2 quarters, okay? However, there is a significant -- this slide shows a significant pipeline available for commissioning in the next 2 quarters.

What it shows is that as on 1st of October 2025, we have 1,865 megawatts of execution pipeline, out of which 568 megawatts is already erection-completed. Even if we take just -- let's consider 568 megawatts of erection done, which is beyond the 270 megawatts what is commissioned till 30th of September.

In this 568 megawatts, as we speak today, 80 megawatt is already commissioned, taking the cumulative capacity to 350 megawatts this year. And another 160 megawatts is ready for commissioning. We have done everything what is required, waiting for the client's evacuation methodology, evacuation readiness. So that takes to 240, 80 COD done and 160 megawatts is ready for commissioning from our end, which obviously will get commissioned in this quarter. And in addition to that, about 327 megawatts, that's the balance of 568 megawatts, erection is completed, in the process of commissioning activities. That means what we are saying is that

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even as on today, you see a clear visibility. While the more and more erections will happen in the balance period of the quarter, we see a clear visibility of 568 megawatts at different stages would get commissioned in this quarter. So therefore, while the capacity addition has been lower in the H1, we see a clear visibility in the H2.

And we are reasonably confident that taking 6 gigawatts as the country's capacity addition this year, we would definitely touch 25% of market share. So that is 1,500 megawatt is reasonably confident while the first half is only 270. But looking at the visibility what we have, so this slide is trying to say is that we have done foundation, we have done everything to give that comfort that this year is going to be different for us compared to the year.

In fact, if you look at as on 30th of October, we crossed the entire last year's capacity addition what we had done. Last year -- whole of last year, we did 326. On 31st of October, we are at 350. So this gives the confidence that we will achieve the market share of 25% this year, definitely. Is it clear, Mohit?

Mohit Kumar: Yes, sir, it is clear. My second question is the inquiry pipeline. How is the inquiry pipeline looking like for the new orders? The concerns of new order inflow increased materially compared to last year on account of low bidding activity and the recent news around cancellation of a LOA of worth of 42 gigawatts.

J.P. Chalasani: See, this quarter, again, we continue the trend of closing order book higher than the opening order book in spite of the fact that our deliveries during the quarters are going up. If you see this quarter itself, we added more than 1.4 gigawatts. That's why even if we have done 565, we moved to 6.2 gigawatts of order book. There is a significant pipeline, which is under various discussions today.

On the bidding, we understand now it's going to pick up. And even when we had the confidence,

it was told that now they want to actually move towards more and more of FDRE. But in our case, you know that even cu

rrently , 65% of our 6.2 gigawatts is the non-bidding route and 35% is bidding route. In fact, it's gone up the bidding route because of 836 megawatts what we received from Tata Power.

I've been saying this earlier in the call, and I would continue to reiterate that I don't think order book would be an issue for us for the next at least couple of years. I don't think that's an issue. So we would continue to add. I'm making a statement based on the clear pipeline of discussions what we are having with various clients at this stage as we speak.

Moderator: The next question is from Sumit Kishore from Axis Capital.

Sumit Kishore: A very strong set of numbers. The first question is in relation to the 40 gigawatt of LOAs, which are likely to get cancelled for solar and the projects where PPAs were not signed. I mean, how does that impact the wind sector capacity addition? And are there any slow-moving orders in your backlog?

J.P. Chalasani: First thing I want to say is, that our 6.2 gigawatts of confirmed orders what we have, closing order book what we have, nothing from that 42 gigawatts the PPA we're talking about is there
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in the 6.2; therefore, there is going to be no impact in the order book. Even in the current, what I mentioned sometime back to Mohit is, even in that, we don't have any of this nature.

Wherever it's deemed unfeasible, we can either cancel those projects — not necessarily all 42 GW — but proceed with signing whatever is viable. Therefore, I don't believe the entire 42 GW will be cancelled

In fact, today, I saw the clarification coming from the Ministry through PIB is that is not the intention. First of all, no impact on us. And second thing is, in fact, it is mainly for a lot of solar -- pure solar bids where the DISCOMs are not willing to sign pure solar PPAs at this stage. Sum and substance is that I don't think it will have a serious impact on Suzlon.

And as we speak already, there's about 11 gigawatts of bids under progress, in fact, to date, either bids submitted and the reverse auction not done or the bids announced and the bids are to be submitted. I think the adequate pipeline is what they would provide. It will be more of an RTC. And we will continue to be order-booking for us in that two third of our segment, which is the C&I and public sector.

Sumit Kishore: Sure. Sir, second question is that your competitors, a couple of them are launching a 5-megawatt variant. One is launching a 4-megawatt variant for onshore. So what is the pipeline on how Suzlon is going to graduate from 3.x and over what time frame?

J.P. Chalasani: First of all, that today, our 3.15 megawatt is a very successful product, what we have. We have already supplied about 2.3 gigawatts and then more than 5 gigawatts of the current order book is 3.15. In fact, 90% of our current order book is 3.15. And there is a significant interest in 3.15 because people look at cost per kilowatt hour than what is the capacity of the model.

Having said that, our next set of models would keep coming regularly, and you will start seeing us announcing the next model shortly. And we will be there at that level. I don't want to mention the timeline, but the progress is underway. Some models are under prototype and some are currently under the procurement phase.

In my view that we will not see that as an issue for us to face the competition. I'm not trying to dodge the question here, but I don't see that as a major issue. We are pretty confident that when the 3.15 interest exhausts, much before that, we will have our next turbine -- higher model turbine.

Sumit Kishore: Sure. Just one last question. On the previous conference call, you had mentioned that by the end of the fiscal, you will try to get your Indian export contract. Is there any traction in that direction?

J.P. Chalasani: No, I mention

ed that next year is what we would get. The early next year is what will get the order and then supplies would start in FY '28. We still stand by that. Right now, the various markets we are studying now and the teams are being hired. We would move in that direction in line with what we gave the guidance.

Sumit Kishore: Next fiscal. Okay, FY '27?

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J.P. Chalasani: Yes,

Moderator: Next question is from Mahesh Patil from ICICI Securities.

Mahesh Patil: Congrats on the great set of results. Sir, my first question is on the pipeline. So, what is the near-term pipeline that we foresee? And if you can also bifurcate it in PSU, non-PSU segments?

J.P. Chalasani: No, the current capacity, what we -- current order book, what we have 6.2, as I said sometime back, the 65% is -- in fact, if you want further breakup 61% is C&I, 14% is PSU and about 35% is bidding at this stage. What is now -- for us, what is more important now moving ahead is more than which segment is contributing while C&I continues to contribute, we are working consciously towards moving to the EPC, increasing the share of EPC contracts. I think that's our concentration now. The current 20:80 is what we have, 20 is EPC, 80 is non-EPC.

Our target is to move to 50:50 by FY '28. That is where we are working significantly on the -- developing the new site. This is what I mentioned in my opening comments. We've been talking earlier, so we gave some details this time. As we speak today, we have identified sites for about 23 gigawatts, which have significant wind potential sitting in our turbines.

And out of this 23 gigawatts for about 7.5 gigawatts, we started the land acquisition where we don't -- we have not signed the EPC contracts, nothing to do with the existing 6.2. And in fact, in this 7.5 gigawatts, we already acquired land footprint along with the pathways for about 1,150 megawatts.

Some of these things we signed the land contracts, not the EPC contracts. Some of them we are going ahead on our own with the seed capital. So, I think that is what is going to be our significant concentration going to be. One is to bring back the EPC.

What it does is that it gives us a competitive advantage because nobody else offers the EPC with the land. And second is that it gives us the control on execution. We will improve our execution, our COD capacity.

Third is that it will also allow us to pull the turbines in the manufacturing. So therefore, more and more turbines can be supplied. I think that's going to be our future strategy while we continue to concentrate in the C&I market. I think much more significant is the mix of EPC and non-EPC.

Mahesh Patil: And my second question is on the O&M segment. So if you look at the EBIT for this quarter compared to Q2 FY '25, it's lower INR1.5 billion versus INR2 billion. So could you help us understand why the dip in the share in O&M segment?

J.P. Chalasani: You're talking about O&M margin?

Mahesh Patil: Yes, sir.

J.P. Chalasani: Yes, there is -- on the contribution margin level, there is no difference between last year to this year. On the -- you're talking about EBITDA margin, where it is a one-off sort of an impact for this quarter. But if you look at it even on first half of this year, we're still at 37%. Our guidance still remains that we will be anywhere between this and 40%. This is a one-off being conservative

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this quarter or some cost being provided for. Otherwise, there is no red flag in terms of margin guidance in O&M.

Moderator: Next question is from Satpal Singh Khanuja from Ishaan Ventures.

Satpal Singh Khanuja: A lot of my questions have already been answered by you in the other questions, which have been asked by other participants. I just need to ask one small thing. Sir, when can -- if you

would

-- can you give us a time line when, for the lack of a name, if I call it the wind farms, when can we see the first windmill getting installed in our own wind farms? The land development business that we have been getting into?

J.P. Chalasani: No, even today, we are doing it. All the EPC contracts, this 20 % of EPC contract, what we're doing today is our own wind farms. Means like we acquire the land and provide doing these projects. What I said in the previous question is that we want to significantly increase that to 50% share.

And that is where we said that we identified about 23 gigawatts equivalent of site in different states and about 7.5 gigawatts, we already started the land acquisition and 1,150 megawatts, we already acquired the land as well. Therefore, this all will get converted into EPC contracts moving forward. And in fact, you will start seeing us announcing more and more EPC contracts starting from maybe the quarter 4 of this year.

Satpal Singh Khanuja: Wow, that is great news, sir. Sir, we -- like we have mentioned in many places that our order book, like our installed capacity is at about 4, 4.5 gigawatts, and you have in the past stated that you are targeting a 90% achievement of that capacity. Now to attain 4 gigawatts of, say, deliveries a year, what is the kind of order book number that we need to attain?

J.P. Chalasani: Even today, we have the order book to that extent. So...

Satpal Singh Khanuja: We have a delivery time of, say, 18 to 24 months. So ideally to do, say, 4 gigawatts a year, the order book number should reach somewhere around 8 to 10 gigawatts.

J.P. Chalasani: Not necessarily. I think as long as you have 1.5x of your manufacturing capacity, we will be able to do that. But I think the issue is not that. It is not the order book, okay, which is actually

restricting how much capacity we are manufacturing. The issue is that how much the projects are able to offtake the turbines.

As we have been talking earlier, even today, we are in the push mode from the manufacturing, which means we want to push the turbines to the projects. We want to move that to full mode, where people put pressure on us for turbines. We want more turbines. That stage has not yet come.

One of the reasons why, again, linked to that EPC also is that, that would enable us to have a control on more supplies to happen because project execution happens faster, more turbines can be supplied. The manufacturing capacity is not an issue. I think in the country, if the capacity addition keeps going up.

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So obviously, that 4 gigawatts can be reached at some point of time. We do expect that the capacity addition in the country is going to go up because the -- if you see that in H1, we doubled compared to the last year from somewhere around 1,476 megawatts, I think, we reached to 3,086 megawatts in the first half of this year.

And we are pretty confident that we'll reach 6 gigawatts. And then in fact, we revised our estimate for FY '27. Earlier, we were talking about 7 gigawatts. Now we're saying that definitely we will hit 8 gigawatts in FY '27. And then can reach about 9, 9.5 gigawatts in FY '28. That's our current estimate based on what we are working on with our own EPC sites and what the market is talking about.

Satpal Singh Khanuja: Sir, we did 1,550 megawatts of delivery last year. We are expecting a 60% increase and that should reach to somewhere around 2,500 megawatts this year. Now first half, we have already done about 1,000 megawatts, 1 gigawatt. And we have in past, been doing, say, first half, if we do 30%, we do 60%, 70% in the second half. Can I expect better than 2,500 megawatt performance this year?

J.P. Chalasani: See, your expectations, obviously, I can't stop. You have a right to expect. Our guidance would remain that we said that 60%, and

we reaffirm that 60% growth in our parameters.

Moderator: Next question is from Kartik Sharma from Anand Rathi.

Sweta Jain: This is Sweta Jain here. First of all, congratulations on a very good set of numbers. My question is with respect to the overall sector that we're looking at, phenomenal growth in terms of the order book.

But when you look at more of hybrid projects and FDRE projects coming into the picture, particularly hybrid, how do we see BESS as a competitor, particularly when -- I mean, there is a line in the investor presentation that says, with wind integration, 2 charging cycles of BESS can be achieved to further optimize the landed LC OEs. Could you a bit explain on this, please, as well?

J.P. Chalasani: Yes. Sweta, there are a number of experts on the call today who have different opinions about solar plus BESS versus this. And I know that there is so much talk about solar plus BESS is enough, we don't need wind. But we have been saying and we continue to say that it is not one versus other.

If we need to achieve the lowest cost of energy, which is mandatory for us. And then we also need to achieve a capacity addition in a manner that we meet the load profile of the country, then only you can replace the fossil fuel; for that, what is required is FDRE. We have done our own analysis, a very detailed analysis.

If you want to create a project of, let's say, 300 megawatts where you need 80% of PLF on a year with a minimum 75% on every month basis and 90% availability in the peak period, if you do that, if you do the BESS and the solar only, which is what many people are talking, that tariff is expected to be somewhere around 6.5, okay? And the same thing if you do solar plus wind

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plus BESS, which is what is the required one, the tariff cost to somewhere around 4.7, 4.65, okay?

So therefore, on the cost of energy basis, you can never ever have a lower tariff with solar plus BESS meeting round-the-clock power. This is just a myth. With all my experience, I can say that this is being spoken by the people who do not understand the sector.

You will never hear this from utility players, whether it is like people like Tata Power or Torrent Power or NTPC anyone. It is from different people. Otherwise, the -- no way we can achieve our target with solar plus BESS. It has to be all three. Clearly, that is the only way we will

actually get the lowest tariff.

Sweta Jain: And this -- can we fast forward to over the next 5 years also, assuming the costs go down for all the three verticals, this still -- this equation will still remain true?

J.P. Chalasani: See, Sweta, first of all, let's talk about battery, okay? Today, it's a single source. Can we afford to have a supply concentration of a single country, which can dictate what will happen in our country. That's a major, major concern. And the price of batteries is not in our hands, okay? Even recently, we just withdrew some of the benefits that it is and the cost is going up, both for solar as well as BESS. So therefore, as a country, we can't afford to have that. And like we had done in the solar, we will continue to do on the batteries. Ultimately we move towards the domestic, okay?

So therefore, what would happen to the cost is that the moment we reach the economy of size, the cost will keep coming down. So definitely, costs will come down for all 3. Even today, that's in the last quarter with the GST change from 12% to 5%. Obviously, even the wind itself is impacted about INR0.15 to INR0.17 on the tariff. So tariffs would keep coming down. But I don't think it's a good idea for the country to have a concentration on this.

And more importantly, the country which has the most capacity of battery has announced that in the next 5 years, that is 2026 to 2030, they will add 120 gigawatts of wind every year, every single

year. And the last 5 years, they were adding -- their target was 50 gigawatts per year.

They revised that target to 120 gigawatts per year, a country which has the maximum capacity of BESS. So therefore, there, people understand that you can never do with solar plus battery. So this is completely a myth that solar plus BESS alone can meet our demand. It can never meet.

Sweta Jain: Got it. Very good perspective, sir. Coming to the company financials, sir, on SE Forge particularly, can you break the first half growth into how much was driven by Suzlon and the others? Like can you break that number up? And also the levers for margin expansion? We've seen a very good margin expansion from the first half of last year.

J.P. Chalasani: Yes. Let me pull out the number right now. I don't have it readily, but I think we...

Sweta Jain: It's Slide 25 on the presentation.

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J.P. Chalasani: So it is now almost like a 50-50 between Suzlon and the non-Suzlon as we speak now. We expect that this would come down. It will become like one third and two third between Suzlon and non-Suzlon. Suzlon will be one third and two third will be non-Suzlon in FY '27. That's our expectation, right? Suzlon numbers are growing and Suzlon offset from the SE Forge will increase, but their offtake or their supplies to the non-Suzlon customers will significantly increase because they are now also getting into the non-wind and first of all, the exports are increasing in the wind sector itself.

And the second thing is they're getting into the non-wind sector, plus the forging unit is coming up with the different products. So that's why while the numbers of SE Forge today don't move the needle so much for Suzlon as a whole. But if you look at their growth story itself, so that is a great story is that in spite of the fact that our forging unit was almost shut for 2 months in this quarter because of the restriction in a particular skill component, which has got cleared now. In spite of the fact that our numbers from H1 to H1 show it both in EBITDA as well as revenue has significantly gone up, okay? And that trend is what is encouraging to us, and that will continue. And then I think guidance-wise, two third -- one third, two third is what Suzlon and non-Suzlon is what we can say from FY '27 onwards.

Sweta Jain: Got it. And sir, on margins, like we've seen a sharp jump from 8.6% to 19.5%...

J.P. Chalasani: Yes. This is mainly the various initiatives what they've taken in terms of cost control and then increasing the -- earlier we were depending upon outsourcing of the machining. Now we have installed our own machines for machining. Machining is completely being done internally. So recycling of scrap has increased. The procurement costs have come down. The number of the cost-out initiatives, what they've taken is what is helping us to increase our margins.

Sweta Jain: So, these margins would be sustainable in the future?

J.P. Chalasani: Sure.

Moderator: Next question is from Shiva from Purnartha Investment Advisers.

Shiva: First of all, congratulations for a great set of numbers. My question first is with respect to you saying that in 2, 3 years, EPC will move to 50-50 ratio. So I wanted to understand how will the contribution margin of WTG play out in the next 2, 3 years because it is at a very high stage, I mean it is at 26%. So how will that move going ahead? And what will be the capital -- initial capital required to get this land? What will be our capital requirement for this?

J.P. Chalasani: Let me answer your second point first. We provided a seed capital of about INR150 crores that will keep getting recycled. What happens is by the time we acquire -- let's say that a 300-megawatt wind farm is what in some place, we started acquisition of the land, by the time we

reach 25% of the land acquired, we would normally

try to find a partner as a co-developer where

EPC is not signed, but the land contract is signed with the condition that the EPC would be with us.

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And then they will reimburse for the entire 25% what we acquired. And then future, the balance 100%, they will compensate. So all this recycling happens. So therefore, INR150 crores to INR160 crores is what the seed capital required. Even today that I said some time back, we already acquired about 1,150 megawatts of land. So that is what is the range in which. And then we also started now getting the money back from through the land contract.

On the margins, FY '28 is a bit far away when we reach this 50-50. And a lot of things will happen. And it could be on the positive side on the margins. So let's wait for them. Obviously, that -- the old record if you see, whenever we did EPC, we used to do about almost 80%, 85% EPC in about FY '17 or FY '18. And at that point of time, our margins on EPC were much higher than equipment supply. So that -- that our margin is always better in the EPC than in equipment supply.

Shiva: Okay. Understood. Helpful. And the second is with respect to cash flow from operations. If you could just help me understand what will be the payment schedule for 100 megawatt, if it is a INR600-odd crores. At what stages do we get the payments? I mean I understand the revenue accruing, but when do we get the final payments at different stages?

J.P. Chalasani: Let me address this. And also, I know that why you're asking this question, so before I'll address that concern as well because the receivables going up. And normally, for most of our contracts, we get 5% to 10% advance. Then the 40% to 45% is what we get on dispatch and another 40% to 45% is what we get on receipt and 5% on commissioning.

This is our standard payment terms given take here and there some variation. But then the -- on the public sector projects and which is what we have done a significant supply in the last few quarters. In fact, in the Q1 and Q2, our supplies to the -- the specific public sector contracts have been more than 50%.

Even in this 565 megawatts what we supplied in quarter 2, close to 300 megawatts has gone through the single PSU. There, it's a bid terms and we know that what are the payment terms in advance. But there in addition to giving 10% on advance, the first payment comes only after the materials are received at site.

Then that also is only 70%. In other contracts, we receive like almost like 90%, 95% on the time of materials received at site. Here, we get 70%. And then the balance 20% gets spread till commissioning and testing and various things.

We take that -- plus also in the public sector, the time taken from the time it becomes material reaches to their whole process of completing and taking it, if normally other contracts, it takes, let's say, about 20, 25 days, 3 weeks' time we get our payment once it is due. But here it can take even up to 45 days.

So -- but then we knew this, so we had a compared line of credit for these projects and significant supplies having been made to particular PSU contract, you are seeing a surge in the receivables, but that is not a red flag in my opinion. As that tapers down, it will -- we'll get back into the control.

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We know that's why it happened, and we know the reason, and we also know it will get controlled. So it's purely because of the payment terms. And that we knew in advance. And then we have adequately loaded the working capital interest in our bids and everything, and everything is covered in our pricing.

Shiva: Understood. So third is with respect to booking. The finance cost was directed that the net finance cost will be in the range of INR200-odd crores. So is that -- because it has hit INR150-odd crores.

So what will be the net finance cost for this year? And the second part is the DTA, you've added INR700-odd crores. What is the entire potential? And -- or how much have we used as of now till now? Or what is left over is the second part.

J.P. Chalasani: The way -- obviously, you all know I'm not a CFO, but the way I understood the DTA, I will explain to you. And if I make some mistake, my colleagues here will cover it. The -- as long as you have carryforward losses, which are known to us, you filed in your income tax returns.

And the moment there is a certainty towards the profit is going to happen and then you become mandatory under the accounting standards to provide for DTA. Here, the auditors took a conservative view of looking at the profitability of the company over the next 3-year period.

And then -- and we have a much more carryforward losses to the extent of about INR11,000 crores. But because they have only taken for the next forward 3 years, they are now converted to that. First of all, we've done in the quarter 4 of last year. In the 6 months, obviously, additional 6 months extension happens, they cover the balance portion.

So now as we speak on 1st of October, we have about INR1,229 crores of the tax credit, tax asset, we call it, as a deferred tax asset, which means that up to -- even if we don't add any further DTA, but we expect that to get added further as the time proceeds, they will see more and more visibility of profits with the -- even current INR1,229 crores means effectively for the next INR5,000 crores of profit as and when we reach till that time we have a tax saved.

So we will not -- there's no tax outgo in terms of the cash. And -- but then we expect that as the time passes, some more DTA would get added. Anand, you want to add anything? My colleague, Anand, will also further add.

Anand Bagrecha: To answer your question specifically, carry forward losses as per annual report of FY '25 were about INR14,000 crores and DTA recognized so far is on about INR6,000 crores. So there is a sizable balance left on which potentially going forward based upon DTA recognition condition getting met, there is a potential for further...

J.P. Chalasani: Further addition of DTA.

Shiva: So just to understand, the max potential is INR8,000 crores, 25 %. That will be INR2,000 crores more addition, the max that we can add?

J.P. Chalasani: Further.

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Shiva: Further, the max potential, although what can be planned out is different, but the max, the potential.

J.P. Chalasani: Yes. But today, that is in addition to the INR5,000 crores profit shield -- tax shield we have for the INR5,000 crores of profit. Today, it will be additional.

Shiva: Understood. And with respect to the net finance cost, how do you -- what was...

J.P. Chalasani: I think our guidance has been that we -- I think we will have about INR70 crores per quarter as a net financing cost. So the -- maybe we will touch about INR250 crores. This quarter, you saw slightly higher because we had -- we also started issuing surety bonds. And for some time, we had a parallel of surety bonds as well as letter of comfort from REC.

So that's why we had some additional costs and it has gone to INR80 crores. So I think our guidance would be we will see around INR250 crores of net financing cost in the year. Also, let's understand that volumes are increasing, when the volumes increase...

J.P. Chalasani: And then we are also seeing that the -- which supply -- which contract you are supplying. So if the contract has explained to you, if you do it to PSU, that working capital increases, so cost would keep changing from quarter-to-quarter. But these are all known. They are not unknown things, which are coming up as a surprise to us.

Shiva: Okay. If I may squeeze in one last question. You've directed that at the margins for OMS divisions

have come down. It is a one-off thing. But if you could just give a direction, is the revenue per megawatt for the new S144 similar to the older ones?

J.P. Chalasani: No, no, no.

Shiva: For OMS.

J.P. Chalasani: OMS. The previous question was specific to OMS. I didn't talk about all business divisions. In fact, all business divisions, there is no reduction. If you look at our WTG division, we still have a 26.9% contribution margin and even EBITDA margin is good. And even in the OMS, our contribution margin still is at 66%, right? There is no reduction. In fact, wherever there is possible, there is only improvement.

Our margins will only change based on the revenue share between the WTG versus OMS versus others. In fact, quarter 2 to quarter -- quarter 1 to quarter 2, we moved. Our WTG revenue share has gone up from 82% to 84%. When the WTG increases, that margin being at lower than the OMS margin, the margins will change.

While the individual business margins will increase, continue to increase, that's what happened even this year or this quarter for WTG. But because the mix of revenue changes, at the group level, the margins can change.

Shiva: But the OMS division margins are slightly lower, right? EBITDA margin is 34.5% for India OMS in Q2.

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J.P. Chalasani: Yes, that is what which I explained to you last time or the previous question that this is sort of a one-off. If you look at H1, we are still at 37%. This quarter it is 35%, but H1 is still 37%. So therefore, our guidance continues that we will be between around -- hovering around 39% to 40% as the range. This is a one-off for this quarter alone, why I said there are no red flags there, and it will be normal moving ahead.

Shiva: Understood. So the revenue per megawatt for OMS is in the same range for S144 compared to S144 to the earlier models?

J.P. Chalasani: For OMS, means like our turbines, different -- per megawatt, it will be different. because you're maintaining a turbine. So therefore, if it is a 100-megawatt wind farm, there you're maintaining 50 turbines and here, you will be maintaining 33 turbines. So therefore, the turbine cost -- per turbine, the OMS price could be higher. But per megawatt cost will be low, but also your cost per megawatt price will be low, but your cost also is low. You reduced your -- number of turbines you're maintaining are low.

Instead of maintaining 50 turbines, you will only maintain 33 turbines in 100-megawatt form.

All your cost, your space cost, your manpower cost, everything will be low. So therefore, it won't impact the margins that way.

Shiva: The growth will be slightly lower compared to the older?

J.P. Chalasani: No, no, growth also will not be lower. Growth everything will remain the same. See, you need to look at the price per turbine rather than the price per megawatt in OMS because your maintenance cost comes per turbine, but your maintenance cost doesn't come per megawatt, okay?

So therefore, as long as you are maintaining your price levels, cost levels for the turbine, your margins won't come down. So therefore, let's not get confused with 3 megawatts -- tomorrow if you go to 5-megawatt turbine, obviously, price per megawatt will come down.

But then you're maintaining only 20 turbines per 100-megawatt farms. Your cost also will be low. So therefore, in OMS, you should look at cost per turbine, price per turbine. And from that angle, the higher the capacity is not going to have any impact on your margins.

Moderator: Next question is from Abhishek Nigam from Motilal Oswal.

Abhishek Nigam: So MNRE recently came out with a detailed SOP for local manufacturing of wind turbines. I think where they basically give details regarding what qualifies, what is not qualified. And so I just wanted to know after that, is there a little more clarity on -- is it

-- in terms of localization,

is it more easy, tough? How are the competitors responding? And any clarity you can give on that?

J.P. Chalasani: Yes. See, clarity was there right from the beginning. SOP specifically defines that clarity in a proper way that how do you actually put it, what happens step 1, step 2. We are absolutely clear that the companies have to get listed there. And before getting listed, there will be inspection,

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physical inspection, and you've got to meet that inspection requirements, you need to meet the ISO requirements.

There is a process by which you can list the companies. Only you can buy from that. Not only SOP, they have now also come up with what is called the REEIMS, that is the Renewable Energy Equipment Import Monitoring System, okay? They're even going to the extent of -- if you want to import any component, you got to get registered there. Then only you'll be allowed to import. Otherwise, you will not be allowed to import. That has become effective from 1st of November. And they are also moving further of the next portal what they're developing is that not just the import, they want to monitor till which turbine, which project it got -- that particular component got consumed, okay? Where it has been used. So therefore, there's going to be a complete control on where from you buying and which project you're buying and what are you doing it.

And in fact, they are also saying that -- they also said in the SOP that you can -- even if you come with a new model, we will not view -- in fact, the new model in the same platform, unless that the power -- incremental power is more than 10%, we don't recognize as a new model. Because some people can try slightly saying the new model so that they get that advantage of up to 800 megawatt you can import, okay. So they even clarified that we will not allow even that unless the rotor diameter goes up by 2% and the power goes up by more than 10%, it won't be considered as a new model.

So it will consider the old model only, and you don't get that benefit of 800 megawatts or whatever it is can be imported. So I think this only shows that they are very, very extremely keen that the domestic manufacturing has to increase and which we said earlier, and we meet that

requirement fully and we encourage that and this provides level playing field. Now the cost advantage what people had on cheaper imports would go away.

Abhishek Nigam: Okay. And is there also subsequent steps, which are expecting? Like if I see on the solar side, we are seeing -- it started with ALMM, then ALCM. Now they've already announced ALWM.

People expect ALBM, which is on the battery side. So I mean, subsequent to this, do you see, I mean, more announcements in the coming years?

J.P. Chalasani: See, wind because we know about wind, we have done right in the beginning because we have the manufacturing capacity for all the companies. In solar, we didn't have it, so they're going step by step. What they're going -- what probably we can expect is now their next step is they will go subcomponent level.

So if you're talking about a gear box, they're going to look at it as, are you assembling a gearbox here? Then saying it's domestically manufactured. What restrictions should be put on a subcomponent level because the castings are available in India, then they might say that you need to buy only from India. So the step 2 is what they will do is the component level, subcomponent level restrictions.

Otherwise, see -- because wind -- all components are manufactured in India, so therefore, advanced from there, unlike in solar. Solar, initially, they started the modules, then they went

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into the cell and now they're getting into different things. But here, only next step will be subcomponent level

Abhishek Nigam: Fair enough. And sir, just last question. So what I'm seeing on the solar side is that companies are now sort of going into these adjacencies. So companies are looking to get into transformer manufacturing, inverters, batteries. I know this question is probably a little too early. But if that subcomponent level manufacturing comes in, in wind, I mean, will you be willing to explore that? Or is it too early?

J.P. Chalasani: Why not? No, we already -- see, at one point of time, even today, we manufacture our turbines. We make our panels. At one point in time we were making even generators. So therefore, we already did that. Even today, we do our own transformers, we do our own panels. So therefore, the -- with the increase in volumes, and then we do have that experience, we do have the capabilities.

So therefore, why not get into that. If we -- see, if somebody can do it, someone for whom it's easiest for anybody, it is for us because we do have that experience. We do have those -- the facilities available already for the purpose of manufacturing, definitely, we look at that.

Moderator: Next question is from Amit Mahawar from UBS.

Amit Mahawar: Congrats on great operational performance. Sir, you explained on the EPC rationale in detail about those 2, 3 points, why Suzlon is looking at. Now we're also expanding capacity.

Eventually, we will target export market. Do you think on the risk profile side, the risk will need to be significantly looked at because I agree industry is growing very well. This year is going to be good and our share is ramping up.

All the policies are very, very favorable. But as we move the EPC route, and I understand integrated renewable power is in your mind when you think about EPC. If you can throw some light on potential risk that we'll have to keep in mind because -- or rather, why not think about only the WTG model where we anyways have forgings, O&M, a very diversified business model, why go that EPC route considering the potential risks? I just wanted to get some handle on potentially what can go wrong if we go to EPC routes.

J.P. Chalasani: If I understand you right, there could be some confusion in the definition of EPC. EPC even today, we do, okay? 20% is EPC. And when we talk about EPC, that is where we acquire the land and we do the complete BOP and supply the turbines and commission them and basically, do the O&M. Second alternative is that land doesn't belong to us.

And even we may not -- other extreme is that nothing belongs to us. We just supply the turbines and supervise the entire work. That's called the equipment supply, okay? The risk on EPC is much less and much higher control. In fact, the EPC is a risk mitigation model because we are just supplying the equipment there.

Our equipment supply will completely depend upon readiness, whether a project is ready to take the turbines or not, if the turbines are on the ground for 2 years, 3 years, what happens with the turbines, warranties. It's a huge risk, plus we also can't even predict how much quantity of

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turbines we can supply because we can't really know when the project is going to happen. That is what is the concern today for us.

What we have today problem is that, okay? Most of the places where we supply the turbines, they are not able to commission them are in the non-EPC projects, very less in the EPC project. So when we move to the EPC, we are mitigating that risk. Anyway, there is no additional risk we are taking it. We acquired the land.

And in fact, we're mitigating the risk of land and ROW, which is a major risk where we are not doing the EPC. And that is because we are mitigating here by taking the land and ROW issue out of it because we're acquiring the land along with the pathways much in advance.

So EPC route is actually a risk mitigation, not

the risk creation. That would significantly increase

our capacity addition speed at which we can add each year, and it would improve our turbine supplies and it would improve our margins. Most importantly, that is a significant competitive advantage what we have because we are the only player who can actually provide an EPC service along with the land.

There is no one else who can actually provide significant -- when it comes to the export, there we would take the risk of only supply because that's a new geography, we don't understand that, we really don't get into EPC there. We will not take the risk of EPC when we go out of the country.

Moderator: Next question is from Gourishankar Dalal from Cresta Capital

Gourishankar Dalal: A couple of queries. Sir, first of all, like we have a cash balance of around INR1,800 crores in the balance sheet. So how are we trying to use it and put to use and create value for the shareholders?

J.P. Chalasani: See, first of all, let's -- right now, today, this is a very small cash what is available. So therefore, we're expanding the business. Let's keep that as a reserve money, whatever is required for, in between, for various purposes. And then also, we need our capex. We're spending money on the capex. We're spending, as I said, that we provided INR150 crores of seed money for development.

So as the further we go ahead and more and more we generate the cash, then that's a good problem to have it what do we do with the cash? Okay? Whether we wanted to do dividends what it is. But let's reach that stage of having a good problem on hand. But right today, I think it is really used for our capex and various other purposes.

Gourishankar Dalal: Okay. And sir, my next question is with regard to the revenues and all. So like your revenue year-on-year has increased by around 84%. So it is majorly led by the volumes. Like can we assume there is some moderation with regard to the prices also year-on-year?

J.P. Chalasani: No, I think our average realization per megawatt remains more or the same in line to the guidance what we gave. There is no change in the revenue per megawatt.

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Moderator: The next question is from Smith Gala from RSPN Ventures.

Smith Gala: Congratulations for the good set of numbers. I just wanted to understand about how is the company looking at for FY '27 given a great '26 is going on?

J.P. Chalasani: Let's wait. Let's first update on Q3, Q4 of this year. And then we will look at FY '27. Obviously, there will growth. I don't want to put a number to that.

Moderator: Next question is from Kumar Divyanshu, who is an individual investor.

Kumar Divyanshu: I have 1 to 2 questions. The first question is regarding the promoter holding that as far as I can see that promoter holding is very much low, like it is 11%. So, it is there for the management planning or it is there for the company planning to increase the promoter holding?

J.P. Chalasani: I'm not the right person to comment on that because as a professional CEO, this is a question regarding the promoters. But to the extent I know that they have no intention of reducing further and their commitment is fully clear for the company moving forward.

And whether they will increase or not increase, I think I would be the wrong person to answer that question. I think as and when you have an opportunity to meet up with Tanti's, I think that's a question you should address it to them.

Kumar Divyanshu: And the second question is regarding that what is the like maximum time duration for the execution of this order? How much period, could you please comment on that?

J.P. Chalasani: No, I think whatever order book we have is that this is to be executed in the next 18 to 24 months. Current order book.

Kumar Divyanshu: Okay. And what about the order inflows for the upcoming quarters?

J.P. Chalasani

ni: No. Every project when they're giving us order, they and we together decide what is the execution time line depending upon that if it is a big project, what is the PPA time line and when

is their evacuation facilities coming in. So, it can be as less as 18 months. In some cases, it can go up to even 26, 27 months. It varies from contract to contract.

Kumar Divyanshu: Sir, this point I understood. Just I'm asking that is there any upcoming next order inflow for the upcoming quarters? Like orders in pipeline or not?

J.P. Chalasani: Yes, I explained that order pipeline. I said that there is significant order pipeline, and we will continue to announce the new orders. And hopefully, we will continue to maintain the trend of closing order book higher than the opening order book in spite of the fact that our supplies during the quarter would keep increasing.

Kumar Divyanshu: Okay, sir. And like debtor days and days payable is quite high as far as you can see. So...

Kumar Divyanshu: I'm asking that debtor days and days payable is quite high in the ratio as far as I can see. So is there any -- please comment on that? Is there any planning that how you will decrease that particular number?

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J.P. Chalasani: We explained some time back, it's basically happening because of public sector contract and that proportion being higher. I think we went through this question in detail in the previous question -- answer to that.

Moderator: We'll be able to take one last question. We take the last question from Hardik Sharda from Mavira Asset Management.

Hardik Sharda: I just want to understand what is the situation around rare earth metals? And how does it affect Suzlon, given the geopolitical situation? That will be my question.

J.P. Chalasani: No. See, as far as the steel is concerned, generally, we get protected in the contract. Steel price up and down, except for the cement plant. And the rest of the metals we keep watching and then where we need to procure. Rare earth, we don't use much.

So therefore, I don't think we have any impact of rare earth on our turbines. So therefore, we are completely insulated from the so-called geopolitical issues of rare earth to be supplied and not supplied. It will not impact us.

Moderator: We'll take that as the last question. I would now like to hand the conference over to the management team for any closing comments.

J.P. Chalasani: Thank you very much for joining and making it very interactive. And any further details you need, my colleagues from IR team are available for you to provide and please reach out to them or any amount of details you need to clarify yourself, we will provide. Thank you.

Moderator: Thank you very much. On behalf of Suzlon Energy Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Feb 2026

12th February 2026.

National Stock Exchange of India Limited,
"Exchange Plaza",
Bandra-Kurla Complex, Bandra (East),
Mumbai-400051. BSE Limited,
P.J. Towers,
Dalal Street,
Mumbai-400001.

Dear Sirs,

Sub.: Q3 FY26 Earnings Conference Call.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you,

Yours faithfully,
For Suzlon Energy Limited

Geetanjali S.Vaidya,
Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited
Q3 FY '26 Earnings Conference Call "
February 05, 202 6

MANAGEMENT : MR. J.P. CHALASANI – GROUP CHIEF EXECUTIVE
OFFICER – SUZLON ENERGY LIMITED
MR. RAHUL JAIN – GROUP CHIEF FINANCIAL OFFICER
– SUZLON ENERGY LIMITED

Suzlon Energy Limited
February 05, 202 6

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Moderator: Ladies and gentlemen, good day, and welcome to the Suzlon Energy Limited Q3 FY '26 Earnings Conference Call . During this call, the company management may make certain statements that reflect their outlook of the future, which could be construed as forward -looking statements.

These statements are based on management's current expectations and are associated with uncertainties and risk, as detailed in the annual report. Actual results may differ, so this

statements should be reviewed in conjunction with the risk the company faces.

As a reminder, all participants line will be in listen-only mode and if you need assistance during this conference call, please signal an operator by pressing star and zero on your touchtone phone. Please note that this conference is being recorded.

We will begin with the opening remarks followed by a Q&A session. To be fair to others, we kindly request each participant to ask no more than two or three questions. From the management, we have with us Mr. J.P. Chalasani, Group CEO, Mr. Rahul Jain, Group CFO and senior members of a finance team.

I now hand over the conference to Mr. J.P. Chalasani sir. Thank you and over to you sir.

J.P. Chalasani: Thank you so much. Good afternoon everyone and thank you for joining us for Suzlon Quarter 3 FY '26 Earnings Conference Call. For the first time I am joined by Rahul Jain, our Group CFO.

Of course, some of you have met and more of you meeting him.

Unfortunately, my throat is in pretty bad condition, continuously coughing this morning. I want to preserve my energy for Q&A, so I would request Rahul to take you through our opening comments. And but I am here for subsequent Q&A s. Sorry for about that.

Rahul Jain: Thank you, J.P. Chalasani sir. Good afternoon, ladies and gentlemen. Many of you may know me from previous and earlier associations, but for the benefit of the larger group, please allow me to introduce myself. I am Rahul Jain and I recently joined Suzlon Energy Limited as Group CFO. It is truly my privilege to be a part of this forum today. Prior to Suzlon, I have been associated with SRF Limited and Jubilant Organosys Limited.

I'll now take you through talking about the industry, certain business highlights, and continue on the financial piece as well. We recently celebrated an important milestone, 30 years of Suzlon's journey and TRT's birthday on 2nd February.

It reinforces the vision, resilience and forward-looking spirit that Tulsi Bhai instilled in Suzlon, values that continue to guide us and inspire us even today. Talking about the industry, India's wind sector is witnessing its strongest growth phase. The year 2025 has been a landmark with wind installations touching a record 6.34 giga watt, surpassing the previous peak and clearly reaffirming the vast demand potential of wind energy in the country.

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Industry is well positioned to move to higher installation year -after-year with a clear trajectory to surpass 10 gigawatt over the next 2 years. With 54 gigawatt already installed and a strong pipeline with STU and PSU bids as well as C&I demand, India is set to achieve the near-term target of 100 gigawatt by 2030.

Repowering also started gaining traction and there is rising customer interest, which gives visibility of several opportunities ramping up in the next 1 to 2 years. The market opportunity for Indian wind industry is even larger as it is gearing up to become a global sourcing hub for wind turbines and components.

With adequate and low-cost domestic manufacturing capacity, India is emerging as a credible supplier for nearly 10% of global wind demand. Suzlon is also focusing for strong export-driven volume growth powered by competitive Make in India manufacturing base and our long-standing global

operating experience.

To accelerate this, we have strengthened our global leadership with the appointment of Paulo Soares as President Europe, ensuring deeper engagement and faster market scaling across key geographies.

With the EU trade agreement already in place and a US trade deal getting finalized, Suzlon is well positioned to tap significant export opportunities both for WTG s and for SE Forge's castings.

Coming to business highlights, we are pleased to report yet another record-breaking quarter, as Suzlon has set a new benchmark in execution by delivering a record-breaking 617 megawatt in Q3 FY '26, the highest ever quarterly deliveries in India since inception.

Yet again, highest ever order book of 6.4 gigawatt reaffirming our market leadership, powered by over 3 gigawatt new order wins in this financial year itself, resulting in book-to-bill ratio of 1.9x. The focus now is on expanding our EPC offering, which has grown from 20% to 27% in Q3, which enhances our competitive edge and further help to accelerate order book growth.

The S144 order book has exceeded 5.4 gigawatt, a strong endorsement of its advanced technology and customer trust. On the manufacturing front, our 4.5 gigawatt manufacturing capacity is fully operational and scaled to support the current order book. We are also establishing three new AI-enabled smart blade factories, further expanding our footprint.

Suzlon commissioned 442 megawatt in 9 months and, further to that, another 2,354 megawatt is in active execution in various stages. Further, we are also working to develop a strong development pipeline of 25-plus gigawatt. We have included these details as a part of our

investor presentation. Kindly refer to Slide 23.

Our OMS business remains strong with 15.5 gigawatt -plus under management in India and machine availability consistently above 95%. Renom AUM is consistently growing on the back of steady fleet additions and healthy pipeline.

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Our forging and foundry business is unlocking its potential, delivering 33% Y-o-Y revenue growth in nine months to INR 429 crores with EBITDA to INR88 crores. We expect this growth momentum to continue with stronger domestic demand and export opportunities.

Suzlon has been ranked among the top 10 most sustainable companies globally for 2026 by Global 100 Most Sustainable Corporation list by Corporate Knights. We are deeply honored by this recognition, especially as Suzlon is the only Indian company featured in the list.

With strong performance in the first 9 months, we are firmly on track to achieve our FY '26 guidance of 60% Y-o-Y growth across key KPIs. I would be using Slides 18 to 27 of our investor presentation, which has been uploaded on our website, as the reference point for my discussion during the presentation.

In Q3 FY '26, Suzlon continues its exponential growth trajectory, delivering 617 megawatt, highest ever India deliveries for any quarter with all financial parameters showing strong uptrend. Suzlon reported a revenue of INR 4,228 crores in Q3 FY '26 with an EBITDA reaching INR739 crores, a robust 48% year-on-year growth with PBT of INR567 crores and a PAT of INR445 crores.

In 9 months FY '26, deliveries grew 66% to 1,625 megawatt surpassing the full-year FY '25 level of 1,550 megawatt in FY '25. Strong execution momentum drove revenues to INR 11,211 crores, up 58% Y-o-Y.

Consolidated EBITDA increased to INR2,058 crores, reflecting a strong turnaround with 77% Y-o-Y growth. PBT rose 77% to INR 1,589 crores with reported PAT improving to INR2,049 crores.

We are pleased to report that our balance sheet as of December '25 reflects a position of exceptional strength. Strong consolidated net worth of INR8,332 crores. Our net cash position is at INR 1,556 crores, further enhancing our financial flexibility and resilience. Adequate working capital

limits tied up for execution of the current order book.

Our end-to-end wind energy model supported by an integrated supply chain, strong execution and industry-leading service provides a competitive edge that is unique and difficult for others to match.

Thank you, and I now request the operator to open the line for Q&A.

Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Sumit Kishore from Axis Capital. Please go ahead, sir.

Sumit Kishore : Good evening, J.P.C. sir, and welcome Mr. Rahul Jain. My first question is out of the 2,354 megawatt execution pipeline, how many megawatts aging-wise are pre-FY '25 ?. Similarly, in your trade receivables of INR5,745 crores, how much receivable is due beyond 1-year. So on both counts, can you cover the risk of further delays for both your customer and for Suzlon?

That's my first question.

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J.P. Chalasani: So if you take out quarter 3 supplies which is 617 megawatts, the balance is what we're talking about 2,354, which is what is under execution. So current supplies what happened in Q3 are the one which are not in the different states of execution, predominantly.

Sumit Kishore : No. Sir, the first question was also that how much of this 2,354 has been sitting under execution? Even pre-FY '25, how much is sitting in 2,354, which has been under execution for the last 7-plus quarters ?

J.P. Chalasani: There would be -- let me pull that number. I don't have it right away. Pre '25 I think would be somewhere around 50 to 60 megawatts. Talking about pre-FY '25, okay?

Sumit Kishore Yes.

J.P. Chalasani: So that is what it is that -- be predominantly one project in Karnataka, which is stuck because of land and various things. Otherwise, there's nothing beyond that.

Sumit Kishore : On receivables?

Rahul Jain : Okay. So to answer on the receivables, right, our total receivables are roughly about INR5,700 crores. Those that are not due in terms of saying that certain milestones are still to be completed are roughly about INR2,100 crores. Therefore, the balance number INR3,600 crores

Sumit Kishore : INR3,600 crores less than 1 -year?

Rahul Jain : Yes, largely, I would say. There are no big overdue receivables, I would say. Some obviously are there, but not big ones.

Sumit Kishore : Got it. The second question is on WTG EBITDA margin in Q3, which is 13.7% versus 15.6% in H1 and 16% in Q2. So why is the dip in Q3 happening? Is it going to higher EPC in the mix?

Or are there other reasons as well?

J.P. Chalasani: What happens is that it depends upon a couple of things. One is the average sales price during the quarter depending upon who is the customer we supplied . So the impact of one large customer not being there this quarter impact is almost about 1.9%. And then the another is roughly because the project revenues have gone up, project margin is being lower than the supply margin. So therefore, you see this. These two are basically causing 300 basis points.

Sumit Kishore : So basically, EPC share is higher than product delivery, when you say project margin ?

J.P. Chalasani : No, no, not EPC share. I'm saying average sales price of turbine has come down in this quarter because it depends upon whom are we supplying because contract to contract realization changes, okay? In the previous 2 quarters, we had a customer where the realization was very high.

The impact of change in the mix of customers because we'll keep changing quarter -to-quarter, change in the mix of customers to whom we supplied and the average sales price coming down, impact of that is almost close to 200 basis points, 190 basis points, not EPC, I'm talking about supply .

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Second ly, is the project revenue, yes, that is where you can say EPC

or SIA, only EPC SIA .

Projects revenue has gone up this quarter. So projects revenue margin being very low compared to supply margins. The proportion of project revenue keeps increasing, your margins fall.

Like, for example, we always keep saying the overall group level and WTG revenues goes up and OMS being the higher margin, but that proportion comes down, our overall margins also come down. Similar way, here, the average sales price and the project revenue is what will decide quarter -to-quarter for the margin. But if you see our 9 months level, we are still healthy.

Sumit Kishore : Got it. My last question, sir, on the key -- in the press release for Suzlon 2.0, you mentioned that your plan includes launching DevCo as a stand -alone FDRE project development vertical. What is the implication on balance sheet commitment for Suzlon? And what does it mean for ROCE and leverage levels for Suzlon targeted going forward?

J.P. Chalasani : No, this is nothing , but what we have been talking from, I think, last few quarters of our taking the development route to increase our EPC share.

Sumit Kishore : Okay. It does not mean committing balance sheet ? Okay .

J.P. Chalasani : We said that we keep some seed capital and start doing it. What this development company , because we wanted a more focused approach, not getting concerned with the day -to-day project execution and the land concerns in the projects. This business, call it a separate company subsidiary, but this business unit would concentrate on two things.

So because the first thing it identifies which are the potential sites over the next 5 years based on the wind data what we have, okay? Then therefore, it identifies what are the sites for year 3, 4 and 5 from now. And we start acting on that. And that is where we will have more strategic sales with the large customers for work in the renewable energy business to do on a long -term basis.

Mostly if you want to do year 3, 4 and 5, so let's now tie up for 3, 4, 5 for the purpose of land and everything. And by the time we start in year 3, most of the land is acquired, your connectivity is there, everything is there. So when you start your work , your time to execute will be the shortest. Plus you have a clear visibility of year 3, 4, 5 targets, okay. That's one segment what development company does. So we will start having that strategic sales for year 3, 4, 5.

Second one, what it does is , what I explained earlier that we start acquiring the land and before we reach 25% we get a client and they take over the 25% and start paying us for the land thereafter, but EPC NTP will come a little later and , let's say, 50%, 60%, 70%, what is the comfort of both levels, both of us to do so that their IDC would come down substantially and the project gets executed much faster.

And once it enters into a project phase, let's say, there is 25%, 30% of the land still to be acquired , that's the only portion the projects division will take over because project activities have already started, EPC activity started. And the team which is working on the land from the development on the ground team will get subsumed into that projects division.

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Basically, this is an advanced action. And what it does is after identifying sites, we need to get local authorities approvals, whether it is MEDA or it is GEDA or it is Netcap in AP or wherever it is, you get those approvals. So acquiring, if it's an STU, we will also start getting connectivity. We will also plan in future what is to be done on the CTU depending upon how the business unfolds on CTU.

So keep everything ready so that the execution is faster and we will get more and more EPC contracts. It's good for us and good for the clients. It does business in a very, very focused way. There is no significant change in business model, but we are creating a business unit, which is

more focused only in that. And here, it is not to do with any balance sheet putting, we just put the seed capital. Am I clear, Sumit?

Sumit Kishore : Thanks . Yes, yes, thanks for the detailed reply, sir, and wish you all the best.

J.P. Chalasani : Yes, thank you.

Moderator: Thank you. The next question is from the line of Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal: Yes, good evening team. Sir, my first question is over past few months renewable tenders have been quite weak in the country. How confident are you of growing your order book specially when the execution pace goes up from here?

J.P. Chalasani: Let me start with our order book mix. Deepesh. First one is that the current order book even if you look at 51% is from C&I and captive segment. No involvement in the bidding. 36% is from bidding.

Management: Deepesh, if you could put yourself on mute, I think there is background noise so we could control that.

J.P. Chalasani: And about the 13% is from PSU segment. So our involvement in the bidding is to the extent of 36%. That also is gone up I explained in the last quarter because we had a huge order from Tata Power. While what you say in terms of bidding activity at the central level has taken a pause, I don't say stopped, taken a pause because they want to resolve the issues of outstanding PPAs and various things. State -level bidding is now picking up.

You're seeing in GUVNL bid has come in, MPUVNL has come in, now other states are talking about it, that will keep going up. Even in the central level if you see that the I'm sure that all of you have followed yesterday was the SECI -19 or something reverse auction happened. And till date most of the bids for SECI were undersubscribed. This is a pure wind bid for 1, 200 megawatts . It was oversubscribed by 3x . Okay?

So there were offers for 3,000 megawatts and the tariff is 3.67 to 3.69 depending upon who are the people who won after that. So therefore for the wind, wherever there is standalone wind bid, there is still there is a significant amount of demand happening. While I see that there is a pause, but I think the with what is going to happen in terms of state bidding and more importantly, with Suzlon Energy Limited
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the significant amount of data centers now planned to be commissioned by 2030, and all these data centers are supposed to be the green data centers.

That's going to push significant growth in the renewable energy and our strength is in that area which comes under C&I. So while I accept your point, but I don't see that is going to have a significant impact for our business.

Deepesh Agarwal: Sure. Can you also add some color on exports now given EU FTA has been signed, US trade deal has happened. I think you have also appointed someone as head of your European business, so some more color on how is our export pipeline shaping up?

J.P. Chalasani: On the US, Deepesh, everyday morning I check whether we have a potential or not. Because it depends upon what comes on the trade threshold. So wind will happen or wind will not happen, you know and I know. So it is nothing to do with the trade deal because right now from the current government point of view, wind is not favored and they don't want to do wind.

While that is a significant potential for us because that was our largest market in the previous time, but we will continue to wait and watch when that market opens up. That's why we moved our focus to Europe. That's where you have seen Paulo's announcement. In fact, he was with us earlier, when we stopped international business he went out but came back to us.

We are exploring Europe, Australia, South Africa, Middle East and few other countries. As I said earlier, you will see some traction some terms of orders getting announced in the next financial year, but the supply starting and the revenue flowing in will be

in FY28. And the US we need to wait and watch when that gets opened up.

Deepesh Agarwal: Sure. And lastly, sir, I think some of our Chinese peers have introduced 5 megawatt platform which is 8% to 10% cheaper in LCOE over 3 megawatt platform. Want to understand how far is Suzlon from launching that 5 megawatt platform?

J.P. Chalasani: Let me define how far is actually a very subjective question, Deepesh. If you ask me, we are very near. Okay? But that very near could be little far for you. But anyway, what I want to reassure you is that our 5 megawatt turbine is now getting into the proto stage and that will come at appropriate time. But the thing let me tell you is that in spite of the fact there is a 5 megawatt turbine launched, our 3.15 megawatt is going significantly. And now we have also introduced started selling 3.3 megawatt with the revised power curve which has a lower cost per kilowatt hour compared to 3.15.

And my feedback, I am sure that some of you would have the feedback, 5 megawatt when they started actually implementing because original feeling was that you need less number of footprints is actually land acquisition is becoming a big headache because a 5 megawatt footprint actually need multiple farmers to sign because you need a larger land area compared to a 3 megawatt.

So making each farmer to agree for one footprint because you have a multiple farmers is creating an issue. In fact I was talking to few of the developers I think they are actually saying that is it the right strategy for us to go because we fell into it because you need less number of footprints.

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footprints, less number of footprints doesn't mean that it's a faster execution. Even that is happening, but still we are coming with 5 megawatt. So therefore I am not against 5 megawatt. So our 5 megawatt will come at the appropriate time and we will ensure that turbine delay will not impact our intake of orders.

Deepesh Agarwal: Sure. Thank you and sir please take care of your health.

J.P. Chalasani: Thanks, Deepesh.

Moderator: Thank you. The next question is from the line of Shiva from Purnartha Investment Advisors. Please go ahead.

Shiva: Good evening, team. So my first question is with respect to forging. Obviously the last time when we said we are planning to increase the revenue, but in the nine months others that is the revenue that we get from the other not Suzlon, that hasn't improved much, it's more or less flat. So could you just throw what was the issue over there and going ahead how do you look at it?

J.P. Chalasani: Yes. The SE Forge as we said in our opening comments is the one which is now unfolding its potential. As we said that the overall between foundry and forging, the capacity utilization has gone up from 21 to 31. 31 is small, but fine but relatively we improved by 10 percentage points in the last three quarters and profitability has improved.

EBITDA has gone up from doubled from INR40 crores and our margins have gone up from 12% to 20%. On your specific question of non-wind and other things. Work has started in terms of non-wind like your injection mould machines and various other things, but what happens in case of castings is it takes before order start getting implemented, the process of preparing a casting prototype and getting it approved is a long-drawn process.

They're going through that process. You would clearly see in FY 27 the revenues coming from non-wind substantially going up compared to what it is now. So that's clearly we're on that path of increasing non-wind. And second is that because of the US trade deal till now whatever the tariff was there, so we had an impact on US exports.

We export big way to US specifically to GE. But now with the trade deal announced and that will again come back. The GE is again would be back in that. So both ways: in the

the wind also it

will increase and the non-wind also it will increase and we are I am especially personally quite excited on SE Forge as we move forward. Number of things we're doing there in SE Forge, especially in the forging.

Shiva: Understood. That's helpful. The second is with respect to installations. Just obviously they were slightly slower, but if we take a seven quarter data also and the ratio of deliveries to installations we are at 36% odd. So whatever we've delivered roughly 2 gigawatts more has to be installed and just wanted to understand what are the main pain points or where which are the regions where we're struggling or in this specific 3 gigawatts that have already been installed or delivered and compared to other players, how are we placed in those regions?

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J.P. Chalasani: Definitely Shiva I am not going to say that we are great at doing an execution, execution

obviously remains a challenge for us as well as sector, in fact maybe for us more because of the numbers because others numbers we don't know fully. We only know the total numbers. Okay, the segment wise we don't know and how old it is also we don't know. So therefore I am not really concerned about what others are doing and why we can't do it.

I know that we are only at 10% market share as of today. We gave a guidance we'll reach like 25% by end of this year taking 6 gigawatts as the top and we are still working towards that. The reason why the execution is getting delayed is the first of all this is until now it is 80 -20. 20 is EPC and 80 is non -EPC.

So we have a limited control on land and BOP in those projects. So that's one reason. Even it doesn't mean that where we are doing EPC everything is just great. Even we are having issues with respect to execution, but slightly better compared to them. The challenges are the same. Your ROW and first of all land coming in time because the acquiring each land negotiating with farmers becoming a major issue. And then thereafter ROW issues keep cropping up every single day. And the ROW not just for the turbine, including for your 33 kV system. And then your the main evacuation system to be done. For example, this quarter we have a 253 megawatts of turbines pre-commissioned means they can generate today provided they get connected to the grid.

Okay, some places grid is not there which a client is supposed to provide which leads to delays. In fact there is 80 megawatts sitting out there could have been easily commissioned, but for the issue of temperature, which confusion between MNRE and MoP which they're trying to resolve. So while there are -- there is definitely a need and scope for us to improve on execution there is no second doubt about it, but there are these issues already known to us. That's the reason we gave that breakup of how much is on implementation. We are reasonably confident that by end of this year especially in the quarter 4 you will see a significant jump in terms of our execution. And it will pick up and once we start getting into more and more EPC through development this will change. Question is whether somebody else is able to do better than us I am not too sure. I would not be able to comment. But one can obviously ask that you are only 10% and somebody else has done 90%. That's a legitimate question to say that there are people who have done 90%. But that aging and those things I really don't know. I am only looking at myself, not looking at the market. There is a significant scope for us to improve this and we are working at it and we will improve it. There is no second opinion about it. We got to do it and we will do it.

Shiva: Okay. Thank you sir. Helpful. And the last one is with respect to battery storage. Obviously it is not a source of generation, but if the battery cost go down and the quantity of batteries goes up the plant load

factor of solar and wind will go up indirectly. So the amount of gigawatts that in the long term, just trying to understand in a very long term, might not be that much it invariably decreases the amount of gigawatts that need to be set up. So is it not highly dependent on the cost of battery?

J.P. Chalasani: No. Battery doesn't add any generation.

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Shiva: I am saying the plant load factors will increase because it will store energy. So the 1 gigawatt which are 20?

J.P. Chalasani: But if you want to store energy, it has to be produced. So whatever is the solar or wind connected to the battery, they have to still generate. So if you need let's say a billion units, you still need billion units to be generated. What battery does actually it tries to match your load curve and the generation curve. That's all it does. It has no impact on your PLFs.

Shiva: No I am saying if earlier 1 gigawatt of wind used to produce like X amount. Now because of the battery 1 gigawatt of wind and 1 gigawatt of solar used to give X amount. Now when we put in battery because the unused hours you can store that and you can indirectly increase the energy, the electricity consumed at the night. So you don't need that much amount of gigawatts to set up right if the battery becomes efficient and low cost?

J.P. Chalasani: Shiva let me tell you that it is little more complex. Your point is answer is yes and no. If you are -- if you have a generation curve, let's say, or I mean the load demand curve, you have a peak demand. Fine. You are creating your generating capacity to meet peak demand and which remains not utilized during the off-peak period, rest of the period, PLF will be low. Definitely low because you are not utilizing it.

So therefore the moment you put the battery, the amount of generating capacity what is to be put to meet the same load curve will come down. You're fine from that point of view. So will come down. So therefore that's the reason I said that this only matches between the demand curve and the load curve, but today people -- that is not what people are doing it. People are -- that is how we went ahead in solar.

So what's happening now is the solar getting the backing down is happening in solar. So

directionally your point is valid, means like theoretically yes you are right. So if you are setting up a capacity to meet peak demand, now if you put the battery, the capacity what is to be created solar or wind would come down because you are trying to flatten the generation curve to match the load curve. That I agree with you. But then what it does is the cost per kilowatt hour would come down.

Shiva: So if the batteries become very cheap in like 10 years or then this projections might get a hit right? I mean we don't know what happens, but it is highly dependent on how efficient the batteries are and what is the manufacturing cost of the battery?

J.P. Chalasani: See battery we really don't know anything, Shiva today.

Shiva: Yes, yes, as of now.

J.P. Chalasani: And then single source. Okay? Single source. So today and one single source can actually turn the key and then actually tighten the supply chain. So therefore what happens to the battery, what is going to happen, you are seeing the what is happening in the modules suddenly you see the prices going up, prices coming down. So I think the -- what is important for the country as a whole, storage is mandatory. There is no second opinion about it if you want to increase

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renewable energy consumption, storage is mandatory otherwise only alternative is more and more fossil fuel.

Whether it is battery or the Pump Storage and how it happens is what we need to wait and see. But storage is mandatory. Without storage, renewable energy will not grow. Earlier also we said clearly the

standalone solar will not grow unless solar and wind is there.

And at the same time if you answer to your question is that for a given demand, the capacity required for wind and solar will come down. But the moment you put storage, you're flattening the generation curve or matching generation curve with demand curve. Overall demand for renewable energy will go up. You get my point?

Shiva: Yes, yes.

Moderator: The next question is from the line of Mahesh Patil from ICICI Securities.

Mahesh Patil: First of all congrats on a good set of results. Sir my question is since we have you know completed nine months and regarding our guidance, right, 60% growth across all parameters and around 2.5 gigawatt of deliveries. So 1.6 gigawatt we have already done. I am not expecting any numbers but directionally how do you see is there any change in guidance or how do you see Q4 panning out?

J.P. Chalasani: We stand by our guidance. 100%. If there was any change we would have come forward ourselves to say that. pretty confident to meet what we said on an annual basis

Mahesh Patil: Sorry that the voice is not clear.

J.P. Chalasani: I said 100% we're committed. 60% we will achieve that. If there was any downward revision we would have come forward on our own to say that. But there is no downward revision. Pretty confident to get to that 60% growth rate. There is absolutely no doubt about it. You might back calculate, you might say this is -- till now you're not done it, can such capacity be dispatched? Maybe you know a year back if I told you that we will dispatch 600 megawatt in one quarter, you wouldn't believe it. So okay so therefore I can only say at this point of time not commenting on individual deliveries, I can reassure everyone that 60% guidance what we gave is completely online and we will achieve that.

Moderator: The next question is from the line of Sudhanshu from JM Financial.

Sudhanshu: So I have the two queries: one is can you please share the order pipeline if possible and second why our working capital requirement is increasing?

J.P. Chalasani: The order pipeline is strong. as we speak today, we are now clearly talking about three to four gigawatts non bidding route of discussions are happening.

I still maintain while people might say that your order intake is only 800 megawatt last meeting to this meeting and things like that, I still maintain the statement which I have been making

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Sudhanshu every single quarter: order is not an issue for us. The issue is execution if we improve the execution as a sector, we can supply more.

We did 617 last quarter. It pains me to stop at 617. We could have easily done 750 megawatt. Easily. Without any problem. But then your projects have got to be ready to offtake. That's the issue. Issue is not that how much can we supply in a quarter. We can actually supply 1100 megawatt in a quarter if there is a consistent offtake from the projects. problem is execution is

killing us.

Ours as well as others because that ours is 20% and 80% is controlled by someone else. And it is better than anyone else in the sector, okay? That's the problem. On the working capital you're spot on. So obviously that the I explained earlier that one of the contracts which we built in the provision to the last contract because of the delayed payments and everything we have taken separate line of credit for that particular contract .

But still the payments there the processes have taken much longer time . That's what made us to get stuck . And working capital requirements today Sudhanshu as long as we keep doing this public sector projects these projects would continue to be at a high level. It may not significantly increase but will remain at this levels . Unless we start seeing the results of our development company which is what I said that will start maybe giving us resu

Its from the let's say end of

next year second half of next year to FY 28.

For example like we have taken latest contract of ArcelorMittal. That's a typical of what we have been talking. So there we have the land contract much in advance. By the time we signed this contract we already have 50% of the land. But still we are not taking the NTP for EPC. So we said that let's acquire more land , get all the pathways everything then we will take an NTP . And we can do a quick execution good for them , good for us their IDC comes down our working capital comes down. I think we got to move to that stage. We're moving it consciously in that direction but it will take some more time. We need some patience to move there.

Moderator: The next question is from the line of Harish Singh from Subh Labh Research Private Limited.

Harish Singh: Greetings. Mr. Chalasani, I just wanted some granular details on this slow offtake which you have been mentioning in this call so far. Because you know for the past 4, 5 quarters probably this issue has come for the first time in our conference call. You know , so far the deliveries were good and we were executing well. But probably this quarter , the deliveries has gone down and this slow offtake issue has come up. So if you can you know help us understand a bit more about...

J.P. Chalasani: Let's be clear about it. It is not the first time. Each of those quarters compared to what we supplied , we could have supplied at least 15 % to 20% more. In each of the quarters, whether it's quarter 1, quarter 2 or quarter 3, okay? And it is not our supplies have come down, maybe it has come down with respect to the expectations what people had building up to 2.5 gigawatts. But otherwise this is as we said in our opening comments, this is highest delivery we ever did in a single quarter.

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But the expectation was different Because everybody is doing arithmetic calculation and saying that you know if 60% was said then 2.5 has to be done then fine, at least 700 megawatts will be done in this quarter. So when it is 617, you know some people felt that we have not met the expectations. That's the issue. Not that when you're dealing with respect to 60% and you see, obviously , the growth is big. Okay? So I don't think that's an issue.

The issue of offtake which we have been saying is there every single quarter, even last year, we had 3 gigawatts of manufacturing capacity , we supplied 1,550. Now we have 4.5 gigawatts of capacity and we're talking about 2.5 gigawatts of supply. So, therefore , offtake not just for us, every single OEM has offtake issue in India.

So as all the OEMs put together , supply can be much more than what today the absorption is happening on the project side. So it is nothing new. So because this quarter it is less than what you've been expecting while we are seeing that we have done the highest but still highest is not meeting your expectation , you're saying this is coming for the first time. It's not .

Harish Singh: Understood , Mr. Chalasani. Just a follow up on this, Mr. Chalasani . So how are you seeing the ground situation now? Because we have been reading about probably 30 -35 gigawatt of solar capacities lying unutilized. So is it the same with wind capacity as well , the PPA -- the absence of PPA etc etc is hurting your end customers also?

J.P. Chalasani: Let me tell you two things. One is, we don't have any contract which is awarded to us where the PPA is not signed. That 36% bid route was what we have . Our order book , 36% is bid route . So there is nothing where the PPA is not signed. That's number one. So , therefore , orders intake whatever you already taken , there is no risk of not signing the PPA.

Second, that 43 , 45 gigawatts whatever we are talking about , to my knowledge , the standalone wind doesn't exist in that. There is some wind capacity wh

ich is part of hybrid. Because the

states are now started saying that , you know , you increase your wind capacity in that compared to the solar, we want more wind, which obviously you can't do after the bid is done because

tariff is locked.

That capacity if you take it, I was told that about -- out of this 43 or 44, 11 gigawatt s is wind , which is part of hybrid capacity where the PPAs are held up , not the standalone wind. And in fact, I was also telling earlier that if you look at yesterday's response to the reverse auction. If there is any problem of standalone wind getting PPAs , you wouldn't see 3x response to a 1 ,200 megawatt s bid. Completely oversubscribed . So I don't think there is any problem with respect to PPA for standalone wind.

Harish Singh: Understood , Mr. Chalasani. Understood. So another question , Mr. Chalasani , related to this only. Probably you mentioned about this ROW and little bit of PPAs also getting resolved probably because of coordination between MNRE and MoP. If you can throw some more light on that , Mr. Chalasani, I probably missed t hat point?

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J.P. Chalasani: Yes. See, finally with our efforts two to three weeks back , they formally announced a task force by MNRE by giving the terms of reference which includes MNRE, includes MoP and includes every state nodal agency and other people basically to resolve issues with respect to land and ROW and the connectivity. So, therefore , it is now picking up the importance of it. But will this get resolved overnight? I don't think so.

Because the local people are becoming more and more active in terms of creating trouble for projects because it's now become a political issue that it's more easy because project is underway, halfway through they will be under pressure , you know, i f you create some trouble. Those things are happening. But the government is trying its best. So , therefore , that's the reason we expect some thing s.

But that's why best way is that you get your land and pathways , including 33 kV , the ROW clearly signed up beforehand before you start the project. Because the response -- what we have seen is a response of people there when they see a turbine . After that you talk about land acquisition versus when there is no turbine, no construction happening when you look at the land. Because we do both.

In development , there is nothing, no project activity happening. And we do land in where the projects have already started. So completely different response. Where there are no project activities , much more smoother. But once they see the turbines on the ground, the problems of ROW increase manifold.

Harish Singh: Got it. Just on e follow -up, then I'll move back into the queue. This task force formation was done like very recently and in your opinion how much time might be required to at least roll the ball in the direction of resolution?

J.P. Chalasani : You know the government better than me . Because you guys interact with government officials much more than me. This is a step one, and the decision to create a Task Force was taken 6 months back.

Harish Singh : 6 months back ?

J.P. Chalasani: And now the Task Force is formed. So I only look at it as a positive. It is moving in the positive direction. May not be on the timeline -wise.

Harish Singh : Right, right. Very helpful Mr. Chalasani. Thank s a lot. Please take care. And Rahul, welcome to Suzlon. Thank you.

Rahul Jain: Thank you . Thank you Harish.

Moderator: The next question is from the line of Nikhil from Kizuna Wealth . Please go ahead.

Nikhil : Yes, sir, thank you for giving me the opportunity and congratulations on a good set of numbers.

So, sir, my first question is like we said that we have a pipeline of 3 to 4 gigawatts. So how much of the wind data are we expecting on these orders? And sir with the headwind , so many Suzlon Energy L

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headwinds in the order flow, but we are saying that we are able to win the orders. So can we assume that you're going to surpass or even meet FY '25s order inflow or even higher than that?

J.P. Chalasani: See, I have given a guidance earlier and which I will maintain that . Each quarter my closing -- our closing order book will be larger than the opening order book. And each quarter our supplies are increasing. In spite of that our closing order book would be more. Which you can see for the last six to seven quarters and this will continue.

And I would like to maintain at that guidance because at any point of time 6.2, 6.4, 6.6 whatever it's happening and after supplying, then that means there is a steady inflow of orders. Because between the last meeting of Board and this meeting of the Boar d we added 803 megawatt. So ,

therefore the -- again , I just want to reassure that because that's what I believe in, not trying to sidetrack the issue . I firmly believe in the -- for Suzlon order intake is not the issue at all.

Management: Book -to-bill is 1.9x.

J.P. Chalasani: Yes. So the -- our book -to-bill ratio is 1.9x . But I can tell you that earlier also I said, I keep repeating that it is not out of any arrogance, I am saying that order intake is not an issue. And especially with this development activity what we started now, it's all the more important. You've seen our EPC share has gone from 20 % to 27% in one quarter.

Two largest orders what we announced in the last 1, 1.5 months are of EPC, both BrightNight and ArcelorMittal. So I think that's not an issue for us. And especially that our more of a concentration on the C& I segment, which is our 51% of the share, so I don't see this is going to be an issue.

Every quarter we will keep getting orders more than what we supply. So therefore we will constantly have a good healthy order book at the end of the quarter.

Nikhil : Yes sir, that's quite reassuring sir. And Rahul sir , I have a question on our tax rate . Like we have created a DTA , then I do understand that we will not be having any kind of cash outflow and we do have a INR14,000 crores of carry forward losses. I would like to understand like what would be on the face of the P&L, like how much effective tax rate would be shown in the P&L? I would like to understand that sir.

Rahul Jain : The way to look at it also, Nikhil, is that once all of these deferred tax assets that we have are fully recognized, your effective tax rate, cash or noncash should come to 25% because that's the regime that you're in.

Nikhil : Sir, I do understand that , but we are going to utilize...

Rahul Jain : It's a simple...

Nikhil : Yes, but sir, currently because we have the accumulated losses, we're going to utilize that in the coming years too and current year too ?

Rahul Jain : Okay, so the way it works is that the accountants will actually do an assessment sometimes on an annual basis and sometimes on a semi -annual basis where based on your future projection to Suzlon Energy Limited

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be looked at it will consider whether there is DTA losses that were earlier not , let's say , allowed to be set -off will now be set -off.

And based on that an assessment is done annually. So again, I would say that there are certain other which are not on the book as of now, an assessment will happen at the March end also. So there would be something that comes through again.

J.P. Chalasani: Nikhil, simple way non -complicated non -finance person what I understand is simple. Even as on today, we still have INR1,100 crores more deferred tax assets sitting in our bank. Even if we don't recognize anything further up to INR4,400 crores of cumulative profit from now on what we get we will not pay single rupee of tax. That's one part of it. Even after whatever happened in quarter 3, we still have

that much sitting in our bank. I can

keep drawing that, okay? That's what I only ask my CFO , sir only how much can I draw?' I only understand what I can draw. Okay? Now how much can I earn is my second question. Even after this we still have about INR8,000 crores of carry -forward losses.

At different points of time, the auditors will look at it, they look at 3 years ahead and they'll keep adding to my bank account. Okay? So therefore this what I have INR1,100 I am assuming that will keep increasing and they did last quarter and my expectations that they will do again in the coming quarter towards the March ending quarter.

So I am assuming that this INR1,100 kitty what I have in my bank in my simple language would further go up. My bank balance will increase. That's my understanding of all these complicated DTA rules and everything. Okay?

Nikhil : Yes sir.

J.P. Chalasani: To me this is what matters to me as a CEO.

Nikhil : Yes sir. Thank you , sir. That's it from my side and all the very best , sir.

J.P. Chalasani: Thank you.

Moderator: Ladies and gentlemen, we will only take last two questions for today. The next question is from the line of Akash Mehta from Canara HSBC Life. Please go ahead.

Akash Mehta : Hi, sir. Thanks for the opportunity. Just one question in terms of , I think , in the call you had mentioned some AI , I mean , enabling in wind turbines uh going ahead. So can you just help us understand what you all Sare kind of trying to do and what are the developments in that space that you all are looking at?

J.P. Chalasani: Yes. This is again you know layman explanation previously was finance this is technology. So my only understanding of AI what we're going to use is that my entire OMS system is going to get digitized. So therefore the our predictive maintenance, preventive maintenance and

everything can be tracked and which turbine when and how long it's there down popping up so therefore it actually improves our up -time because of this data because constantly we keep getting data analyzing and it's throwing up this.

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It improves our it reduces our cost because it is throwing up telling me the predictive maintenance much before actually the system fails so therefore we can act in that. So I think significantly that is what we are looking at it. If today we are at 96.1% of availability, how do we go towards 97, 97.5, 98 is one.

Second thing is today I am at 40% EBITDA margin, plus how do I not just sustain can I increase this margin. This is what AI would help me. Otherwise you know my CTO my CFO will say sir we will do this we will do that end result is this. Yes, I think that that's very helpful. Yes thanks a lot and all the best. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I now hand over the conference to management for closing comments. Over to you, sir.

J.P. Chalasani: Yes I think uh having the having coughed all along anyway let me say that thank you very much for bearing with my cough and you know not able to hear the opening comments I am I'm sorry but I didn't want to miss this call, it's extremely important for me I'll just go back home the moment this call is done.

I feel I not as a CEO I personally feel that it was a great set of quarter for us in the constraints what we know as I said that offtake of turbines and various things. And I standing here pretty confident I reiterate that the guidance what we gave stands absolutely no change. In fact last quarter some of you asked me that are we going to revise upwards, I said no.

And some of you are asking now do we revise it downwards, I am again saying no. We will maintain that 60% guidance completely online and the third is that the orders is not an issue. And this issue of DTA and people not understanding share price impacting up and down will still c

ontinue to be there. Next quarter we will have a huge amount of DTA asset coming in our net profit suddenly jump and people will say 300% profit improved.

So I think and these things would keep happening but you people understand that what is the meaning of all this. So but having said that, we are open at any point of time my colleagues or me for to discuss on any industry level issue or as well as anything specific is bothering you on Suzlon. Thank you very much.

Rahul Jain: Thank you everyone.

Moderator: Thank you. On behalf of Suzlon Energy Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jun 2026

2nd June 2026.

National Stock Exchange of India Limited,
"Exchange Plaza",
Bandra-Kurla Complex, Bandra (East),
Mumbai-400051. BSE Limited, P.J. Towers,
Dalal Street,
Mumbai-400001.

Dear Sirs,

Sub.: Board Meeting – Q4 FY26 Earnings Conference Call.

In continuation to our earlier communications in the subject matter, enclosed please find the copy of the Transcript, which is also available on the website of the Company (www.suzlon.com).

This is for your information as also for the information of your members and the public at large.

Thanking you,

Yours faithfully, For Suzlon Energy Limited

Geetanjali S.Vaidya,
Company Secretary.

Encl.: As above.

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"Suzlon Energy Limited
Q4 FY '26 Earnings Conference Call"
May 25, 2026

MANAGEMENT : M R. JP CHALASANI – GROUP EXECUTIVE COUNSEL –
SUZLON ENERGY LIMITED
M R. AJAY KAPUR – GROUP CHIEF EXECUTIVE
OFFICER – SUZLON ENERGY LIMITED
MR. RAHUL JAIN – GROUP CHIEF FINANCIAL OFFICER
– SUZLON ENERGY LIMITED

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May 25, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to the Suzlon Energy Limited Q4 FY '26 Earnings Conference Call. During this call, the company management may make certain statements that reflect their outlook for the future which could be construed as a forward-looking statements. These statements are based on management's current expectations and are associated with uncertainties and risks as detailed in the annual report.

Actual results may differ so these statements should be reviewed in conjunction with the risks the company faces. As a reminder, all participant lines are in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touchtone phone.

Please note that this conference is being recorded. We will begin with the opening remarks followed by a question-and-answer session. To be fair to others, we kindly request each participant to ask no more than two or three questions. From the management, we have with us Mr. J.P. Chalasani, Group Executive Counsel; Mr. Ajay Kapur, Group CEO; Mr. Rahul Jain, Group CFO and senior members of the finance team. Over to you, J.P. Chalasani, sir.

J.P. Chalasani: Thank you. Good evening to each one of you. We welcome you to Q4FY '26 Investors Call. I

also welcome Ajay Kapur, who has now taken over the baton and he will take you through the most of the things, along with Rahul Jain, who we met last time. I just wanted to briefly tell you that over the last 12 months, we made different commitments at different points of time in interactions with you.

And a few of those things we said and what we achieved is what I want to take you through in a couple of minutes. First one, at the beginning of the financial year, we said that in FY '26, we will have a 60% of growth. That was the commitment what we made, and we are glad to say that we achieved that. Our overall EBITDA went up by 63%. Profit before tax consolidated went up by 67%.

And our WTG revenue went up by 65%. So therefore, the commitment what you made is what we fulfilled. Similarly, in the Q2, when we were discussing the results, some of you had a concern that EBITDA has fallen for our OMS business. And we clearly said it's a one-off. And by end of the year, we will recoup it.

And accordingly, at the end of the year, we achieved the EBITDA of 40.5%. We also promised that our EPC order share in our order book, EPC share will keep increasing to 50% by FY '28. And we started moving in the direction. In Q2, we were at around 20%. Now we reached 28% and we expect it to continue to grow in FY '27 and ultimately reach 50% in FY '28.

We also said that a SE Forge is now on the momentum. And we're glad to say that its revenue went up by 22% and EBITDA went up by 60%, and it would continue to see the growth even in the coming financial year. The last point I want to say is that some of you are aware that we signed a project implementation agreement with the government of AP in 2015 under which we commissioned some projects in FY '16 and FY '17.

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However, it was denied by the government for some time because of government change and now after new government has come in, we're glad to inform you that in April, they've extended the PIA by another 2 years. Under this PIA, we have developmental rights for 2.1 gigawatts, 2,100 megawatt, out of which 775-megawatt is the PPA, which was signed earlier.

Now reached APERC for tariff fixation. They asked us whether we can do -- convert this into FDRE, we said we gave our consent. There is a precedent of FDRE PPA tariff finalized by APERC last year. And we saw the 775 megawatt, there are a couple

of clients who are keen to

take up this project once PPA gets approved. Beyond this 775, we have 1,325 megawatt, which will completely get monetized from June onwards in the next 6 months.

This is one very, very positive development for us what happened in this quarter. These are the significant things what happened, what we promised and what we achieved. And the rest of the details is what Ajay and Rahul will take you through. Ajay, I'll hand over this now to you.

Ajay Kapur: Thank you, J.P.C. Hello, everyone. It is great connecting with you today. Many of you may know me from my earlier associations, but for the benefit of the larger group, please allow me to introduce myself. I'm Ajay Kapur, and I have joined Suzlon Energy Limited as Group Chief Executive Officer.

I bring over 3 decades of leadership experience across infrastructure, power, construction and heavy industries and most recently served as Managing Director of Ambuja Cements. Talking about the industry, we are seeing a strong start to the year '27 with power demand growing 5% to 6% since April, and peak demand has already touched 270-plus gigawatt.

Overall, the environment remains favourable with sustained demand and increasing peak intensity reinforcing the need for reliable, flexible and round-the-clock power FDRE solutions, which are wind dominated. For FY '26, has been a defining year for the wind sector with installations crossing 6 gigawatt, its highest since 2017, surpassing the previous peak and clearly underscoring the strong demand revival. This momentum sets the stage for a multiyear growth cycle with installations expected to cross 10 gigawatt in the near term and reaching 15 gigawatts in the next 5 years.

With 56 gigawatt already installed and a strong pipeline of STU and PSU bids as well as C&I demand, India is set to achieve the near-term target of 100 gigawatts by 2030. Repowering also started gaining traction, and there is rising consumer interest, which gives visibility of several opportunities ramping up in the next 2 to 3 years. Now taking you through the business highlights. In FY '26, Suzlon transitioned into a scaled, profitable and financially strong market leader in wind sector. Suzlon delivered a record 830 megawatts in Q4 and 2,456 megawatts in FY '26, which are our ever-highest deliveries in India.

Revenues also reached a record INR16,679 crores reflecting a strong 54% Y-o-Y growth. Order book of 5.9 gigawatt consists of 66% of C&I and PSU segment, which is fast growing. The focus now is on expanding our EPC offering, which has grown from 20% to 28% in H2, which enhances our competitive edge and further help to accelerate order book growth. Our S144 order

intake has reached close to 9 gigawatts, a strong endorsement of its advanced technology and
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customer trust. The Blue Sky platform launched in Spain marks our reentry into European and other export markets with S175 and S163 turbines.

These next-generation high-capacity turbines are designed for diverse wind regimes, delivering higher yields, improved reliability and lower LCOE by positioning us to tap both repowering and new build opportunities globally. 4.5-gigawatt manufacturing capacity fully operational, expanding footprint with 3 AI-enabled smart blade factories to drive efficiency and scale. Suzlon commissioned 744 megawatts in FY '26 and another 971 megawatt is erected, taking the number to 1,715 megawatt shows the trajectory of commissioning growth for the future. We have achieved ramped up commissioning momentum with 332 megawatts in quarter 4, and this trend is expected to continue in FY '27 pursuant to operational excellence we have done in the last few quarters.

Our OMS business remained strong with 15.7 plus gigawatts under management in India and machine availability consistently above 95%. Reno

m's AUM is consistently growing on the back

of steady fleet additions and a healthy order pipeline. Forging & Foundry continues to scale strongly. The revenue at INR597 crores, up 22% Y-o-Y and EBITDA at INR119 crores, up 61% Y-o-Y, which continued momentum driven by domestic demand and export growth. Now I

invite Rahul Jain, our Group CFO, to take you through our financial performance.

Rahul Jain: Thank you, Ajay, and good afternoon, ladies and gentlemen. I will be using Slides 18 to 25 of our investor presentation, which has been uploaded on our website as the reference point for my discussion during the presentation. In Q4 FY '26, Suzlon continued its exponential growth trajectory delivering 830-megawatt, highest-ever India deliveries for any quarter with all financial parameters, showing a strong uptrend.

Suzlon reported consolidated revenue of INR5,468 crores in Q4 FY '26 with EBITDA reaching INR964 crores, a robust 39% year-on-year growth with PBT of INR 833 crores and with a PAT of INR1,114 crores. For the full year FY '26, deliveries grew 58% to 2,456 megawatts.

Strong execution momentum drove revenues up to INR16,679 crores, up 54% Y-o-Y. The WTG segment revenues grew 65% to INR14,040 crores, with contribution margin at 24.5%.

Consolidated EBITDA increased to INR3,022 crores reflecting a strong operating leverage with 63% Y-o-Y growth. EBITDA margin expanded to 18.1%, up 100 basis points Y-o-Y. PBT rose 67% to INR2,422 crores with PAT improving to INR3,153 crores.

Let me also say that, PAT includes a deferred tax asset recognition of INR742 crores for the year FY '26. We are pleased to report that our balance sheet as of March '26, reflects the position of exceptional strength with consolidated net worth of INR9,464 crores. Our net cash balance at INR2,384 crores further enhances our financial flexibility and resilience.

We also have adequate working capital limits tied up for execution of the current order book.

Our end-to-end wind energy model supported by an integrated supply chain, strong execution and industry-leading service provides a competitive edge that is unique and difficult for others to match. With this, I hand over the call to the operator and open the floor for Q&A. Thank you.

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Moderator: Thank you very much. Your first question comes from the line of Mohit Kumar with ICICI Securities. Please go ahead.

Mohit Kumar: A good set of numbers. Sir my first question is order inflow has been very, very good for the year, but for the quarter, it seems to be tad muted. How do you think about from the opportunity perspective for the fiscal year '27, is it fair to assume a decline for a couple of quarters before the order book picks up once again?

Ajay Kapur: Okay. Mohit, as you've seen, we are more or less closing at the same order book as we started the year. You would have heard J.P.C talking about our AP project, where we have a very good pipeline of -- in our new model of DevCo. We are getting very good responses. And I can assure you that the order pipeline and the discussions that are currently underway, I think we should not have an issue. Our opening book was 5, and we are closing at 5.9. I think that is not a concern. I think it should be fine.

J.P. Chalasani: Mohit, just to add to what Ajay said, as we're moving now from equipment SAA to most of the EPC contracts, EPC contracts take a little longer time to close in terms of contracting, because multiple contracts. We are offering the sites to them, they will do their own wind assessment and then start discussing the land agreements separately, all the agreements separate.

Right now, we are in advanced stage, and I think you will significantly start hearing from June itself this quarter, the EPC orders getting closed. So therefore, I don't think there will be a

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downward trend in the couple of quarters, as you mentioned, it will continue to be there. It's truly because changing over to EPC, it's taking a little longer time to close these deals. You will start hearing from June.

Mohit Kumar: I understood. My question on the PSU opportunity. We were going through the NTPC green slide deck, which is available in the public domain and they were talking about adding 6.6 gigawatts, which is part of their contracted plus awarded pipeline, right, out of which I think barely have tied up maybe 1 gigawatt or 2 gigawatt. So a lot of capacity is still pending, but we haven't seen any closure in last maybe 8 to 9 months. How do you think about the pipeline? I'm talking particularly about NTPC?

J.P. Chalasani: So NTPC, Mohit, till now experimented with having separate contracts for redevelopment in BOP and then 3 WTG is turbine supplies. So that's what our contracts have been till now. That's not yielding good results in terms of project execution. So they are now moving -- we understand they're now moving towards a turnkey EPC contracts. To start with, they already come up with some 215-megawatt contract in AP.

We also understand they are going to come up with another 540 megawatts in AP plus another 2,000 megawatts in AP. We have a significant pipeline now moving away from split contracts to EPC contracts. Therefore, obviously, we are strong in PSU, especially if you take the EPC contracts, you would know that we would be much better off. So I think the split contracts was making the capacity addition delay.

Mohit Kumar: Understood. So you expect that to pick up as you go along the fiscal, right?

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J.P. Chalasani: Absolutely.

Mohit Kumar: Massively, given that I think it is a large pipeline. My second -- my last question, sorry, if I may squeeze in, of course there has been some talk about the DSM. And of course, it's not finalized as of now. But in case the DSM, Deviation Settlement Mechanism for the wind gets tightened, how can a manufacturer like us can help mitigate the risk from the client perspective?

J.P. Chalasani: Mohit, we have been talking about this for the last two quarters, if you remember, okay? Yes, the CERC has come now for wind changing it from plus minus 15 to plus minus 10. And for the existing projects as well as they said that the path is set by 2031, we will reach the fossil fuel level. And in fact, new projects are going to bid it out from 1st of April 2026. So right from the day 1 they get commissioned, they'll get on with fossil fuel.

While there is a stay currently. But I think this is one which is in our opinion, would happen for simple reason because even today at the number of days, the energy meeting the demand of energy. I'm not talking about the megawatts is renewable energy is crossing 50%. So this metering becomes important, this will move.

And as far as we are concerned, we said earlier that we developed a strong scheduling and forecasting model, which we're testing till now at plus minus 1.5%. We are now quickly moved into making it plus minus 10% and moving ahead. And we would use this as an opportunity for us as an additional service to provide scheduling and forecasting so that the accuracy level significantly go up.

Mohit Kumar: Is it possible to use this model to -- use this model to help the existing client set that they -- already installed?

J.P. Chalasani: Absolutely. We can start doing that. In fact, we had done for a number of our projects, what will be the impact of this plus minus 10% -- 15% plus minus 10%. And elsewhere in the world, Mohit, the significant improvements happen in the predictability of the wind. So there will be some other and we're going to collaborate with few international people. This is important for the sectors to grow. So we will play a key role in scheduling and for

recasting.

Moderator: The next question comes from the line of Nikhil from Kizuna Wealth.

Nikhil: Congratulations Ajay sir for terrific results. Sir, my first question is on the lines of -- last two quarters, you used to provide the execution progress. This quarter, we haven't provided that. So can you update us on what is the execution progress this quarter?

Ajay Kapur: Okay. Thanks, Nikhil. I think if it's not there, we will have it provided. But the good news is, as you have seen from my opening comments, we have delivered a record commissioning. I also mentioned there are almost 975 megawatts of turbines erected and not yet commissioned. Of those, almost 350 are just ready for commissioning. They are just waiting for the last mile because this is on the customer scope. So I'm actually very happy with the progress we have

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made. I'm very positive that going forward, this pace will only improve at a much, much faster pace.

Nikhil: Sir my next question is, can you provide the guidance for the next year, like for the FY '27, for the FY '28? How do you perceive the order flow will happen in the industry? And how will Suzlon benefit and more on European venture like why start that European thing right now? Not prior to that, if you can provide the vision for the European venture too, sir.

Ajay Kapur: Okay. So you're asking 3 questions. So let me start first addressing the fundamental one. On the demand side, if you see, over the years, in FY '23, the industry did 2.3 gigawatt of installations, which went up to 3.3 in FY '24 further went up to 4.1 in '25. And as I mentioned, 6 gigawatts in FY '26 is the record year.

Our numbers would be more or less plus/minus you can give some leeway, 8 gigawatt in '27 and maybe 10 gigawatt in '28. I also mentioned that FY '30 or '31, we should be looking at around 15 gigawatts. There is a very strong demand coming from wind as the industry moves towards FDRE. With the solar peaking out in the morning, the evening is when wind really works. Battery in any case is there, but battery is not generating.

So to that extent, I think the demand is very good. I was there along with my colleagues in the Madrid Wind Europe conference, where we had opportunity to launch our new Blue Sky product range, which I mentioned. Of course, it will take some time for that to fructify. But around the sidelines of the conference, we met lots of developers, IPPs and utilities. Most of them are very excited to work with us, surprisingly on our 2-megawatt and 3-megawatt series and also the newer ones.

Suzlon is very well known globally, as you know, over the years. We have a legacy there. We still have our fleet there, and we still have offices across the world. So we want to scale it up. It's a great market opportunity.

We feel in the next couple of years, this will become one of the big revenue driver and a bottom line driver. We'll talk about it more at some other opportune moment. I think on the order book, Mohit had already asked and I think between me and J.P.C, we had tried to give you some guidance. Other than that, if you want some more specific ones, we can separately connect with you.

Moderator: The next question comes from the line of Sumit Kishore with Axis Capital.

Sumit Kishore: My first question is on your cash flows. So basically, if you look at your operating cash flow, it's about INR12 billion for FY '26 versus your EBITDA of INR30 billion. So could you please speak about the increase in working capital and receivables and whether there are any provisions for doubtful debtors?

Rahul Jain: Okay. Thank you, Sumit. I think there is -- the way I would look at it, our cash flow from operations has improved significantly when you look at it from an overall basis. Working capital
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is predominantly a receivables buildup as primarily due to the PSU contracts. However, this was anticipated and factored into the tender pricing as well.

The silver lining really is that most of this is serviced through non-funded limits and in a secular growth scenario, working capital days could improve substantially going forward as well. So yes, there is something, but overall also when I look at it, our overall cash position has improved only. So delta around that is INR400 crores plus. So I'm actually pretty happy to see some positive momentum on that side as well. So that's how I would really look at it, Sumit?

Sumit Kishore: Sure. My second question is after posting almost 60% plus growth at the EBITDA level in FY '26, how are you looking at the WTG deliveries, contribution margin and basically your growth outlook for FY '27.

Ajay Kapur: Sumit, I'll comment here. Just as I was telling Nikhil, I already gave you our idea that next year market can be anywhere between 8 to 9 gigawatt. Suzlon has also mentioned that a very high amount of turbines erected, not commissioned so that should help us. I also said that our closing or opening order book and also recently, we got a Sunsure order. We have already seen about it. We are already sitting at almost 6 gigawatt. Mr. J.P.C highlighted right in the beginning, a great opportunity emerging from our forward-looking strategy. We'll also talk about it more in the coming days on development pipeline. At any given point of time, we are sitting on about 25 gigawatt of assets across the nation of which 8 to 10 are very much better baked.

And of those, some of them J.P.C mentioned to you. So I think our teams are engaging with the customers. I'm very positive on the future. But I think beyond that at this moment, I would not

like to venture into giving absolute numbers other than saying that the trend is already very positive and strong.

Sumit Kishore: Thanks for the clarification. Just one small point. Last year, at the end of the financial year, you had done a small cleanup exercise on the order book in terms of the nonmoving orders. So there hasn't been any such clarification this time. So is there any nonmoving or slow-moving order in your 5,892-megawatt order backlog?

Ajay Kapur: Sumit, as of now, there is nothing of that sort. And as management from time to time, we will undertake such actions, which are, I think, very mature and our order book is very healthy. In fact, I would stop at that. I mentioned our S144 platform, the 3.X series, I'm really excited, 9 gigawatt of orders, I think it's one of its kind, and still receiving fantastic response, I was quite thrilled when I went to Madrid when I met people across those 2, 3 days. Very, very active pipeline of some of the leading developers, top companies, and they want to also shake hands with us. So I think in time to come, that will also help us.

Moderator: Your next question comes from the line of Abhishek Nigam with Motilal Oswal.

Abhishek Nigam: So first question is on the FDRE, which J.P.C. sir mentioned in the opening remarks so are you seeing more such conversions of projects into FDRE. If you can speak about that? So that will be my first question.

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Ajay Kapur: Okay. I request to J.P.C, with his wisdom and deep knowledge of the industry to guide us on this.

J.P. Chalasani: See, the bids, whether FDRE or RTC or the pure wind, these bids would keep coming out

depending upon which state has what sort of a current generation profile and that load profile.

While FDRE will continue to be there, I mentioned FDRE with respect to the AP PPA what we signed for 775 megawatt way back and which came for hearing in regulatory, and they asked us whether we would be willing to convert into FDRE, which we said yes.

In fact,

and some of you may know that in last financial year, APRC has approved one of the FDRE bids of 400 megawatts with 2 hours peak, 90%, 90% 2 hours morning, 2 hours evening plus 60% CUF. They're looking at something of this nature. But however sector-wise, if you're looking at it, we are also seeing uptick in pure Wind bids coming in, both at center as well as state level because there was some gap because solar went up and then they now realized bid. Also, if you look at in the recent past, the peak, which Ajay mentioned, 270 gigawatts, which was in the daytime and -- but evening peak is continued to be at 250 to 260 gigawatts, and it's continued till about midnight. And if you see contribution from the point of it at 270-gigawatts peak was there. In that, the solar contributed 22% and 5% with wind during the daytime. In the evening peak when it was 250 gigawatts, solar was 0 and wind was 21%. So therefore, now we can clearly see that the wind contribution is increasing.

So therefore, that's the reason we're also seeing increasing in wind bids. But I think it's clearly whether FDRE comes or the RTC comes or hybrid comes or the existing comes, it all would depend upon state to state load profile and current generation mix.

Abhishek Nigam: And second question is there has been a lot of depreciation of the Indian currency, the Indian rupee of late. Is there a need to take price hikes to maintain margins consistent with FY '26?

Rahul Jain: Abhishek, I will come in here. Some of our contracts have a pass-through with respect to the foreign currency impact that comes through. Again, while there is a geopolitical situation that is prevailing as of now, we are always on a cost management drive to be able to reduce our cost to deliver better value to our customers.

Yes, there is an impact but again, with our cost management drives, we've been able to mitigate that impact to a very large extent is what I would say. For the future, obviously, when we think about newer contracts, it will get priced in based on the newer, let's say, exchange rates that are prevailing. I hope that answers it.

Abhishek Nigam: Okay. So for now, I mean margin-wise, broadly, you would think margin should remain stable, not really go down in FY '27? No real pressure on that?

Rahul Jain: WTG margins, I don't think materially can go down.

Ajay Kapur: Also just to add what Rahul is saying, Abhishek, we are constantly also working on our R&D and cost optimization, supply diversification and also make in India. So all the 3 things are

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working. And every year, we have a target of constantly cutting on cost because that's the only

way you can remain resilient and our resident supply chain has helped us over the last 3 years to keep cutting costs. I'm not too sure how much of pricing we can increase, but certainly business model reorientation is what we are currently working on.

And I believe with a more EPC, with the development company strategy, with I already mentioned 8 to 10 gigawatt of more fully ready projects. Customers are very excited to work with us because we just don't talk of selling for today, but we are actually talking of helping them build their projects for the year '28, '29, '30. So I think that's where the price is important and which also J.P.C alluded in the beginning when a question was asked that the order book has been -- it takes time when you do these kind of development projects because it entails a series of combinations of contracting.

But I'm very happy that we have a team in place. We have a structure in place and we have a business model. We are now pushing actively this year. That should help us mitigate a lot of our cost at the same time, keep building our pipeline going forward.

Moderator: Your next question comes from the line of Prakhar Porwal with A MBIT.

Prakhar Porwal:

My first question is on the exceptional items that we see. One is in the consolidated statements of INR70 crores. You've mentioned that it is given settlement of contractual matters. So is that in the OMS business, that is that?

Rahul Jain: Prakhar, to answer it simply, no, it is not in the OMS business, it is largely SE Forge. Actually, it is fully SE Forge, it was an old arbitration matter that got settled in our favor.

Prakhar Porwal: Okay. So also, second question is on the Andhra Pradesh order. Given you mentioned DevCo, you have already done around 775 megawatts back in 2016, '17. So wanted to just understand how -- I mean, I know the DevCo model, but -- so given you mentioned it is now getting converted to FDRE, what will be the scope that Suzlon will do, will it be entire FDRE solar, wind, etcetera, development?

Or you will do the wind part, which will be a similar EPC plus WTG model that is second question? Just wanted some details on the Andhra Pradesh given this will be actually our first DevCo model after our -- I mean transition to the new business model, right?

J.P. Chalasani: Yes. Let me just clarify that the -- as far as Andhra Pradesh is concerned, way back in 2015, we signed what is called a project implementation agreement where Government of AP has given us rights to develop x megawatts of projects. We've done some capacity of it in FY '17 and FY '18. And at that point of time in FY '18, they also signed a PPA for 775 megawatts saying the tariff for this project will be fixed by the regulatory commission. But nothing much happened when -- in between the transition government came in.

It stalled and then came back here. Now what we are talking about is not just the 775 megawatts, we're talking about totally 2.1 gigawatts of development rights, the government recently approved extension of the PIA by another 24 months. So we are right to develop 2.1 gigawatts
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where the planned boundaries and everything are fixed and then the agreements are signed with NREDCAP. Out of the 775 megawatts, they are willing to get PPA. That's the only difference. Balance is we can -- we are not responsible for taking the power offtake and which -- so therefore, they will get converted into then our normal way of EPC contracts. The 775-megawatt FDRE once the PPA gets finalized, there are a couple of clients who are willing to take over that as a PPA, along with the SPV, which is signed the PPA and we have an option to -- not we have option, we have intention to supply the entire FDRE rather than just the wind portion of it. So because now we are really getting into full RE stack so that is what is the arrangement as and when the tariff gets finalized for this project by APERC, and one of those clients will finalize where they will own the project, and we will do complete FDRE supply and as well as services thereafter.

Prakhar Porwal: So maximum 775 and the balance -- on the remaining part...

J.P. Chalasani: Yes. Balance we're already converting into EPC contracts. We have given offers various clients. And as I said that at the beginning, we would see this from June onwards next 6 months, the entire 1,325 megawatts getting converted into firm EPC contracts.

Prakhar Porwal: That will be on a DevCo model where you do the entire part and you -- I mean, sell it on a turnkey basis?

J.P. Chalasani: I don't know what you mean by turnkey. We will provide the right from land to the entire project commissioning on EPC on a turnkey basis.

Prakhar Porwal: Sure. And just lastly, on margins and commodity inflation. I know Rahul mentioned you'll be able to maintain margins. But given steel is a big component, if you can maybe qualitatively tell what type of measures would help -- I know there are pass-through clauses, but not all contracts have those

so what all levers do we have to maintain margin going forward on the WTG business. That is the last question?

Rahul Jain: Prakhar, steel is largely a pass-through other than maybe some PSU contracts. So I'm not really very worried about steel. I mean, like I said, we should have a fair capability of maintaining margins where we were exiting. But obviously, there is -- this is an environment that is also volatile. So let's say, there or thereabouts, we should be in good shape.

Ajay Kapur: Just to add to what Rahul mentioned. Also, as we sell more of our turbines, we are able to renegotiate better rates on our diversified supply chain. I mentioned that 9 gigawatt of S144 order book as it gets into COD. So that gives our procurement and manufacturing teams also to renegotiate with the suppliers on the back end because there's a constant battle. And also then we'll have a leverage effect as we grow.

So those are some of the other things we are working. We are also constantly doing value creation besides just negotiation.

Moderator: The next question comes from the line of Satpal Singh Khanuja from Ishaan Ventures.

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Satpal Singh Khanuja: For the installation numbers, this year, we did, I think if you leave the 971 MW, which are erected but not installed, we did a number of 744 megawatts this year. Sir, when do you see this momentum changing like installations being more than the activities so that the pending installations will start coming down?

Ajay Kapur: So basically, if you see the growth is substantial. If you just see last year same quarter and also, as you know, last quarter is always a bigger one. In RR, we did 573 versus that, this quarter was 830, which was 45% improvement. Last year, at the same time, I think it was also an industry-specific issue. We did 95 and this year, same quarter we did 332, that is 250% improvement. On top of it, there are 350 megawatt, I mentioned, is already ready just to plug in for want of the customers readiness. I think the momentum is good. Over the last couple of quarters, we have also rejuvenated our entire line organization. There are some decisions we have taken in terms of reorganization there, which are already yielding very positive results. We are also running drives to improve the fundamental blocks right from land to erection and before erection, foundation.

So I'm seeing a very good traction. I believe this trend will continue. And Rahul is also driving at his level, along with his teams drive on how we optimize our working capital. And for that, we need to pull the commissioning and also close accounts. So that's the way you can recycle your money, which is in the working capital. So we are very, very focused on this. I'm sure in coming quarters, you'll only hear a very good positive traction by us on this.

Satpal Singh Khanuja: Sir, just a suggestion, if the management finds it alright, you could think about announcing the monthly installation number. The market finds it very -- the entire stock price is very jittery based on the installation progress. Maybe we cannot like maybe waiting for a quarter, the installation numbers can be given if the management finds it like it's okay and to do

Ajay Kapur: Satpal, I hear you, but I think, as you know, some things you can do it, some things you don't want to do it, but there is something. That's what I hear you. I can only say that. Rahul has something to say?

Rahul Jain: Yes. Actually, I just wanted to add to what Ajay is saying. We've heard you. I think there is some merit in it, but we will have to evaluate the positions internally and then think about how do we manage it. So -- but thank you for the suggestion.

Satpal Singh Khanuja: Right. Like for my second question is are there any development on the solar and BESS side, we wanted to move to those

levels. Any acquisition nearing finalization or anything going on at level?

Ajay Kapur: So as of now, answer to your second question is no, there's nothing round on the corner. Answer to your question number one on solar BESS. J.P.C already mentioned that we are getting into FDRE. As we get into it, start signing contracts with our customers, we'll start announcing these. But yes, that's very much in our agenda. But what strategy, asset-light versus investing, that's something we'll talk to you in time to come, but not today.

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Satpal Singh Khanuja: Okay. If I can squeeze just one more question. Okay. So like is it best to say that it is the most probable scenario is that Suzlon will do 2,500 megawatts next year also?

Ajay Kapur: Now you're putting words in my mouth.

Satpal Singh Khanuja: Is that the most probable scenario, sir?

Ajay Kapur: You're talking of installation or you're talking of RR?

Satpal Singh Khanuja: No, delivery, sir.

Ajay Kapur: We cannot give you that number, as I mentioned. But certainly, we can have a discussion whenever you want to. I can only tell you what we are doing on the leading indicators, which are going to help, the lagging indicator, which is delivery.

Rahul Jain: And again, J.P.C sir, can you just want to quickly answer that as well?

J.P. Chalasani: No, I would only say please look at the past trend, 700 to 1,550. 1,550 to 2,456. So therefore, I just want you to consider the trend, and we expect the positive trend to continue.

Moderator: The next question comes from the line of Shweta Jain with Anand Rathi.

Shweta Jain: Most of the questions have been answered. Just one on the co-development model again to get the EPC visibility. Where are we -- like last time, I think we had interacted, we were talking about 22 to 23 gigawatts kind of a development pipeline, of which I think 7 gigawatts were at advanced -- different stages of advancement. Could you throw some light on where those projects are? And has this pipeline moved anywhere?

J.P. Chalasani: Yes. I think you're spot on, Shweta, we've talked about 22 to 23 gigawatts of identified sites and about 8 gigawatts development that work is progressing. And some of them are now getting converted into contracts. Some places, the land acquisition is under progress. Some places, we signed the land agreements, but we are also now converting them into EPC contracts. There is a progress happening, and then we would keep increasing this 8 gigawatt further. As soon as some contracts get signed, then obviously, we'll keep adding more to it into the active development phase. But this is what clearly is going to be our engine for growth in the coming years. And not just for us, I think this is going to be engine for growth of the sector because the execution is becoming a major challenge. And this will actually unlock that execution challenges. So you're already seeing that some of the EPC orders getting announced through this...

Shweta Jain: So by when do we see this announcement happening?

J.P. Chalasani: No. See, we don't announce the land contracts. We will only announce when we do the EPC contracts. So there are some land contracts signed where acquiring -- the model clearly explained earlier that we will start acquiring the land wherever we see a high possibility of sale of the site. And we have put some working capital into that and before we reached 25% of the Suzlon Energy Limited
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land acquisition, we try to do a land contract. And now with some of them we signed and which we don't announce as I said, we only announce EPC contracts.

We are getting converted into EPC contracts and which we will start seeing as early as -- in fact, we announced some of them like the one which we announced with ArcelorMittal was coming out of

the development pipeline only, and EPC contract what we announced sometime back and you will also see some contracts getting announced from June onwards. And then when we announce the EPC contract, we don't announce it has come from the development pipeline. That's why you may not be hearing it separately but it's coming. That contract itself is somewhat a development contract.

Rahul Jain: And just to add to J.P.C, Shweta. I think as we go out in time, you will see more announcements around it as well.

Shweta Jain: Got it. But this 22, 23 gigawatts remain as is for now?

Ajay Kapur: Probably slightly higher.

J.P. Chalasani: No, no. Shweta, it will never remain that way. What is the number, that number will have x amount of sites. Some sites get signed, some sites get added. As you know that every year, we keep adding new wind masts and we keep collecting new data. And we also map the likely substations coming up in the future, okay? And we also map, which are the sites which can easily get converted into co-located hybrid projects. So on that basis, we'll keep adding to this. It is a dynamic situation. So it will never remain static.

Moderator: Ladies and gentlemen, we will be taking the last 2 questions for the day. Our next question comes from the line of Mahesh Patil with ICICI Securities.

Mahesh Patil: Most of the questions answered, just one question on the Q4 PAT so we have recognized deferred tax assets. So how much exactly we should adjust in the reported PAT for this...

Rahul Jain: So the number on the reported PAT that I have for the quarter is about INR281 crores. That's the number to be adjusted?

Mahesh Patil: I'm saying in the EPC contract that we are doing, the transmission part will also be handed by us. Is that correct?

J.P. Chalasani: Yes. EPC contracts normally we do the land supply, erection and the BOP. And in some cases, we also do the pooling substations. In very extremely rare cases, but very, very rare, we take up the transmission and from there to this thing, but that's extremely rare. So most of the contracts will have between the plant boundary and some will have plus the pooling substation. Extreme

rare cases, the transmission.

Moderator: The next question comes from the line of Nikhil Abhyankar with UTI Mutual Funds.

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Nikhil Abhyankar: Sir, just a couple of quick questions. I just want to understand about the capex guidance you spent almost INR550-odd crores last year. So any run rate capex that you can assume over the next 3, 4 years?

Ajay Kapur: Yes. So Nikhil, as we expand our capacity to participate in the demand, which I mentioned already to you all. We would have a run rate of about INR600-odd plus minus 50 going forward.

Nikhil Abhyankar: And sir, what is the current capital deployed for the DevCo? I mean you had a certain threshold beyond which you wouldn't grow. So what is that threshold and how much have we deployed right now, if you can?

J.P. Chalasani: Yes. I think as all of you know, we said -- we talked about earlier about INR300 crores of the cash we keep it for this and then as we move ahead, depending upon how the model develops and in case we also want to get into connectivity, then we will be needing some non-fund-based facility.

Rahul Jain: As of now, the number is in the range of about 300, 350. But yes, what you are saying is absolutely right, J.P.C. So as we go on, we will see some more working capital needs on that side.

J.P. Chalasani: Yes. So there are RE parks coming up -- some states are coming up with RE parks. And we are also working with the Government of India for a possibility of changing GNA regulations so that we can develop RE parks with connectivity, which is transferable. So as and when those things happen, obviously, that there will be more required, but those will all -- would help us to grow the business.

ness.

Nikhil Abhyankar: Sir. And just a final one, how much tax assets are still remaining? And what should be the expected tax rate, say, in the next couple of years?

Rahul Jain: Okay. So again, the deferred tax adjustment that you've seen until now are largely related to recognizing certain deferred tax assets. Given our current run rate, we believe that there is -- for the next two years, only the deferred tax charge will come into the profit and loss account, which is also a noncash charge. Rough estimates on this are in the range of about INR3,000 crores to INR3,500 crores in terms of unrecognized deferred tax assets.

Moderator: Ladies and gentlemen, we take that as the last question for today. I now hand the conference over to the management for closing comments.

J.P. Chalasani: Thank you, everyone. We look forward to remaining in touch in the coming days and sharing with you the progress of the company. Have a good evening. Thank you.

Rahul Jain: Thank you, and bye-bye.

Moderator: Thank you. On behalf of Suzlon Energy Limited, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines